My Student Club

CA FINAL · PAPER 6 · INTEGRATED BUSINESS SOLUTIONS

All six IBS papers, solved the way you should think in the hall

May 2024 to May 2026. For every question: the clue in the case, the chapter, what to search in the index, and the answer as you should write it.

How to use: solve a case yourself with a 1-hour timer first. Then check here.

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ICAI answers

What this paper teaches

- Two MCQs had no correct option (3.4, 5.2) and three had two accepted keys (2.1, 2.2, 5.5): do one clean working in 3 minutes, tick the closest option and move on.
- Questions chain: 1.8's machine cost needs 1.1 (customs duty) and 1.7 (hedge cost). Solve the linked MCQ carefully first and reuse its figures.
- Dates decide answers: Bill of Entry vs entry inwards (exchange rate vs duty rate), use under 180 days, FY 2023-24 vs s.74A, buy-back after 1.10.2024. Underline every date in the case.
- Cases carry unused data (TBL options in Case 4, P/E data in 2.1, the extra 3,000 sq ft lease). Answer only what the question asks.
- 21 descriptive marks were framework writing (BMC, non-value-added activities, new-product pricing, McKinsey 7S): headings + case facts + one strategic line each = safe marks.

Case 1: Heritage Tea Processing Limited (HTPL)

Bengaluru tea company with estates, three plants and exports to 50+ countries. A fire at the Kodagu factory, withdrawals from its Tea Development Account, a squeeze-out of minority holders in a subsidiary, and two sachet machines imported from Germany with a currency hedge.

Marks: DT 7, AFM 5, Costing 5, IDT 4, Audit 2, Law 2 · Hard

First 15 min: Skip unless DT/IDT numericals are your strength: 16 of 25 marks are linked tax and forex sums, and 1.8 needs 1.1 and 1.7 right first.

Q1.1 IDT MCQ · 2 marks Customs - Valuation of imported goods (s.14, Customs Valuation Rules 2007) and Levy (s.15)

Total BCD + Social Welfare Surcharge + IGST payable on the two sachet machines imported from Germany.

(a) ₹4,52,980

(b) ₹5,34,516

(c) ₹12,75,756

(d) ₹8,22,780

CLUE IN THE CASE

'arrived ... on 6th March 2026 and the Bill of Entry was filed on 4th March'

THINK

1. Import + Bill of Entry + two exchange rates + BCD/SWS/IGST = Customs valuation and levy numerical.
2. Chapter clear → IDT SM Customs: s.14 (exchange rate on the date BoE is presented) and s.15 (BoE filed before entry inwards is deemed filed on entry inwards, so duty rate of 6 March).
3. Build transaction value: revised FOB + freight + insurance + commission to the seller's agent; drop inland freight after import.
4. BCD, then SWS on BCD, then IGST on (AV + BCD + SWS); add all three.

LOOK UP

ICAI SM IDT - Customs: Valuation (s.14 + CVR Rule 10) and Levy (s.15) rate of exchange | entry inwards | date for determination of rate of duty | cost of transport | commission and brokerage | social welfare surcharge

ANSWER

(c) ₹12,75,756

WORKING

FOB €30,000 + 3% revision €900 = €30,900. Add actual freight €5,000 (within 20% of FOB) and insurance €400 → CIF €36,300. Exchange rate = CBIC rate on the date BoE was presented (4.3.2026) = ₹109 → ₹39,56,700. Add commission to XYZ's local agent ₹1,61,300 (selling commission is included). Inland freight Cochin to Kodagu ₹1,05,850 is after importation → excluded. Assessable value = ₹41,18,000. BoE (4.3) filed before entry inwards (6.3) → deemed filed on 6.3 → BCD 10% (not 15%) = ₹4,11,800. SWS 10% of BCD = ₹41,180. IGST 18% on (41,18,000 + 4,11,800 + 41,180 = 45,70,980) = ₹8,22,776. Total = 4,11,800 + 41,180 + 8,22,776 = ₹12,75,756.

Trap: Two dates, two rules: exchange rate of the BoE date (₹109) but BCD rate of the entry-inwards date (10%). Stopping at BCD + SWS gives (a); IGST alone is about (d).

Q1.2 Audit MCQ · 2 marks SA 505 External Confirmations (with SA 500, SA 260, SA 705)

Which are correct? (i) probe replies from unregistered email IDs, reconcile and do alternative procedures; (ii) reassess only quantitative materiality, KAM only if amounts are large; (iii) accept Chief Accountant's physical letters as primary evidence; (iv) escalate unresolved issues to TCWG and qualify if material but not pervasive.

(a) (i) and (ii)

(b) (i) and (iv)

(c) (ii) and (iii)

(d) (i), (ii) and (iv)

CLUE IN THE CASE

'responses should be sent directly to the auditor's official email ID'

THINK

1. Balance confirmations, odd email IDs, letters collected by the client = SA 505; opinion impact = SA 705.
2. Chapter clear → Audit SM SA 505: the auditor must control requests and responses.
3. Any statement that leans on management or ignores qualitative factors is wrong.
4. Known without the book: 2 minutes, mark and move.

LOOK UP

ICAI SM Audit - SA 505 External Confirmations; SA 705 external confirmation reliability of responses non-response alternative audit procedures qualified opinion

ANSWER

(b) (i) and (iv)

WORKING

(i) Correct: replies not from recorded email IDs are doubtful, so verify the sender, reconcile and use alternative procedures (subsequent receipts or payments, invoices, GRNs). (ii) Wrong: materiality has a qualitative side (15% cash settlements hint at fraud or s.40A(3) risk); KAM under SA 701 is for listed entities and HTPL is unlisted; KAM is not chosen by size alone. (iii) Wrong: letters gathered by the Chief Accountant bypass the auditor's control. Zero-balance creditors with heavy volumes are exactly where understated liabilities hide. (iv) Correct: tell TCWG (SA 260/265); if evidence is still missing and the effect is material but not pervasive, give a qualified opinion (SA 705).

Trap: Treating client-obtained physical letters (iii) as enough. Evidence routed through management fails SA 505.

Q1.3 DT MCQ · 2 marks PGBP - s.33AB Tea Development Account; Rule 8 (tea income); Capital Gains s.112

Tax effect for AY 2026-27 of the ₹5 crore withdrawn from the Tea Development Account and of the land sale.

(a) ₹0.30 crore business income; ₹1.50 crore LTCG

(b) ₹0.72 crore business income; ₹0.60 crore LTCG

(c) ₹0.82 crore business income; ₹0.60 crore LTCG

(d) ₹0.12 crore business income; ₹1.50 crore LTCG

CLUE IN THE CASE

'by withdrawing ₹5 crore from the Tea Development Account'

THINK

1. Tea Development Account = deduction for tea growers; the question is what happens on withdrawal.
2. Unsure of the section → A-Z index → 'Tea Development Account' → s.33AB: amount withdrawn but not used for the scheme in the same year = deemed business profit; office items barred, computers carved out.
3. Tea income is composite: Rule 8 taxes only 40% as business income, so apply 40% to the deemed profit too.
4. Land: bought Jan 2023, sold Nov 2025 → long-term; no indexation after 23.7.2024.

LOOK UP

ICAI SM DT - PGBP: s.33AB; Rule 8; Capital Gains (s.112) 33AB Tea Development Account Rule 8 forty per cent office appliances not being computers indexation 23 July 2024

ANSWER

(d) ₹0.12 crore business income and ₹1.50 crore LTCG

WORKING

Withdrawn ₹5.00 cr. Used for the scheme: machinery 2.50 + freight and installation 0.05 + solar panels 1.90 + computers 0.25 = ₹4.70 cr. Not allowed or not used: office furnishing and renovation 0.25 (office use is barred) + unspent 0.05 = ₹0.30 cr → deemed profit of the tea business. Rule 8: 40% taxable → 0.30 x 40% = ₹0.12 cr business income. Land: the 2023 diversion of TDA money to buy land was taxable in that year (AY 2023-24), not now. Sale ₹3.00 cr - cost ₹1.50 cr = ₹1.50 cr LTCG (held over 24 months, no indexation), taxed @12.5% u/s 112.

Trap: Taxing the full ₹0.30 crore (option a). The deposit saved tax on only 40% of tea income, so only 40% comes back.

Q1.4 IDT MCQ · 2 marks GST - Input Tax Credit: s.17(5) blocked credits; capital goods (Rule 43, 5-year life)

Total ITC CA Abhinav must reverse for the year.

(a) ₹45,96,000

(b) ₹23,12,700

(c) ₹28,43,700

(d) ₹14,10,000

CLUE IN THE CASE

'completely destroyed in the fire' ... 'Corporate Social Responsibility obligations'

THINK

1. Fire loss + CSR purchases + ITC already claimed = blocked credits u/s 17(5).
2. Chapter clear → IDT SM GST 'Input Tax Credit' → s.17(5)(h) goods destroyed; s.17(5)(fa) goods or services used for CSR.
3. Capital goods destroyed mid-life: reverse only the unexpired part of the 60-month life.
4. Add the three pieces; insurance money does not change ITC.

LOOK UP

ICAI SM IDT - GST: Input Tax Credit (s.16, s.17(5)); Rule 43 goods lost, stolen, destroyed corporate social responsibility 17(5)(fa) capital goods five years 17(5)(h)

ANSWER

(b) ₹23,12,700

WORKING

(1) Stock destroyed: ₹9,60,000 reversed in full, s.17(5)(h). (2) CSR kits ₹90,000 + tablets ₹3,60,000 = ₹4,50,000, blocked u/s 17(5)(fa). (3) Machinery bought 1.2.2022: IGST 18% x ₹1.77 cr = ₹31,86,000. Used Feb 2022 to Aug 2025 = 43 of 60 months; unexpired 17 months → 31,86,000 x 17/60 = ₹9,02,700. Total = 9,60,000 + 4,50,000 + 9,02,700 = ₹23,12,700.

Note: The Act gives no formula for destroyed capital goods; ICAI reversed the unexpired 17/60 of ITC. A 5%-per-quarter approach gives ₹7.97 lakh, which is not an option.

Trap: Reversing the whole machinery ITC of ₹31.86 lakh gives (a); missing it gives (d).

Q1.5 Law MCQ · 2 marks

Corporate Laws - Compromises, Arrangements and Amalgamations: s.236 Purchase of minority shareholding (Rule 27, CAA Rules 2016)

Which are correct for buying the last 9%? (i) price = valuer's fair price, considering the highest price paid in the last 12 months; (ii) all 30 holders get ₹190; (iii) extra received by the 10 is shared pro rata with the 20; (iv) amount kept in a separate account run by ABC for at least a year, paid within 60 days, never beyond one year.

(a) (i), (iii)

(b) (ii), (iv)

(c) (i), (ii), (iv)

(d) (i), (iii), (iv)

CLUE IN THE CASE

'raising its holding to 91%' ... 'intention to acquire the remaining 9% of shares'

THINK

1. Holder of 90%+ buying out the rest of an unlisted company = s.236 squeeze-out.
2. Chapter clear → Law SM 'Compromises, Arrangements and Amalgamations' → s.236 + Rule 27.
3. Check the 75% trigger: the 10 holders own 78% of the minority and negotiated ₹190, so the sharing rule applies.

LOOK UP

ICAI SM Corporate & Economic Laws - Compromises, Arrangements and Amalgamations (s.236)

purchase of minority shareholding | registered valuer | highest price paid twelve months | seventy-five per cent of minority | sixty days

ANSWER

(d) (i), (iii), (iv)

WORKING

(i) True: for unlisted shares the valuer fixes the price considering the acquirer's highest price in the last 12 months (₹170) and fair value (₹180), so ₹180 is offered. (ii) False: s.236 does not reprice everyone at ₹190. (iii) True: where holders of at least 75% of the minority negotiate a higher price, the extra must be shared pro rata with the other minority holders (s.236(7)). (iv) True: the amount sits in a separate bank account operated by the company for at least one year; paid within 60 days, with payment continuing up to one year for anyone not yet paid.

Trap: Assuming everyone automatically gets ₹190 (ii). The law shares the extra amount; it does not reprice the offer.

Q1.6 Costing Descriptive · 5 marks SCMPE (SPOM Set B) Ch 1 - Business Model Canvas (SM 1.25)

Draw HTPL's Business Model Canvas for the five listed elements and show how each streamlines operations or opens growth.

CLUE IN THE CASE

'Business Model Canvas, which illustrated how it helps businesses map, design'

THINK

1. A named model in the question = framework + case facts; marks come from mapping HTPL's facts, not theory.
2. Chapter clear → SM study material (or A-Z index 'Business Model Canvas') for the nine blocks.
3. For each asked block: one line on what it is for HTPL + one line on how it cuts cost or adds growth.
4. Known without the book: 5 headings in about 12 minutes; channels and revenue only if time is left.

LOOK UP

ICAI SM SPOM Set B (SCMPE) - Ch 1, Business Model Canvas (1.25) business model canvas key partners value proposition customer segments cost structure

ANSWER

The Business Model Canvas shows on one page how HTPL creates, delivers and earns from value. Applied to the asked blocks:

1. Key partners, activities, resources. Partners: Sri Lankan leaf suppliers, recycled-packaging vendors, logistics firms, solar-energy providers, supermarkets/hotels, tea research bodies. Activities: plucking on 5-6 day cycles, CTC processing, blending, packing, distribution, R&D, waste-to-compost. Resources: own estates, 3 modern plants, 1,500 staff, R&D team, brand known in 50+ countries, solar capacity. Effect: standard plucking and clustered routing cut rejections, idle hours and fuel; in-house sachets reduce vendor dependence; R&D partners speed new flavours.
2. Customer relationships: dedicated order support, surveys and quality monitoring that feed back into blends. Effect: better demand forecasts, fewer rejections, repeat buying and loyalty.
3. Customer segments: supermarkets, hotels and restaurants, wholesalers, retail and D2C buyers, export buyers in 50+ countries, health-conscious buyers of organic and green tea; packs from 100 g to 10 kg fit each segment. Effect: premium, organic and export segments give higher margins and spread risk.
4. Cost structure: plantation labour (manual plucking), processing, packaging, logistics, R&D, marketing, fixed estate and plant costs. Effect: benchmarking, solar power, recycled bags and tea waste used as fertiliser lower costs, so HTPL can face low-price new entrants without cutting quality.
5. Value proposition: consistent purity and aroma through plantation-to-pack control, innovative blends, 180+ SKUs, personalised service and a green brand. Effect: supports premium pricing and differentiation against price-cutting entrants.

Conclusion: the canvas shows the Board which blocks drive cost and which drive growth, and ties the sachet project, sustainability and exports into one model.

WORKING

BMC puts nine blocks on one page: partners, activities, resources, value proposition, relationships, channels, segments, cost, revenue. Pull HTPL's facts into each asked block, then add the operational or growth effect.

Trap: Writing theory of all nine blocks with no HTPL facts. Marks are for case-linked points under the five asked heads.

Q1.7 AFM **Descriptive · 5 marks** AFM - Foreign Exchange Exposure and Risk Management

Which is cheapest for the €30,000 payable in 3 months: forward, money market hedge, or forward under the LC option?

CLUE IN THE CASE

'spot exchange rate stands at ₹102 per Euro, with the three-month forward rate at ₹104'

THINK

1. Euro payable + forward / money market / LC = hedging an import payable.
2. Chapter clear → AFM SM 'Foreign Exchange Exposure and Risk Management' → money market hedge illustration; replace the figures.
3. Payable → deposit in € today (Germany 4%, quarterly), funded by a ₹ loan (India 10%, monthly).
4. Compare all three in ₹ at the 3-month point; lowest outflow wins.

LOOK UP

ICAI SM AFM - Foreign Exchange Exposure and Risk Management | money market hedge | forward cover | letter of credit | import payable

ANSWER

Outflow in ₹ at the end of 3 months:
Forward hedge: €30,000 x ₹104 = ₹31,20,000
Money market hedge: €30,000/1.01 = €29,702.97 x ₹102 = ₹30,29,703 borrowed; repay with interest at 10% compounded monthly for 3 months = ₹31,06,079
Forward under LC: interest 1.5% (₹45,900 + ₹1,157) + (€30,000 + €150 commission) x ₹104 = ₹31,82,657
Conclusion: the money market hedge costs least (₹13,921 below the forward), so HTPL should use it.

WORKING

Amount = 2 x €15,000 = €30,000 (the 3% rise was not known when hedging). Forward: 30,000 x 104 = ₹31,20,000. Money market: deposit 30,000 / (1 + 0.04/4) = €29,702.97 now; buy at ₹102 = ₹30,29,703, borrowed in India; repay 30,29,703 x (1 + 0.10/12)^3 = 30,29,703 x 1.025209 = ₹31,06,079 (interest ₹76,376). LC: interest 6% p.a. for 3 months = 1.5% x €30,000 = €450 x 102 = ₹45,900 paid now, plus 10% monthly-compounded cost for 3 months ₹1,157 = ₹47,057; at maturity €30,000 + LC commission 2% p.a. x 3/12 = €150 → €30,150 x 104 = ₹31,35,600; total ₹31,82,657. (Paying the €450 at maturity instead gives ₹31,82,400; same ranking.)

Trap: Doing the receivable version (borrow in €, deposit in ₹) or using simple interest instead of the given monthly/quarterly compounding.

Q1.8 DT IDT **Descriptive · 5 marks**

PGBP - Depreciation: s.32 incl. additional depreciation s.32(1)(iia); s.43(1) actual cost; s.43(6) WDV

Depreciation, including additional depreciation, on the 15% plant and machinery block for AY 2026-27 (old regime).

CLUE IN THE CASE

'WDV ... ₹120 crore as at 1st April 2025' ... 'put to use on 15th November'

THINK

1. Block WDV + additions + insurance money + put-to-use dates = s.32 depreciation numerical.
2. Chapter clear → DT SM PGBP 'Depreciation' → illustration with additions used under 180 days and additional depreciation; replace the figures.
3. Only 15% block items go in: new machinery ₹2.55 cr and the imported sachet machines. Solar (40%), computers (40%) and furniture (10%) are other blocks.
4. Machine cost = hedge cost (1.7) + 3% rise + freight, insurance, agent commission, inland freight, BCD + SWS (1.1); IGST out (ITC taken).

LOOK UP

ICAI SM DT - PGBP: Depreciation (s.32, s.43(1), s.43(6)) additional depreciation put to use for less than 180 days moneys payable destroyed actual cost block of assets

ANSWER

Depreciation on P&M block (15%) for AY 2026-27 (₹ crore):
WDV on 1.4.2025: 120.00
Add: new machinery 2.50 + freight and installation 0.05 (used 15.11.2025): 2.55
Add: imported sachet machines (used 25.3.2026) [note]: 0.45
Less: insurance money for machinery destroyed in fire: (1.40)
Add: equipment received from insurer: Nil
WDV before depreciation: 121.60
Normal depreciation: 118.60 x 15% = 17.790; 3.00 x 7.5% (used under 180 days) = 0.225
Additional depreciation u/s 32(1)(iia): 3.00 x 20% x 50% = 0.300
Total depreciation = ₹18.315 crore (the other ₹0.30 crore of additional depreciation is allowed in AY 2027-28).
Note, actual cost of machines (₹): hedge cost 31,06,079 + price rise 96,300 + sea freight 5,35,000 + insurance 42,800 + agent commission 1,61,300 + inland freight 1,05,850 + BCD and SWS 4,52,980 (IGST excluded as ITC is taken) = 45,00,309.

WORKING

Machine cost: hedge outflow ₹31,06,079 + 3% rise €900 x ₹107 = ₹96,300 → ₹32,02,379; + freight €5,000 x 107 = ₹5,35,000; + insurance €400 x 107 = ₹42,800; + agent commission ₹1,61,300; + Cochin-Kodagu freight ₹1,05,850; + BCD and SWS ₹4,52,980; IGST nil = ₹45,00,309 (about ₹0.45 cr). Block: 120 + 2.55 + 0.45 - 1.40 insurance money = ₹121.60 cr. Equipment received from the insurer cost HTPL nothing: nil. Normal: (121.60 - 3.00) x 15% = 17.79; 3.00 x 7.5% = 0.225. Additional: 3.00 x 20% x 50% = 0.30. Total ₹18.315 cr.

Note: ICAI's note shows 'Total purchase price ₹32,02,079', a typo for ₹32,02,379; its final cost of ₹45,00,309 is right.

Trap: Putting solar panels, computers or office furnishing into the 15% block, or giving full-rate depreciation to assets used under 180 days.

Case 2: Heritage Organic Limited (Heritage)

Uttarakhand family brand stretched by hasty expansion across three facilities. Shrey Industries wants to buy in and values it; Heritage also seeks an advance ruling, plans a buy-back and an EV-motor venture, while Shrey faces a GST audit.

Marks: Costing 9, IDT 8, DT 6, AFM 2 · Easy

First 15 min: Attempt: the friendliest case. All five MCQs are one-step, and 15 descriptive marks are known theory (non-value-added activities, buy-back, ITC blocks).

Q2.1 AFM MCQ · 2 marks AFM - Corporate Valuation

Value of Heritage Organic by capitalisation of earnings at 14%.

(a) ₹700 crore

(b) ₹980 crore

(c) ₹560 crore

(d) ₹630 crore

CLUE IN THE CASE

'capitalisation of earnings method. Given the capitalization rate of 14%'

THINK

1. Capitalisation of earnings = FMP / rate: a one-line formula.
2. Chapter clear and known without the book; no lookup needed.
3. The 20% non-listing discount is a judgement call; ICAI accepts the value with or without it.

LOOK UP

ICAI SM AFM - Corporate Valuation capitalisation of earnings future maintainable profit discount for lack of marketability

ANSWER

(a) ₹700 crore; (c) ₹560 crore (after the 20% non-listing discount) is also accepted.

WORKING

₹98 crore / 14% = ₹700 crore. After the 20% non-listing discount: 700 x 80% = ₹560 crore. P/E 15 and EPS ₹6.50 belong to a different method; ignore them here.

Trap: Pulling in the P/E data, or multiplying by the capitalisation rate instead of dividing.

Q2.2 DT MCQ · 2 marks DT - Advance Rulings (Chapter XIX-B, ss.245N-245W)

Which statement about Heritage's application to the Board for Advance Rulings is incorrect?

(a) Transaction value must exceed ₹100 crore to seek a ruling

(b) Board must give its ruling within six months of the application

(c) Heritage cannot appeal against the ruling

(d) Board can call for records before ruling

CLUE IN THE CASE

'file an application to the Board for Advance Rulings'

THINK

1. Board for Advance Rulings = DT, Chapter XIX-B.
2. Chapter clear → DT SM 'Advance Rulings' → definition of applicant, s.245R, s.245W.
3. Heritage (resident) deals with a German (non-resident) distributor → eligible applicant with no value limit.

LOOK UP

ICAI SM DT - Advance Rulings | Board for Advance Rulings | applicant | 245R | 245W appeal | one hundred crore

ANSWER

(a); (c) is also an incorrect statement and is accepted.

WORKING

(a) Incorrect: the ₹100 crore test is for a resident seeking a ruling on its own tax liability; a resident's transaction with a non-resident has no value limit. (b) Correct: ruling within six months. (c) Incorrect: since 2021, BAR rulings can be appealed to the High Court (s.245W) by the applicant or the Department. (d) Correct: the Board may call for records from the Commissioner.

Trap: Remembering the old AAR line 'ruling is binding, no appeal'. BAR rulings are appealable to the High Court.

Q2.3 IDT MCQ · 2 marks GST - Charge of GST: reverse charge (s.9(3), Notification 13/2017-CT(R)); Exemptions

GST treatment of the ₹25 lakh Heritage paid to sponsor the farmers' sports event.

(a) Heritage (recipient) pays under reverse charge

(b) The club (supplier) pays

(c) Exempt as sponsorship for farmers

(d) Exempt as sponsorship of a sports event

CLUE IN THE CASE

'The company paid ₹25 lakhs for sponsoring the event'

THINK

1. Sponsorship paid by a company = a standard reverse charge item.
2. Chapter clear → IDT SM GST 'Charge of GST' (RCM list) and 'Exemptions'.
3. Check exemptions: nothing covers sponsorship of a sports event by a farmers' club.

LOOK UP

ICAI SM IDT - GST: Charge of GST (reverse charge) and Exemptions sponsorship services body corporate reverse charge sporting events

ANSWER

(a) GST is payable by Heritage under reverse charge

WORKING

Sponsorship services supplied to a body corporate or partnership firm are under reverse charge, so Heritage (a company) pays. No exemption covers sponsorship of this event, whether seen as a sports event or as a farmers' cause.

Trap: Picking (d) from a vague memory of a sports exemption. It does not reach a farmers' club event.

Q2.4 Costing MCQ · 2 marks SPOM-B (Strategic Cost & Performance Management) - Learning Curve

Total variable cost of producing 5,000 EV motors in 2026-27.

(a) ₹345.80 lakh

(b) ₹340.30 lakh

(c) ₹341.29 lakh

(d) ₹345.25 lakh

CLUE IN THE CASE

'90% learning curve effect (learning index = -0.1520)'

THINK

1. Learning index + first-batch hours + plateau = learning curve.
2. Chapter clear → SPOM-B Learning Curve illustration with a steady state after the nth batch; replace the figures.
3. Cumulative average y = 250 x^-0.152; 10th batch time = total of 10 batches - total of 9; batches 11-50 at that time.

LOOK UP

ICAI SM SPOM-B - Learning Curve learning curve cumulative average time steady state learning index

ANSWER

(c) ₹341.29 lakh

WORKING

Average for 10 batches = 250 x 0.705 = 176.25 h → total 1,762.5 h. Average for 9 batches = 250 x 0.716 = 179 h → total 1,611 h. 10th batch = 151.5 h. Batches 11-50: 40 x 151.5 = 6,060 h. Total = 7,822.5 h x (₹240 + ₹160) = ₹31,29,000. Material 5,000 x ₹6,200 = ₹3,10,00,000. Total variable cost = ₹3,41,29,000 = ₹341.29 lakh.

Trap: Using the cumulative average (176.25 h) for batches 11-50 instead of the 10th batch's own time (151.5 h). That gives (d).

Q2.5 Costing MCQ · 2 marks SPOM-B - Value-added and non-value-added activities (Lean / activity-based management)

Classify the delay of bottled spirits sitting in the holding bay for quality checks.

(a) Storing

(b) Moving

(c) Waiting

(d) Inspecting

CLUE IN THE CASE

'moved to a temporary holding bay where they are waiting for quality control'

THINK

1. The five NVA types are being tested.
2. Known without the book: idle time before the next step = waiting; inspecting is the check itself.

LOOK UP

ICAI SM SPOM-B - non-value-added activities non-value-added activities moving waiting inspecting storing scheduling

ANSWER

(c) Waiting

WORKING

Goods lying idle until an inspector is free are waiting for the next process. Inspecting is the act of checking; storing is holding finished goods in stock.

Trap: Picking (d) Inspecting because the next step is QC. The question asks about the delay, not the check.

Q2.6 Costing · Descriptive · 5 marks SPOM-B - Non-value-added activities (Lean system, business process improvement)

Which of the six audit findings are non-value-added activities that can be removed, and what is the strategic effect?

CLUE IN THE CASE

'which of the identified Non-Value-Added activities can be eliminated'

THINK

1. Six audit points + 'non-value-added' = map each to moving, waiting, inspecting, storing or scheduling.
2. Chapter clear → SPOM-B NVA list (else A-Z index 'non-value-added').
3. Key insight: the 25-year barrel ageing is value-adding storage (like wine), so keep it and cut only the waste around it.
4. Write finding → NVA type → fix, then 3-4 lines of strategic implication.

LOOK UP

ICAI SM SPOM-B - non-value-added activities / Lean non-value-added value-added activity total productive maintenance total quality management

ANSWER

Non-value-added activity: work the customer will not pay for; it adds time and cost but no quality.
1. Labour-heavy transfer of part-aged product between facilities = Moving. Fix: re-layout or co-locate stages, mechanised handling.
2. Barrels left unattended in the staging area while forklift operators do other work = Waiting (idle handling). Fix: dedicated handlers, scheduled material movement, tracking.
3. Bottled spirits waiting in the holding bay for inspectors = Waiting. Fix: more or automated inspection, checks built into the line.
4. Inspecting 10% of all output = Inspecting. Fix: build quality in (TQM, process control, self-checks) and cut the sample.
5. Disorganised warehouse, long dwell of finished goods = Storing. Fix: demand-led production, better layout, faster dispatch (JIT).
6. Haphazard production from unscheduled maintenance = Scheduling. Fix: production planning, preventive maintenance and TPM.
Not NVA: fermentation and 25-year ageing in barrels. This storage creates the flavour customers pay for, so it stays.
Strategic implication: Roshan is right about the craft but not about the waste. Removing the six NVAs cuts cost and lead time, frees working capital, improves margins and delivery, and raises future cash flows, which lifts the value Shrey Industries will pay, while the artisanal core that differentiates the brand stays intact.

WORKING

An NVA activity costs time and money but adds nothing the customer pays for. Classify each of the six findings, give a fix, and separate them from the ageing process that truly adds value.

Trap: Calling the 25-year ageing an NVA 'storing' activity. It adds value, like wine maturing.

Q2.7 DT **Descriptive · 4 marks**

DT - Income from Other Sources (deemed dividend s.2(22)(f)); Capital Gains (s.46A); TDS (s.194/s.195)

Note on the income-tax effect of buying back 10 lakh shares at ₹150 for the shareholders and the company, and the company's obligations.

CLUE IN THE CASE

'buy 10 lakh equity shares for ₹150 per share'

THINK

1. Buy-back = the post-1.10.2024 regime: dividend in shareholders' hands, no tax on the company.
2. Chapter clear → DT SM 'Income from Other Sources' (deemed dividend) + 'Capital Gains' s.46A + TDS s.194.
3. Shareholder has two effects (dividend income and a capital loss); company has only TDS duties.

LOOK UP

ICAI SM DT - IFOS (deemed dividend), Capital Gains (s.46A), TDS (s.194) buy-back 2(22)(f) 46A 115QA dividend TDS 194

ANSWER

Shareholders:
1. The whole ₹150 per share is a deemed dividend u/s 2(22)(f), taxed under 'Income from other sources' at their applicable rates; no expense is deductible against it.
2. For capital gains the consideration is taken as nil (s.46A), so the cost of the shares (₹10 each for original allottees) becomes a capital loss. Here it is long-term (held about 16 years; unlisted shares over 24 months), set off only against LTCG and carried forward for 8 AYs.

Company:
1. No tax on Heritage: the s.115QA buy-back tax does not apply to buy-backs on or after 1.10.2024.
2. TDS: s.194 at 10% for resident shareholders (no TDS for an individual paid other than in cash if the dividend does not exceed ₹10,000 in the year); s.195 at 20% or the treaty rate for non-residents. Deposit the tax, file TDS returns and issue Form 16A.

WORKING

Deemed dividend = 10,00,000 x ₹150 = ₹15 crore. Shareholders' capital loss = cost of the shares bought back (₹10 each for original allottees) = ₹1 crore in all, long-term (held about 16 years). TDS at 10% on resident payees = up to ₹1.5 crore.

Note: Budget 2026 proposed taxing buy-backs as capital gains again from 1.4.2026 (promoters pay extra); use the law that applies to your attempt.

Trap: Still charging 20% buy-back tax on the company u/s 115QA. That ended for buy-backs from 1.10.2024.

Q2.8 IDT Descriptive · 6 marks

GST - Input Tax Credit (s.16(2)(b), s.17(5)); Supply (Schedule I); Interest (s.50(3), Rule 88B); Demands (s.73/74/74A)

Advise Shrey Industries on tax, ITC admissibility, and interest and penalty for the three issues raised in the GST audit.

CLUE IN THE CASE

'goods were physically received at the warehouse only on 4th April 2024'

THINK

1. ITC timing, catering, gifts to employees, interest and penalty = GST ITC + supply + demand chapters.
2. Chapter clear → IDT SM GST: 'Input Tax Credit' (s.16(2)(b), s.17(5)(b), (h)), 'Supply' (Schedule I, gifts up to ₹50,000), 'Payment of Tax' (s.50(3), Rule 88B), 'Demands' (s.73/74; s.74A only from FY 2024-25).
3. Interest only on ITC actually used: total wrong ITC vs ECL balance.
4. Write three blocks: tax liability, ITC, interest and penalty.

LOOK UP

ICAI SM IDT - GST: Input Tax Credit; Supply; Payment of Tax; Demands and Recovery

receipt of goods 16(2)(b) | outdoor catering | gifts not exceeding fifty thousand | Rule 88B | wrongly availed and utilised | section 73 penalty

ANSWER

1. Tax liability (gifts): goods given free are a supply only if Schedule I says so. Gifts by an employer to an employee up to ₹50,000 per employee in a year are not a supply. Appliances worth ₹15,000 and ₹5,000 each (workers taken to be on the payroll) are below the limit, so no GST; the demand for tax on gifts is not sustainable.
2. ITC admissibility: (a) ₹150 lakh: s.16(2)(b) requires receipt of goods. Goods arrived on 4.4.2024, so the credit is not admissible for March 2024 (it belongs to April 2024) and must be reversed. (b) ₹2.70 lakh on outdoor catering for a dealers' event: blocked u/s 17(5)(b), as it is not used for an outward catering supply; reverse. (c) ITC on gifted appliances (₹55 lakh x 18% = ₹9.90 lakh): blocked u/s 17(5)(h) for goods given as gifts; reverse.
3. Interest: s.50(3) applies only to wrongly availed ITC that is utilised. Under Rule 88B it is utilised to the extent the ECL balance falls below the wrong credit: (150 + 2.70 + 9.90) - 120 = ₹42.60 lakh. Interest at 18% p.a. on ₹42.60 lakh from 18.4.2024 till reversal. The other ₹120 lakh is simply reversed, without interest.
4. Penalty: these are FY 2023-24 issues, so s.73 (no fraud) applies; s.74A covers FY 2024-25 onwards. If ITC is reversed with interest before the notice or within 30 days of it, no penalty; otherwise 10% of tax or ₹10,000, whichever is higher.

Advice: reverse ₹162.60 lakh of ITC, pay interest on ₹42.60 lakh, and contest the tax demand on gifts.

WORKING

Wrong ITC = 150 + 2.70 + ITC on gifts (55 x 18% = 9.90) = ₹162.60 lakh. ECL balance after the March 2024 return = ₹120 lakh, so deemed utilised = 162.60 - 120 = ₹42.60 lakh (Rule 88B). Interest at 18% on ₹42.60 lakh from 18.4.2024 (earlier of filing date 18.4.2024 and due date 20.4.2024) till reversal or payment.

Note: ICAI says interest @15% and penalty u/s 74A; the s.50(3) rate is 18% and FY 2023-24 dues fall under s.73/74 (s.74A starts from FY 2024-25).

Trap: Charging interest on the full ₹162.60 lakh. Interest runs only on the ₹42.60 lakh actually used.

Case 3: Harcharan Ceramics Limited (HCL)

Mysore ceramics group that has bought Savreen Ceramics, faces disqualified directors and excess MD pay in its subsidiaries, plans an export plant abroad and is fighting income-tax appeals and revisions.

Marks: FR 6, AFM 6, DT 5, Law 4, Audit 2, IDT 2 · Moderate

First 15 min: Good pick if FR/AFM are strong: 12 marks are textbook sums (Ind AS 21, DTL + goodwill, CFAT perpetuity) and 3.8 is recall; 3.4 has no right option, so don't stall there.

Q3.1 Law MCQ · 2 marks Corporate Laws - Appointment and Qualifications of Directors (s.164(2), s.167(1)(a), s.167(3))

All HCL directors are disqualified. Pick the INCORRECT statements: (i) promoter cannot appoint; (ii) promoter can appoint the required directors; (iii) only with prior consent of all three disqualified directors; (iv) with consent of any two of them.

(a) (i) and (ii)

(b) (iii) and (iv)

(c) (i), (iii) and (iv)

(d) (ii)

CLUE IN THE CASE

'defaulted in filing its financial statements for three financial years'

THINK

1. Non-filing for 3 years = s.164(2) disqualification; office vacated = s.167; all vacate = promoter appoints.
2. Chapter clear → Law SM 'Appointment and Qualifications of Directors' → s.167(3).
3. The question asks for INCORRECT statements; circle that word first.

LOOK UP

ICAI SM Corporate Laws - Appointment and Qualifications of Directors vacation of office all directors vacate promoter shall appoint 164(2)

ANSWER

(c) (i), (iii) and (iv)

WORKING

s.164(2): directors of a company that has not filed financial statements for 3 years are disqualified; under the proviso to s.167(1)(a) they vacate office in every other company (here HCL), but not in the defaulting HSCTL. With all HCL directors gone, s.167(3) lets the promoter (or, failing him, the Central Government) appoint the required directors till the general meeting appoints directors. So (ii) is correct; (i), (iii) and (iv) are incorrect, as consent of disqualified directors is irrelevant.

Trap: Choosing the correct statement (d) when the question asks for the incorrect ones.

Q3.2 Law MCQ · 2 marks Corporate Laws - Appointment and Remuneration of Managerial Personnel (s.197, Schedule V)

Correct route for HITL to pay its MD above the Schedule V limits.

(a) Prior approval of banks and NCD holders, then special resolution

(b) Prior approval of banks and NCD holders, then ordinary resolution

(c) Prior approval of Central Government, banks and NCD holders, then special resolution

(d) Prior approval of Central Government, banks and NCD holders, then ordinary resolution

CLUE IN THE CASE

'defaulted in payment of dues to Banks as well as to Non-Convertible debenture holders'

THINK

1. Inadequate profits + pay above limits + default to lenders = s.197 provisos and Schedule V.
2. Chapter clear → Law SM 'Appointment and Remuneration of Managerial Personnel'.
3. Central Government approval was removed in 2018; what remains is a special resolution and lenders' prior approval.

LOOK UP

ICAI SM Corporate Laws - Appointment and Remuneration of Managerial Personnel inadequate profits Schedule V special resolution prior approval of bank non-convertible debenture holders

ANSWER

(a) Prior approval of banks and NCD holders, then special resolution

WORKING

With inadequate profits, Schedule V allows the higher limits only with a special resolution of shareholders. Where the company has defaulted to banks, financial institutions, NCD holders or other secured creditors, their prior approval must be obtained before the general meeting. Central Government approval is no longer needed (removed by the Companies (Amendment) Act 2017, effective 12.9.2018).

Trap: Adding Central Government approval (c). That requirement was dropped in 2018.

Q3.3 Audit | Ethics | MCQ · 2 marks | ICAI UDIN Guidelines (Professional Ethics; signing of audit reports and certificates)

Pick the INCORRECT statements: (i) one UDIN for the whole year per engagement covering all communications; (ii) separate UDINs for the audit report and the TCWG letter; (iii) UDIN needed for certificates, audit reports and other attest reports, not for communication letters; (iv) one UDIN per client.

(a) (i) and (ii)

(b) (i) and (iv)

(c) (i), (ii) and (iv)

(d) (ii) and (iv)

CLUE IN THE CASE

'contemplating whether he needs to generate a Unique Document Identification Number'

THINK

1. UDIN = an ICAI guideline, not an SA.
2. Unsure where it sits → A-Z index → 'UDIN'.
3. Rule: one UDIN per attest document (certificate, audit or assurance report); letters to management or TCWG need none.

LOOK UP

ICAI SM Audit - Professional Ethics (UDIN guidelines), via A-Z index UDIN

unique document identification number | certificates | attest functions

ANSWER

(c) (i), (ii) and (iv)

WORKING

(iii) states the actual position: UDIN is generated for each certificate, audit report and other assurance or attest report; communications such as letters to TCWG do not need one. So (i) is wrong (no single year-long UDIN), (ii) is wrong (the TCWG letter needs none) and (iv) is wrong (UDIN is per document, not per client).

Trap: Thinking every document sent to a client needs a UDIN. Only attest and certification documents do.

Q3.4 IDT MCQ · 2 marks Customs - Import and Export Procedures (s.30, s.31, s.46, s.17, s.47)

Correct order of: (i) entry inwards to vessel, (ii) import general manifest, (iii) unloading (printed 'uploading'), (iv) assessment, (v) Bill of Entry, (vi) payment of duty.

(a) (i), (ii), (iii), (iv), (v), (vi)

(b) (ii), (iii), (i), (iv), (v), (vi)

(c) (iii), (ii), (i), (vi), (v), (iv)

(d) (ii), (i), (iii), (v), (iv), (vi)

CLUE IN THE CASE

'conveyance, clearance and warehousing procedures under the Indian Customs Law'

THINK

1. Import steps in order = Customs procedures chapter.
2. Chapter clear → IDT SM Customs 'Import and Export Procedures' flow chart.
3. Apply current law: IGM (s.30) and BoE (s.46(3), by the end of the day before arrival) are both filed before the ship arrives; then entry inwards (s.31), unloading, assessment (s.17), duty (s.47).
4. If no option fits within 3 minutes, mark the closest and move on.

LOOK UP

ICAI SM IDT - Customs: Import and Export Procedures | import general manifest | entry inwards | bill of entry 46(3) | assessment section 17 | payment of duty section 47

ANSWER

No option is correct (closest: (d), the older order with BoE after unloading).

WORKING

Current-law order: (ii) IGM → (v) Bill of Entry (in advance) → (i) entry inwards → (iii) unloading → (iv) assessment → (vi) payment of duty. No option puts the BoE before entry inwards. (d) is the older textbook order with the BoE after unloading.

Note: ICAI declared no correct option: under s.46(3) the Bill of Entry now goes in before arrival, which none of the options shows.

Trap: Ticking (d) from an old flow chart without checking the advance Bill of Entry rule (Case 1 itself shows a BoE filed before arrival).

Q3.5 FR MCQ · 2 marks Ind AS 21 The Effects of Changes in Foreign Exchange Rates

Exchange gain or loss for FY 2024-25 and FY 2025-26 on the US$1,00,000 payable for new machines.

(a) FY 2024-25 loss ₹2,00,000; FY 2025-26 loss ₹50,000

(b) FY 2024-25 gain ₹2,00,000; FY 2025-26 gain ₹50,000

(c) FY 2024-25 gain ₹2,00,000; FY 2025-26 loss ₹50,000

(d) FY 2024-25 loss ₹2,00,000; FY 2025-26 gain ₹50,000

CLUE IN THE CASE

'purchased ... for US$ 1,00,000 when the exchange rate per US dollar was ₹84'

THINK

1. Foreign currency payable outstanding at year end = Ind AS 21 monetary item.
2. Chapter clear and known without the book.
3. Machine stays at ₹84 (non-monetary); payable restated at the closing rate; differences to P&L.

LOOK UP

ICAI SM FR - Ind AS 21 monetary items closing rate exchange differences profit or loss

ANSWER

(a) FY 2024-25 loss ₹2,00,000; FY 2025-26 loss ₹50,000

WORKING

Initial: $1,00,000 x 84 = ₹84,00,000 for both machine and payable. 31.3.2025: payable at ₹86 = ₹86,00,000 → loss ₹2,00,000 in FY 2024-25. Paid 5.6.2025 at ₹86.50 = ₹86,50,000 → further loss ₹50,000 in FY 2025-26. The rupee weakened while HCL owed dollars, so it is a loss both years.

Trap: Adding the difference to the machine's cost (the old AS 11 option or the s.43A tax rule). Under Ind AS 21 it goes to P&L.

Q3.6 FR **Descriptive · 4 marks** Ind AS 12 Income Taxes with Ind AS 103 Business Combinations

Compute the deferred tax arising on acquiring SCL and the goodwill.

CLUE IN THE CASE

'together with their tax bases. Any goodwill ... is not deductible for tax purposes'

THINK

1. Fair values vs tax bases in an acquisition = Ind AS 12 temporary differences inside Ind AS 103.
2. Chapter clear → FR SM Ind AS 12 'deferred tax in business combinations' illustration; replace the figures.
3. Ignore SCL's own ₹15 lakh book DTL; recompute on fair value vs tax base; no DTL on goodwill.

LOOK UP

ICAI SM FR - Ind AS 12 (business combinations) and Ind AS 103 (goodwill) temporary differences | tax base | business combination deferred tax | goodwill initial recognition exception

ANSWER

Deferred tax (₹ lakh): fair value / tax base / temporary difference / tax @30%
Land and buildings: 700 / 500 / 200 taxable / DTL 60
Property, plant and equipment: 270 / 200 / 70 taxable / DTL 21
Inventory: 80 / 100 / 20 deductible / DTA (6)
Retirement benefit obligation: 100 / nil / 100 deductible / DTA (30)
Receivables, cash, payables: no difference
Net deferred tax liability = 60 + 21 - 6 - 30 = ₹45 lakh
Fair value of net identifiable assets = 1,070 - 45 = ₹1,025 lakh
Goodwill = 1,500 - 1,025 = ₹475 lakh
No deferred tax on goodwill: it is not tax-deductible and Ind AS 12 bars DTL on its initial recognition.

WORKING

For each item: (fair value - tax base) x 30%. Taxable differences give DTL, deductible ones give DTA. Net them, deduct from fair value of net assets, then goodwill = consideration - net assets.

Trap: Using book values or SCL's ₹15 lakh DTL instead of fair value vs tax base, or creating DTL on goodwill.

Q3.7 AFM **Descriptive · 6 marks** AFM - International Financial Management (international capital budgeting)

(i) Annual CFAT under each scenario; (ii) expected CFAT; (iii) viability with US$25 million outlay, 11% required return and 3% perpetual growth.

CLUE IN THE CASE

'Dollar is expected to decline by 10% or 15%'

THINK

1. Foreign plant + exchange scenarios + probabilities = international capital budgeting.
2. Chapter clear → AFM SM 'International Financial Management' illustration; replace the figures.
3. Cost and depreciation both move with the exchange rate: depreciation 1.00 → 0.90 → 0.85 million.
4. Expected CFAT → growing perpetuity CF x 1.03 / (0.11 - 0.03) → NPV.

LOOK UP

ICAI SM AFM - International Financial Management (international capital budgeting)

international capital budgeting | expected value of cash flows | growing perpetuity | exchange rate scenarios

ANSWER

(i) CFAT (US$), scenarios 0% / 10% / 15% decline:
Profit per unit: 10 - 6.00 = 4.00 / 10 - 5.70 = 4.30 / 10 - 5.55 = 4.45
Total for 10 lakh units: 40,00,000 / 43,00,000 / 44,50,000
Less depreciation: 10,00,000 / 9,00,000 / 8,50,000
PBT: 30,00,000 / 34,00,000 / 36,00,000
Tax @30%: 9,00,000 / 10,20,000 / 10,80,000
PAT: 21,00,000 / 23,80,000 / 25,20,000
CFAT (PAT + depreciation): 31,00,000 / 32,80,000 / 33,70,000
(ii) Expected CFAT = 31,00,000 x 0.4 + 32,80,000 x 0.4 + 33,70,000 x 0.2 = US$32,26,000
(iii) PV of inflows = 32,26,000 x 1.03 / (0.11 - 0.03) = 33,22,780 / 0.08 = US$4,15,34,750
NPV = 4,15,34,750 - 2,50,00,000 = US$1,65,34,750. NPV is positive, so the proposal is viable.

WORKING

Unit cost: 6.00 (no change), 6.00 - 0.30 = 5.70 (10%), 5.70 - 0.15 = 5.55 (15%). Depreciation: 10,00,000 x 1, x 0.90, x 0.85. If 32,26,000 is instead read as year-1 CFAT (no growth applied), PV = US$4,03,25,000 and NPV = US$1,53,25,000: still viable. ICAI grows it once.

Trap: Keeping depreciation at US$1 million in every scenario, or missing that 0.15 is an extra cut on top of 0.30.

Q3.8 DT **Descriptive · 5 marks** DT - Appeals and Revision (s.263, s.264; doctrine of merger)

Is the tax counsel right on (i) s.263 revision for AY 2023-24 while the CIT(A) appeal is pending, and (ii) the CIT's refusal of the s.264 petition for AY 2024-25? Suggest the course of action.

CLUE IN THE CASE

'doctrine of total merger would apply and therefore, the revision proposed is bad'

THINK

1. Commissioner revising while an appeal is pending = s.263 / s.264 + doctrine of merger.
2. Chapter clear → DT SM 'Appeals and Revision' → Explanation 1(c) to s.263; s.264(4).
3. s.263 = partial merger (only matters decided in appeal are out of reach); s.264 = total bar once the order is under ITAT appeal.

LOOK UP

ICAI SM DT - Appeals and Revision | revision of orders prejudicial to revenue | doctrine of merger | matters not considered and decided in appeal | subject of an appeal to the Appellate Tribunal

ANSWER

(i) AY 2023-24, s.263: Explanation 1(c) to s.263 lets the Commissioner revise any matter not considered and decided in appeal (partial merger). The issues being revised were not part of the CIT(A) appeal, so revision is valid and counsel's 'total merger' view is not correct. Course of action: reply to the s.263 notice on merits (the order is neither erroneous nor prejudicial to revenue); if a revision order is passed, appeal to the ITAT u/s 253; continue the CIT(A) appeal.

(ii) AY 2024-25, s.264: s.264(4)(c) bars the Commissioner from revising an order that is the subject of an appeal to the ITAT. This is total merger: it applies even though the relief sought (s.40A(2)) differs from the appeal issue (depreciation), and whoever filed the appeal. Rejecting the petition is valid, so counsel's view is not correct. Course of action: raise the s.40A(2) disallowance as an additional ground before the ITAT, which can admit a question of law arising on facts already on record (NTPC v. CIT, SC).

WORKING

Test each year against its section: s.263 Explanation 1(c) for AY 2023-24; s.264(4)(c) for AY 2024-25. Then give the remedy.

Trap: Applying 'total merger' to s.263. The total bar belongs to s.264; s.263 has only a partial bar.

Case 4: Vinod Heavy Industries Ltd. (VHIL)

Listed Gujarat manufacturer that hedges a short-term loan with an FRA, amalgamates a distressed logistics company, gets special-purpose audits for a bank consortium and wants to take tunnelling machines to Africa.

Marks: Audit 9, FR 5, Costing 5, Law 4, AFM 2 · Moderate

First 15 min: Pick if Audit is strong: 9 marks on SA 805/810 plus an easy FRA and s.230 MCQ; 4.6 is a standard by-product sum and 4.8 is free writing.

Q4.1 AFM MCQ · 2 marks AFM - Interest Rate Risk Management

Settlement amount and profit or loss to VHIL on its 6x9 FRA at 7.80% on ₹100 crore (360-day year).

(a) ₹7,35,114 (Profit)

(b) ₹7,50,827 (Profit)

(c) ₹7,35,114 (Loss)

(d) ₹7,50,827 (Loss)

CLUE IN THE CASE

'entered into a 6x9 Forward Rate Agreement' ... 'Forward Rate (FR) of 7.80%'

THINK

1. FRA settlement = interest rate risk numerical with a known formula.
2. VHIL (borrower) locked 7.80%; the reference rate 8.10% is higher, so VHIL receives.
3. Settlement happens at the start of the loan period, so discount at the reference rate for 3 months.

LOOK UP

ICAI SM AFM - Interest Rate Risk Management | forward rate agreement | settlement amount | FRA

ANSWER

(a) ₹7,35,114 (Profit)

WORKING

Interest difference = ₹100 cr x (8.10% - 7.80%) x 90/360 = ₹7,50,000. Paid at settlement, so 7,50,000 / (1 + 0.081 x 90/360) = 7,50,000 / 1.02025 = ₹7,35,114. MIBOR above the FRA rate means a gain for the borrower. (The case gives only one MIBOR, 8.10%; ICAI uses it as the settlement reference rate.)

Trap: Not discounting (₹7,50,000), or calling it a loss. Rates went up, so the borrower who fixed the rate gains.

Q4.2 Law MCQ · 2 marks Corporate Laws - Compromises, Arrangements and Amalgamations (s.230(6))

Was the amalgamation scheme approved by VLL's members with the required majority?

(a) Yes: more than 400 members and more than 22,00,000 shares in favour

(b) Yes: more than 600 members and more than 26,25,000 shares in favour

(c) Yes: more than 375 members and more than 24,00,000 shares in favour

(d) Yes: more than 375 members and more than 25,00,000 shares in favour

CLUE IN THE CASE

'650 shareholders holding 28,00,000 shares voted in favour'

THINK

1. Scheme approval at a Tribunal-convened meeting = s.230(6) dual test.
2. Chapter clear and known without the book.
3. Base = members present AND voting (650 + 100 = 750; 32 lakh shares), not attendance and not total members.

LOOK UP

ICAI SM Corporate Laws - Compromises, Arrangements and Amalgamations (s.230)

majority of persons representing three-fourths in value | present and voting | 230(6)

ANSWER

(c) Yes: more than 375 members and more than 24,00,000 shares in favour

WORKING

Voting: 750 members holding 32,00,000 shares. Majority in number: more than 375; 650 in favour, passed. Three-fourths in value: 3/4 x 32,00,000 = 24,00,000; 28,00,000 in favour, passed. Scheme approved.

Trap: Counting the 50 who abstained (800 present) or all 1,200 members in the base, which gives (a) or (b).

Q4.3 Audit MCQ · 2 marks SA 805 (Revised) Audits of Single Financial Statements and Specific Elements

Can R & Co. give an unmodified opinion on 'Trade Receivables from Government Contracts' after qualifying the full FS?

(a) No, because the full-FS opinion was qualified

(b) Yes, only if not published with the qualified report

(c) Yes, if not a major portion and not published together

(d) Yes, regardless of size or joint publication, as it is a separate engagement

CLUE IN THE CASE

'issued a qualified audit report' ... 'special purpose framework tailored to the loan agreement'

THINK

1. Specific element audited by the same auditor = SA 805.
2. Chapter clear → Audit SM SA 805: effect of a modified opinion on the complete FS.
3. The 'major portion / not published together' conditions apply only when the full-FS opinion is ADVERSE or a DISCLAIMER; here it is only qualified.

LOOK UP

ICAI SM Audit - SA 805 (Revised) specific element adverse opinion or disclaimer on complete set major portion published together

ANSWER

(d) An unmodified opinion is possible regardless of proportion or joint publication

WORKING

SA 805: the auditor weighs the effect of the qualification on the element. The qualification concerns long-term investments, not receivables. The extra conditions (element not a major portion, report not published alongside) bite only for an adverse opinion or a disclaimer on the complete FS. So an unmodified opinion on receivables is possible without those conditions.

Trap: Choosing (c). Those conditions belong to the adverse or disclaimer case.

Q4.4 Law MCQ · 2 marks

Corporate Laws - Compromises, Arrangements and Amalgamations (s.235, acquiring shares of dissenting shareholders)

VHIL bought only 75% of the dissenters' shares. What must it do?

(a) No action: VHIL already holds a substantial majority

(b) Action: VHIL is bound to acquire all remaining dissenting shares at the price fixed per the rules

(c) No action: partial acquisition is at VHIL's discretion

(d) No action: dissenters should have had an exit earlier

CLUE IN THE CASE

'acquired 75% of the shares held by these dissenting shareholders'

THINK

1. 90% approval + notice to dissenters + their application = s.235.
2. Chapter clear → Law SM 'Compromises, Arrangements and Amalgamations' → s.235.
3. 'Entitled and bound': once relief is refused, VHIL must buy all, not some.

LOOK UP

ICAI SM Corporate Laws - s.235 dissenting shareholders | nine-tenths in value | entitled and bound to acquire | 235

ANSWER

(b) Action required: VHIL must acquire all the remaining dissenting shares

WORKING

Under s.235, once holders of at least 90% in value approve, the transferee may notify the dissenters; unless the Tribunal, on their application within a month, orders otherwise, the transferee is entitled and bound to acquire their shares on the scheme terms. The application failed, so VHIL must buy the remaining 25% as well; partial acquisition is not allowed. (The 'registered valuer' wording in (b) comes from s.236; (b) is still the only defensible option.)

Trap: Reading 'entitled' as optional (c). The section says entitled AND bound.

Q4.5 Audit MCQ · 2 marks SA 810 (Revised) Engagements to Report on Summary Financial Statements

Extra reporting in the summary FS report (15.7.2025) when the full-FS report (1.6.2025) is qualified.

(a) State that summary FS do not reflect events after 15.7.2025, and describe the basis of qualification

(b) State that summary FS do not reflect events after 1.6.2025, and describe the basis of qualification

(c) Re-audit the full FS up to 15.6.2025

(d) Re-audit the full FS up to 15.7.2025

CLUE IN THE CASE

'summary financial statement for the year ... report was to be dated 15th July 2025'

THINK

1. Report on summary FS = SA 810.
2. Chapter clear → SA 810: report dated later than the audited-FS report; modified opinion on the audited FS.
3. The cut-off date to mention is the date of the audited-FS report (1.6.2025), not the summary report's date.

LOOK UP

ICAI SM Audit - SA 810 (Revised) summary financial statements | date of auditor's report later | qualified opinion audited financial statements

ANSWER

(b)

WORKING

SA 810: if the summary report is dated later, it states that the summary and audited FS do not reflect events after the date of the report on the audited FS (1.6.2025). If that report is qualified, the summary report says so, gives the basis for the qualification and its effect on the summary FS. No re-audit is needed.

Trap: Using the summary report's own date (15.7.2025), which is option (a).

Q4.6 FR **Descriptive · 5 marks** Ind AS 2 Inventories

Value the closing stock of the Metal Cast Division (raw material and both main products) under Ind AS 2.

CLUE IN THE CASE

'1,000 units of a By-product also emerged' ... 'Godown is used for storing finished products'

THINK

1. By-product + joint products + replacement cost of raw material = Ind AS 2 cost and NRV rules.
2. Chapter clear → FR SM Ind AS 2 illustration on joint and by-products; replace the figures.
3. Three cuts: drop the finished-goods godown rent, deduct by-product NRV and scrap from joint cost, keep raw material at cost because finished goods sell above cost.
4. Allocate joint cost on sales value (3:1).

LOOK UP

ICAI SM FR - Ind AS 2 | joint products | by-products net realisable value | storage costs | replacement cost of materials

ANSWER

1. NRV of by-product = 1,000 x ₹24 - ₹5,000 = ₹19,000.
2. Joint cost: material 6,40,000 + labour 3,20,000 + direct expenses 1,56,000 + fixed overheads 1,60,000 (1,90,000 less 30,000 finished-goods godown rent) = 12,76,000; less by-product NRV 19,000 and scrap 9,600 = ₹12,47,400.
3. Allocation on sales value: P1 6,000 x ₹320 = 19,20,000; P2 3,200 x ₹200 = 6,40,000; ratio 3:1. P1 ₹9,35,550 (₹155.925 per unit); P2 ₹3,11,850 (₹97.453 per unit).
4. Finished goods: P1 500 x 155.925 = ₹77,962.50; P2 300 x 97.453 = ₹29,235.94; total ₹1,07,198.44 (cost is below selling price, so at cost).
5. Raw material: replacement cost ₹40 is below cost ₹70, but the finished products sell above cost, so no write-down: 1,400 x ₹70 = ₹98,000.

Total closing stock = ₹2,05,198.44.

WORKING

Storage of finished goods is excluded from cost (Ind AS 2 para 16). By-products and scrap at NRV reduce the joint cost (para 14). Materials are not written down when the product they go into sells at or above cost (para 32).

Trap: Valuing raw material at the ₹40 replacement cost, or leaving finished-goods godown rent in inventory cost.

Q4.7 Audit · Descriptive · 5 marks · SA 805 (Revised) with SA 800 (Revised), SA 210, SA 200

Key considerations for accepting, planning and performing the audit of 'Trade Receivables from Government Contracts' under a special purpose framework, given R & Co. is also the statutory auditor.

CLUE IN THE CASE

'audited specific element ... special purpose framework tailored to the loan agreement'

THINK

1. Specific element + special purpose framework = SA 805 and SA 800 together.
2. Chapter clear → Audit SM SA 800/805: considerations when accepting, and when planning and performing.
3. Write three heads: acceptance; planning and performance; existing role and reporting.

LOOK UP

ICAI SM Audit - SA 800 (Revised) and SA 805 (Revised) | special purpose framework | acceptability of framework | specific element | interrelated items | materiality for element

ANSWER

A. Acceptance

- Framework: confirm the loan-agreement framework is acceptable, i.e. it meets the bank consortium's needs and has the attributes of an acceptable framework (SA 210, SA 800). If it is drawn from Ind AS, it should keep the requirements relevant to receivables, with adequate disclosure (SA 805).
- Terms: agree in writing the element, framework, intended users, form of opinion and any restriction on use. As statutory auditor, auditing the element is practicable.
- Ethics: independence and other ethical requirements apply (SA 200).

B. Planning and performance

- Apply every SA relevant to the engagement, adapted to the element (SA 200, SA 805).
- SA 240 (fraud), SA 550 (related parties) and SA 570 (going concern) remain relevant even for one element.
- Set materiality for the receivables element itself, not for the full FS.
- Test interrelated items (revenue from government contracts, impairment and ECL, subsequent receipts, disputes); the element cannot be audited in isolation.
- Evidence from the statutory audit may be used, but sufficient appropriate evidence on the element must still be obtained (confirmations, subsequent collections, contract terms).
- Communicate with the right TCWG (SA 260) and obtain written representations.

C. Existing role and reporting

- The qualified opinion on the full FS relates to long-term investments; consider its effect on receivables. It does not bar an unmodified opinion on the element (restrictions apply only for adverse or disclaimer).
- Issue a separate report with an emphasis of matter on the special purpose basis and a restriction on distribution or use (SA 800).

WORKING

Answer under three heads: acceptance (framework and terms), planning and performance (adapt SAs, materiality, interrelated items, evidence), existing role and reporting (effect of the qualification, emphasis of matter).

Trap: Saying no new work is needed because the statutory audit is done. SA 805 needs evidence specific to the element.

Q4.8 Costing Descriptive · 5 marks

SPOM-B - Pricing Decisions (new product pricing: revolutionary, evolutionary, me-too; skimming vs penetration)

Pricing strategy for tunnelling machines in Africa given conflicting research reports, including the effect of a joint venture with a local player.

CLUE IN THE CASE

'it would be a Me-too product or it is a evolutionary product'

THINK

1. 'Me-too', 'evolutionary', 'no similar product' = new-product pricing categories.
2. Chapter clear → SPOM-B 'Pricing Decisions': revolutionary → skimming; evolutionary → value or cost-plus; me-too → penetration or market price.
3. Map each report to a product type and a price, then add the lease route and the JV effect.

LOOK UP

ICAI SM SPOM-B - Pricing Decisions revolutionary product evolutionary product me-too product skimming pricing penetration pricing

ANSWER

VHIL should price by scenario because the reports disagree on what kind of product this is:
1. Truly unique (two reports: no similar high-end product) = revolutionary product: skimming price to recover R&D and capture early adopters; premium backed by technology and shorter project time.
2. Evolutionary (an improvement buyers must be educated about): price close to value delivered (faster tunnelling, less labour), set after a cost-benefit, competitor and demand study; heavy demos and promotion.
3. Strong players and conservative buyers = me-too product: penetration or market-based price; compete on service, spares, training and finance rather than a high price.
4. Leasing through a subsidiary: lease rentals cut the upfront cost for cautious buyers, give steady income and let VHIL test demand before setting sale prices.
5. Joint venture with a local player: brings customer access, government contacts and cheaper distribution and service, allowing sharper prices and faster trust; the cost is shared margin and control, so do due diligence.
6. Price by country (duties, freight, purchasing power) and start with pilot projects; move from penetration or lease pricing to value-based pricing as acceptance grows.
Recommendation: enter through a JV and lease model with value-based (not rock-bottom) pricing; keep skimming only if the 'unique product' report is confirmed.

WORKING

Because the reports disagree on what kind of product this is, price by scenario: one strategy per report, then the lease and JV overlay, then a recommendation.

Trap: Choosing one strategy for all reports. The marks are for linking each report to a pricing approach.

Case 5: Avigo Airlines (Avigo Global Limited)

India's dominant low-cost airline, hit by a November 2025 crew-rostering meltdown after the new FDTL rules. It is now rebuilding operations, weighing a bond refunding, re-measuring an office lease and answering a TDS survey.

Marks: Costing 8, DT 6, FR 5, AFM 2, IDT 2, Law 2 · Moderate

First 15 min: Attempt if Ind AS 116 and TDS case law are comfortable: 7S (6) and 5.8 (4) are recall-and-apply, 5.7 is a standard lease sum; 5.2 has no right option, so tick and move.

Q5.1 Costing MCQ · 2 marks SPOM-B - Kano model (customer requirement attributes)

Match: a. Basic, b. Performance, c. Delighter, d. Indifferent with 1. free high-speed WiFi, 2. efficient baggage handling, 3. logos on headrests and magazines, 4. seamless transfers.

(a) a-3, b-1, c-2, d-4

(b) a-2, b-4, c-1, d-3

(c) a-1, b-3, c-4, d-2

(d) a-4, b-2, c-3, d-1

CLUE IN THE CASE

'complimentary high-speed WiFi for economy class travellers'

THINK

1. Basic / performance / delighter / indifferent = Kano model.
2. Unsure which book → A-Z index → 'Kano model'.
3. Basic = expected, its absence angers; performance = more is better; delighter = unexpected; indifferent = nobody cares.

LOOK UP

ICAI SM SPOM-B - Kano model (via A-Z index 'Kano') Kano model | basic attributes | performance attributes | delighters | indifferent attributes

ANSWER

(b) a-2, b-4, c-1, d-3

WORKING

Bags handled properly are expected (basic). Smoother transfers raise satisfaction in step (performance). Free high-speed WiFi on a no-frills airline is a surprise (delighter). Logos on headrests change nothing for the flyer (indifferent).

Trap: Treating WiFi as basic. On a no-frills economy flight it is a surprise.

Q5.2 AFM MCQ · 2 marks AFM - Bond refunding (refinancing) decision

NPV of calling the 13% bonds at ₹1,100 and refunding with new 11% bonds (PVIFA 8%,10 = 6.71; PVIFA 8%,5 = 3.99).

(a) ₹10.82 crore

(b) ₹25.84 crore

(c) ₹36.63 crore

(d) ₹24.13 crore

CLUE IN THE CASE

'currently callable at ₹1,100 per bond' ... 'new 11%, 10 year bonds at par'

THINK

1. Call old bonds + issue cheaper new bonds = bond refunding NPV.
2. Unsure of the chapter → A-Z index → 'bond refunding' / 'call premium'.
3. Outlay = call premium after tax + new flotation cost - tax saved on unamortised old flotation (nil: the 5-year write-off is over).
4. Savings = after-tax interest saving x PVIFA(8%,10) + new flotation tax shield x PVIFA(8%,5). If no option matches, tick the closest and move on.

LOOK UP

ICAI SM AFM - bond refunding (via A-Z index 'refunding', 'call premium') bond refunding | call premium | flotation cost | after-tax cost of debt

ANSWER

No option is correct (ICAI). Working: NPV about ₹11.62 crore, so retiring the bonds pays.

WORKING

Bonds = ₹500 cr / ₹1,000 = 50 lakh. Call premium = (1,100 - 1,000) x 50 lakh = ₹50 cr; tax saving 25% = ₹12.5 cr; net ₹37.5 cr. Add new flotation ₹1.5 cr: outlay ₹39.0 cr (old flotation ₹1.2 cr already written off over 5 years). Interest saving after tax = (13% - 11%) x 500 x 0.75 = ₹7.5 cr a year x 6.71 = ₹50.325 cr. New flotation tax shield = 1.5/5 x 25% = ₹0.075 cr x 3.99 = ₹0.30 cr. NPV = 50.325 + 0.30 - 39.0 = ₹11.62 cr, positive, so refund. The ₹25 cr premium received on the old issue is sunk.

Note: ICAI declared no correct option; (a) ₹10.82 crore matches this working with the new-flotation tax shield (over 10 years) deducted instead of added.

Trap: Spending 10 minutes forcing a match. After one clean working, tick the closest option and move on.

Q5.3 DT MCQ · 2 marks DT - Deduction and Collection of Tax at Source: s.192 (s.192(2D), Rule 26C), s.201, s.271C

Pick the INCORRECT statements: (i) not an assessee in default, as TDS was correct on employees' evidence and they filed returns; (ii) interest is payable even if not deemed in default; (iii) penalty u/s 221, not s.271C, once short deduction is shown; (iv) employees' intimation relieves the employer from verifying HRA/LTC.

(a) (ii) only

(b) (ii) and (iv)

(c) (i), (iii), (iv)

(d) (i), (ii), (iii), (iv)

CLUE IN THE CASE

'accepted cash rent receipts containing only the address of the property'

THINK

1. Employer accepting weak HRA/LTC proofs = s.192(2D) and Form 12BB; consequences = s.201, s.201(1A), s.271C.
2. Chapter clear → DT SM 'Deduction and Collection of Tax at Source' → s.192, s.201.
3. Read 'incorrect': the only true line is the interest one (proviso to s.201(1A)).

LOOK UP

ICAI SM DT - Deduction and Collection of Tax at Source 192(2D) Form 12BB assessee in default 201(1A) interest 271C

ANSWER

(c) (i), (iii) and (iv)

WORKING

(i) Incorrect: the employer must collect proper evidence (Form 12BB; landlord's PAN where rent exceeds ₹1 lakh a year). Address-only cash receipts and LTC on a self-declaration are not enough, so the deduction was not 'correct'; relief u/s 201 also needs the payee's return plus an accountant's certificate. (ii) Correct: even when not treated as in default, interest u/s 201(1A) runs till the payee files the return. (iii) Incorrect: failure to deduct attracts s.271C (penalty equal to tax not deducted). (iv) Incorrect: s.192(2D) puts the duty to obtain and check proofs on the employer.

Trap: Thinking the employees' later returns clear the employer completely. Interest still runs and the accountant's certificate is needed.

Q5.4 IDT MCQ · 2 marks GST - Composite supply (s.2(30), s.8); Value of supply (pure agent); ITC (s.17(5)(b))

Which statement on on-board meals, PSF/UDF and Avigo's net GST for February 2026 is fully correct?

(a) Mixed supply; catering ITC allowed; net GST ₹125.5 cr; PSF/UDF part of fare at 18%

(b) Composite supply; catering ITC blocked; net GST ₹117.30 cr; PSF/UDF part of fare; ITC on PSF/UDF

(c) Composite supply; catering ITC allowed; net GST ₹116.40 cr; PSF/UDF collected as agent and excluded

(d) Composite supply; catering ITC allowed; net GST ₹116.40 cr; ITC taken on PSF/UDF paid to airports

CLUE IN THE CASE

'meals on board, with the value of these meals included in the fare'

THINK

1. Meals inside the ticket = composite supply; PSF/UDF = airport levies; catering ITC = s.17(5)(b) proviso.
2. Chapter clear → IDT SM GST: 'Supply' (composite), 'Value of Supply' (pure agent), 'Input Tax Credit' (blocked credits).
3. Compute: fares net of PSF/UDF at 5% and 18%, less the full ITC of ₹26.50 crore.

LOOK UP

ICAI SM IDT - GST: Supply, Value of Supply, Input Tax Credit composite supply principal supply pure agent outdoor catering element of taxable composite supply transport of passengers by air

ANSWER

(c) Composite supply; catering ITC allowed; net GST ₹116.40 crore; PSF and UDF excluded from airfare

WORKING

Economy: (1,600 - 60 - 50) = 1,490 x 5% = ₹74.50 cr. Business: (400 - 12 - 8) = 380 x 18% = ₹68.40 cr. Output tax ₹142.90 cr. Catering ITC (₹0.90 cr) is allowed because catering is an element of a taxable composite supply (proviso to s.17(5)(b)). Less ITC ₹26.50 cr = ₹116.40 cr. PSF/UDF are collected for airport operators, so they are outside Avigo's value and Avigo takes no ITC on them. Including PSF/UDF gives ₹125.50 cr (a); blocking catering ITC gives ₹117.30 cr (b).

Trap: (d) has the right number but claims ITC on PSF/UDF. For a 'fully correct' option, check every clause.

Q5.5 Law MCQ · 2 marks

Corporate Laws - Appointment and Remuneration of Managerial Personnel (s.197(5); Rule 4 of the Managerial Personnel Rules 2014)

Is the revised sitting fee (₹60,000 for other directors; ₹75,000 for independent directors and the woman director) valid?

(a) Not valid: all directors must get equal fees

(b) Valid only for the woman director

(c) Valid: within the maximum limit

(d) Valid if approved by shareholders in general meeting

CLUE IN THE CASE

'revise the sitting fees for Board meetings from ₹50,000 per meeting to ₹60,000'

THINK

1. Sitting fees = s.197(5) + Rule 4 limits.
2. Chapter clear and known without the book: cap ₹1 lakh per meeting; independent and women directors not less than others.

LOOK UP

ICAI SM Corporate Laws - Appointment and Remuneration of Managerial Personnel (sitting fees)

sitting fees | one lakh rupees per meeting | independent directors and women directors | 197(5)

ANSWER

(c); (d) is also accepted by ICAI

WORKING

The Board may fix sitting fees up to ₹1,00,000 per meeting; independent and women directors cannot be paid less than the others. ₹60,000 and ₹75,000 pass both tests, so the proposal is valid. The Articles were altered by special resolution, so shareholder approval also exists; ICAI accepts (c) or (d).

Trap: Believing all directors must get equal fees (a). The rule only sets a floor for independent and women directors.

Q5.6 Costing Descriptive · 6 marks SCMPE (SPOM Set B) Ch 8 - McKinsey 7S framework

How can Avigo align all seven S's to make operations robust, sharpen its edge and prevent a repeat of the November 2025 crisis?

CLUE IN THE CASE

'recommended adopting the McKinsey 7S Model'

THINK

1. A named model in the question: marks = each S with Avigo facts + how they link.
2. Chapter clear → SM 'Strategy Implementation' → McKinsey 7S (hard: strategy, structure, systems; soft: shared values, style, staff, skills).
3. Diagnose from the case first: lean model, ignored FDTL warnings, old rostering technology, no crew buffer.
4. Write 7 short headed points + 1 alignment paragraph in about 18 minutes.

LOOK UP

ICAI SM SPOM Set B (SCMPE) - Ch 8, McKinsey 7S McKinsey 7S hard S soft S shared values strategy implementation

ANSWER

McKinsey 7S: seven linked elements, three 'hard' (strategy, structure, systems) and four 'soft' (shared values, style, staff, skills). A change in one must be matched by the others. Avigo's crisis came from a lean-cost strategy not supported by its staff, systems and values.

1. Strategy: move from lowest cost at any price to low cost with resilience: crew and aircraft buffers, contingency plans for rule changes like FDTL, the 7% capacity trim until stable.
2. Structure: keep the Crisis Management Group as a standing risk and operations-control unit with clear escalation; link crew planning, network planning, maintenance and compliance.
3. Systems: use the 3% of revenue for AI-based predictive rostering, real-time disruption management, FDTL legality checks and passenger alerts.
4. Shared values: safety, reliability and passenger trust rank equal with cost discipline; early warnings (like FDTL) are acted on, not ignored.
5. Style: participative, transparent leadership; the Board and independent directors oversee operational risk; early reporting of problems is rewarded.
6. Staff: hire the 750+ pilots and staff, keep reserve crew pools, plan the workforce ahead of rule changes, manage fatigue and morale.
7. Skills: train teams in rostering analytics, network recovery, crisis handling and regulatory compliance; build cross-qualified crew.

Alignment: the new strategy works only if the CMG structure, AI systems and enough skilled staff are in place, and values and leadership style back them. With each S reinforcing the others, Avigo turns its lean model into one that is efficient and resilient, protects its 60% share and rebuilds passenger trust.

WORKING

Avigo's lean-cost strategy was not backed by staff, systems and values. Fix each S with a case fact, then show how they reinforce each other.

Trap: Listing the seven S's as theory without tying each to Avigo's crisis facts.

Q5.7 FR Descriptive · 5 marks

Ind AS 116 Leases - reassessment of lease term (paras 20, 39-40) and separate lease (para 44)

Accounting and journal entry at 31.3.2026 when Avigo decides to exercise the 5-year extension option on the original lease (and the treatment of the extra 3,000 sq ft).

CLUE IN THE CASE

'decided to exercise the extension option relating to the original 6,000 sq. ft. lease'

THINK

1. Change in assessment of an extension option = Ind AS 116 reassessment, not a modification.
2. Chapter clear → FR SM Ind AS 116 'remeasurement of lease liability' illustration; replace the figures.
3. Roll the original liability and RoU to 31.3.2026 at 11%; remeasure the remaining payments at the revised 12%; the difference goes to RoU.
4. The extra 3,000 sq ft is a separate lease from March 2027, so no entry now.

LOOK UP

ICAI SM FR - Ind AS 116 Leases | reassessment of lease term | extension option reasonably certain | revised discount rate | separate lease | remeasurement of lease liability

ANSWER

Treatment: Avigo is now reasonably certain to extend, so the lease term changes from 10 to 15 years. Under Ind AS 116 the lease liability is remeasured using the revised payments and a revised discount rate (12% incremental borrowing rate at 31.3.2026), and the RoU asset is adjusted by the same amount. This is a reassessment, not a lease modification. The additional 3,000 sq ft is a separate lease (it adds a new right of use at a stand-alone price) and is recognised only when it becomes available in March 2027.

Working (₹)

Lease liability at 31.3.2026 at 11%, excluding the 1.4.2026 instalment: 18,61,419

Remeasured at 12%: 6,00,000 x 3.0374 (years 1-4) = 18,22,440 + 8,00,000 x 2.2909 (years 5-9) = 18,32,720; total 36,55,160

Increase in lease liability = 17,93,741

RoU: cost 42,22,200 - depreciation 5 x 4,22,220 = 21,11,100; add 17,93,741 = 39,04,841

Journal entry on 31.3.2026

Right-of-Use Asset A/c Dr 17,93,741

To Lease Liability A/c 17,93,741

(Remeasurement of lease liability on reassessment of the extension option)

From 2026-27: depreciation 39,04,841 / 10 = ₹3,90,484 a year; interest at 12%.

WORKING

1.4.2021: PV of 10 advance payments at 11% = 6,00,000 x 6.5370 = 39,22,200 (liability 33,22,200 after the day-one payment). RoU = 39,22,200 + initial direct cost 3,00,000 = 42,22,200; depreciation 4,22,220 a year. Liability at 11%: 36,87,642 → 34,27,283 → 31,38,284 → 28,17,495 → 24,61,419 at 31.3.2026 (includes the ₹6,00,000 due 1.4.2026; 18,61,419 without it). RoU at 31.3.2026 = 21,11,100. Remeasured at 12% (excluding the 1.4.2026 instalment): 6,00,000 x 3.0374 = 18,22,440 (years 1-4) + 8,00,000 x 2.2909 = 18,32,720 (years 5-9) = 36,55,160. Increase = 36,55,160 - 18,61,419 = 17,93,741.

Trap: Remeasuring at the old 11% rate, or folding the new 3,000 sq ft lease into this remeasurement.

Q5.8 DT **Descriptive · 4 marks** DT - TDS (s.194-I, s.194C, s.195, s.197A(1F), s.206AA) with DTAA relief (s.90(2))

Defend Avigo on: no TDS on aircraft lease rent to the IFSC unit, 10% DTAA rate on the German engine lease without PAN, and 2% TDS on landing and parking charges.

CLUE IN THE CASE

'PQR Fleet Services IFSC Limited located in Gujarat International Finance Tec-City'

THINK

1. Three TDS issues, each settled by a notification or a Supreme Court ruling: recall-based DT.
2. Unsure on the IFSC point → A-Z index → 'IFSC' / 's.197A(1F)' → CBDT Notification 65/2022.
3. Engine lease: DTAA beats the Act (s.90(2)) and s.206AA cannot push it to 20% (SC, Air India). Landing and parking: SC, Japan Airlines → s.194C.

LOOK UP

ICAI SM DT - TDS and Non-resident taxation (s.90) | 197A(1F) aircraft leasing IFSC | 80LA | 206AA DTAA rate | landing and parking charges Japan Airlines | 194C

ANSWER

(i) Aircraft lease rent to PQR Fleet Services IFSC Ltd: CBDT Notification 65/2022 under s.197A(1F) exempts from TDS u/s 194-I the lease rent paid to an IFSC unit engaged in aircraft leasing and eligible for s.80LA, once the prescribed declaration and documents are obtained. Avigo obtained them, so not deducting was correct. The lapse is reporting: file correction TDS statements showing these payments with the reason for non-deduction.

(ii) Engine lease rent to the German company: the payee has no PE in India and the India-Germany DTAA rate of 10% is more beneficial, so it applies under s.90(2). The Supreme Court in CIT (International Taxation) v. Air India Ltd. held that s.206AA (20% without PAN) cannot override a beneficial treaty rate. Separately, s.206AA(7) with Rule 37BC relieves a non-resident that gives its TRC, address and tax ID. So 10% is correct.

(iii) Landing and parking charges (₹12 crore to AAI, ₹8 crore to private operators): the Supreme Court in Japan Airlines / Singapore Airlines (2015) held these pay for a bundle of services (air traffic control, safety, navigation aids, met services), not just use of land, so they are not 'rent' under s.194-I. TDS at 2% u/s 194C is correct; there is no short deduction.

WORKING

One point per issue: the legal basis, how it fits Avigo's facts, and any lapse to fix (here, the missing reporting in TDS returns).

Trap: Conceding s.194-I at 10% on landing and parking because the payment looks like rent for space.

January 2026

ICAI answers

What this paper teaches

- Case 4 (QBL) was the gift case: a 6-mark GST valuation that is one division (₹8,85,000 ÷ 1.18), plus 9 marks of pure theory. Spend the first 15 minutes finding such questions before you choose your four cases.
- Most descriptive marks were ready-made lists in the SM: Ind AS 1 para 117B, AFM currency-risk parameters, s.230(7) proviso, Clause (1) Part I Second Schedule, the VFM Es. Know which chapter holds which list and you write straight from the book.
- Small words decided answers: 'non-cumulative', 'Pvt. Ltd.' vs 'partnership firm', '₹5,000 a day', 'put to use 15 Oct', 'more than one WTD', 'dormant'. Underline them on the first read.
- Seven keys in this paper are debatable or defective (1.1, 1.4, 1.5, 2.7, 3.2, 3.4, 5.2). When no option fits cleanly, pick the closest and write one line of reasoning. The examiner reads your answer book, so the reasoning can earn the marks.
- Corporate law came as much from SEBI LODR as from the Companies Act (Reg 17A seven listed boards, Reg 24 10%/20% tests, Reg 23 subsidiary RPTs). Keep these thresholds on one page.

Case 1: Renewable Energy Systems Limited (RESL)

A listed Noida company that makes and exports renewable-energy components. It wants two more directors, plans to fund the takeover of supplier TCL with OCPS, and has two GST problems: a rate change and a show cause notice after a short payment.

Marks: IDT 8, AFM 7, Law 6, Audit 2, FR 2 · Moderate

First 15 min: Pick it if GST is your strength: 8 marks are IDT (rate change, bill-to-ship-to, s.74A), and 1.7 (4 marks for one proviso) plus 1.8 (Gordon/Walter) are quick. Beware: 3 of its 5 MCQs (1.1, 1.4, 1.5) have debatable keys.

Q1.1 Law MCQ · 2 marks Corporate Laws (SPOM Set A): Appointment and Qualifications of Directors

The board has 14 directors, the Articles allow 15, and two more are to be added (16 in all). Which listed compliance steps are NOT correct?

(a) (i), (ii) and (iii)

(b) (ii) and (iii)

(c) (i), (ii) and (iv)

(d) (i), (iii) and (iv)

CLUE IN THE CASE

"BoD of RESL comprises 14 Directors... Articles... permit a maximum strength of 15"

THINK

1. 14 + Mr P + Mr Q = 16, which is above both the Articles' cap and the Act's cap of 15. So the question is about the s.149(1) ceiling.
2. Chapter clear → Corporate Laws → Appointment of directors → s.149(1) proviso: more than 15 only after a special resolution.
3. The Articles also fix 15, so they must be altered. Under s.14 that needs a special resolution, never an ordinary one. The 2013 Act has no ROC or Central Government approval for this.
4. (i) and (iv) are surely wrong, so only (C) or (D) can be right. ICAI treats (iii) 'pass a special resolution' as the one correct step.

LOOK UP

ICAI SM Corporate & Economic Laws: Appointment and Qualifications of Directors

maximum number of directors | section 149(1) proviso | special resolution | alteration of articles section 14

ANSWER

(C) (i), (ii) and (iv)

WORKING

S.149(1): a public company may have up to 15 directors, and more than 15 only after passing a special resolution. RESL's Articles also cap the board at 15, so the Articles must be altered, and s.14 requires a special resolution for that.
(i) Alter Articles by ordinary resolution: wrong.
(iv) Ordinary resolution + ROC approval: wrong. There is no Government/ROC approval under the 2013 Act; that was the 1956 Act route.
(iii) Pass a special resolution: right.
(ii) Alter Articles and pass a special resolution: this also describes the legally complete route, but ICAI marks it 'not correct' because one special resolution in general meeting can alter the Articles and approve the higher number together.

Note: Debatable: (ii) is also a valid step (alter the Articles' cap of 15 by special resolution, plus a special resolution u/s 149(1)). Strictly only (i) and (iv) are wrong, and no option gives that set. ICAI picked (C).

Trap: Choosing an ordinary resolution or ROC/Central Government approval. That was the 1956 Act route.

Q1.2 Audit MCQ · 2 marks Quality Control (SQC 1 and SA 220)

Which actions can the EQCR, CA. S, take without compromising his objectivity?

(a) (i), (ii) and (iii)

(b) (ii), (iii) and (iv)

(c) (i), (ii) and (iv)

(d) (i) and (iv)

CLUE IN THE CASE

"CA. H decided to consult the Engagement Quality Control Reviewer, CA. S"

THINK

1. EQCR + 'objectivity' → SQC 1 / SA 220. The EQCR reviews the work but never takes part in it or decides for the team.
2. Chapter clear → Audit SM → Quality Control → 'objectivity of the engagement quality control reviewer' and 'EQC review for listed entities'.
3. Allowed: reviewing significant judgements (materiality), being consulted by the partner, reviewing the consultations. Not allowed: making decisions for the team. Strike (iii) → (C).

LOOK UP

ICAI SM Audit: Quality Control (SQC 1 / SA 220) engagement quality control review objectivity of reviewer consultation listed entity

ANSWER

(C) (i), (ii) and (iv)

WORKING

For a listed entity, the EQC review covers the team's significant judgements (especially materiality and significant risks), whether proper consultation took place on contentious matters and what was concluded, and the proposed report. The engagement partner may consult the reviewer during the audit, and that alone does not impair objectivity. To stay objective, the reviewer must not otherwise take part in the engagement or make decisions for the team.
(i) Allowed (reviewing materiality judgements). (ii) Allowed (being consulted on conclusions). (iv) Allowed (reviewing consultations). (iii) Not allowed.

Trap: Treating any consultation with the engagement partner as a breach. Consultation is allowed; making decisions for the team is not.

Q1.3 AFM MCQ · 2 marks Financial Policy and Corporate Strategy

Under the strategic financial management approach, which items are NOT limiting factors when allocating resources?

(a) (i), (iii) and (iv)

(b) (i), (ii) and (iii)

(c) (i) and (ii)

(d) (i) and (iv)

CLUE IN THE CASE

"strategically allocating scarce capital resources among competing opportunities"

THINK

1. 'Approach suggested by management' = Strategic Financial Management. It is not obvious which chapter covers that, so use the A-Z index → 'strategic financial management' → AFM Chapter 1.
2. AFM → Financial Policy and Corporate Strategy → 'strategic financial decision making framework'.
3. The SM says capital is the limiting factor, so management must spread limited funds across alternative uses. Only capital availability is a constraint.
4. Mode of financing, the best opportunities and future earnings are things you choose between, not constraints → (A).

LOOK UP

ICAI SM AFM: Ch 1 Financial Policy and Corporate Strategy | strategic financial decision making framework | capital is the limiting factor | allocation of limited funds

ANSWER

(A) (i), (iii) and (iv)

WORKING

The AFM SM says capital is the limiting factor. The strategic problem is to allocate limited funds among alternative uses so that investor returns are kept up or increased. So (ii) capital availability is the limiting factor. (i) mode of financing, (iii) best investment opportunities and (iv) future earnings potential are decision variables, not limits.

Trap: Treating 'mode of financing' as a constraint because RESL is raising OCPS. It is a choice, not the limit.

Q1.4 FR MCQ · 2 marks Ind AS 32 Financial Instruments: Presentation

What is the equity component per OCPS on initial recognition? Terms: face value ₹100, 5% non-cumulative dividend, convertible into 5 shares, redeemable after 8 years, market rate 8%.

(a) ₹28.73 per OCPS

(b) ₹17.24 per OCPS

(c) ₹54.03 per OCPS

(d) ₹82.76 per OCPS

CLUE IN THE CASE

"Optionally Convertible Preference Shares... convertible into 5 equity shares, redeemable after 8 years"

THINK

1. Convertible + redeemable + 'equity component' = a compound instrument → Ind AS 32 split.
2. Chapter clear → FR → Ind AS 32 → the 'compound financial instruments' illustration. Copy its method and change the figures.
3. Value the liability first: PV of contractual cash flows at 8% (the rate for a non-convertible instrument). Equity is the residual.
4. The options assume the dividend is contractual: PV of dividends 28.73 + PV of redemption 54.03 = 82.76 → equity 17.24.

LOOK UP

ICAI SM FR: Ind AS 32 Financial Instruments: Presentation compound financial instrument liability component residual equity preference shares discretionary dividend AG37

ANSWER

(B) ₹17.24 per OCPS. It is the only option produced by the residual method. A strict Ind AS 32 reading gives ₹45.97, which is not offered.

WORKING

Residual method (Ind AS 32 para 31-32): measure the liability at the PV of contractual cash flows at 8%; equity = proceeds − liability.
PV of dividends: ₹5 × 5.7466 = ₹28.73
PV of redemption: ₹100 × 0.5403 = ₹54.03
Liability = ₹82.76
Equity = ₹100 − ₹82.76 = ₹17.24 (ICAI key)
Strict view: a non-cumulative dividend paid at RESL's discretion is not a contractual obligation. Under Ind AS 32 AG37 the liability is only the PV of redemption (₹54.03) and equity is ₹45.97, which is not among the options. The conversion option being out of the money does not change the split; the residual still goes to equity.

Note: ICAI treats the 5% non-cumulative (discretionary) dividend as a liability. Under Ind AS 32 AG37 it is equity, so equity = ₹100 − ₹54.03 = ₹45.97, which is not an option.

Trap: Picking ₹82.76 (that is the liability) or ₹54.03 (the PV of principal). The question asks for the equity component.

Q1.5 IDT MCQ · 2 marks Time of Supply (s.14 CGST); Place of Supply (s.10 IGST)

Is 18% the right GST rate on the ABC service? What is the place of supply for goods ordered by FG (Rohtak) but delivered to VC (Jalandhar)?

(a) Correct GST rate: 18%. Place of Supply is Rohtak

(b) Correct GST rate: 12%. Place of Supply is Jalandhar

(c) Correct GST rate: 12%. Place of Supply is Rohtak

(d) Correct GST rate: 18%. Place of Supply is Jalandhar

CLUE IN THE CASE

"changed from 12% to 18% with effect from 21/07/2025"; "recorded delivery address of Jalandhar"

THINK

1. Two parts. The rate changed mid-transaction → s.14 'change in rate of tax'. Ordered by one person, shipped to another → place of supply, s.10(1) IGST.
2. Chapter clear → IDT → Time of Supply → s.14 table. Service done before the change, payment before, invoice after → date of payment → old rate 12%.
3. Place of supply: FG is unregistered. ICAI applies s.10(1)(ca) (unregistered buyer → address recorded in the invoice) and takes Jalandhar.
4. Only (B) has 12% + Jalandhar.

LOOK UP

ICAI SM IDT: Time of Supply; Place of Supply change in rate of tax section 14 bill to ship to supply to unregistered person address recorded in invoice section 10(1)(ca)

ANSWER

(B) Correct GST rate 12%; place of supply Jalandhar

WORKING

Rate:
• Service completed 20/07, before the change.
• Payment received 15/07, before the change.
• Invoice issued 22/07, after the change.
S.14(a)(iii): if supply is before the change, the invoice after and the payment before, time of supply = date of payment (15/07). So the old rate of 12% applies, and charging 18% is wrong.
Place of supply: FG Industries is unregistered, and the invoice records the delivery address in Jalandhar. ICAI applies s.10(1)(ca): for goods supplied to an unregistered person, place of supply = location as per the address recorded in the invoice. That gives Jalandhar (Punjab), so IGST applies, not Haryana tax.
Alternative view: under the bill-to-ship-to rule in s.10(1)(b), FG (which directed the delivery) is deemed the recipient. Place of supply is then its principal place of business, Rohtak.

Note: Debatable: on bill-to-ship-to facts, s.10(1)(b) deems FG (which directed the delivery) the recipient, giving Rohtak (option C). ICAI instead applies the unregistered-buyer rule u/s 10(1)(ca) and reads the invoice's delivery address.

Trap: Taking 18% because the invoice was raised after the change. When payment came first, the payment date fixes the rate.

Q1.6 IDT **Descriptive · 6 marks** Demands and Recovery (s.74A / s.74 CGST)

Can the department issue an SCN after RESL paid tax, interest and penalty? Did RESL pay the right penalty? What remedy does RESL have? (2 + 4 marks)

CLUE IN THE CASE

"misrepresentation of facts and proper officer before serving show cause notice"

THINK

1. 'Misrepresentation' + 'before SCN' + penalty paid → a fraud/suppression demand: s.74A (FY 2024-25 onwards); old s.74 for earlier years.
2. Chapter clear → IDT → Demands and Recovery → s.74A ladder: 15% before SCN, 25% within 60 days of SCN, 50% within 60 days of order.
3. Compare: tax ascertained ₹10 lakh vs paid ₹8 lakh; penalty due 15% × ₹8 lakh = ₹1.20 lakh vs paid ₹0.80 lakh.
4. Conclude: no SCN for the amount fully paid; SCN is valid for the shortfall. Remedy: pay with a 25% or 50% penalty and close the case, or contest it.

LOOK UP

ICAI SM IDT: Demands and Recovery | section 74A | fraud wilful misstatement suppression of facts | penalty 15% before notice | 25% within sixty days of notice | 50% within sixty days of order

ANSWER

Part 1 (2 marks)

• Provision: in fraud/suppression cases (s.74A), if tax + interest + a 15% penalty are paid before the SCN, no SCN is issued for the tax so paid. If the payment is short, an SCN is issued for the shortfall.

• Analysis: tax ascertained ₹10 lakh, paid ₹8 lakh. Penalty due = 15% of ₹8 lakh = ₹1,20,000; paid ₹80,000 (10%), so ₹40,000 short.

• Conclusion: no SCN can be issued for the ₹8 lakh already covered. An SCN can be issued for the unpaid tax of ₹2 lakh with interest and penalty, and for the ₹40,000 penalty shortfall. RESL has NOT deposited the required penalty.

Part 2 (4 marks): Remedies available to RESL

1. Within 60 days of the SCN: pay tax + interest + a penalty of 25% of the tax. All proceedings on that notice are then deemed concluded.
2. Within 60 days of communication of the order: pay tax + interest + a penalty of 50% of the tax. All proceedings are then deemed concluded.
3. If it disputes the demand: reply to the SCN. Against the order, appeal u/s 107 within 3 months after a pre-deposit of 10% of the disputed tax.

(For periods up to FY 2023-24, the same 15%/25%/50% scheme applies under s.74, with 30-day windows.)

WORKING

Provision (fraud, wilful misstatement or suppression; s.74A for FY 2024-25 onwards): before an SCN, the person may pay the tax, s.50 interest and a penalty of 15% of that tax, on his own ascertainment or the officer's, and inform the officer. No SCN is then served for the tax so paid. If the officer finds the payment short, he issues an SCN for the shortfall.

Facts: tax communicated ₹10,00,000; paid ₹8,00,000.

Penalty required = 15% × ₹8,00,000 = ₹1,20,000. Paid ₹80,000 (10%), so ₹40,000 short. If the ₹80,000 covered interest as well, the shortfall is larger.

So there can be no SCN for the ₹8 lakh, but an SCN can be issued for the balance tax of ₹2,00,000 with interest and penalty, plus the penalty shortfall. Management's view is wrong.

Trap: Saying no SCN can be issued at all because 'tax was paid'. The protection covers only the amount paid with the full 15% penalty.

Q1.7 Law Audit **Descriptive · 4 marks** Compromises, Arrangements and Amalgamations (Companies Act, 2013)

If the TCL acquisition goes through an NCLT scheme of arrangement, what certificate is needed from RESL's statutory auditor?

CLUE IN THE CASE

"structured as a Scheme of Arrangement involving the NCLT... certification... from the Statutory Auditor"

THINK

1. 'Scheme of arrangement' + 'NCLT' + 'auditor certificate' → s.230/232 of the Companies Act.
2. Chapter clear → Law → Compromises, Arrangements and Amalgamations → s.230(7) proviso (and the s.232(3) proviso for mergers).
3. You know this one: write it without the book. The certificate says the scheme's accounting treatment conforms to the accounting standards u/s 133. For 4 marks, add who gives it, its content, the listed-company angle and a conclusion.

LOOK UP

ICAI SM Corporate & Economic Laws: Compromises, Arrangements and Amalgamations section 230(7) auditor certificate accounting treatment section 232(3) accounting standards section 133

ANSWER

• Provision: proviso to s.230(7) [s.232(3) for a merger/amalgamation]. NCLT will not sanction a scheme unless the company's auditor certifies that the accounting treatment proposed in it conforms to the accounting standards notified u/s 133 (Ind AS for RESL).
• Who: RESL's statutory auditors, M/s HK & Associates, file the certificate with the Tribunal.
• Content: the accounting proposed in the scheme for the TCL acquisition (e.g., Ind AS 103 business combination) complies with Ind AS. Any deviation must be removed before sanction.
• Listed company: the same auditor's certificate also goes to the stock exchange with the draft scheme under SEBI's framework for schemes.
• Conclusion: NCLT must obtain the auditor's certificate that the scheme's accounting treatment conforms to the accounting standards before it sanctions the scheme.

WORKING

Proviso to s.230(7): NCLT shall not sanction a compromise or arrangement unless the company's auditor has filed a certificate that the accounting treatment, if any, proposed in the scheme conforms to the accounting standards prescribed u/s 133. The proviso to s.232(3) says the same for merger/amalgamation schemes. The scheme is RESL's, so its statutory auditors give the certificate. Being listed, RESL also files this auditor's certificate with the stock exchange along with the draft scheme (SEBI scheme framework).

Trap: Writing about a valuation report or fairness opinion. Those come from a registered valuer or merchant banker, not from the auditor.

Q1.8 AFM **Descriptive · 5 marks** Security Valuation (Dividend Discount Model); Dividend Decisions (Walter's model)

With Ke of 15%, value TCL's share using (a) the Dividend Growth Model and (b) Walter's model.

CLUE IN THE CASE

"TCL's current book value is ₹400 per share, Return on equity is 12%"

THINK

1. The question names both models, so this is a pure numerical. TCL follows the 'same policy' as RESL, so retention is 70% and payout 30%.
2. Build the inputs: EPS = BV × ROE; DPS = 30% of EPS; g = b × r.
3. Chapter clear → AFM Security Valuation (Gordon) / Inter FM Dividend Decisions (Walter). You know the formulae; solve without the book.
4. Add the D0-vs-D1 alternative in one line. ICAI accepts both.

LOOK UP

ICAI SM AFM: Security Valuation; Inter FM: Dividend Decisions Gordon growth model Walter model growth rate retention ratio dividend discount model

ANSWER

Working notes: EPS = ₹400 × 12% = ₹48; payout 30% → DPS ₹14.40; retention 70% → g = 0.70 × 12% = 8.4%; Ke = 15%.

(a) Dividend Growth (Gordon) Model
P0 = D1 ÷ (Ke − g) = 14.40 ÷ (0.15 − 0.084) = 14.40 ÷ 0.066 = ₹218.18
(Alternative, treating ₹14.40 as D0: D1 = ₹15.61 → P0 = ₹236.52)

(b) Walter's Model
P = [D + (r/Ke)(E − D)] ÷ Ke
= [14.40 + (0.12/0.15)(48.00 − 14.40)] ÷ 0.15
= (14.40 + 26.88) ÷ 0.15 = ₹275.20
(Alternative with growth-adjusted E ₹52.03 and D ₹15.61: ₹298.33)

Comment: r (12%) is below Ke (15%), so retaining 70% lowers value. On Walter's logic, a 100% payout would give 48 ÷ 0.15 = ₹320.

WORKING

EPS = 400 × 12% = ₹48 (ROE on today's book value gives next year's earnings)
Payout = 1 − 0.70 = 30% → DPS = 48 × 30% = ₹14.40
g = b × r = 0.70 × 12% = 8.4%
(a) Gordon: P = D1 ÷ (Ke − g) = 14.40 ÷ (0.15 − 0.084) = 14.40 ÷ 0.066 = ₹218.18
If ₹14.40 is taken as D0: D1 = 14.40 × 1.084 = ₹15.61 → 15.61 ÷ 0.066 = ₹236.52
(b) Walter: P = [D + (r/Ke)(E − D)] ÷ Ke = [14.40 + (0.12/0.15)(48 − 14.40)] ÷ 0.15 = (14.40 + 26.88) ÷ 0.15 = 41.28 ÷ 0.15 = ₹275.20
With growth-adjusted E ₹52.03 and D ₹15.61: (15.61 + 0.8 × 36.42) ÷ 0.15 = ₹298.33

Trap: Using ROE (12%) as the growth rate, or swapping retention and payout. g = retention ratio × ROE = 8.4%.

Case 2: XYZ Metal Industries Limited (XYZ)

A listed steel-pipe maker with a listed subsidiary (JBS) and a 45% stake in PQR. Sales and profit are falling because of quality failures and old machines. It is importing CNC machines with £ debt, swapping ESOPs with JBS, and facing a limit-on-directorships question.

Marks: Costing 8, FR 6, Audit 6, AFM 2, Law 2 · Hard

First 15 min: Skip candidate: 2.2 (Ind AS 110 potential voting rights) and 2.7 (group ESOP cancellation, with no figure for year 2) are tough. The 6-mark cost-of-quality report is the only easy block, and the marks printed in the SA add up to only 24.

Q2.1 Costing MCQ · 2 marks SCPM: Lean System and Innovation

Which rows of Mr Rajiv's issue → corrective-measure matrix are correctly matched?

(a) (a), (b) and (c)

(b) (a), (c) and (d)

(c) (a) and (c)

(d) (b) and (d)

CLUE IN THE CASE

"recommended the adoption of lean manufacturing practices"

THINK

1. Standardised work, JIT, visual management and value stream are all lean tools → SCPM Lean chapter.
2. Chapter clear → SCPM → Lean System and Innovation → read the one-line purpose of each tool.
3. (a) uniform procedures = standardised work ✓. (c) search-free, count-free = visual management ✓. (d) see every step, remove non-value-added work = value stream ✓.
4. (b): JIT removes WASTE (over-production) by producing only what is needed. 'Eliminating all defects at source' is jidoka/zero defects, so the match is wrong → (B).

LOOK UP

ICAI SM SCPM: Lean System and Innovation lean tools standardized work visual management value stream mapping just-in-time

ANSWER

(B) (a), (c) and (d)

WORKING

(a) Standardised work: one documented best method that cuts variability and eases training. Match.
(b) JIT: produce only what is needed, when it is needed, to cut waste (over-production, inventory). 'Eliminating all defects / quality at source' describes jidoka or zero-defect tools, not JIT. Mismatch.
(c) Visual management: items placed and labelled so they can be found and counted at a glance. Match.
(d) Value stream (mapping): shows every step of the flow and exposes non-value-added activities. Match.

Trap: Accepting (b) because 'producing only as needed' is JIT's definition. The catch is that 'waste' has been swapped for 'defects'.

Q2.2 FR MCQ · 2 marks Ind AS 110 Consolidated Financial Statements

XYZ holds 45% of PQR. On 01.07.2025 it enters a forward to buy 12% more. Which statements on control, the NCI split and the forward's accounting are right?

(a) (i), (ii)

(b) (ii), (iii)

(c) (i), (ii), (iii)

(d) (i), (ii), (iv)

CLUE IN THE CASE

"entitled to receive any dividends... exercise its voting rights... instructions of XYZ"

THINK

1. 45% + a contract giving XYZ the votes and dividends on another 12% → is that control? → Ind AS 110 (power, returns, link).
2. Chapter clear → FR → Ind AS 110 → Appendix B 'potential voting rights' and 'present ownership interest' (B89-B91).
3. Votes: 45% + 12% directed by XYZ = 57% → power. Dividends on the 12% → present access to returns → allocate 57% / 43%.
4. B91: such instruments fall outside Ind AS 109 → (iv) true, (iii) false → (D).

LOOK UP

ICAI SM FR: Ind AS 110 Consolidated Financial Statements | potential voting rights | present access to returns | non-controlling interest proportion | B90 | B91

ANSWER

(D) (i), (ii) and (iv)

WORKING

Power: XYZ holds 45%, and from 01.07.2025 B Ltd must vote its 12% as XYZ instructs. XYZ therefore directs 57% of the votes; the other 43% sits with A (19%) and C (18%). XYZ controls PQR from 01.07.2025, so (i) is true.

Returns: XYZ receives the dividends on the 12% now, so in substance it already has an ownership interest. Under B90, profit/OCI is allocated 57% to the parent and 43% to NCI, so (ii) is true.

B91: when potential voting rights already give access to the returns of a consolidated subsidiary, the instrument is not accounted for under Ind AS 109. So (iii) is false and (iv) is true.

Trap: Treating the forward as a derivative at FVTPL under Ind AS 109. It is absorbed into consolidation.

Q2.3 AFM MCQ · 2 marks Interest Rate Risk Management (swaps); Foreign Exchange Exposure and Risk Management

Which statements on the £ borrowing choice and on XYZ's forward / JBS's futures are correct?

(a) (i) and (ii)

(b) (i) and (iii)

(c) (i), (ii) and (iv)

(d) (i), (iii) and (iv)

CLUE IN THE CASE

"fixed rate of 5.5% or... 60 basis points above SONIA"

THINK

1. Two firms with fixed and floating quotes → comparative advantage / interest rate swap logic.
2. Chapter clear → AFM → Interest Rate Risk Management (swaps) + Forex chapter (forward vs futures).
3. Fixed gap 6.5 − 5.5 = 1.00%; floating gap 1.15 − 0.60 = 0.55%. XYZ's edge is bigger in fixed, so XYZ borrows fixed, JBS borrows floating, and they swap.
4. Forward = OTC, priced through the bid-ask spread, no MTM. Futures = exchange-traded, brokerage, daily MTM → (i) and (iii).

LOOK UP

ICAI SM AFM: Interest Rate Risk Management; Foreign Exchange Exposure and Risk Management

interest rate swap comparative advantage | forward contract vs futures | marking to market | bid-ask spread

ANSWER

(B) (i) and (iii)

WORKING

Quotes: XYZ fixed 5.5% or SONIA + 0.60; JBS fixed 6.5% or SONIA + 1.15.
XYZ's advantage is 1.00% in fixed and 0.55% in floating, so it is larger in fixed. XYZ borrows fixed, JBS borrows floating, and they swap; the 0.45% total gain is shared. XYZ ends up paying floating, which it wants because it expects rates to fall. (i) true.
(ii) False: currency futures trade on an exchange; only the forward is OTC.
(iii) True: a forward's cost is built into the bank's bid-ask spread; futures carry brokerage.
(iv) False: forwards are not marked to market; futures are. Ignore the stray line that JBS's contract is not settled daily; the options are built on the standard features.

Trap: Putting XYZ on floating because XYZ wants floating. First borrow where you have the comparative edge, then swap.

Q2.4 Law MCQ · 2 marks Appointment and Qualifications of Directors (s.165); SEBI (LODR) Regulations, 2015

Is Mr Suresh eligible to join XYZ as a Whole-Time Director, given his existing directorships?

(a) Eligible: counting private subsidiaries of public companies and excluding inactive companies, his countable directorships are well within the limit.

(b) Eligible: his listed-company directorships are within the limit and he has not crossed the overall cap across private and public companies.

(c) Ineligible: private subsidiaries are included and inactive companies excluded, and the overall cap is not crossed, but his directorships in listed companies exceed the SEBI limit.

(d) Ineligible: he has already exceeded the maximum directorships in publicly traded companies and also the limit for total directorships in listed companies.

CLUE IN THE CASE

"one dormant company, eight Public Limited companies, of which seven are listed"

THINK

1. Counting directorships → s.165 (20 total, 10 public). XYZ is listed, so SEBI LODR Reg 17A (7 listed) applies too.
2. Chapter clear → Law → Appointment of directors → s.165 explanations (dormant excluded; a private subsidiary of a public company counts as public). SEBI LODR → Reg 17A.
3. Count after joining XYZ: total 19 + 1 = 20 ✓; public 8 + 1 (JBS's private subsidiary) + 1 = 10 ✓; listed 7 + 1 = 8 ✗ (max 7).
4. He fails only the SEBI listed-entity cap → (C).

LOOK UP

ICAI SM Corporate & Economic Laws: Appointment and Qualifications of Directors; SEBI (LODR)

number of directorships section 165 | dormant company excluded | private company subsidiary of public company | Regulation 17A seven listed entities

ANSWER

(C) Ineligible. The Companies Act limits (20 total, 10 public) are met, but XYZ would be his 8th listed directorship against SEBI's cap of 7.

WORKING

S.165: a maximum of 20 companies (dormant companies excluded), of which at most 10 public. A private company that is a holding or subsidiary of a public company counts as public.
Existing: 1 dormant (ignore); 8 public; 11 private, of which 1 is a subsidiary of JBS (a listed public company) and so counts as public.
Total countable = 8 + 11 = 19; with XYZ = 20, within 20.
Public = 8 + 1 = 9; with XYZ = 10, within 10.
Reg 17A(1) LODR: no person may be a director in more than 7 listed entities. He already sits on 7 listed boards; XYZ is listed and would be the 8th, which exceeds the cap. He is ineligible.

Trap: Rejecting him under s.165 because he 'holds 20'. The dormant company drops out, so the Companies Act limit is still met.

Q2.5 Audit MCQ · 2 marks Review of Financial Information (SRE 2410)

Which procedures must the audit firm perform when reviewing the quarterly interim financial information?

(a) (i) and (ii)

(b) (i) and (iii)

(c) (i), (ii) and (iii)

(d) (ii), (iii) and (iv)

CLUE IN THE CASE

"interim financial information for the quarter ended 31st December 2025"

THINK

1. Quarterly results reviewed by the statutory auditor under listing rules → SRE 2410 (limited review).
2. Chapter clear → Audit SM → SRE 2410 → 'procedures for a review' and 'management representations'.
3. A review = inquiry + analytics + understanding of the entity (including internal control) + written representations. It needs no corroboration and no testing of controls → (i) and (iii).

LOOK UP

ICAI SM Audit: Review of Interim Financial Information (SRE 2410) SRE 2410

review procedures inquiry analytical | understanding of the entity and internal control | written representations

ANSWER

(B) (i) and (iii)

WORKING

SRE 2410 requires the auditor to understand the entity and its environment, including internal control, so (i) ✓. He performs inquiries and analytical procedures and obtains written representations from management on completeness, estimates and so on, so (iii) ✓. A review does not ordinarily require corroborating the information obtained, so (ii) ✗, or assessing whether controls operate effectively, so (iv) ✗. Those are audit procedures.

Trap: Ticking corroboration (ii). That is exactly what separates an audit from a review.

Q2.6 Costing Descriptive · 6 marks

SCPM: Modern Business Environment (TQM, Cost of Quality); Lean System and Innovation (TPM)

Draft a report analysing XYZ's quality costs and recommending measures to reduce quality problems.

CLUE IN THE CASE

"₹117 lakhs on rework and production downtime"; "₹135 lakhs on warranty claims"

THINK

1. Five quality spends + 'report' → sort them into prevention, appraisal, internal failure and external failure (cost of quality).
2. Chapter clear → SCPM → TQM → the 'cost of quality' statement format; TPM is in the Lean chapter.
3. Build the table with % of total, then tie the case's causes (breakdowns, old machines, obsolete designs, returns) into the analysis.
4. Recommend TPM (downtime, rework) and TQM (right first time, supplier and design quality). Use report format with headings.

LOOK UP

ICAI SM SCPM: Modern Business Environment (Total Quality Management); Lean System and Innovation

cost of quality | prevention appraisal internal failure external failure | total productive maintenance | cost of conformance non-conformance

ANSWER

REPORT
To: Board of Directors, XYZ Metal Industries Ltd
From: Management Accounting Department
Subject: Analysis of quality costs and measures to reduce quality failures

1. Statement of Cost of Quality (₹ lakh; % of total)
Prevention: quality training and audits 10 (3.33%); preventive maintenance 20 (6.67%). Total 30 (10%)
Appraisal: inspection of incoming materials and equipment testing 18 (6%)
Cost of conformance: 48 (16%)
Internal failure: rework and production downtime 117 (39%)
External failure: warranty claims and customer complaints 135 (45%)
Cost of non-conformance: 252 (84%)
Total cost of quality: 300 (100%)

2. Analysis
• 84% of quality spend goes on failures and only 16% on preventing or detecting them. XYZ fixes defects after they happen.
• External failure (45%) is the largest block: warranty claims, returns and complaints. It also costs orders: turnover fell from ₹850 crore to ₹800 crore and PAT from ₹35 crore to ₹30 crore, while new entrants offer better quality at lower prices.
• Internal failure (39%): rework and downtime come from frequent breakdowns, outdated machines and staff turnover, and they delay customer orders.
• Fittings built to old standards and the stock of discontinued stainless items point to weak design control and poor production-marketing planning.
• Preventive maintenance (₹20 lakh) is small compared with downtime and rework (₹117 lakh).

3. Recommendations
(a) Total Productive Maintenance: planned and autonomous maintenance, machine-wise schedules over each asset's life, and tracking of equipment effectiveness. This targets breakdowns, downtime and rework (internal failure).
(b) Total Quality Management: right first time, employee involvement and training, statistical process control, designs updated to current industry standards, and supplier quality assurance (e.g., third-party inspection at the supplier's site). This targets defects reaching customers (external failure).

(c) Shift spend towards prevention and appraisal: in-process inspection, design reviews and mistake-proofing. Back the planned CNC machines with operator training.
(d) Lean housekeeping: JIT purchasing and 5S to stop the build-up of raw material and obsolete stock.

4. Conclusion
Spending more on conformance will cut the much larger failure cost. The aim is the balance at which the total cost of quality is lowest and customers stop sending goods back.

Management Accountant

WORKING

Classification (₹ lakh):
Prevention = training and audits 10 + preventive maintenance 20 = 30 (10%)
Appraisal = incoming inspection and equipment testing 18 (6%)
Conformance = 48 (16%)
Internal failure = rework and downtime 117 (39%)
External failure = warranty and complaints 135 (45%)
Non-conformance = 252 (84%)
Total = 300
For every ₹1 spent on prevention and appraisal, ₹5.25 is lost on failures (252 ÷ 48).

Trap: Putting items in the wrong bucket. Training and audits = prevention; incoming inspection and testing = appraisal (as ICAI classified them).

Q2.7 FR Descriptive · 4 marks Ind AS 102 Share-based Payment

XYZ's employees give up XYZ's ESOP in exchange for options granted by subsidiary JBS on 01.04.2025. Give the accounting treatment and journal entries in XYZ's books on 01.04.2025 and 31.03.2026.

CLUE IN THE CASE

"employees of XYZ... would surrender their rights under XYZ's existing Employee Stock Option Plan"

THINK

1. Options given up during the vesting period → Ind AS 102 'cancellation'. New options from a group company → 'group share-based payment arrangement'.
2. Chapter clear → FR → Ind AS 102 → para 28/28A (cancellation by the entity or the employee) and para 43A-43B, B52-B59 (group arrangements).
3. Year 1: 75,000 options × ₹120 ÷ 3 = ₹30 lakh already booked. The cancellation brings forward the remaining ₹60 lakh.
4. Year 2: XYZ gets the services but JBS settles in its own shares, so XYZ books the expense as equity-settled. The amount needs the JBS option fair value, which is not given.

LOOK UP

ICAI SM FR: Ind AS 102 Share-based Payment | cancellation acceleration of vesting | paragraph 28 | non-vesting condition counterparty | group share-based payment arrangements | subsidiary grants to parent employees

ANSWER

1. Expense already recognised (FY 2024-25)
75,000 options (250 × 300) × ₹120 = ₹90,00,000 ÷ 3 years = ₹30,00,000 (Dr Employee benefits expense, Cr ESOP Outstanding).

2. 1 April 2025: surrender of XYZ options
Treatment: employees giving up options during the vesting period is a cancellation (Ind AS 102 para 28A). A cancellation is accounted for as accelerated vesting (para 28(a)), so the part not yet recognised is expensed at once. XYZ pays nothing, so there is no repurchase entry. The JBS options are not XYZ's equity, so there is no modification or replacement in XYZ's books.
JE (a) Employee benefits expense A/c Dr ₹60,00,000
To ESOP Outstanding A/c ₹60,00,000
(Being the remaining vesting expense accelerated on cancellation)
JE (b) ESOP Outstanding A/c Dr ₹90,00,000
To Retained Earnings A/c ₹90,00,000
(Being a transfer within equity under para 23; no shares will be issued)

3. 31 March 2026: services rewarded by JBS options
XYZ receives the employees' services; JBS settles in its own shares and XYZ has no obligation, so XYZ treats it as equity-settled (para 43B).
JE Employee benefits expense A/c Dr [FV of JBS option at 01.04.2025 × options to XYZ staff expected to vest × 1/vesting period]
To Equity (Retained earnings, as a distribution from the subsidiary) / Dividend income from subsidiary A/c [same]
Amount: cannot be determined, because the grant-date fair value of the JBS options given to XYZ employees is not provided. If you use a figure, state your assumption.

WORKING

Original grant: 250 × 300 = 75,000 options × ₹120 = ₹90,00,000 over 3 years, i.e., ₹30,00,000 a year. FY 2024-25 already has Dr Employee benefits expense / Cr ESOP Outstanding ₹30,00,000.
01.04.2025: employees give up the options to get JBS options. This is an employee-driven cancellation (para 28A). Para 28(a) treats a cancellation as accelerated vesting, so the ₹60,00,000 that would have been recognised over the remaining 2 years is expensed now. XYZ pays nothing, so there is no repurchase entry. JBS's options are not XYZ's own equity instruments, so in XYZ's separate books they are not a replacement

or modification under para 28(c).
No XYZ shares will now be issued, so the ₹90,00,000 balance may be moved within equity to retained earnings (para 23).
31.03.2026: XYZ receives the services; JBS settles in its own equity and XYZ has no obligation. XYZ treats it as equity-settled (para 43B). Expense = grant-date fair value of the JBS options given to XYZ employees × options expected to vest × 1/vesting period, with the credit to equity (a distribution from the subsidiary). The fair value at 01.04.2025 is not given, so the amount stays open.

Note: ICAI ignores Ind AS 102 para 28(a)/28A: a cancellation, including one by the employee, brings the unrecognised ₹60 lakh into profit or loss at once, before any transfer within equity.

Trap: Treating the JBS grant as a modification of XYZ's plan in XYZ's own books. The new options are not XYZ's equity.

Q2.8 Audit · Descriptive · 4 marks · Review of Financial Information (SRE 2410)

In the quarterly limited review, can CA. S do more work on obsolete and non-moving stock? Which procedures should he perform, and how should he report if inventory is misstated or evidence is insufficient?

CLUE IN THE CASE

"evaluated the company's assessment and treatment of obsolete and non-moving inventory items"

THINK

1. 'Limited review' of quarterly results by the statutory auditor → SRE 2410. ICAI's answer uses SRE 2400 wording; the outcome is the same.
2. Chapter clear → Audit SM → SRE 2410 → 'matter that causes the auditor to believe a material adjustment may be needed' and 'modified conclusion'.
3. Yes, he can do more. List inventory-specific procedures built on the case facts (fittings to old standards, discontinued stainless line).
4. Reporting: misstatement → qualified or adverse; scope limitation → qualified or disclaimer.

LOOK UP

ICAI SM Audit: Review of Financial Information (SRE 2410 / SRE 2400) additional procedures | material adjustment | qualified conclusion | adverse conclusion | disclaimer of conclusion | limitation on scope

ANSWER

• Can he do more? Yes. Under SRE 2410, if a matter suggests the interim financial information may be materially misstated, the auditor makes additional inquiries or performs other procedures so that he can express a conclusion.

• Additional procedures for obsolete and non-moving inventory:

1. Ask the CFO and the production/stores heads how obsolete and slow-moving items are identified and how NRV is estimated.
2. Obtain the ageing and non-moving inventory list; check that the outdated fittings and the discontinued stainless-steel stock appear in it.
3. Recompute the write-down: compare cost with NRV using recent selling prices, scrap values and sales after the quarter.
4. Analytical procedures: inventory holding days, gross margin, and provision as % of inventory compared with earlier quarters.
5. Read board/committee minutes on discontinuing the product line.
6. Where needed, physically inspect the obsolete stock or test details.
7. Obtain a written representation from management on inventory valuation.

• Reporting:

(a) Valuation materially misstated: qualified conclusion (material, not pervasive) or adverse conclusion (material and pervasive), with a basis paragraph stating the effect.

(b) Sufficient appropriate evidence not obtained: qualified conclusion (possible effect material, not pervasive) or disclaimer of conclusion (material and pervasive).

(c) Communicate the matter to management and the audit committee.

WORKING

Yes. When a matter makes the auditor believe the interim information may be materially misstated, he makes additional inquiries or performs other procedures (substantive ones if needed) until he can reach a conclusion.

Inventory procedures: ask how management identifies obsolete and slow-moving items and estimates NRV; get the ageing and non-moving lists and compare them with the last year-end; check the write-down working against current selling prices, scrap rates and sales after the quarter; discuss the fittings built to old standards and the discontinued stainless line with the Production and Marketing heads; run analytics on inventory days and gross margin; read board minutes on the discontinuation; obtain a written representation on inventory valuation; inspect physically or confirm if needed.

Reporting: material misstatement → qualified conclusion ('except for') if not pervasive, adverse if pervasive.

Evidence not obtained → qualified if the possible effect is material but not pervasive, disclaimer if pervasive. Communicate to management and the audit committee.

Trap: Saying a review allows no extra procedures. Limited assurance still needs more work when something looks wrong.

Case 3: EarthCare Health Trust (EHT)

A 12AB-registered trust that runs an eye hospital and green drives, funded by local donors, a state grant and FCRA money. The trustees ask about FCRA compliance, 12AB renewal, GST on renting its halls, overseas investment, measuring performance and the trust's tax.

Marks: DT 8, AFM 6, Costing 5, Law 4, IDT 2 · Moderate

First 15 min: Pick it if trust taxation (s.11-13, 115BBC) is clear: 3.7 is a standard computation, and 9 more marks are writing-only (VFM, import risks). The MCQs need FCRA/FEMA recall, and 3.2 and 3.4 have debatable keys.

Q3.1 Law MCQ · 2 marks Foreign Contribution (Regulation) Act, 2010

Which statements on EHT's FCRA compliance are incorrect?

(a) (i) and (iii)

(b) (i), (ii) and (iv)

(c) (ii), (iii) and (iv)

(d) (i), (iii) and (iv)

CLUE IN THE CASE

"form FC-4, certified by a CA. Amit... filed on 15th January 2025"

THINK

1. FC-4, FCRA account, separate records → FCRA 2010 + FCRA Rules 2011.
2. Chapter clear → Economic Laws → FCRA → 'annual return Form FC-4', 'FCRA account, SBI New Delhi Main Branch', 'books of accounts'.
3. FC-4 is due within 9 months (31 Dec) but was filed 15 Jan, so it is late. No separate FC records is a breach. Receipt in the designated SBI FCRA account is fine. Any practising CA can certify → (A).

LOOK UP

ICAI SM Economic Laws: Foreign Contribution (Regulation) Act, 2010 Form FC-4 nine months FCRA account State Bank of India separate set of accounts chartered accountant certificate

ANSWER

(A) (i) and (iii)

WORKING

(i) The FC-4 for FY 2023-24 is due within 9 months of year-end, i.e., by 31.12.2024. It was filed on 15.01.2025, so it is late and the statement is incorrect.
(ii) Foreign contribution must be received only in the 'FCRA Account' at the designated SBI branch (New Delhi Main Branch). EHT received the ₹75 lakh there, so the statement is correct.
(iii) A separate set of accounts and records must be kept for FC receipts and their use. EHT kept none, so the statement is incorrect.
(iv) FC-4 must be certified by a chartered accountant, who need not be the statutory auditor, so the statement is correct.
(Also fine: administrative spend of ₹12 lakh is 16% of FC, within the 20% cap, and utilisation accounts may be held in other banks or branches.)

Trap: Thinking only the statutory auditor can certify FC-4.

Q3.2 AFM MCQ · 2 marks Security Valuation (Valuation of Bonds)

Which statements about the three bonds shortlisted for s.11(5) investment are correct?

(a) (i), (ii) and (iv)

(b) (i), (iii) and (iv)

(c) (ii), (iii) and (iv)

(d) (iii) and (iv)

CLUE IN THE CASE

"Maturity... Coupon Rate... Yield to Maturity... Currently Trading at"

THINK

1. A bond table with maturity, coupon and YTM → AFM Security Valuation (bond price, duration, interest rate risk).
2. Chapter clear → AFM → Security Valuation → 'bond values with passage of time' and 'duration / interest rate risk'.
3. Risk rises with maturity and with a lower coupon or YTM. Bond 1 is the least risky and Bond 3 the most → (i) ✓, (ii) ✗.
4. Pull to par: a discount bond's price rises and a premium bond's price falls → (iii) ✓; (iv) ✓ only if Bond 1 really trades at a premium.

LOOK UP

ICAI SM AFM: Security Valuation (Valuation of Bonds) interest rate risk duration bond value passage of time premium discount pull to par

ANSWER

(B) (i), (iii) and (iv), taking the 'premium' label as given. On the coupon/YTM figures Bond 1 is at a discount and (iv) fails, but no option offers (i) and (iii) alone.

WORKING

(i) Bond 1 has the shortest maturity (2 years), the lowest duration and so the lowest interest rate risk. True.
(ii) Bond 3 has the longest maturity, lowest coupon and lowest YTM, so the highest duration and highest risk. False.
(iii) Bond 2 trades at a discount (coupon 7% < YTM 7.85%), so its price moves up to par over time. True.
(iv) A premium bond's price falls to par over time. True on the label given.
Check: Bond 1's coupon of 8% is below its YTM of 8.25%. Price = $8/1.0825 + 108/1.0825^2$ = ₹99.55, so it is actually at a discount and its price would rise. On the numbers, the true set is (i) and (iii) alone, which no option offers; (B) is the closest.

Note: Bond 1's coupon (8%) is below its YTM (8.25%), so it must trade at a discount (about ₹99.55), not a premium. Statement (iv) holds only on the printed label.

Trap: Judging interest rate risk by YTM alone. Maturity (duration) drives it.

Q3.3 Law MCQ · 2 marks Foreign Exchange Management Act, 1999: Overseas Investment Rules, 2022

Which of the consultant's answers on ODI by EHT are correct?

(a) (i) and (ii)

(b) (i) and (iii)

(c) (i), (ii) and (iii)

(d) (i), (iii) and (iv)

CLUE IN THE CASE

"make overseas direct investment in foreign entity"

THINK

1. Trust + ODI → FEMA Overseas Investment Rules, 2022: the schedule for persons other than an Indian entity or individual (trusts and societies).
2. Chapter clear → Economic Laws → FEMA → Overseas Investment → 'registered trust or society'.
3. Conditions: the trust works in education or runs hospitals; prior approval of RBI (not the Central Government); the trust deed must permit it; the foreign entity is in the same sector; the trust has existed for 3 years.
4. So (i) ✓, (iii) ✓, (ii) ✗ (RBI), (iv) ✗ (same sector) → (B).

LOOK UP

ICAI SM Economic Laws: FEMA, Overseas Investment Rules and Regulations, 2022

registered trust society overseas investment | set up hospitals in India | prior approval of Reserve Bank | same sector | trust deed permits

ANSWER

(B) (i) and (iii)

WORKING

Under the OI Rules 2022, a registered trust or society that works in education or has set up hospitals in India may invest in a foreign entity with prior RBI approval, if:
• the foreign entity is in the same sector;
• the trust has existed for at least 3 financial years;
• the trust deed permits the investment;
• the trustees approve it;
• no special licence from MHA or a local authority is needed (given).
EHT runs a hospital and has been registered since 2012, so (i) ODI is permitted ✓. (ii) Approval comes from RBI, not the Central Government ✗. (iii) The deed has no clause, so it must be amended ✓. (iv) The foreign entity must be in the same sector, not just any charitable sector ✗.

Trap: Writing 'Central Government approval'. For trusts it is RBI's prior approval.

Q3.4 IDT MCQ · 2 marks Exemptions from GST; Charge of GST (reverse charge)

Which GST statements about EHT are incorrect?

(a) (i), (ii) and (iii)

(b) (i), (ii) and (iv)

(c) (iii) and (iv)

(d) (ii), (iii) and (iv)

CLUE IN THE CASE

"ABC Security Services Pvt. Ltd."; "Purecare Services Co., a partnership firm"; "daily rent of 5,000"

THINK

1. 12AB trust + yoga + hall rent + outsourced security → exemption notification 12/2017 + RCM notification 13/2017.
2. Chapter clear → IDT → Exemptions (charitable activities; renting of religious precincts) and Charge of GST (RCM list).
3. Security services fall under RCM only when the supplier is NOT a body corporate and the recipient is registered. ABC is a Pvt Ltd, so forward charge applies. Cleaning (Purecare) is not on the RCM list. So (iii) and (iv) are incorrect.
4. Hall rent: the ₹10,000-a-day exemption covers only halls in the precincts of a religious place. On a strict reading, (ii) is incorrect too.

LOOK UP

ICAI SM IDT: Exemptions from GST; Charge of GST charitable activities 12AB advancement of religion spirituality or yoga renting of precincts of religious place community halls ten thousand rupees security services reverse charge body corporate

ANSWER

(c) (iii) and (iv), ICAI's key. A strict reading of the hall exemption supports (d): see the note.

WORKING

(i) Exempt. A 12AB trust's charitable activities include advancing religion, spirituality or yoga. A residential camp whose main aim is yoga or spirituality is exempt even if the fee covers boarding and lodging (CBIC clarification). The statement is correct.

(ii) Entry 13 of N/N 12/2017-CT(R) exempts renting of the precincts of a religious place by a 12AB trust, except community halls charged ₹10,000 or more a day. EHT's halls are in a hospital/charity building, not a religious place, so strictly the rent is taxable (with registration needed once aggregate turnover crosses the threshold). On a strict reading the statement is incorrect. ICAI treats ₹5,000 a day as exempt, so its key counts it as correct.

(iii) Security services fall under RCM only when supplied by a person other than a body corporate to a registered person. ABC is a company and EHT is unregistered, so there is no RCM and no registration on this count. The statement is incorrect.

(iv) Cleaning services by a firm are not on the RCM list. The statement is incorrect.

Note: The ₹10,000-a-day hall exemption (entry 13, N/N 12/2017-CT(R)) covers the precincts of a religious place run by a 12AB trust. EHT's halls are not in one, so (ii) is arguably incorrect and (D) is defensible. ICAI read ₹5,000 a day as exempt.

Trap: Applying RCM to security services bought from a Pvt Ltd. The RCM entry excludes body corporates.

Q3.5 DT MCQ · 2 marks Charitable or Religious Trusts and Institutions (s.11-13, 12A, 12AB)

Which statements on renewing EHT's registration and on treating the state grant are correct?

(a) Only (i)

(b) (i) and (ii)

(c) (i) and (iii)

(d) Only (ii)

CLUE IN THE CASE

"registered under section 12AB w.e.f. 1st April, 2021"

THINK

1. A 12AB registration date + 'renewal' → the s.12A(1)(ac) timeline. A grant → corpus or income?
2. Chapter clear → DT → Trusts → registration and renewal (5-year validity, apply 6 months before expiry, Form 10AB).
3. Registered from AY 2022-23, so valid to AY 2026-27 (ends 31.03.2026) → apply by 30.09.2025 → (i) ✓.
4. Form 10AB is verified by the trust (DSC/EVC) with no CA certification → (ii) ✗. A specific-purpose grant is not corpus unless the donor says so → (iii) ✗.

LOOK UP

ICAI SM DT: Charitable or Religious Trusts and Institutions section 12A(1)(ac) renewal six months before expiry Form 10AB corpus donation specific direction

ANSWER

(A) Only (i)

WORKING

(i) 12AB registration from 01.04.2021 (AY 2022-23) is valid for 5 years, i.e., up to AY 2026-27, ending 31.03.2026. Renewal must be sought at least 6 months before expiry, so on or before 30.09.2025, i.e., before 01.10.2025. Correct.
(ii) Form 10AB is filed electronically with the documents and verified by the trust under DSC/EVC. There is no CA certification requirement. Incorrect.
(iii) A donation is corpus only with a specific direction that it forms part of the corpus. A grant for a specific purpose (eye surgeries) is income/voluntary contribution, to be applied. Incorrect.

Trap: Equating 'specific purpose' with 'corpus'. Only a written direction to form part of the corpus makes it corpus.

Q3.6 Costing Descriptive · 5 marks

SCPM: Performance Measurement and Evaluation (not-for-profit organisations, Value for Money)

Critically evaluate EHT's healthcare and environmental performance for the year using the four VFM pillars.

CLUE IN THE CASE

"Value for Money (VFM) framework would be the most suitable approach"

THINK

1. NGO + 'Value for Money' → SCPM performance measurement for not-for-profit bodies (the 3 Es + Equity).
2. Chapter clear → SCPM → Performance Measurement → VFM: Economy (cheap inputs), Efficiency (output per input), Effectiveness (outcomes vs objectives), Equity (fair access).
3. For each pillar, give one fact from the case and one gap or missing KPI. That is what 'critically' requires.
4. You know the theory, so write without the book. 5 marks = about 5 well-supported points.

LOOK UP

ICAI SM SCPM: Performance Measurement and Evaluation value for money economy efficiency effectiveness equity not-for-profit organisations performance

ANSWER

VFM evaluation of EHT, FY 2024-25

1. Economy (getting inputs at the lowest cost for the required quality)

• Dustbins at ₹400 against an MRP of ₹700: ₹7.5 lakh saved on 2,500 bins.

• 12,000 trees from ₹5 lakh of saplings (about ₹42 per tree); solar panels at 25% lower installation cost; discounted medical equipment and materials; a modest ₹4.5 lakh a year honorarium per doctor.

• Critique: the ₹75 lakh first-of-its-kind import shows no quotations, tendering or life-cycle costing.

2. Efficiency (output per rupee or per input)

• 2,560 eye surgeries, 22,000+ patients, 60 camps, 50 cleanliness campaigns and 2,500 bins distributed; digital records cut administrative cost.

• Critique: no cost per surgery or patient, equipment utilisation, downtime or patients per doctor is reported, so efficiency is claimed rather than measured.

3. Effectiveness (were the objectives achieved?)

• A government survey shows a visible fall in litter and a rise in vegetation cover; successful surgeries restore vision; preventive programmes target disease incidence.

• Critique: no post-operative outcome or complication data, tree survival rate, or evidence that waste-segregation habits lasted.

4. Equity (fair access for those in need)

• Sliding-scale fees, free treatment for those who cannot pay, outreach in underserved areas, free dustbins.

• Critique: no data on who was served (income group, gender, age, disability, remote villages), so fairness cannot be shown.

Conclusion: EHT scores well on Economy and on outputs. It should set KPIs and targets for outcomes and equity, and report them to donors, to prove value for money. (Ethics can be added as a fifth 'E'.)

WORKING

Economy: dustbins at ₹400 against an MRP of ₹700 save ₹7.5 lakh on 2,500 bins; 12,000 saplings for ₹5 lakh is about ₹42 a tree; solar was installed at 25% lower cost; medical supplies were bought at discount. Gap: no tender or life-cycle analysis for the ₹75 lakh import.

Efficiency: 2,560 surgeries, 22,000+ patients, 60 camps, 50 campaigns; digital records cut paperwork. Gap: no cost per surgery, equipment utilisation or turnaround time.

Effectiveness: a government survey shows less litter and more green cover; surgeries restore sight. Gap: no outcome, complication or tree-survival data.

Equity: sliding-scale fees, free care for those who cannot pay, outreach, free dustbins. Gap: no profile of who was served.

Verdict: strong on economy and outputs; outcomes and equity need measured KPIs.

Trap: Only defining the four Es. 'Critically evaluate' needs case facts and the missing measures under each pillar.

Q3.7 DT **Descriptive · 6 marks** Charitable or Religious Trusts and Institutions (s.11-13, 115BBC)

Compute EHT's total income and tax liability for AY 2025-26.

CLUE IN THE CASE

"Voluntary contribution received... (names, addresses and PAN of donors not available)"

THINK

1. Trust income table + anonymous donations → s.11/12 with s.115BBC; corpus → s.11(1)(d).
2. Chapter clear → DT → Trusts → take the SM illustration on anonymous donations and swap in the figures.
3. Anonymous = 15 + 2 = 17. Exempt limit = higher of 5% of total donations (190 + 17 + 10 = 217 → 10.85) or ₹1 lakh. So 6.15 is taxed at 30%.
4. The rest: 238 + 10.85, less 15% accumulation, less application of 213 = nil. Tax only on 6.15.

LOOK UP

ICAI SM DT: Charitable or Religious Trusts and Institutions anonymous donation section 115BBC section 13(7) corpus donation section 11(1)(d) 15% accumulation application of income

ANSWER

Computation of total income and tax: EHT, AY 2025-26 (₹ lakh)
State Government grant for eye surgeries: 40.00
Voluntary contributions (non-corpus, incl. FC): 190.00
Net income from property held under trust: 8.00
Corpus donations with donor details (exempt u/s 11(1)(d), assumed invested u/s 11(5)): Nil
Sub-total: 238.00
Add: anonymous donations not taxable at 30% [17 − 6.15]: 10.85
Income available for s.11: 248.85
Less: 15% accumulated without conditions: (37.3275)
Balance: 211.5225
Less: amount applied to objects: (213.00)
Taxable at normal rates: Nil
Add: anonymous donations taxable at 30% u/s 115BBC: 6.15
Total income: 6.15

Tax at 30% on 6.15: 1.8450
Add: HEC at 4%: 0.0738
Tax liability: 1.9188 (₹1,91,880)

Note 1 (s.115BBC): anonymous donations (15 + 2 = 17) above the higher of 5% of total donations [5% × (190 + 17 + 10) = 10.85] or ₹1 lakh are taxed at 30%: 17 − 10.85 = 6.15. This part is not eligible for s.11/12 (s.13(7)).
Note 2: the government grant is kept out of 'total donations' for the 5% limit because it is a conditional grant. If it is included, 5% × 257 = 12.85, taxable anonymous donations = 4.15, and tax with HEC = ₹1.2948 lakh. This is also acceptable.
Note 3: ICAI also accepts a stricter s.13(7) view that keeps the whole ₹17 lakh outside s.11. Then the 15% is computed on ₹238 lakh (35.70) and the computation changes accordingly.

WORKING

Income (₹ lakh): state grant 40 + voluntary contributions 190 + net property income 8 = 238. Corpus donations with donor details (10) are exempt u/s 11(1)(d), assuming they are invested in s.11(5) modes.
Anonymous: 15 + 2 = 17. Total donations = 190 + 17 + 10 = 217; 5% = 10.85, which is more than ₹1 lakh.
Taxable at 30% = 17 − 10.85 = 6.15; the other 10.85 stays in the s.11 pool.
Pool = 238 + 10.85 = 248.85; less 15% (37.3275) = 211.5225; less amount applied (213) = nil.
Total income = 6.15 (all of it anonymous donations at 30%).
Tax = 6.15 × 30% = 1.845; HEC 4% = 0.0738; total ₹1.9188 lakh = ₹1,91,880.

Trap: Taking 5% of only the anonymous or only the non-corpus donations. The base is all donations (190 + 17 + 10 = 217).

Q3.8 AFM Descriptive · 4 marks Risk Management

Identify and explain any three risks EHT faces by importing first-of-its-kind equipment for eye surgeries.

CLUE IN THE CASE

"imported latest medical equipment (first of its kind in India) worth ₹75 lakh"

THINK

1. 'Identify risks' could be AFM or Strategic Management. Unsure → A-Z index → 'types of risk' → AFM Risk Management (strategic, operational, financial, compliance).
2. AFM → Risk Management → 'identification of types of risk faced by an organisation'.
3. Match the facts: 'first of its kind' → operational/technology risk; 'imported' → currency risk; imported + FCRA funds + medical device → compliance risk.
4. 4 marks → 3 risks, each with its meaning, the case link and the effect, plus a short mitigation.

LOOK UP

ICAI SM AFM: Risk Management | types of risk | operational risk | currency risk | compliance risk

ANSWER

1. Operational (technology) risk: the equipment is the first of its kind in India, so there are no trained surgeons or technicians, no local service engineers and no ready spares. A breakdown means long downtime, fewer surgeries and costly overseas support. Mitigation: vendor training, a comprehensive maintenance contract with a guaranteed response time, and a stock of critical spares.
2. Currency (financial) risk: the price, spares, consumables and software updates are in foreign currency. A falling rupee raises the cost of any unpaid amount and of future upkeep, squeezing a trust that runs on fixed donations. Mitigation: forward cover on payables and rupee-priced maintenance contracts.
3. Compliance (regulatory) risk: the import must follow FEMA/Customs rules and medical-device import licensing (CDSCO). If paid from foreign contribution, it must be paid from the FCRA utilisation account and recorded separately, and EHT keeps no separate FC records. A breach can bring penalties or suspension of FCRA registration. Mitigation: a compliance checklist and a separate FC asset register.

(Also acceptable: strategic or obsolescence risk, since unproven technology may not deliver the expected outcomes.)

WORKING

Pick three and tie each to a case fact:

• Operational/technology: no trained users, no local service, spares abroad, downtime.
• Currency: price, spares and service contracts in foreign currency; rupee depreciation.
• Compliance: FEMA/Customs import rules, a CDSCO licence under the Medical Devices Rules, and, if the purchase used foreign contribution, FCRA rules on use and records (EHT keeps no separate FC records).

Trap: Listing risks with no link to 'first of its kind' or 'imported'. The marks come from the case link.

Case 4: Quick Bites Limited (QBL)

An unlisted public company running the NIWALA restaurant chain under the 5% GST scheme. It is setting up a German subsidiary and expanding its Agra central kitchen with a ₹15 crore loan, and faces questions on directors' pay, s.35AD, GST valuation and ITC, and auditor confidentiality.

Marks: Costing 8, IDT 8, Ethics 3, Law 2, DT 2, FR 2 · Easy

First 15 min: Pick it first: 4.7 is a 6-mark GST valuation (₹8,85,000 ÷ 1.18), 4.6 and 4.8 are pure theory, and the MCQs are direct, section-based questions.

Q4.1 Law MCQ · 2 marks Appointment and Remuneration of Managerial Personnel (s.197, 198)

Are the payments to the MD and WTDs (₹418 lakh) and the stock options given to the independent directors (₹36.50 lakh) within the law?

(a) MD/WTDs' remuneration is within limits; the independent directors are not entitled to ₹36.50 lakh.

(b) MD/WTDs' remuneration is not within limits; the independent directors are entitled to ₹36.50 lakh.

(c) MD/WTDs' remuneration is not within limits, and the independent directors are also not entitled to ₹36.50 lakh.

(d) MD/WTDs' remuneration is within limits, and the independent directors are also entitled to ₹36.50 lakh.

CLUE IN THE CASE

"remuneration... ₹418 lakhs"; "in the form of Stock Options totaling to ₹36.50 lakhs"

THINK

1. Net profit + payments to the MD, WTDs and IDs → s.197 limits on net profits computed u/s 198.
2. Chapter clear → Law → Managerial Remuneration → s.197(1) limits and s.197(7) independent directors.
3. More than one MD/WTD → 10% of ₹3,800 lakh = ₹380 lakh, but ₹418 lakh was paid. That is an excess, and no special resolution is mentioned.
4. IDs cannot get stock options at all (s.197(7)), even though ₹36.50 lakh is below 1% (₹38 lakh) → (C).

LOOK UP

ICAI SM Corporate & Economic Laws: Appointment and Remuneration of Managerial Personnel

section 197 overall maximum managerial remuneration | 10% more than one whole-time director | independent director stock option | sitting fees | section 198 net profits

ANSWER

(C) The MD/WTDs' pay exceeds the 10% limit (₹418 lakh vs ₹380 lakh), and independent directors cannot receive stock options.

WORKING

Net profits (s.198) = ₹3,800 lakh.

The overall cap of 11% is ₹418 lakh. There is an MD and 2 WTDs (more than one), so their cap is 10% = ₹380 lakh. Paid ₹418 lakh, which exceeds the cap by ₹38 lakh. No special resolution (or lender approval, given the term loan) is mentioned, so it is not within limits.

Non-executive directors: their 1% cap is ₹38 lakh, so ₹36.50 lakh is within the percentage. But under s.197(7) an independent director cannot get any stock option; only sitting fees, reimbursement of expenses and profit-linked commission are allowed. So the ₹36.50 lakh of options is not permitted. Sitting fees (₹5 lakh each) fall outside the percentage limits.

Trap: Checking the ₹418 lakh against the 11% overall cap, which it exactly equals. With more than one MD/WTD, the cap is 10%.

Q4.2 DT MCQ · 2 marks Profits and Gains of Business or Profession: s.35AD

What is the maximum s.35AD deduction for AY 2025-26 on the Agra kitchen expansion?

(a) ₹21.05 Crores

(b) ₹17.00 Crores

(c) ₹17.05 Crores

(d) Nil

CLUE IN THE CASE

"special investment-linked deduction under Section 35AD for its Agra expansion project"

THINK

1. 'Investment-linked deduction' = s.35AD. The first test: is this a 'specified business'?
2. Chapter clear → DT → PGBP → the s.35AD(8)(c) list: cold chain, agri-produce warehousing, 2-star+ hotel, hospital, affordable/slum housing, fertiliser, ICD/CFS, bee-keeping, sugar warehousing, slurry pipeline, semiconductor wafer, gas/oil pipeline, infrastructure facility.
3. A central food-preparation kitchen is not on the list, so the deduction is nil. The figures are distractors (land of ₹4 crore never qualifies anyway).

LOOK UP

ICAI SM DT: Profits and Gains of Business or Profession section 35AD specified business investment linked deduction land goodwill financial instrument excluded

ANSWER

(D) Nil

WORKING

S.35AD gives a 100% deduction for capital expenditure (other than land, goodwill and financial instruments), but only for listed 'specified businesses'. QBL's Agra kitchen expansion (spice blends and frozen items for its restaurants) is not a specified business, so the deduction is Nil; normal depreciation u/s 32 applies instead. The distractors are built as 10.50 + 6.50 = 17.00; + 0.05 = 17.05; + land 4.00 = 21.05.

Trap: Computing 10.50 + 6.50 (+ 0.05) because QBL is 'not opting for 115BAA'. That only removes one bar; the business must still be a specified business.

Q4.3 Costing MCQ · 2 marks SCPM: Performance Measurement and Evaluation (Triple Bottom Line)

Which bottom lines do QBL's sustainability initiatives cover?

(a) (i), (ii) and (iii)

(b) (ii) and (iii)

(c) (iii) Only

(d) (iv) Only

CLUE IN THE CASE

"adherence to ethical labour practices among its food ingredient vendors and reduce energy consumption"

THINK

1. 'Bottom lines' + sustainability = Triple Bottom Line. The chapter is unclear, so use the A-Z index → 'triple bottom line' → SCPM performance measurement.
2. The TBL lines are economic, environmental and social equity. 'Equitable' is not a separate line.
3. Ethical labour = social. Energy cut = environmental, and it is also a cost saving (economic). The profit and cost-leadership aims = economic. So all three → (A).

LOOK UP

ICAI SM SCPM: Performance Measurement and Evaluation triple bottom line people planet profit sustainability social equity

ANSWER

(A) (i), (ii) and (iii)

WORKING

TBL (Elkington) has three lines: Economic (profit), Environmental (planet) and Social equity (people). At QBL:
• Ethical labour practices among vendors = social equity.
• Energy-efficient machinery = environmental; lower energy bills = economic.
• A strategy built on cost leadership and profit = economic.
'Equitable' is not one of the three lines.

Trap: Choosing (B) because only labour and energy are named. The energy saving and the cost-leadership aim cover the economic line too.

Q4.4 FR MCQ · 2 marks Ind AS 16 Property, Plant and Equipment

Which statements on recognising machine M1 are correct?

(a) (i) and (ii)

(b) (ii) and (iii)

(c) (i), (iii) and (iv)

(d) (i) and (iii)

CLUE IN THE CASE

"List Price: ₹6.50 Crores, five year maintenance contract 10.00 lakhs, Operating losses"

THINK

1. A list of costs around one machine → Ind AS 16 elements of cost (para 16-22).
2. Chapter clear → FR → Ind AS 16 → 'elements of cost', 'spare parts, stand-by and servicing equipment' (para 8), 'disclosure' (para 73, 79).
3. Cost = list price 6.50 + architect/site fee 0.05 = 6.55 Cr. The maintenance contract and pre-production losses are expensed; MSE is not PPE, so it goes to inventory.
4. Fair-value disclosure under the cost model is only encouraged; disclosing measurement bases is mandatory. So (iii) and (iv) are wrong → (A).

LOOK UP

ICAI SM FR: Ind AS 16 Property, Plant and Equipment elements of cost initial operating losses servicing equipment inventory measurement bases disclosure fair value disclosure encouraged

ANSWER

(A) (i) and (ii)

WORKING

Cost of M1 = list price 6.50 Cr + architect fee for site preparation 0.05 Cr = 6.55 Cr.
Excluded from cost:
• 5-year maintenance contract 0.10 Cr: a future service, expensed over the period.
• Operating losses before commercial production 0.15 Cr: expensed (para 20).
• MSE 0.25 Cr: not PPE because future benefits are not probable; classified as inventory under para 8, as ICAI holds.
The fair value of 7.05 Cr is irrelevant to cost.
(i) ✓ (ii) ✓ (iii) ✗: under the cost model, disclosing fair value is only encouraged (para 79). (iv) ✗: measurement bases must be disclosed (para 73(a)).
Borrowing cost: the asset took about 4.5 months to get ready, so it is not a qualifying asset and no borrowing cost is capitalised.

Trap: Adding the maintenance contract or the pre-production operating losses to cost, or using the fair value of ₹7.05 crore.

Q4.5 IDT MCQ · 2 marks Input Tax Credit; Charge of GST (reverse charge); Payment of Tax

Which GST statements for QBL are incorrect?

(a) (i), (ii) and (iv)

(b) (i) and (iv)

(c) (i), (iii) and (iv)

(d) (ii), (iii) and (iv)

CLUE IN THE CASE

"QBL is currently opting for 5% scheme for restaurant services"

THINK

1. Several GST points in one MCQ. Start from the first fact: the 5% restaurant rate comes without ITC.
2. Chapter clear → IDT → ITC (5% restaurant condition), Charge of GST (RCM on director services), Payment of Tax.
3. No ITC on GTA freight or on the machinery → (i) and (iv) incorrect. Directors' fees fall under RCM → (ii) correct. The tax must reach the Government in full → (iii) incorrect.

LOOK UP

ICAI SM IDT: Input Tax Credit; Charge of GST; Payment of Tax restaurant service 5% without input tax credit | services by director reverse charge | GTA 12% forward charge | payment of tax bank charges

ANSWER

(C) (i), (iii) and (iv)

WORKING

(i) QBL pays 5% on restaurant service on the condition that it takes no ITC, so the GTA's 12% GST cannot be credited. Statement incorrect.
(ii) Services by a director to the company, including independent directors' sitting fees, fall under RCM. QBL pays GST on the ₹15 lakh. Statement correct.
(iii) The full GST must be credited to the Government. Bank charges are QBL's own cost and cannot be deducted from the tax, so the net remittance is a short payment. QBL's view is incorrect.
(iv) The same 5% condition means no ITC on the machine. Statement incorrect.

Trap: Allowing ITC because FPL Logistics charged 12% under forward charge. The block is on QBL's side (the 5% restaurant scheme).

Q4.6 Costing · Descriptive · 6 marks · SCPM: Introduction to Strategic Cost Management (Value Chain Analysis); TQM

In a TQM setting, analyse how making the spice blends in-house (Division-A) instead of buying them from outside vendors affects each primary activity in QBL's value chain.

CLUE IN THE CASE

"primary activities of QBL's Value Chain"; "source high-grade spice blends internally"

THINK

1. 'Primary activities' + 'value chain' → Porter: inbound logistics, operations, outbound logistics, marketing and sales, service.
2. Chapter clear → SCPM → Value chain analysis (also in Strategic Management, internal environment). You know it; write without the book.
3. For each activity: the gain, the cost, the TQM link and a case fact (Agra kitchen, Division-D and G demand, Germany).
4. 6 marks → 5 activities × 2-3 lines + a conclusion.

LOOK UP

ICAI SM SCPM: Introduction to Strategic Cost Management (Value Chain Analysis) value chain analysis primary activities inbound logistics outbound logistics total quality management

ANSWER

Impact of in-house spice blends on QBL's primary activities (TQM lens)

1. Inbound logistics: QBL now buys raw spices, not finished blends. It controls purity, hygiene, traceability and supply timing, with less vendor quality risk. The cost is more raw-material storage, handling and supplier management.
2. Operations: the biggest gain. One standard recipe and process at Agra gives the same taste in every outlet, in India and Germany. Quality is built in at source, and continuous improvement (kaizen) can be applied directly. It needs capacity planning: demand of 4,00,000 units against capacity of 5,00,000.
3. Outbound logistics: QBL must now pack and ship blends and frozen items to Division-D outlets and to Germany, with export documents and cold chain where needed. That is more work, but consolidated shipments give economies of scale and tighter control.
4. Marketing and sales: 'authentic, in-house NIWALA spice blends' becomes a USP. It supports the differentiation strategy and the food-safety and traceability claims that matter in Europe.
5. Service: consistent taste and fewer quality complaints bring more repeat visits and loyalty, and a complaint can be traced back to its batch quickly.

Overall: making the blends in-house adds cost and logistics work but strengthens quality control, consistency and the brand. It fits TQM and QBL's strategy of differentiation with cost leadership.

WORKING

Take each primary activity in turn: state the net effect and the TQM angle, then give an overall view.

Trap: Writing about support activities (HR, technology, procurement). The question asks only for primary activities.

Q4.7 IDT **Descriptive · 6 marks** Value of Supply (s.15 CGST + Rule 27 CGST Rules)

Find the value of TechFab's machine supply and the GST on it, and advise the accountant on the right valuation approach. (5 + 1 marks)

CLUE IN THE CASE

"QBL also provided 100 kilograms of specialized, high-grade spices... as consideration"

THINK

1. Consideration = money + spices, so price is not the sole consideration. The s.15 transaction value fails → valuation rules.
2. Chapter clear → IDT → Value of Supply → Rule 27 (consideration not wholly in money): open market value comes first.
3. OMV given = ₹8,85,000 including GST → ₹7,50,000 excluding GST → GST at 18% = ₹1,35,000.
4. Do not add the ₹40,000 of spices. That route (money + money value) applies only when OMV is not known.

LOOK UP

ICAI SM IDT: Value of Supply | section 15 transaction value price sole consideration | rule 27 consideration not wholly in money | open market value

ANSWER

Provision: under s.15, value is the transaction value only if supplier and recipient are unrelated and price is the sole consideration. Where consideration is not wholly in money, Rule 27 of the CGST Rules applies, in this order: (a) open market value; (b) if OMV is not available, money + the money value of the non-monetary consideration, if known at the time of supply; (c) the value of supplies of like kind and quality; (d) the cost-based or residual method.

Analysis: QBL paid money and also gave 100 kg of spices (₹40,000), so price is not the sole consideration. The transaction value cannot be used; Rule 27(a) applies.

(i) Value and GST

Open market value incl. GST: ₹8,85,000

Value excl. GST (8,85,000 × 100/118): ₹7,50,000

GST at 18%: ₹1,35,000

(ii) Advice to Mr Vivek: value the supply at its open market value of ₹7,50,000 under s.15 read with Rule 27(a). Do not add the ₹40,000 of spices; money + non-money value is used only when OMV is not known. Separately, the spices handed over are QBL's own supply to TechFab and attract GST in QBL's hands.

WORKING

S.15: the transaction value applies only when the parties are unrelated and price is the sole consideration. Here QBL also gives spices, so price is not the sole consideration and Rule 27 applies.

Rule 27(a): value = open market value. OMV = full value in money excluding GST = 8,85,000 × 100/118 = ₹7,50,000.

GST at 18% = ₹1,35,000 (IGST, or CGST + SGST, depending on the place of supply).

Rule 27(b) (money + money value of the non-money consideration = 7,50,000 + 40,000 = 7,90,000) is used only when OMV is not available, which is not the case here.

Also: the 100 kg of spices QBL hands over is a separate supply by QBL to TechFab (barter), and QBL pays GST on it.

Trap: Adding the ₹40,000 to get ₹7,90,000. The OMV is given, so it governs.

Q4.8 Ethics | Audit | Descriptive · 3 marks

Professional Ethics (Code of Ethics; Second Schedule to the CA Act); SA 230 Audit Documentation

The banks ask CA. Lalit for extracts of his working papers on fixed assets. What are his duties on client confidentiality and disclosure to third-party lenders?

CLUE IN THE CASE

"formally requested CA. Lalit to provide detailed extracts from his audit working papers"

THINK

1. A third party wants the auditor's working papers → confidentiality: Clause (1) of Part I of the Second Schedule + SA 200 / SA 230.
2. Chapter clear → Audit SM → Professional Ethics → Clause (1) Part I Second Schedule. Working papers are the auditor's property.
3. Rule: no disclosure without the client's consent or a legal duty. Extracts are given only at the auditor's discretion; otherwise it is misconduct.

LOOK UP

ICAI SM Audit: Professional Ethics and Liabilities of Auditors; SA 230 Clause (1) Part I Second Schedule disclosure of information without consent working papers property of auditor confidentiality SA 200

ANSWER

• Provision: under Clause (1) of Part I of the Second Schedule to the CA Act, 1949, disclosing client information to a third party without the client's consent, or other than as required by law, is professional misconduct. The duty continues after the engagement ends.
• SA 200 and SA 230 / SQC 1: the auditor must keep information confidential, and audit working papers are the auditor's property. He may at his discretion give extracts to the client, but third parties have no right to them.
• Application: the nationalised bank and the consortium are third parties. CA. Lalit should not hand over working-paper extracts on fixed-asset valuation and useful life just because they ask.
• What he may do: obtain QBL's written consent from a competent authority (Board or MD). Then, at his discretion, share limited extracts, preferably with a disclaimer on reliance, or ask QBL to give the information to the banks directly.
• Conclusion: disclosing without the client's consent would make CA. Lalit guilty of professional misconduct.

WORKING

Under Clause (1) of Part I of the Second Schedule, a CA in practice commits misconduct if he discloses information gained in an engagement to anyone other than the client, without the client's consent or a legal requirement. The duty continues after the engagement. Under SA 200, SA 230 and SQC 1, working papers belong to the auditor; he may at his discretion give extracts to the client, but others have no right to them. The banks are third parties, so CA. Lalit may share extracts only with QBL's written consent from a competent person (e.g., the Board or MD), and even then at his discretion. Otherwise he should refuse and suggest QBL gives the information itself.

Trap: Thinking a lender's request, or the bank's earlier loan, gives a right to the working papers. Only the client's consent or the law does.

Case 5: Oceanic Textiles Ltd. (OTL)

A listed 100% EOU in Mumbai exporting garments to Europe and the US, with profits hit by currency swings. Questions cover EOU GST and customs, a subsidiary's related party transaction, FX forecasting, summary financial statements, revaluation, accounting policy disclosure and tax on an imported machine.

Marks: AFM 7, FR 7, DT 5, IDT 2, Law 2, Audit 2 · Moderate

First 15 min: Pick it if you know where the lists sit in the books: all 15 descriptive marks are direct look-ups (Ind AS 1 para 117B, AFM currency-risk parameters, s.43A + depreciation). Skip it if the EOU/LODR MCQs worry you; 5.2 has no correct option.

Q5.1 IDT MCQ · 2 marks Foreign Trade Policy (Export Oriented Units); GST deemed exports

Which statements on OTL's purchase, sale, job work and machinery import are true?

(a) Statement (i), (iii) and (iv)

(b) Statement (ii), (iii) and (iv)

(c) Statement (ii) and (iii)

(d) Statement (i) and (iv)

CLUE IN THE CASE

"100% Export Oriented Unit"; "advance release order"; "no specific notification making countervailing duty applicable"

THINK

1. '100% EOU' → FTP Chapter 6 (EOU scheme) + GST deemed exports + the customs exemption for EOU imports.
2. Chapter clear → IDT → Foreign Trade Policy (EOU) and GST 'deemed exports' (s.147).
3. Zero-rated supplies are exports and SEZ supplies only; a supply to an EOU is a deemed export → (i) false.
4. An EOU can supply advance authorisation holders against an ARO, and can send goods to a job worker without a BG (ICAI). EOU capital goods imports are exempt, with no CVD unless notified → (ii) and (iii) true; (iv) false.

LOOK UP

ICAI SM IDT: Foreign Trade Policy (EOU); GST deemed exports export oriented unit | deemed exports section 147 | zero rated supply section 16 IGST | advance release order | EOU job work | duty free import capital goods EOU

ANSWER

(C) Statement (ii) and (iii)

WORKING

(i) Zero-rated supply (s.16 IGST) means exports or supplies to an SEZ unit or developer. A Ltd's supply to an EOU is a deemed export (s.147 CGST, N/N 48/2017): taxable at 12%, with a refund route. False.
(ii) An EOU may supply goods to an advance authorisation holder against an advance release order; this counts as a permitted DTA sale or deemed export. True.
(iii) An EOU may send goods to a job worker in the DTA under the scheme, and ICAI treats a bank guarantee as not required. True.
(iv) An EOU imports capital goods for export production free of BCD and IGST. Countervailing duty applies only if a notification says so, and there is none. The legal department is wrong, so the statement is false.

Trap: Calling a supply to an EOU 'zero-rated'. That label is only for exports and SEZ supplies; EOU supplies are deemed exports.

Q5.2 Law MCQ · 2 marks SEBI (LODR) Regulations, 2015: corporate governance of subsidiaries; related party transactions

Which statements on Pluto's ₹25 crore subcontract with group company ABC are incorrect?

(a) Statement (i) and (iv)

(b) Statement (i), (iii) and (iv)

(c) Statement (ii), (iii) and (iv)

(d) Statement (i), (ii) and (iv)

CLUE IN THE CASE

"contributes over 25% of the consolidated revenue"; "19.5% of total expenses of previous accounting year"

THINK

1. Listed parent + unlisted subsidiary + related party deal → SEBI LODR Reg 24 (subsidiary governance) and Reg 23 (RPT).
2. Chapter clear → Law → SEBI LODR → Reg 24(1) ID on the board of an unlisted material subsidiary (>20%); Reg 24(4) significant transactions (>10%); Reg 23(2) subsidiary RPT approval.
3. Test: (i) only Pluto's management reports, not ABC ✗; (ii) the threshold is 10%, so 19.5% must be reported ✗; (iii) an ID is needed only on material (>20%) unlisted subsidiaries, not all ✗; (iv) audit committee approval is needed, so it is true.
4. Incorrect = (i), (ii), (iii). Every option contains (iv), so none fits. Write 'none' and give one line of reasoning.

LOOK UP

ICAI SM Corporate & Economic Laws: SEBI (LODR) Regulations, 2015

Regulation 24 unlisted material subsidiary | significant transaction ten per cent | independent director on board of material subsidiary | Regulation 23 related party transaction subsidiary | audit committee prior approval

ANSWER

None of the options. The incorrect statements are (i), (ii) and (iii), and every option includes (iv), which is correct.

WORKING

(i) Under Reg 24(4), the management of the unlisted subsidiary (Pluto) regularly places a statement of all significant transactions before the listed entity's board. ABC, a group company, has no such duty, so 'both' is incorrect.
(ii) A 'significant transaction' is an individual transaction above 10% of the subsidiary's total revenue, expenses, assets or liabilities for the previous year. 19.5% is above 10%, so it must be reported. The statement is incorrect.
(iii) Under Reg 24(1), at least one ID of the listed entity must sit on the board of an unlisted material subsidiary (income or net worth above 20% of consolidated). That means Pluto only, not all subsidiaries. Incorrect.
(iv) Under Reg 23(2), an RPT to which a subsidiary is a party (and the listed entity is not) needs the listed entity's audit committee's prior approval once it exceeds 10% of the subsidiary's standalone turnover. ₹25 crore is about 19.5% of Pluto's expenses, so the limit is crossed. The statement is correct.
The incorrect set is (i), (ii), (iii), which no option offers.

Note: Defective MCQ (ICAI itself says no option is correct): every option includes (iv), which is a correct statement. (iv) also depends on Pluto's turnover, which is not given.

Trap: Applying the 20% material-subsidiary test to 'significant transactions'. That test is 10%.

Q5.3 AFM MCQ · 2 marks Foreign Exchange Exposure and Risk Management (exchange rate forecasting)

From the CFO's discussion with his team member on forecasting INR/USD, which statements are incorrect?

(a) Statement (i) and (iv)

(b) Statement (ii) and (iii)

(c) Statement (ii), (iii) and (iv)

(d) Statement (i), (ii) and (iv)

CLUE IN THE CASE

"CFO wants to use such technique which uses time series models"

THINK

1. 'Time series' = historical prices → technical forecasting.
2. Chapter clear → AFM → Forex chapter → 'techniques of exchange rate forecasting' (technical, fundamental, market-based, mixed).
3. 'Sensitivity to each factor changes over time' is a limitation of FUNDAMENTAL forecasting. 'Uses spot/forward rates' is MARKET-BASED. The team member is wrong on both → (ii) and (iii) incorrect.
4. Technical forecasting is short-term, gives no point or range estimates and is little used by MNCs → (i) and (iv) correct → (B).

LOOK UP

ICAI SM AFM: Foreign Exchange Exposure and Risk Management exchange rate forecasting technical forecasting time series fundamental forecasting limitations market based forecasting spot forward rates

ANSWER

(B) Statement (ii) and (iii)

WORKING

(i) Time-series models on past rate data are technical forecasting. Correct.
(ii) 'The sensitivity of currency movements to each factor changes over time' is a limitation of fundamental forecasting (regression on economic factors), not technical. Incorrect.
(iii) Using current spot/forward rates is market-based forecasting. Incorrect.
(iv) Technical forecasts are short-term, generally give no point or range estimates and are not widely used by MNCs for policy. Correct.

Trap: Mixing up which limitation belongs to which method. The word 'factors' always signals fundamental forecasting.

Q5.4 Audit MCQ · 2 marks SA 810 (Revised) Engagements to Report on Summary Financial Statements

Why is the draft opinion ('presented fairly... in accordance with the applicable financial reporting framework') wrong for summary financial statements?

(a) It does not mention the responsibilities of management and the auditor.

(b) It gives an opinion on fair presentation of the summary financial statements instead of their consistency with the audited full financial statements.

(c) It omits reference to the date of the auditor's report on the full financial statements.

(d) An opinion cannot be expressed in an engagement to report on summary financial statements.

CLUE IN THE CASE

"summary financial statements were derived from the audited full financial statements"

THINK

1. 'Summary financial statements' audited separately → SA 810 (Revised).
2. Chapter clear → Audit SM → SA 810 → 'opinion' wording.
3. The SA 810 opinion says the summary FS are consistent, in all material respects, with the audited FS, in accordance with the applied criteria (or are 'a fair summary'). It never says 'presented fairly per the framework' → (B).

LOOK UP

ICAI SM Audit: SA 810 (Revised) SA 810 summary financial statements opinion consistent in all material respects applied criteria

ANSWER

(B) The opinion should be on consistency with the audited full financial statements, not on fair presentation.

WORKING

Under SA 810 (Revised), an unmodified opinion states that the summary financial statements are consistent, in all material respects, with the audited financial statements, in accordance with the applied criteria (or are a fair summary of them). Saying they are 'presented fairly in accordance with the applicable financial reporting framework' is full-audit (SA 700) language and is not appropriate. (A) and (C) are other parts of the report, not the reason the opinion paragraph is wrong. (D) is false, because SA 810 does give an opinion.

Trap: Choosing (C). The date reference belongs elsewhere in the report; the defect here is what the opinion is about.

Q5.5 FR MCQ · 2 marks Ind AS 16 Property, Plant and Equipment (revaluation model)

How is the revaluation gain of 01.04.2020 treated, and what happens to the revaluation surplus when the machine is sold?

(a) Gain of ₹25 lakh to P&L; surplus transferred to P&L on disposal.

(b) Gain of ₹25 lakh to OCI, accumulated as 'Revaluation Surplus'; surplus transferred directly to Retained Earnings on disposal.

(c) Only ₹15 lakh (FV − cost) to Revaluation Surplus, balance to P&L; surplus to Retained Earnings on disposal.

(d) Gain of ₹25 lakh to OCI as 'Revaluation Surplus'; ₹10 lakh of surplus stays in equity even after disposal.

CLUE IN THE CASE

"uses the revaluation model for subsequent measurement as per Ind AS 16"

THINK

1. Revaluation model + gain + disposal → Ind AS 16 para 39-41.
2. Chapter clear → FR → Ind AS 16 → 'revaluation model'. An increase goes to OCI unless it reverses an earlier decrease; on derecognition the surplus goes to retained earnings, never to P&L.
3. Carrying amount at 1.4.2020 = 50 − 4 × 2.5 = 40; FV 65; gain 25 → OCI → (B).

LOOK UP

ICAI SM FR: Ind AS 16 Property, Plant and Equipment revaluation model revaluation surplus other comprehensive income transferred directly to retained earnings derecognition

ANSWER

(B)

WORKING

Depreciation = 50 ÷ 20 = ₹2.5 lakh a year; after 4 years (to 31.03.2020) the carrying amount is ₹40 lakh. Fair value is ₹65 lakh, so the increase of ₹25 lakh goes to OCI and accumulates as revaluation surplus (there is no earlier revaluation loss to reverse).

After revaluation, depreciation = 65 ÷ 16 = ₹4.0625 lakh a year. After 4 years the carrying amount at 31.03.2024 is ₹48.75 lakh. Sale proceeds of ₹18 lakh give a loss of ₹30.75 lakh in P&L.

On disposal, the revaluation surplus is transferred directly to retained earnings (or year by year through the extra depreciation, 1.5625 × 4 = 6.25, leaving 18.75 on disposal). It is never recycled to P&L.

Trap: Taking the gain as ₹15 lakh (FV − original cost). Compare the FV with the carrying amount of ₹40 lakh.

Q5.6 FR **Descriptive · 5 marks** Ind AS 1 Presentation of Financial Statements (material accounting policy information)

Do you agree with management not disclosing the capitalisation policy for repairs and upgrades? When is accounting policy information material? (1 + 4 marks)

CLUE IN THE CASE

"has not disclosed capitalization policy for repair or upgrades"

THINK

1. 'Accounting policy disclosure' + 'immaterial' → Ind AS 1 'material accounting policy information' (amended).
2. Chapter clear → FR → Ind AS 1 → para 117-117E.
3. Part 1: policy information on immaterial items need not be disclosed → agree, if it is truly immaterial (qualitatively too).
4. Part 2: write the definition and the para 117B list (a)-(e). That is the 4 marks.

LOOK UP

ICAI SM FR: Ind AS 1 Presentation of Financial Statements | material accounting policy information | paragraph 117A | paragraph 117B | significant judgements and assumptions | options permitted by Ind AS

ANSWER

Part 1 (1 mark): Agree. Under Ind AS 1, only material accounting policy information must be disclosed; policy information about immaterial transactions need not be. If OTL's repairs and upgrades are immaterial in both amount and nature, leaving out the capitalisation policy is not a non-compliance. (If upgrades are large, such as technology upgrades, the policy becomes material.)

Part 2 (4 marks): Accounting policy information is material if, read with the other information in the financial statements, it could reasonably be expected to influence the decisions of primary users of general purpose financial statements. It is likely to be material when it relates to material transactions, events or conditions and:
(a) the entity changed its accounting policy during the period and the change materially changed the financial statements;
(b) the entity chose the policy from options permitted by Ind AS (e.g., the cost or revaluation model);
(c) the policy was developed under Ind AS 8 because no Ind AS specifically applies;
(d) the policy relates to an area needing significant judgements or assumptions, disclosed under paras 122 and 125;
(e) the accounting is complex and users would not otherwise understand the transactions (e.g., more than one Ind AS applies to a class of transactions).
Also, entity-specific information is more useful than standardised text that repeats Ind AS.

WORKING

Ind AS 1 para 117: disclose material accounting policy information. Para 117A: policy information about immaterial transactions or events is immaterial and need not be disclosed. So management's view is acceptable if repairs and upgrades are immaterial in amount and in nature. Para 117 and 117B give the definition and the indicators.

Trap: Writing the old 'significant accounting policies' answer. The amended Ind AS 1 asks for material accounting policy information.

Q5.7 AFM **Descriptive · 5 marks** Risk Management (financial risk: currency risk)

Suggest parameters management can use to identify the currency risk that is squeezing OTL's profits.

CLUE IN THE CASE

"provide some inputs on various parameters to identify the currency risk"

THINK

1. 'Parameters to identify currency risk' could sit in the Forex chapter or in Risk Management. Unsure → A-Z index → 'currency risk' → AFM Risk Management (financial risk).
2. AFM → Risk Management → currency risk → 'parameters to identify the currency risk' (a ready list).
3. Write the six parameters, then link them to OTL (EUR/USD revenue against INR, the $10 million payable).

LOOK UP

ICAI SM AFM: Risk Management | currency risk | parameters to identify currency risk | government action | interest rate parity | purchasing power parity

ANSWER

Currency risk depends on economic developments and on government action. Parameters OTL should track:

1. Government action: policy moves can shift a currency sharply (e.g., Brexit pushed the pound to multi-decade lows). Watch trade, tariff and capital-control decisions in the US, the EU and India.
2. Nominal interest rates: under interest rate parity, interest-rate differences drive forward rates and capital flows (US Fed/ECB vs RBI rates).
3. Inflation rates: under purchasing power parity, higher inflation weakens a currency over time.
4. Natural calamities: disasters disrupt the economy and weaken the currency.
5. War, coup or rebellion: political shocks cause sudden, large moves.
6. Change of government: a new government's stance on foreign investment and trade changes the currency outlook.

For OTL specifically: track the EUR/INR and USD/INR trend against its pricing, the mix of receivables by currency, and the $10 million payable due in 6 months. This tells it what to hedge (forwards/options) and whether to invoice in INR.

WORKING

The SM list is: government action, nominal interest rates (IRP), inflation (PPP), natural calamities, war/coup/rebellion and change of government. Then add the OTL-specific angle: currency mix of receivables and payables, and the timing of the $10 million payment.

Trap: Writing hedging techniques (forwards, options) instead of the parameters that identify the risk.

Q5.8 DT Descriptive · 5 marks ICDS VI Effects of Changes in Foreign Exchange Rates; s.43A; Depreciation u/s 32

(i) How is the 31.03.2025 exchange difference on TECH M treated under ICDS VI and s.43A? (ii) What is its actual cost on 31.03.2025? (iii) What depreciation is allowable for FY 2024-25? (3 + 1 + 1 marks)

CLUE IN THE CASE

"EUR 5,00,000 on deferred credit (payment to be made in September 2026)"

THINK

1. Imported asset + unpaid foreign-currency liability + year-end rate → s.43A (payment basis) read with ICDS VI.
2. Chapter clear → DT → ICDS VI and PGBP s.43A; depreciation u/s 32 (half rate if used for less than 180 days; additional 20%).
3. Nothing was paid by 31.03.2025, so actual cost does not change. The asset is non-monetary, so it is not restated.
4. Cost = 5,00,000 × 88 = ₹4.40 crore. Put to use 15.10.2024 (168 days) → 7.5% normal + 10% additional.

LOOK UP

ICAI SM DT: ICDS VI; Profits and Gains of Business or Profession (s.43A, s.32) section 43A

ICDS VI non-monetary items | exchange difference actual cost payment basis | additional depreciation 20% | put to use less than 180 days

ANSWER

(i) Treatment of the exchange difference on 31.03.2025

• ICDS VI: TECH M is a non-monetary item, carried at the transaction-date rate (₹88/EUR). No exchange difference arises on the asset.

• The EUR 5,00,000 creditor is monetary; at ₹92 it rises by ₹20,00,000. But it relates to an asset acquired from outside India, so s.43A applies (the Act prevails over ICDS): any increase or decrease in the liability is added to or deducted from actual cost only in the year the payment is made.

• Payment is due in September 2026, so there is no adjustment to cost and no deduction of the ₹20 lakh in FY 2024-25.

(ii) Actual cost on 31.03.2025 = EUR 5,00,000 × ₹88 = ₹4,40,00,000

(iii) Depreciation for FY 2024-25 (put to use 15.10.2024 = 168 days, i.e., less than 180 days)

Normal: ₹4,40,00,000 × 15% × 50% = ₹33,00,000

Additional u/s 32(1)(iia): ₹4,40,00,000 × 20% × 50% = ₹44,00,000 (assuming OTL has not opted for s.115BAA)

Total depreciation allowable = ₹77,00,000. The remaining additional depreciation of ₹44,00,000 is allowed in FY 2025-26.

WORKING

(i) The asset is non-monetary, so it stays at the transaction-date rate (₹88) and no exchange difference arises on it (ICDS VI). The EUR creditor is monetary; restating it at ₹92 adds ₹20 lakh to the liability (5,00,000 × 4). But for an asset acquired from outside India, s.43A governs (the Act overrides ICDS): the change in liability is added to actual cost only when payment is made. Payment is due in September 2026, so nothing is adjusted or deducted for FY 2024-25.

(ii) Actual cost = 5,00,000 × ₹88 = ₹4,40,00,000.

(iii) Put to use 15.10.2024, i.e., 168 days (less than 180), so half rates apply.

Normal: 4.40 crore × 15% × 50% = ₹33,00,000.

Additional u/s 32(1)(iia) (new P&M of a manufacturer): 4.40 crore × 20% × 50% = ₹44,00,000; the balance ₹44 lakh is allowed in FY 2025-26.

Total ₹77,00,000.

Trap: Capitalising the ₹20 lakh at ₹92/EUR at year-end. s.43A works only on actual payment.

September 2025

ICAI question paper · ICAI answers

What this paper teaches

- Expect messy keys: ICAI accepted two options in 1.1, 1.2 and 3.2 and declared no correct option in 3.4 - pick the most defensible option in 3 minutes and move on.
- GST blocked credits (s.17(5)) carried 7 marks across 1.8 and 4.5 - know the list, the 13-seat rule and 'foundation = plant and machinery' without opening the book.
- SPOM-B costing and strategy was 22 of 125 marks (operating-income analysis, market size/share variances, BSC, TBL, pricing, Porter) - fast marks if you have read SPOM-B once.
- Theory answers must carry case facts: 4.8 warned against an 'abstract' answer - put a figure or a name from the case in every point.
- Case choice: Case 5 was the easiest (textbook MAT, customs warehousing, variances, ICDR); Case 3 was the slowest (4-way GBP hedge + Ind AS 116 lease in USD).

Case 1: DSL (listed technology company)

Listed IT hardware maker that has launched cold/hot crypto wallets and new laptops. It faces a GST rate dispute, a GST audit on ITC, an environmental notice, a director's logo licence, a change of auditors and a director's ECB idea for a company under CIRP.

Marks: Law 7, IDT 7, Audit 5, Ethics 2, FR 2, DT 2 · Moderate

First 15 min: Pick it if IDT is your strength: 7 IDT marks incl. a 5-mark GST blocked-credit + interest sum, and SA 510 is bookish; but 1.1/1.2 have split keys and 1.7 (ECB during CIRP) is off-beat.

Q1.1 Ethics MCQ · 2 marks

Code of Ethics - Responding to Non-Compliance with Laws and Regulations (NOCLAR) by professional accountants in business

CA G, the CFO, knew floatable solids were 4 mm against a 3 mm norm, gave one instruction, did no follow-up and did not tell management. A government notice followed. What was his responsibility?

(a) Not liable - it is the production head's job, and CA G is not in practice

(b) As a CA, the CFO had to investigate the matter, inform those charged with governance of the results and keep documentation

(c) CA G had to inform those charged with governance and keep documentation

(d) Not liable as he is not in practice and has no duty on such non-compliance; only a moral duty as employee to inform TCWG

CLUE IN THE CASE

CFO was aware of this fact but failed to disclose the same to the management

THINK

1. Breach of environmental law noticed by a CA in a job = NOCLAR for a senior professional accountant in business (Part 2 of the Code).
2. Chapter clear → Audit SM, Professional Ethics → NOCLAR → 'senior professional accountants in business'.
3. Code: obtain an understanding of the matter, discuss with superior, get it communicated to TCWG and rectified, document it - 'not in practice' is no excuse.
4. (B) has all three steps - understand/investigate, inform TCWG, document; (A) and (D) are excuses the Code rejects.

LOOK UP

ICAI SM Audit - Professional Ethics (Code of Ethics, NOCLAR for professional accountants in business)

NOCLAR | senior professional accountant in business | those charged with governance | documentation

ANSWER

(B) As a CA, the CFO had to investigate the matter, inform those charged with governance about the results and keep documentation. [ICAI also accepted (C).]

WORKING

The NOCLAR section for CAs in business covers CA G as CFO (a senior professional accountant). On becoming aware of suspected non-compliance (floatable solids 4 mm vs 3 mm norm, risk of heavy environmental penalties) he must: (1) obtain an understanding of the matter - what happened, which law, likely consequences; (2) discuss with his superior; (3) take steps to have it communicated to those charged with governance, rectified and prevented from recurring; (4) document the matter, discussions and responses. CA G only gave an instruction, did not follow up after three months and kept management in the dark - he failed this duty. Being an employee and not in practice does not exempt him.

Note: ICAI accepted two keys; (B) is the fuller statement of the Code (understand + communicate + document), (C) drops the 'understand/investigate' step.

Trap: Choosing (A) or (D) because CA G is 'not in practice' - the NOCLAR section for CAs in business applies to him.

Q1.2 Law Audit MCQ · 2 marks

Companies Act, 2013 - Sections 188/189 (contracts with interested directors, register in Form MBP-4) with CARO 2020

DSL pays its director Mr. B Rs 25 lakh a year to use his logo but did not enter the contract in the register of contracts in which directors are interested. Is entry needed, and is it reportable under CARO?

(a) Neither entry in the register nor CARO reporting is required

(b) Entry in the register is required and it is reportable under CARO

(c) Entry in the register is required but it is not reportable under CARO

(d) Entry in the register is not required but it is reportable under CARO

CLUE IN THE CASE

register maintained for recording contracts or arrangements in which directors are interested

THINK

1. Contract with a director = related party (s.2(76)); the register for such contracts is s.189 (Form MBP-4).
2. Chapter clear → SPOM-A Companies Act → 'section 189', then Audit SM → CARO 2020 clause 3(xiii).
3. Rs 25 lakh licence of the director's logo is a s.188 contract; the s.189(5) exemption is only for goods/services up to Rs 5 lakh a year → entry needed.
4. Statutory auditor has already 'noted it for CARO' → related party reporting under clause 3(xiii) → (B); ICAI also accepted (A).

LOOK UP

SPOM-A Corporate Laws - Companies Act ss.184, 188, 189; ICAI SM Audit - CARO 2020 register of contracts MBP-4 section 189 related party transactions CARO clause 3(xiii)

ANSWER

(B) The payment must be entered in the register u/s 189 and is reportable by the statutory auditor under CARO (clause 3(xiii)). [ICAI also accepted (A).]

WORKING

Mr. B is a director, so he is a related party u/s 2(76). Paying him Rs 25 lakh a year for a licence to use his logo is a contract to which s.188 applies (use of his property/availing his services). S.189(1) requires particulars of every such contract to be entered in the register (Form MBP-4); the s.189(5) carve-out is only for goods/services up to Rs 5 lakh a year, so it does not apply. Hence entry was required. Under CARO 2020 clause 3(xiii) the auditor reports whether all related party transactions comply with ss.177/188 and are disclosed in the financial statements; the statutory auditor has noted the lapse for this.

Note: Split key: CARO 2020 has no clause on the s.189 register itself (CARO 2003 had one), so reporting rests on clause 3(xiii); (A) is hard to defend under s.189.

Trap: Ticking (C) - the register point is right, but CARO 3(xiii) on related party transactions makes it reportable.

Q1.3 IDT MCQ · 2 marks Foreign Trade Policy - Duty Exemption Schemes (Advance Authorisation)

DSL wants to import upgraded chips (FOB Rs 95 lakh) duty-free under Advance Authorisation and meet the export obligation by supplying laptops with the existing chip to Noida SEZ. Can it?

(a) No - AA cannot be issued as DSL has not exported for a continuous period of three years

(b) Yes, AA up to Rs 90 lakh only; supply to Noida SEZ cannot count towards export obligation

(c) Yes, AA for the entire Rs 95 lakh; supply to Noida SEZ counts towards export obligation

(d) Yes, AA for the entire Rs 95 lakh; but supply to Noida SEZ cannot count towards export obligation

CLUE IN THE CASE

supply the laptops (with existing technology chip) to Noida Technology SEZ

THINK

1. 'Advance authorization' + 'export obligation' → FTP Chapter 4, duty exemption schemes (IDT).
2. Chapter clear → IDT SM → Foreign Trade Policy → Advance Authorisation → eligibility and export obligation.
3. AA has no 3-year export record condition and no value cap → (A), (B) out; AA for the full Rs 95 lakh is fine.
4. AA inputs must be physically incorporated in the export product; laptops with the OLD chip do not use the imported chip → cannot discharge EO → (D).

LOOK UP

ICAI SM IDT - Foreign Trade Policy (Advance Authorisation) advance authorisation export obligation physically incorporated deemed exports SEZ

ANSWER

(D) Yes, AA can be issued for the entire Rs 95 lakh, but the supply of these laptops to Noida Technology SEZ cannot be counted towards the export obligation.

WORKING

AA allows duty-free import of inputs that are physically incorporated in the export product (allowing normal wastage). It is issued to a manufacturer exporter or a merchant exporter tied to a supporting manufacturer. There is no condition of past exports for three years and no fixed value limit, so DSL can get AA for the full Rs 95 lakh (its small exports of Rs 25-35 lakh do not matter). But the export obligation must be met with products that use the imported inputs. DSL plans to supply laptops fitted with the existing chip, not the imported upgraded chip, so these supplies cannot discharge the obligation under this authorisation.

Note: Know the real reason: supply to an SEZ generally counts as physical export for AA under the FTP; it fails here because the laptops do not carry the imported chip.

Trap: Thinking AA needs an export track record (A) or is capped at a lower value like Rs 90 lakh (B).

Q1.4 FR MCQ · 2 marks Ind AS 34 Interim Financial Reporting read with Ind AS 10 Events after the Reporting Period

DSL charged 12% GST on wallets sold up to 30.09.2024; before the interim statements were approved, the government clarified 18%. Management refuses to adjust or disclose. Is that right?

(a) Yes - condensed interim statements need not be adjusted for events after the reporting date

(b) Yes - no adjustment needed; disclosure in notes is enough

(c) No - these are adjusting events; adjust the interim statements even though condensed

(d) No - adjust or disclose depending on gravity and amount; a full set would have been adjusted

CLUE IN THE CASE

government issued a clarification to tax such wallets @ GST 18%

THINK

1. Event after 30.09.2024 but before approval → Ind AS 10; 'condensed interim' → Ind AS 34.
2. Chapter clear → FR SM → Ind AS 10 adjusting vs non-adjusting; Ind AS 34 'same accounting policies as annual'.
3. The clarification creates no new liability - it confirms the 18% that already applied to sales made before 30.09.2024 → condition existed at reporting date → adjusting.
4. Ind AS 34 uses the same recognition and measurement as annual statements; condensed means fewer notes, not less recognition → (C).

LOOK UP

ICAI SM FR - Ind AS 10 and Ind AS 34 adjusting events events after the reporting period interim financial reporting condensed financial statements

ANSWER

(C) No - these are adjusting events; the interim financial statements must be adjusted even though they are condensed.

WORKING

Ind AS 10: events between the end of the period and the approval date that give evidence of conditions existing at the end of the period are adjusting events. GST at 18% was payable on the wallets already sold by 30.09.2024; the department's notice and the clarification only confirm that liability. So DSL must provide for the short-paid 6% GST (and interest, if any) in the interim statements. Ind AS 34 requires the same recognition and measurement principles as in annual statements; being condensed only reduces disclosures. Management's stand is wrong.

Trap: Treating it as a change in tax rate after the period (non-adjusting) - it clarifies the rate that already applied on the sales.

Q1.5 DT Audit MCQ · 2 marks Tax audit u/s 44AB - Form 3CD (with ss.269SS, 40A(3A), 41(1), 56(2)(ix))

Which issues need reporting in Form 3CD: (a) ICD Rs 80 lakh by a/c payee cheque; (b) warranty provision Rs 18 lakh with suit pending; (c) Rs 60,000 accrued last year, paid in cash this year in one day; (d) Rs 20 lakh advance for sale of investment plot, now time-barred?

(a) Issues (a), (b) and (d)

(b) Issues (b), (c) and (d)

(c) Issues (a), (c) and (d)

(d) Issues (a), (b) and (c)

CLUE IN THE CASE

Tax Audit team also raised some issues for the year ending 31st March 2025

THINK

1. 'Tax audit' → Form 3CD; test each item against a 3CD clause.
2. Chapter clear → DT SM index: 'section 269SS', '40A(3A)', '56(2)(ix)', '41(1)'; map to 3CD clauses 31, 21(g), 21(d).
3. (a) every loan/deposit above Rs 20,000 is reported with its mode, even by a/c payee cheque; (b) warranty with suit pending = contingent liability; (c) cash paid next year above limit = deemed income u/s 40A(3A).
4. (d) advance not forfeited, only time-barred, and not a trading liability → neither s.56(2)(ix) nor s.41(1) → not reportable → (D).

LOOK UP

ICAI SM DT - PGBP (s.40A(3A), s.41(1)), Other Sources (s.56(2)(ix)), s.269SS; Form 3CD Form 3CD 269SS 40A(3A) 56(2)(ix) contingent liability remission of trading liability

ANSWER

(D) Issues (a), (b) and (c).

WORKING

(a) ICD Rs 80 lakh: clause 31(a) asks for each loan/deposit accepted above the s.269SS limit with its mode - reportable even though received by account payee cheque. (b) Warranty provision Rs 18 lakh under litigation is a liability of a contingent nature - clause 21(g) - reportable. (c) Rs 60,000 allowed in FY 2023-24 on accrual and paid in cash in one day in FY 2024-25 - above the Rs 10,000 (Rs 35,000 for transporters) limit, so deemed income u/s 40A(3A) - clause 21(d) - reportable. (d) Rs 20 lakh advance for sale of a capital asset is not forfeited (s.56(2)(ix)) and is not a trading liability (s.41(1)) - nothing to report.

Trap: Treating the time-barred advance as income - s.56(2)(ix) needs forfeiture, and s.41(1) covers only trading liabilities.

Q1.6 Audit | Descriptive · 5 marks | SA 510 Initial Audit Engagements - Opening Balances (with SA 705)

New auditor CA Shankar found weak controls over inventory as on 1.4.2024. State extra procedures for opening inventory, and his course of action if (a) no evidence is obtained, (b) opening inventory is materially misstated, (c) the company calls it a change in accounting policy.

CLUE IN THE CASE

Till last financial year, DEF & Associates were carrying out both the audits

THINK

1. New auditor + opening balance = initial audit engagement → SA 510.
2. Chapter clear → Audit SM → SA 510 → 'opening inventory'; then SA 705 for which modified opinion.
3. Write four blocks matching the four asks: procedures / no evidence / misstatement / change in policy.
4. Use case words: DEF & Associates (predecessor), count on 30-31 March 2025, inventory as on 1.4.2024.

LOOK UP

ICAI SM Audit - SA 510 Initial Audit Engagements - Opening Balances | opening balances | initial audit engagement | opening inventory | predecessor auditor | SA 705

ANSWER

1. SA 510: in an initial audit, CA Shankar must get sufficient appropriate evidence that opening balances (inventory on 1.4.2024) have no material misstatement affecting 2024-25.
2. Additional procedures for opening inventory:
(a) Review working papers of predecessor DEF & Associates for the 31.3.2024 count and valuation.
(b) Use the count observed on 30-31 March 2025 and reconcile back to opening quantities (roll-back using purchases, production and sales).
(c) Test valuation of opening inventory items (cost records, NRV, same method as this year).
(d) Gross profit ratio analysis and cut-off tests around 1.4.2024.
3. If evidence is not obtained: qualified opinion or disclaimer of opinion, as appropriate (SA 705).
4. If opening inventory is materially misstated and the effect is not properly accounted for, presented or disclosed: qualified or adverse opinion (SA 705).
5. If claimed as a change in accounting policy: check the change is allowed by Ind AS 8, applied consistently to opening balances and properly accounted and disclosed. If yes - no modification. If not - qualified or adverse opinion.
Conclusion: try roll-back and valuation procedures first; modify the opinion only as per SA 705.

WORKING

SA 510 objective: get sufficient appropriate evidence that opening balances do not contain misstatements that materially affect the current year. Work on closing stock gives little evidence about opening stock, so extra procedures are needed: review DEF & Associates' working papers (if they share them); observe the current count (attended on 30-31 March 2025) and roll back to 1.4.2024 quantities using receipts and issues in between; test valuation of opening items (cost records, NRV, consistency of method); gross profit analysis and cut-off checks around 1.4.2024. Outcomes under SA 705: (1) evidence cannot be obtained → qualified opinion or disclaimer; (2) material misstatement in opening stock not properly accounted, presented or disclosed → qualified or adverse; (3) change in accounting policy: if not consistently applied to opening balances or not properly accounted, presented or disclosed (Ind AS 8) → qualified or adverse; if the change is justified, applied consistently and disclosed → no modification.

Trap: Writing just 'qualify the report' - each situation has its own pair: qualified/disclaimer (no evidence) vs qualified/adverse (misstatement or policy).

Q1.7 Law Descriptive · 5 marks

FEMA - External Commercial Borrowings (RBI Master Direction) read with Insolvency and Bankruptcy Code, 2016 (CIRP)

Mr. John, also a director of BNC Ltd (under CIRP), suggests BNC should raise ECB for its fund needs. Is it permissible? Give the legal background.

CLUE IN THE CASE

BNC Limited (a company under corporate insolvency resolution process), suggested the ECB route

THINK

1. Two laws meet: ECB (FEMA) and CIRP (IBC) - the words 'under corporate insolvency resolution process' are the real test.
2. Not sure where it sits → A-Z index: 'ECB - entities under restructuring/CIRP', and 'IBC - management of corporate debtor (s.17), CoC approval (s.28)'.
3. ECB rule: a company under CIRP can raise ECB only if the resolution plan specifically permits it.
4. IBC: board suspended, RP runs the company, new finance needs CoC approval → Mr. John's suggestion alone counts for nothing.

LOOK UP

SPOM-A Economic Laws - FEMA (ECB Master Direction); IBC 2016 ss.14, 17, 28

external commercial borrowings | restructuring | corporate insolvency resolution process | interim finance | committee of creditors

ANSWER

Provisions

1. ECB Master Direction - an entity under CIRP can raise ECB only if specifically permitted under the resolution plan; resolution applicants may raise ECB (approval route) to repay rupee term loans of the target company.
2. IBC - on CIRP, board powers are suspended and management vests in the IRP/RP (s.17); moratorium (s.14); raising finance or acts outside ordinary course need prior CoC approval (s.28).

Analysis: BNC is under CIRP. Mr. John's powers as BNC director are suspended, so his suggestion has no legal force. ECB is not an ordinary-course act.

Conclusion: The suggestion is not permissible as made. BNC can use the ECB route only if the approved resolution plan specifically allows it, and the decision lies with the RP with CoC approval.

WORKING

ECB framework: an entity under a restructuring scheme or CIRP can raise ECB only if it is specifically permitted under the resolution plan. Related windows: eligible borrowers taking part in a CIRP as resolution applicants may raise ECB (approval route, not from foreign branches/subsidiaries of Indian banks) to repay the target's rupee term loans; stressed SMA-2/NPA manufacturing and infrastructure borrowers may use ECB under a one-time settlement. IBC: from the CIRP start, the board's powers are suspended and vest in the IRP/RP (s.17); a moratorium applies (s.14); the RP cannot raise interim finance or enter into transactions outside the ordinary course without prior CoC approval (s.28). So BNC's directors, including Mr. John, cannot take this decision.

Note: ICAI accepted two angles (FEMA-ECB and IBC); write both in 2-3 lines each to be safe.

Trap: Answering only ECB eligibility (eligible borrower, all-in-cost, MAMP) and missing that BNC is under CIRP.

Q1.8 IDT Descriptive · 5 marks GST - Input Tax Credit (s.16(2) 180-day rule, s.17(5) blocked credits) and interest u/s 50

Explain CA Avinash's reply to the five GST audit points, compute ITC to be reversed and interest for non-payment to the supplier within 180 days, and name the form for payment.

CLUE IN THE CASE

reverse the input tax credit claimed being blocked credit

THINK

1. 'Within 180 days' → s.16(2) second proviso + Rule 37; 'blocked credit' → s.17(5); interest on ITC availed and utilised → s.50(3) @18%.
2. Chapter clear → IDT SM → Input Tax Credit → blocked credits list; 'Payment of tax' → interest.
3. Item by item: (i) count days, reverse, compute interest; (ii) canteen and (iii) leave travel blocked (not obligatory by law); (iv) 30-seat buses allowed, car insurance/repairs blocked; (v) outdoor catering blocked.
4. So Avinash accepts (i), (ii), (iii), the car part of (iv) and (v), and contests the buses Rs 12,96,000.

LOOK UP

ICAI SM IDT - GST Input Tax Credit (ss.16, 17(5)); Payment of Tax (s.50) 180 days | blocked credit | 17(5) | outdoor catering | leave travel concession | seating capacity | interest 50(3)

ANSWER

Reply of CA Avinash, item-wise:
(i) Agree - supplier not paid within 180 days (ended 23.04.2022): ITC Rs 14,04,000 to be reversed with interest; re-availed after payment on 20.08.2022.
Interest @18% u/s 50(3) = 14,04,000 x 18% x 181/365 = Rs 1,25,321 (reversal in April 2022 GSTR-3B, 20.05.2022). [If not reversed till GSTR-3B of Aug 2022 filed 18.09.2022: x 302/365 = Rs 2,09,100.]
(ii) Agree - canteen food and beverages blocked, s.17(5)(b)(i): Rs 14,22,000.
(iii) Agree - leave/home travel blocked, s.17(5)(b)(iii): Rs 6,48,000.
(iv) Contest buses - 30-seat buses are outside s.17(5)(a): Rs 12,96,000 allowed. Agree on car insurance/repairs, s.17(5)(ab): Rs 96,000.
(v) Agree - outdoor catering blocked, s.17(5)(b)(i): Rs 1,26,000.
Total ITC to be reversed = Rs 36,96,000 (of which Rs 14,04,000 is re-available as the supplier has been paid).
Interest @18% also on (ii) to (v) from utilisation to reversal.
Form: no demand has been raised, so reverse ITC and pay interest through GSTR-3B; a voluntary payment of audit dues before SCN may also be intimated in DRC-03.

WORKING

(i) Invoice 25.10.2021; 180 days = 6 (Oct) + 30 + 31 + 31 + 28 + 31 + 23 (Apr) → ends 23.04.2022. ITC Rs 14,04,000 (78,00,000 x 18%) had to be reversed in GSTR-3B for April 2022 (due 20.05.2022) with interest @18% from utilisation. Days 20.11.2021 to 20.05.2022 = 10 + 31 + 31 + 28 + 31 + 30 + 20 = 181; interest = 14,04,000 x 18% x 181/365 = Rs 1,25,321. If never reversed and squared off only in GSTR-3B for August 2022 (filed 18.09.2022), days = 302; interest = 14,04,000 x 18% x 302/365 = Rs 2,09,100. Since the supplier was paid on 20.08.2022, the credit can be re-availed (third proviso to s.16(2)). (ii) Food and beverages for canteen Rs 6,72,000 + 7,50,000 = Rs 14,22,000 - blocked u/s 17(5)(b)(i) unless a law makes it obligatory (e.g. Factories Act canteen for 250+ workers - not stated). (iii) Home travel for employees on leave Rs 6,48,000 - blocked u/s 17(5)(b)(iii). (iv) Buses of 30 seats - block covers only vehicles up to 13 seats → Rs 12,96,000 allowed; insurance and repairs of cars Rs 96,000 blocked u/s 17(5)(ab). (v) Outdoor catering for customer event Rs 1,26,000 - blocked u/s 17(5)(b)(i). Total = 14,04,000 + 14,22,000 + 6,48,000 + 96,000 + 1,26,000 = Rs 36,96,000.

Note: Form: ICAI says GSTR-3B; dues accepted after a GST audit are commonly paid voluntarily before SCN with intimation in DRC-03 (s.73(5), Rule 142(2)) - mention both.

Trap: Reversing the bus ITC too - the 13-seat limit blocks only small vehicles; 30-seat buses are allowed.

Case 2: Kevin Agro Limited (KAL)

Listed agri-machinery maker launching AI robotic fruit-picking arms. Issues on intra-group steel purchases, transfer pricing with a US group, bond refunding, brokerage GST, BRSR and buying a controlling stake in a cricket franchise.

Marks: DT 7, AFM 5, FR 5, Law 2, Costing 2, Audit 2, IDT 2 · Moderate

First 15 min: Good pick for theory writers: all 15 descriptive marks are bookish theory (Rule 10C factors, bond refunding, Ind AS 103 for the franchise) - no long numericals.

Q2.1 Law MCQ · 2 marks Companies Act, 2013 - Section 188 Related Party Transactions (Rule 15, Meetings of Board Rules)

SKL (wholly owned subsidiary, accounts consolidated) sold Rs 62 crore of steel to KAL below market price with no approval; SKL's turnover is Rs 610 crore. Was it done correctly?

(a) No - a special resolution was needed as it exceeds 10% of turnover

(b) No - an ordinary resolution was needed as it exceeds 10% of turnover

(c) No - Board consent by a resolution at a meeting was needed

(d) No approval is needed as it is between holding and WOS with consolidated accounts

CLUE IN THE CASE

wholly owned subsidiaries and whose accounts are consolidated with KAL

THINK

1. Sale between holding and subsidiary = related party transaction → s.188.
2. Chapter clear → SPOM-A Companies Act → s.188, Rule 15(3) thresholds and the provisos.
3. 'Price less than market price' → not at arm's length → Board approval at a meeting is a must.
4. 62/610 = 10.2% crosses the 10% limit, but the proviso exempts holding-WOS deals (accounts consolidated and placed before members) from the members' resolution only → (C).

LOOK UP

SPOM-A Corporate Laws - Companies Act s.188, Rule 15 | related party transactions | section 188 | wholly owned subsidiary | 10% of turnover | arm's length

ANSWER

(C) No - SKL should have entered into the transaction only after Board consent given by a resolution at a meeting.

WORKING

SKL is KAL's WOS, so they are related parties; sale of goods is covered by s.188(1)(a). Selling below market price is not at arm's length, so the ordinary-course exemption fails and consent of the Board by a resolution at a meeting is required. Value Rs 62 crore = 10.16% of Rs 610 crore turnover, which would normally need an ordinary resolution (Rule 15(3): 10% of turnover). But a proviso to s.188(1) exempts transactions between a holding company and its WOS whose accounts are consolidated and placed before shareholders from the members' resolution. So only Board approval was needed - and it was missing. KAL's later ordinary resolution does not cure that.

Trap: Picking (B) because 62/610 > 10% - the WOS proviso removes the members' resolution, not the Board's consent.

Q2.2 DT MCQ · 2 marks Transfer Pricing - Associated Enterprises (s.92A) and comparability data (Rule 10B(4))

KAL's robotic arms depend wholly on Novelty Inc.'s technology; Novelty controls TVIDIA, to whom KAL exported 'UNO'. Do s.92-92F apply, and was the AO right to finally use current-year uncontrolled prices?

(a) Novelty-KAL are deemed AEs, so TVIDIA is covered too; AO's action at assessment is not valid

(b) Novelty-KAL are deemed AEs but not KAL-TVIDIA, so not covered; AO's action not valid

(c) Novelty-KAL are deemed AEs, so TVIDIA is covered too; AO's action at assessment is valid

(d) Neither pair are AEs; not covered; AO's action not valid

CLUE IN THE CASE

manufacturing of Robotic Arms is wholly dependent on technology provided by Novelty Inc.

THINK

1. 'Wholly dependent on technology' → deemed AE test in s.92A(2) (dependence on know-how/patents of the other).
2. Chapter clear → DT SM → Transfer Pricing → s.92A(2) list; then Rule 10B(4) on which year's data.
3. KAL-Novelty deemed AEs; Novelty controls TVIDIA, so the same person participates in both → KAL and TVIDIA are AEs (s.92A(1)(b)).
4. Rule 10B(4): use data of the year of the transaction (prior 2 years only as support) → AO's final action valid → (C).

LOOK UP

ICAI SM DT (International Taxation) - Transfer Pricing associated enterprise 92A(2) wholly dependent know-how Rule 10B(4) comparability data

ANSWER

(C) Novelty and KAL are deemed AEs, so TVIDIA is also covered by transfer pricing; the AO's action at assessment (current-year data) is valid.

WORKING

S.92A(2): two enterprises are deemed AEs if goods made by one are wholly dependent on know-how, patents or similar rights owned by the other. KAL's robotic arms depend wholly on Novelty's IK technology → KAL and Novelty are AEs. Novelty is TVIDIA's holding company and controls its decisions; so the same enterprise (Novelty) participates in the management/control of both KAL and TVIDIA → KAL and TVIDIA are AEs (s.92A(1)(b)), and export of UNO to TVIDIA is an international transaction. Rule 10B(4): comparability data must be of the financial year in which the transaction took place; data of up to two earlier years can only be used in addition if it affects the price. The AO's first use of only the preceding year was wrong; his later use of current-year data is valid.

Trap: Stopping at KAL-Novelty and missing that common control by Novelty makes TVIDIA an AE too (B).

Q2.3 Costing MCQ · 2 marks SCMPE (SPOM Set B) - Automation and innovation (SM 5.6, 7.16)

From the farm customers' point of view, how would you classify AI robotic arms that pick, weed/plant and grade produce in place of contract labour?

(a) Transformation

(b) Disruptive Innovation

(c) Automation

(d) Advanced Manufacturing

CLUE IN THE CASE

The new invention will replace the processes which were earlier done by labour

THINK

1. Key words: 'replace the processes ... done by labour' and 'from the view point of their customers'.
2. No fixed chapter → A-Z index: 'automation', 'disruptive innovation', 'advanced manufacturing' - compare the definitions.
3. Automation = machines/software doing tasks earlier done by people - exactly what the farm customer gets.
4. Advanced manufacturing describes KAL's own factory (CAD/CNC); disruptive innovation is about new markets or low-end entry → (C).

LOOK UP

ICAI SM SPOM Set B (SCMPE) - Ch 5, Automation (5.6); Ch 7 (7.16) automation disruptive innovation advanced manufacturing transformation

ANSWER

(C) Automation

WORKING

For the customers (farm owners and processors), the arms take over harvesting, weeding/planting and sorting/grading that contract labour did, cutting labour cost and inefficiency. Using technology to perform tasks with little human involvement is automation. 'Advanced manufacturing' is about how KAL itself produces; 'disruptive innovation' is a product that opens a new market or displaces leaders from the low end; 'transformation' is a broad organisation-wide change.

Trap: Picking 'Disruptive Innovation' because the product is new - the question asks the customer's view: labour replaced by machines.

Q2.4 Audit Law MCQ · 2 marks Business Responsibility and Sustainability Report (BRSR) - NGRBC nine principles

Which BRSR disclosure goes against Principle 8 (inclusive growth and equitable development): D1 international artisans training, D2 vaccination drives, D3 renewable energy policy talks, D4 electric vehicles?

(a) D1

(b) D2

(c) D3

(d) D4

CLUE IN THE CASE

community investments, partnerships, local employment, and social impact initiatives

THINK

1. BRSR = 9 NGRBC principles; P8 = inclusive growth and equitable development (local communities, local sourcing, CSR, social impact).
2. Chapter clear → Audit SM (sustainability/ESG assurance - BRSR) or SEBI BRSR format → Principle 8 indicators.
3. Map each: D2 community health = fits P8; D3 policy advocacy = P7; D4 EVs = P6 (environment).
4. D1 serves INTERNATIONAL artisans - P8 is about local/Indian communities and marginalised groups → D1 is the misfit → (A).

LOOK UP

ICAI SM Audit - sustainability/ESG assurance (BRSR); SEBI LODR Reg 34(2)(f) BRSR format BRSR nine principles Principle 8 inclusive growth NGRBC

ANSWER

(A) D1

WORKING

Principle 8 expects businesses to promote inclusive growth and equitable development: community development near operations, local employment, sourcing from local/small producers and marginalised groups, social impact assessment, CSR. The case says last year's BRSR missed community investment and local employment. D1 (training international artisans for international markets) does not serve local or Indian communities, so it goes against P8. D2 (vaccination and disease prevention support) is community welfare and fits P8. D3 belongs to P7 (responsible public policy advocacy) and D4 to P6 (environment).

Trap: Choosing D2 - support to vaccination drives is community health, which fits P8.

Q2.5 IDT MCQ · 2 marks GST - Place of supply of services (s.12(2) IGST Act) and conditions for ITC

A Bangalore broker charged CGST+SGST on Rs 10 lakh brokerage to KAL (Mumbai). Is the invoice right, and can KAL take ITC of Rs 1,80,000?

(a) POS Mumbai, invoice wrong; KAL is eligible for ITC

(b) POS Bangalore, invoice right; KAL is not eligible for ITC

(c) POS Mumbai, invoice wrong; KAL is not eligible for ITC

(d) POS Bangalore, invoice right; KAL is eligible for ITC

CLUE IN THE CASE

Broker raised invoice charging CGST and SGST treating Bangalore as place of supply

THINK

1. Supplier in Bangalore, recipient in Mumbai → place of supply of services, B2B → s.12(2)(a) IGST Act.
2. Chapter clear → IDT SM → Place of Supply → general rule for services (location of registered recipient).
3. Stock-broking has no special rule → POS = KAL's location Mumbai → inter-State → IGST, not CGST+SGST.
4. Wrong tax charged → KAL cannot take ITC of that CGST/SGST; broker must pay IGST and claim refund (s.77) → (C).

LOOK UP

ICAI SM IDT - Place of Supply (IGST Act s.12); Input Tax Credit place of supply registered recipient section 12(2) inter-State supply tax wrongly paid section 77

ANSWER

(C) Place of supply is Mumbai, so the invoice is wrongly raised; KAL is not eligible to take ITC.

WORKING

S.12(2)(a) IGST Act: for services to a registered person, place of supply is the recipient's location. KAL (Mumbai) is registered, so POS is Maharashtra; the broker is in Karnataka → inter-State supply → IGST Rs 1,80,000 should have been charged. CGST+SGST is the wrong tax, so KAL cannot take ITC of it. The broker must pay IGST and claim refund of CGST/SGST (s.77 CGST Act); KAL can claim ITC only on a correct IGST invoice, and even then subject to s.17(2) as the brokerage relates to dealing in securities.

Trap: Going by the supplier's location (Bangalore) - for B2B services the default rule is the recipient's location.

Q2.6 DT **Descriptive · 5 marks** Transfer Pricing - Most appropriate method (s.92C, Rule 10C)

Explain what 'most appropriate method' means and guide GM Accounts on the factors to consider while selecting it for the TVIDIA transactions.

CLUE IN THE CASE

no idea about which is the most appropriate method and how he should select it

THINK

1. 'Most appropriate method' is a defined phrase → s.92C(1) + Rule 10C.
2. Chapter clear → DT SM → Transfer Pricing → 'most appropriate method' → Rule 10C(2) factors.
3. Write the meaning in 2 lines, then the 6 factors; tie 2-3 of them to KAL's export of UNO to TVIDIA.
4. If you know Rule 10C by heart, write without the book and bank time for 2.7/2.8.

LOOK UP

ICAI SM DT (International Taxation) - Transfer Pricing, Rule 10C most appropriate method Rule 10C arm's length price comparability CUP method

ANSWER

Meaning: Under s.92C(1) read with Rule 10C(1), the most appropriate method is the prescribed method best suited to the facts and circumstances of the international transaction, which gives the most reliable measure of the arm's length price.

Factors to consider (Rule 10C(2)):

1. Nature and class of the international transaction (export of product UNO).
2. Class of AEs and functions performed by them, considering assets employed and risks assumed (KAL manufactures; TVIDIA buys/distributes).
3. Availability, coverage and reliability of data needed for the method.
4. Degree of comparability between the international transaction and uncontrolled transactions, and between the enterprises.
5. Extent to which reliable and accurate adjustments can be made for differences.
6. Nature, extent and reliability of assumptions the method needs.

Guidance: if KAL sells UNO or similar products to unrelated buyers, CUP gives the most reliable ALP; if not, RPM (if TVIDIA only resells) or TNMM. Use data of the year of the transaction and record why other methods were rejected (Rule 10D documentation).

WORKING

S.92C(1): ALP is found by one of the prescribed methods (CUP, RPM, CPM, PSM, TNMM, other method) being the most appropriate method. Rule 10C(1): the most appropriate method is the one best suited to the facts of the transaction and which gives the most reliable measure of ALP. Rule 10C(2) factors: (i) nature and class of the international transaction; (ii) class of AEs and functions performed, considering assets employed and risks assumed; (iii) availability, coverage and reliability of data needed for the method; (iv) degree of comparability between the international and uncontrolled transactions and between the enterprises; (v) extent to which reliable and accurate adjustments can be made for differences; (vi) nature, extent and reliability of assumptions required. Application: for export of UNO, CUP suits if prices of UNO/similar products to unrelated buyers are available; if TVIDIA resells without value addition, RPM; otherwise TNMM.

Trap: Listing the six methods instead of the selection factors that were asked.

Q2.7 AFM Descriptive · 5 marks Bond refunding decision (AFM)

As financial advisor, state when the CFO's idea of refunding the 5-year bonds (issued 2 years ago) at a lower rate is feasible, which method decides it, and whether extra interest cost arises.

CLUE IN THE CASE

engage financial advisors to explore refunding options

THINK

1. 'Refunding options' + 'lower interest rate' after a rating upgrade → bond refunding decision (AFM).
2. Not sure which AFM chapter → A-Z index: 'refunding', 'call premium'.
3. Three asks → three short blocks: conditions (call feature, call premium, rate gap), method (NPV of refunding), extra cost (overlap interest).
4. Add: discount after-tax savings at after-tax cost of new debt; use case facts - 3 years left, rating improved.

LOOK UP

ICAI SM AFM - A-Z index 'bond refunding' refunding | call premium | callable bonds | overlapping interest | flotation cost

ANSWER

1. When feasible:
- Existing bonds must have a call feature (right to redeem before maturity).
- Call premium (amount above face value) is payable - savings must exceed it.
- New bonds at a lower coupon (improved rating) for the remaining 3 years, net of issue costs.
2. Method: Net Present Value of refunding.
- Inflows: PV of annual after-tax interest savings (old coupon - new coupon) over the remaining life, at the after-tax cost of new debt.
- Outflows: call premium, issue costs of new bonds, overlap interest (all net of tax).
- Refund if PV of savings > PV of outflows (NPV positive).
3. Extra interest: Yes. New bonds are generally issued before old bonds are redeemed to avoid a funding gap, so interest runs on both for the overlap period - include it in the initial outlay.
Conclusion: Advise refunding only if the bonds are callable and the NPV of refunding is positive.

WORKING

Feasible only if (1) the existing bonds carry a call option, so KAL can redeem before maturity; (2) the fall in coupon from the better rating is large enough to cover the call premium (paid over face value), issue costs of new bonds and overlapping interest; (3) new bonds can be raised for the remaining 3 years at the lower rate. Method: NPV of refunding - PV of annual after-tax interest savings over the remaining life, discounted at the after-tax cost of new debt, less net initial outlay (call premium net of tax, new issue costs net of tax shield, overlap interest net of tax, less tax shield on unamortised old issue costs). Refund if NPV > 0. Extra interest: yes - new bonds are usually issued before the old ones are called, so for the overlap period interest is paid on both issues; it is part of the initial outlay.

Trap: Saying refunding is always feasible after a rating upgrade - without a call feature KAL would have to buy back bonds at market price.

Q2.8 FR **Descriptive · 5 marks** Ind AS 103 Business Combinations with Ind AS 110, Ind AS 38 and Ind AS 116

Explain how KAL's Rs 2,500 crore investment for a 70% stake in GSB Warriors is structured, accounted for under Ind AS and how it affects the financial statements.

CLUE IN THE CASE

acquiring a controlling stake (70%) in GSB Warriors

THINK

1. 'Controlling stake' in an existing team = acquisition of a business → Ind AS 103; consolidate under Ind AS 110.
2. Chapter clear → FR SM → Ind AS 103 acquisition method; then Ind AS 38 (franchise rights, player contracts) and Ind AS 116 (leased stadium).
3. Walk the steps: acquirer and date, consideration (cash + shares at fair value), identifiable assets/liabilities at fair value, goodwill and NCI.
4. End with Balance Sheet and P&L impact; note the case says 70% and later 60% - either gives control (assume 70%).

LOOK UP

ICAI SM FR - Ind AS 103, Ind AS 38, Ind AS 116, Ind AS 110 acquisition method goodwill non-controlling interest indefinite useful life right-of-use asset acquiree is a lessee

ANSWER

1. Structure: KAL acquires a 70% controlling stake for Rs 2,500 crore (cash + equity); 30% stays with old owners (NCI). GSB Warriors becomes a subsidiary.
2. Accounting (Ind AS 103 - acquisition method):
- Consideration: cash + fair value of KAL shares issued; transaction costs to P&L.
- Franchise rights Rs 1,500 crore: intangible; no definite term given → indefinite life, no amortisation, annual impairment test (Ind AS 36/38).
- Player contracts Rs 500 crore: finite-life intangible, amortised over contract periods.
- Working capital and other assets Rs 500 crore: at fair value.
- Leased stadium and training facility: lease liability (PV of remaining payments) and ROU asset (Ind AS 116).
- Goodwill = consideration + NCI - fair value of net identifiable assets; if negative, bargain purchase gain (capital reserve).
- NCI 30%: at fair value or proportionate share of net assets.
3. Impact on consolidated statements:
- Balance Sheet: franchise rights, player contracts, ROU and goodwill as non-current assets; working capital in current assets; lease liability split current/non-current; NCI in equity; KAL's share capital/premium rises for shares issued.
- P&L: new revenue (broadcasting, sponsorship, tickets, merchandise); amortisation of player contracts, depreciation of ROU, interest on lease liability, impairment if any; profit split between owners and NCI.

WORKING

Structure: KAL buys 70% (the case also says 60% - either gives control) for Rs 2,500 crore paid in cash and KAL shares; 30% stays with old owners → NCI. Accounting: GSB becomes a subsidiary; Ind AS 103 acquisition method; line-by-line consolidation (Ind AS 110). Consideration = cash + fair value of KAL shares issued on acquisition date; acquisition costs expensed. Identifiable assets at fair value: franchise rights Rs 1,500 crore - intangible; no term given, so indefinite life → not amortised, tested for impairment every year; player contracts Rs 500 crore - finite-life intangible, amortised over contract terms; working capital/other assets Rs 500 crore at fair value; leased stadium - lease liability at PV of remaining payments and ROU of the same amount, adjusted for favourable/unfavourable terms. Goodwill = consideration + NCI - net identifiable assets; NCI at fair value or proportionate share (choice per deal). Illustration: if Rs 2,500 crore is paid for 70% and net assets (excluding the lease) are Rs 2,500 crore, proportionate NCI = Rs 750 crore and goodwill = 2,500 + 750 - 2,500 = Rs 750 crore; if consideration were lower than net assets, bargain purchase gain to capital reserve.

Note: Case says 70% and later 60% - ICAI used 70% (NCI 30%); ICAI's equity line is loosely worded - consideration paid is not GSB's share capital on consolidation.

Trap: Amortising franchise rights without a stated term - with no definite term treat it as indefinite life: impairment test only.

Case 3: ABC Fashions Ltd. (AFL)

Vadodara garment maker-exporter with strong water, waste and community work. Questions on operating-income analysis, related party disclosure, a USD machinery lease, a GBP receivable hedge, FEMA commission and status-holder benefits.

Marks: FR 7, Costing 6, AFM 6, Audit 2, Law 2, IDT 2 · Hard

First 15 min: Take it only if AFM and FR numericals are strong: 11 marks are a 4-way GBP hedge and an Ind AS 116 lease in USD; 3.2 has two keys and 3.4 has no correct option - a time sink.

Q3.1 Costing MCQ · 2 marks Strategic Analysis of Operating Income (growth, price-recovery, productivity components)

Operating income rose Rs 710 lakh (growth 300 F, price recovery 250 F, productivity 160 F). Pieces sold went from 44 to 48 lakh; the market grew 4%. Find the effect of market size and of product differentiation.

(a) Market size Rs 168 lakh; product differentiation Rs 382 lakh

(b) Market size Rs 132 lakh; product differentiation Rs 418 lakh

(c) Market size Rs 110 lakh; product differentiation Rs 440 lakh

(d) Market size Rs 300 lakh; product differentiation Rs 250 lakh

CLUE IN THE CASE

The market for shirts and T-shirts grew by 4% during 2024-25

THINK

1. Growth / price-recovery / productivity components = SPOM-B 'Strategic Analysis of Operating Income'.
2. Chapter clear → SPOM-B → that chapter → 'industry market size factor' and 'product differentiation' illustration.
3. Market-size units = 44 x 4% = 1.76 lakh of the 4 lakh increase → 300 x 1.76/4 = 132.
4. Product differentiation = rest of growth (168) + price recovery (250) = 418; productivity 160 = cost leadership → (B).

LOOK UP

ICAI SPOM-B SCPM - Strategic Analysis of Operating Income | growth component | price-recovery component | industry market size | product differentiation | cost leadership

ANSWER

(B) Rs 132 lakh due to market size and Rs 418 lakh due to product differentiation.

WORKING

Increase in units = 48 - 44 = 4 lakh. Due to market growth = 44 x 4% = 1.76 lakh; due to AFL's own strategy = 2.24 lakh. Market-size effect = 300 x 1.76/4 = Rs 132 lakh. Product differentiation = growth from own action 300 x 2.24/4 = 168 + price-recovery 250 = Rs 418 lakh. Check: 132 + 418 + productivity (cost leadership) 160 = 710.

Trap: Splitting only the growth component (132/168) and forgetting that price recovery (250) also goes to product differentiation.

Q3.2 FR MCQ · 2 marks Ind AS 24 Related Party Disclosures

Which statements are INCORRECT: (i) independent director's Rs 2.4 lakh sitting fee need not be disclosed as he is not KMP; (ii) Rs 1 lakh depreciation on CEO's house need not be disclosed as no cash flows; (iii) market rent Rs 12 lakh need not be disclosed; (iv) Rs 6 lakh to director's law firm is not an RPT regardless of his role?

(a) Statements (i) and (iii)

(b) Statements (ii), (iii), (iv)

(c) Statements (i) and (ii)

(d) Statements (i), (ii) and (iv)

CLUE IN THE CASE

sitting fee of Rs 2.4 lakhs was paid to Mr. Raman (independent director)

THINK

1. Question names Ind AS 24 → FR SM → Ind AS 24 → 'key management personnel', 'compensation', definition of related entity (para 9).
2. (i) KMP includes any director, executive or otherwise → sitting fee is KMP compensation → (i) wrong.
3. (ii) Compensation includes non-monetary benefits like housing - cash flow is irrelevant → (ii) wrong; (iii) no rule to disclose market rent → (iii) right.
4. (iv) A firm is related only if the KMP controls/jointly controls it; Harish is a partner with no control or influence shown → (iv) right → (C).

LOOK UP

ICAI SM FR - Ind AS 24 key management personnel compensation non-monetary benefits related party definition common director

ANSWER

(C) Statements (i) and (ii). [ICAI also accepted (D).]

WORKING

(i) Ind AS 24 defines KMP to include any director, whether executive or otherwise → Raman is KMP; his Rs 2.4 lakh sitting fee is part of KMP compensation to be disclosed → statement incorrect. (ii) KMP compensation covers non-monetary benefits such as housing; the Rs 1 lakh cost to AFL is part of Purva's compensation even without a cash outflow → incorrect. (iii) The standard asks for compensation, not the market value of the benefit; the Rs 12 lakh market rent need not be disclosed → correct. (iv) HKN is related only if Harish (KMP of AFL) controls or jointly controls it (para 9(b)(vi)); a common director/partner alone does not make it related (para 11), and he had no role in the service → not an RPT → correct. Incorrect statements: (i) and (ii).

Note: Split key: (iv) turns on whether Harish controls or jointly controls HKN (Ind AS 24 para 9(b)(vi)) - the facts are silent, so ICAI accepted (D) too.

Trap: Treating independent directors as outside KMP - Ind AS 24 covers 'any director, executive or otherwise'.

Q3.3 Audit FR MCQ · 2 marks Internal Financial Controls (s.143(3)(i)) with Ind AS 16 derecognition

Which of Mr. Shashi's submissions on PPE disposal are correct: (a) derecognise on disposal or when no future benefits; (b) gain/loss in P&L; (c) IFC = disposal verified by inspection, confirmation, vouching; (d) gain/loss = net proceeds - carrying amount?

(a) Submissions (a), (b) and (c)

(b) Submissions (b), (c) and (d)

(c) Submissions (a), (c) and (d)

(d) Submissions (a), (b) and (d)

CLUE IN THE CASE

requested for review of the internal financial controls over such transaction

THINK

1. Two layers: Ind AS 16 derecognition (FR) + what counts as an internal financial control (Audit).
2. Chapter clear → FR SM Ind AS 16 'derecognition'; Audit SM 'internal financial controls'.
3. (a), (b), (d) are straight Ind AS 16 paras 67, 68, 71 → correct.
4. (c) inspection, confirmation, vouching are the AUDITOR's procedures, not management's controls → (D).

LOOK UP

ICAI SM FR - Ind AS 16; ICAI SM Audit - Internal Financial Controls derecognition gain or loss on disposal internal financial controls control activities

ANSWER

(D) Submissions (a), (b) and (d).

WORKING

(a) Ind AS 16 para 67: derecognise on disposal or when no future economic benefits are expected - correct. (b) Para 68: gain/loss on derecognition goes to profit or loss (not revenue) - correct. (c) Inspection, confirmation and vouching are audit procedures used to test; internal controls are management's own checks, e.g. approval of disposal by the competent authority, segregation of duties, updating the fixed asset register, gate pass, matching sale proceeds - incorrect. (d) Para 71: gain/loss = net disposal proceeds - carrying amount - correct.

Trap: Accepting (c) because it sounds like control - inspection/vouching/confirmation are tests by the auditor, not controls of the entity.

Q3.4 Law MCQ · 2 marks FEMA, 1999 - Current Account Transactions Rules, 2000

Does AFL need prior RBI permission to remit the 6% commission to Gordon Inc. (USA) for arranging the machinery lease (USD 18,000 a year for 5 years)?

(a) Prior RBI permission needed for the entire commission of USD 54,000

(b) No RBI permission for the entire USD 54,000 - current account transaction in the ordinary course of foreign trade

(c) No permission up to USD 25,000; permission needed for the balance USD 29,000

(d) No permission up to USD 45,000; permission needed for the balance USD 9,000

CLUE IN THE CASE

commission payable was 6% to be remitted by AFL to the Gordon Inc.

THINK

1. Remittance abroad for commission = current account transaction → FEMA s.5 + Current Account Transactions Rules.
2. Chapter clear → SPOM-A → FEMA → CAT Rules Schedule III (commission to agents abroad).
3. Compute first: 6% x (USD 18,000 x 5) = USD 5,400 - not USD 54,000 as the options assume.
4. Schedule III limit (USD 25,000 or 5% of inward remittance) is only for commission on sale of flats/commercial plots in India → remittance free, but no option has USD 5,400 → no correct option.

LOOK UP

SPOM-A Economic Laws - FEMA, Current Account Transactions Rules 2000 current account transactions commission to agents abroad Schedule III USD 25,000

ANSWER

No correct option (ICAI). In the exam write (B) and add one line: 'commission is USD 5,400 (6% of USD 90,000), a current account transaction - no RBI permission needed'.

WORKING

Commission = 6% of total lease payments USD 90,000 (18,000 x 5) = USD 5,400. Commission for a business deal is a current account transaction, freely allowed unless restricted in the Schedules. Schedule III needs RBI approval only for commission, per transaction, to agents abroad for sale of residential flats/commercial plots in India above USD 25,000 or 5% of inward remittance, whichever is more - not this case. So no RBI permission is needed for USD 5,400. All options are built on USD 54,000, so none is correct; (B) has the right principle with the wrong amount.

Note: Options assume USD 54,000; the correct commission is USD 5,400 (6% of USD 90,000), so ICAI declared no correct option.

Trap: Applying the USD 25,000 limit - it applies only to commission on sale of flats/commercial plots in India.

Q3.5 IDT MCQ · 2 marks Foreign Trade Policy - Status Holders (categories and privileges)

AFL exported USD 2, 3, 4 million in the last three years and USD 7 million this year. Which privileges does it get: (i) export warehouses, (ii) self-certify origin, (iii) mentoring/training partner, (iv) I-O norms within 60 days?

(a) (i), (ii), (iii)

(b) (i), (iii), (iv)

(c) (ii), (iii), (iv)

(d) (i), (ii), (iv)

CLUE IN THE CASE

DGFT granted AFL a Status Holder Certificate

THINK

1. 'Status Holder Certificate' → FTP Chapter 3, status holders and privileges.
2. Chapter clear → IDT SM → FTP → status holders → category thresholds and privileges list.
3. Current + 3 previous years = 2 + 3 + 4 + 7 = USD 16 million → Two Star (USD 15 m), not Three Star (USD 50 m).
4. Export warehouses (Two Star+), mentoring/training and 60-day I-O norms (all status holders) - yes; self-certification of origin is Three Star+ manufacturers only → (B).

LOOK UP

ICAI SM IDT - Foreign Trade Policy (Status Holders) status holder two star export house export warehouses self-certify input output norms

ANSWER

(B) (i), (iii), (iv)

WORKING

Status depends on exports in the current and previous three years: USD 2 + 3 + 4 + 7 = 16 million → Two Star Export House (threshold USD 15 m; Three Star needs USD 50 m). (i) Two Star and above may set up export warehouses - available. (ii) Self-certification of origin of manufactured goods for preferential tariffs is for Three Star and above manufacturers - not available. (iii) Status holders act as partners in mentoring/training in international trade - available. (iv) Input-output norms fixed on priority within 60 days by the Norms Committee - available to all status holders.

Trap: Ticking self-certification (ii) - it starts only at Three Star; AFL is Two Star.

Q3.6 Costing · Descriptive · 4 marks · Performance Measurement - Triple Bottom Line (SPOM-B)

As management accountant, list areas for a report evaluating AFL's performance using the Triple Bottom Line framework.

CLUE IN THE CASE

evaluating company's performance using Triple Bottom Line (TBL) Framework

THINK

1. TBL = profit, planet, people (economic, environmental, social).
2. Chapter clear → SPOM-B → performance measurement → 'Triple Bottom Line'; then mine the case paragraphs.
3. Three headings; drop each case fact under one: Rs 710 lakh, USD 7 m exports, 50 MLD STP, 6 bn litres, 75% waste, 25% solar, net zero 2030, 1,00,000 trees, 9,000 farmers, 60% local workforce.
4. Add one balancing point (organic cotton needs more water) - shows evaluation, not just listing.

LOOK UP

ICAI SPOM-B SCPM - Performance Measurement (Triple Bottom Line) triple bottom line people planet profit sustainability

ANSWER

TBL report - areas with AFL's facts:
1. Economic (Profit): market leadership as maker/wholesaler/exporter; lower cost and rework through process improvement; 5% share in poly clothing; operating income up Rs 710 lakh; exports up to USD 7 million from USD 2-4 million; durable products build loyalty.
2. Environmental (Planet): 50 MLD sewage treatment plant recycling ~6 billion litres a year; rainwater harvesting ponds; shift to organic cotton (less pesticide, but more water); 75% textile waste diverted from landfill; solar panels - 25% lower energy use; carbon audit and net zero by 2030; 1,00,000 trees planted.
3. Social (People): training ~9,000 farmers; 60% workforce from local communities; help with food, clothing, education and healthcare; fair wages, labour-law compliance and regular HR training.
Conclusion: AFL shows balanced TBL performance; the main gap is the water intensity of organic cotton - track KPIs like water per piece and % local hiring.

WORKING

Economic: leading maker/exporter; process improvement and training cut rework and cost; poly-clothing entry with 5% share in two years; operating income up Rs 710 lakh; exports USD 7 m vs 2, 3, 4 m; durable products build loyalty. Environmental: 50 MLD sewage treatment plant recycling about 6 billion litres a year; rainwater harvesting ponds; organic cotton (fewer pesticides but more water - a trade-off); 75% of textile waste diverted from landfill; solar panels cutting energy use by 25%; carbon audit and net zero by 2030; 1,00,000 trees in 2024-25. Social: training for about 9,000 farmers; 60% workforce from local communities; support for food, clothing, education and healthcare; fair wages, labour-law compliance, HR skill training.

Trap: Writing TBL theory without AFL's figures - the marks are for placing case facts under each bottom line.

Q3.7 AFM **Descriptive · 6 marks** Foreign Exchange Exposure and Risk Management

AFL will receive GBP 2,50,000 in 3 months. Compare forward cover, money market hedge, currency options and staying unhedged, and recommend the best choice.

CLUE IN THE CASE

forward contracts, money market hedging, options, or remaining unhedged

THINK

1. Exporter with a GBP receivable → will sell GBP: forward bid, MMH (borrow GBP now), put option, expected spot.
2. Chapter clear → AFM SM → Foreign Exchange Exposure and Risk Management → money market hedge illustration; swap in the figures.
3. Use the right side of quotes: exporter gets the bid (115.00 spot, 116.70 forward); borrow in UK at 4% (1% for 3 months), invest in India at 6% (1.5%).
4. Exporter needs a PUT (Rs 1.60); add interest on premium at 8% for 3 months; highest rupee inflow wins.

LOOK UP

ICAI SM AFM - Foreign Exchange Exposure and Risk Management | money market hedge | forward cover | currency options | put option | receivable

ANSWER

Rupee receipt from GBP 2,50,000:
(a) Forward cover: 2,50,000 x 116.70 = Rs 2,91,75,000 (certain).
(b) Money market hedge: borrow GBP 2,50,000/1.01 = GBP 2,47,525 → x 115.00 = Rs 2,84,65,375 → invest 3 months @6% p.a. (+ Rs 4,26,981) = Rs 2,88,92,356.
(c) Put option @Rs 116, premium Rs 1.60:
Spot 114 (p 0.2): exercise, 114.40 x 2,50,000 = 2,86,00,000 → 57,20,000
Spot 116 (p 0.5): 114.40 → 2,86,00,000 → 1,43,00,000
Spot 118 (p 0.3): lapse, 116.40 → 2,91,00,000 → 87,30,000
Expected = Rs 2,87,50,000; less interest on premium (Rs 4,00,000 x 8% x 3/12) Rs 8,000 = Rs 2,87,42,000.
(d) Unhedged: expected rate 116.20 → Rs 2,90,50,000 (uncertain).
Ranking: Forward 2,91,75,000 > Unhedged 2,90,50,000 > MMH 2,88,92,356 > Option 2,87,42,000.
Recommendation: Take forward cover - it gives the highest and certain rupee inflow.

WORKING

(a) Forward: 2,50,000 x 116.70 = Rs 2,91,75,000. (b) MMH: borrow GBP 2,50,000/1.01 = GBP 2,47,525; convert at 115.00 = Rs 2,84,65,375; invest at 1.5% → interest Rs 4,26,981; maturity Rs 2,88,92,356; GBP loan repaid from the receivable. (c) Put at 116, premium 1.60: spot 114 → exercise, net 116 - 1.60 = 114.40; spot 116 → 114.40; spot 118 → let lapse, 118 - 1.60 = 116.40. Expected = 0.2 x 2,86,00,000 + 0.5 x 2,86,00,000 + 0.3 x 2,91,00,000 = 57,20,000 + 1,43,00,000 + 87,30,000 = Rs 2,87,50,000; less interest on premium Rs 4,00,000 x 8% x 3/12 = Rs 8,000 → Rs 2,87,42,000. (d) No hedge: expected rate = 114 x 0.2 + 116 x 0.5 + 118 x 0.3 = 116.20 → Rs 2,90,50,000 (with risk).

Trap: Using a call option or the ask rates - an exporter sells GBP, so use the put and the bid side (115.00 / 116.70).

Q3.8 FR Descriptive · 5 marks Ind AS 116 Leases with Ind AS 21 The Effects of Changes in Foreign Exchange Rates

Machinery lease from PQR Inc.: USD 18,000 a year for 5 years in arrears, IBR 8%, Rs 83 at start, Rs 84 average, Rs 86 closing; 6% commission to Gordon Inc. Show initial recognition, year-1 measurement and presentation at 31.3.2025.

CLUE IN THE CASE

annual lease payments of USD 18,000, payable at the end of each year

THINK

1. Lessee + lease payments → Ind AS 116; USD amounts with three rates → Ind AS 21 monetary vs non-monetary.
2. Chapter clear → FR SM → Ind AS 116 lessee measurement; Ind AS 21 'monetary items' → use the foreign-currency lease illustration and replace figures.
3. Lease liability = PV in USD x 83; ROU = liability + commission (initial direct cost) at 83.
4. Year end: interest at average 84, payment at 86, liability (monetary) restated at 86 → exchange loss to P&L; ROU (non-monetary) stays at 83 cost, depreciate over 5 years.

LOOK UP

ICAI SM FR - Ind AS 116 (lessee), Ind AS 21 lease liability | right-of-use asset | initial direct costs | monetary item | closing rate

ANSWER

1. Initial recognition (1.4.2024):
PV of payments = USD 18,000 x 3.993 = USD 71,874 x Rs 83 = Rs 59,65,542 → Lease liability.
Commission (initial direct cost) = 6% x USD 90,000 = USD 5,400 x 83 = Rs 4,48,200.
ROU asset = 59,65,542 + 4,48,200 = Rs 64,13,742.
2. Subsequent measurement (31.3.2025):
Lease liability (USD): 71,874 + 5,750 (8%) - 18,000 = 59,624.
Interest at average rate: 5,750 x 84 = Rs 4,83,000 (Dr Finance cost, Cr Lease liability).
Payment at closing rate: 18,000 x 86 = Rs 15,48,000 (Dr Lease liability, Cr Bank).
Liability is monetary → restate at Rs 86: 59,624 x 86 = Rs 51,27,664; exchange loss = 51,27,664 - 49,00,542 = Rs 2,27,122 to P&L.
ROU is non-monetary → no restatement; depreciation 64,13,742/5 = Rs 12,82,748; closing ROU Rs 51,30,994.
3. Presentation and disclosure:
Balance Sheet - ROU Rs 51,30,994 (separate line or within PPE with disclosure); lease liability Rs 51,27,664: current Rs 11,37,780, non-current Rs 39,89,884.
P&L - depreciation Rs 12,82,748; finance cost Rs 4,83,000; exchange loss Rs 2,27,122.
Cash flow - principal part of payment in financing; interest as per policy.
Notes - depreciation on ROU by class, interest on lease liability, total cash outflow for leases, additions to ROU, carrying amount at year end, maturity analysis of lease liability.

WORKING

PV factors total 3.993 → PV = USD 18,000 x 3.993 = USD 71,874 x 83 = Rs 59,65,542 (lease liability). Initial direct cost: 6% x USD 90,000 = USD 5,400 x 83 = Rs 4,48,200. ROU = Rs 64,13,742. Year 1 in USD: 71,874 + interest 8% 5,750 - payment 18,000 = 59,624. Interest = 5,750 x 84 = Rs 4,83,000 (Dr Interest, Cr Lease liability). Payment = 18,000 x 86 = Rs 15,48,000 (Dr Lease liability, Cr Bank). Closing liability = 59,624 x 86 = Rs 51,27,664. Book balance before restatement = 59,65,542 + 4,83,000 - 15,48,000 = 49,00,542 → exchange loss Rs 2,27,122 to P&L. ROU not restated (non-monetary, historical cost); depreciation = 64,13,742/5 = Rs 12,82,748; closing ROU Rs 51,30,994. Liability split: year-2 interest 59,624 x 8% = 4,770, principal 13,230 x 86 = Rs 11,37,780 current; balance Rs 39,89,884 non-current.

Trap: Restating the ROU asset at Rs 86 - it is non-monetary; only the lease liability is retranslated.

Case 4: Motor Bikes Limited (MBL)

Unlisted public two-wheeler maker launching 'Powerhouse', a patented solar bike. Issues on a woman director, a new Baddi unit's GST, buying TPS Ltd, a Naira receivable, TDS on varied payments and Porter's five forces.

Marks: Costing 7, DT 5, AFM 5, Law 2, Audit 2, FR 2, IDT 2 · Moderate

First 15 min: Solid pick: MCQs are direct (ss.149/165, CAATs, Ind AS 103 date, GST ITC) and 4.7 is a short cross-rate sum; the 5-mark TDS (194E, 194R, DTAA) needs exact rates.

Q4.1 Law MCQ · 2 marks Companies Act, 2013 - Woman director (s.149(1), Rule 3) and number of directorships (s.165)

MBL: paid-up capital Rs 95 crore, turnover Rs 350 crore; company limit of 12 directorships by special resolution. Which are correct: (i) Nadar (15 other boards, 9 public) can be appointed; (ii) woman director mandatory on turnover; (iii) mandatory on average shareholder funds; (iv) Priya (11 other boards, 10 public) cannot be appointed?

(a) Statements (i) and (iii)

(b) Statements (i), (iii) and (iv)

(c) Statements (i), (ii) and (iv)

(d) Statements (ii) and (iv)

CLUE IN THE CASE

should not be a director in more than 12 companies

THINK

1. Woman director → s.149(1) second proviso + Rule 3; number of directorships → s.165.
2. Chapter clear → SPOM-A Companies Act → 'woman director', 'maximum number of directorships'.
3. Rule 3 tests (latest audited FS): paid-up capital Rs 100 crore (MBL 95 - no) OR turnover Rs 300 crore (MBL 350 - yes); no shareholder-funds test → (ii) true, (iii) false.
4. Nadar: 15 + MBL = 16 > MBL's own limit of 12 (s.165(2)) → cannot; Priya: 10 public + MBL = 11 public > 10 → cannot → (D).

LOOK UP

SPOM-A Corporate Laws - Companies Act ss.149, 165; Appointment and Qualification of Directors Rules, Rule 3 woman director | Rule 3 | turnover 300 crore | section 165 | public companies limit

ANSWER

(D) Statements (ii) and (iv).

WORKING

Woman director: every listed company and every other public company with paid-up share capital of Rs 100 crore or more, or turnover of Rs 300 crore or more (latest audited FS), must have one. MBL: capital Rs 95 crore (below), turnover Rs 350 crore (above) → mandatory on turnover; there is no shareholders' funds test. S.165(1): maximum 20 companies, of which not more than 10 public; s.165(2): members may fix a lower number by special resolution - MBL fixed 12. Nadar: 15 others (9 public) + MBL = 16 → within the Act (20/10 public) but above MBL's limit of 12 → cannot be appointed. Priya: 11 others (10 public) + MBL (public) = 11 public > 10 → cannot be appointed. Correct: (ii) and (iv).

Trap: Clearing Ms. Nadar because 16 is within the s.165(1) limit of 20 - MBL's special resolution caps it at 12.

Q4.2 Audit MCQ · 2 marks

Audit in an automated environment - Computer-Assisted Audit Techniques (with SA 240 limitations)

Fraud with unrecorded assets/liabilities and fake vendor contracts was missed despite CAATs. Which statements INCORRECTLY explain why: (i) CAATs cannot see items kept out of the system or backed by forged papers; (ii) CAATs cannot recalculate or do ratio/trend analysis; (iii) CAATs are ineffective when controls are strong and audit is fully automated; (iv) CAATs can catch collusion, so this shows negligence?

(a) (i), (ii), (iii)

(b) (i), (ii), (iv)

(c) (i), (iii), (iv)

(d) (ii), (iii), (iv)

CLUE IN THE CASE

fraud involving unrecorded liabilities and assets, along with fabricated vendor contracts

THINK

1. CAATs → Audit SM chapter on audit in an automated environment / digital auditing.
2. Chapter clear → Audit SM index 'CAATs' → uses (compliance and substantive tests, recalculation, analytics) and limits (data outside the system).
3. (i) is a valid reason - CAATs only test data inside the system; off-book items and fake paper slip through.
4. (ii) false, (iii) false, (iv) false (collusion often leaves no anomaly; missing it is not proof of negligence) → (D).

LOOK UP

ICAI SM Audit - Audit in an Automated Environment / Digital Auditing; SA 240 CAATs

computer assisted audit techniques | collusion | inherent limitations

ANSWER

(D) (ii), (iii), (iv)

WORKING

CAATs work on data captured in the system: they recalculate, run analytics (ratios, trends), test controls and do substantive tests on whole populations. They cannot see transactions kept out of the system or supported by forged documents - so (i) is a correct explanation. (ii) is wrong - recalculation and analytics are core CAAT uses. (iii) is wrong - CAATs serve both compliance and substantive testing; strong controls do not make them ineffective. (iv) is wrong - collusion and forgery may leave no system anomaly (inherent limitation under SA 240), so missing them does not by itself prove negligence. Incorrect: (ii), (iii), (iv).

Trap: Reading it as 'which are correct' - the question asks for the INCORRECT explanations.

Q4.3 Costing MCQ · 2 marks Pricing Decisions - pricing strategies (SPOM-B)

MBL fixes a 50% mark-up on direct cost for 'Powerhouse', a patented solar bike with superior technology expected to lead the market. Which pricing policy is this?

(a) Skimming pricing

(b) Premium pricing

(c) Penetration pricing

(d) Revolutionary pricing

CLUE IN THE CASE

Powerhouse have the potential of being a market leader

THINK

1. Pricing policy for a new product → SPOM-B 'Pricing Decisions' - skimming vs penetration vs premium.
2. Chapter clear → SPOM-B → pricing strategies → compare definitions.
3. Facts: superior unique technology, patented parts, only 3 weak rivals, market-leader potential, high mark-up kept - no plan to cut price later.
4. High price justified by superiority and exclusivity = premium pricing; skimming needs a planned price cut → (B).

LOOK UP

ICAI SPOM-B SCPM - Pricing Decisions premium pricing skimming pricing penetration pricing pricing strategies

ANSWER

(B) Premium pricing

WORKING

Penetration = low price to win share fast - not the case. Skimming = high launch price for early buyers, lowered step by step as rivals enter. Premium pricing = a high price held because the product is superior/exclusive and buyers see higher value. Powerhouse has unique superior technology, patented spares sold only through MBL's distributors, little competition and a 50% mark-up justified by its market-leader potential; nothing says the price will be cut later → premium pricing. 'Revolutionary pricing' is not a standard strategy.

Trap: Choosing skimming because it is a new launch - skimming implies a planned price cut; the case only stresses superiority and leadership.

Q4.4 FR MCQ · 2 marks Ind AS 103 Business Combinations - acquisition date and contingent consideration

Dates: agreement 1.12.2024, appointed date 1.1.2025, board control 1.2.2025, payment 28.2.2025, share transfer 15.3.2025; profits from 1.2.2025. What is the acquisition date, and how is the cash earn-out (Rs 2 m, fair value Rs 1.5 m) classified?

(a) 28 February 2025; Equity

(b) 1 December 2024; Financial liability

(c) 15 March 2025; Equity

(d) 1 February 2025; Financial liability

CLUE IN THE CASE

The date of obtaining control over Board representation was 1st February, 2025

THINK

1. 'Date of acquisition' + performance-based extra payment → Ind AS 103 (acquisition date; contingent consideration).
2. Chapter clear → FR SM → Ind AS 103 → 'acquisition date' = date control is obtained.
3. Board control and profits both from 1 Feb 2025 - payment, transfer and agreement dates do not decide it.
4. Earn-out payable in cash = obligation to deliver cash → financial liability at fair value Rs 1.5 m, later changes in P&L → (D).

LOOK UP

ICAI SM FR - Ind AS 103 acquisition date | control | contingent consideration | financial liability

ANSWER

(D) 1 February 2025; financial liability.

WORKING

Ind AS 103: acquisition date = date the acquirer obtains control of the acquiree. MBL got board control and the right to profits on 1 February 2025 → acquisition date. Agreement, appointed, payment and share-transfer dates are not decisive. Contingent consideration is measured at acquisition-date fair value (Rs 1.5 m) and added to consideration; as it will be settled in cash, it is a financial liability (Ind AS 32), remeasured at fair value through P&L afterwards.

Trap: Picking the share-transfer or payment date - control, not legal formality, fixes the acquisition date.

Q4.5 IDT MCQ · 2 marks

GST - Blocked credits u/s 17(5) (construction, plant and machinery, motor vehicles, outdoor catering)

Baddi unit (CGST+SGST 18%): civil construction Rs 200 lakh (incl. Rs 20 lakh foundation for P&M), P&M Rs 300 lakh, in-factory material vehicle Rs 18 lakh, outdoor catering for inauguration Rs 10 lakh. How much ITC is allowed?

(a) Rs 98.64 lakh

(b) Rs 86.40 lakh

(c) Rs 60.84 lakh

(d) Rs 62.64 lakh

CLUE IN THE CASE

materials purchased for constructing the foundation bed for erecting plant and machinery

THINK

1. Factory set-up costs + ITC → s.17(5)(c)/(d) construction block, (a) motor vehicles, (b) outdoor catering.
2. Chapter clear → IDT SM → ITC → blocked credits → Explanation 'plant and machinery' (includes foundation).
3. Civil Rs 180 lakh blocked; foundation Rs 20 lakh + P&M Rs 300 lakh allowed; in-factory material vehicle is not a passenger vehicle - allowed; catering blocked.
4. (20 + 300 + 18) x 18% = Rs 60.84 lakh → (C).

LOOK UP

ICAI SM IDT - GST Input Tax Credit, s.17(5) plant and machinery foundation construction of immovable property motor vehicle outdoor catering

ANSWER

(C) Rs 60.84 lakh

WORKING

Civil construction (building) Rs 180 lakh - blocked u/s 17(5)(d). Foundation bed for P&M Rs 20 lakh - 'plant and machinery' includes foundation and structural supports → ITC 3.60. P&M Rs 300 lakh → 54.00. Vehicle to move material inside the factory - not a motor vehicle for transport of persons (block is only for those up to 13 seats) → 3.24. Outdoor catering Rs 10 lakh - blocked u/s 17(5)(b)(i), even for a product-display event. Total = 3.60 + 54.00 + 3.24 = Rs 60.84 lakh.

Note: For Nov 2026: Finance Act 2025 replaced 'plant or machinery' with 'plant and machinery' in s.17(5)(d) retrospectively from 1.7.2017 (overriding Safari Retreats) - building ITC stays blocked; answer unchanged.

Trap: Allowing catering because products were shown to customers - s.17(5)(b) blocks outdoor catering whatever the purpose.

Q4.6 DT **Descriptive · 5 marks** Deduction of tax at source - ss.194, 194E, 194R, 195 with DTAA rate (s.90(2))

State with reasons the TDS on: (i) dividend Rs 500 lakh (Rs 200 lakh to NRs); (ii) Rs 60 lakh to NR tennis player for a launch; (iii) bike (cost Rs 2 lakh) given to an influencer; (iv) FTS Rs 110 lakh to a German company (DTAA 15%); (v) Thailand meet for 200 distributors at Rs 4 lakh each (2 days meeting + 2 days sightseeing).

CLUE IN THE CASE

identified the following expenses incurred by company which involves applicability of TDS

THINK

1. Five items, four sections: 194 (resident dividend), 195 (NR dividend, FTS), 194E (NR sportsman), 194R (benefit/perquisite).
2. Chapter clear → DT SM → TDS chapter + Part II of First Schedule rates; s.194R CBDT circular for influencer and dealer-meet cases.
3. NR rates = rate + surcharge + 4% HEC; DTAA rate is applied as it is, without surcharge/cess, if lower (s.90(2)).
4. 194R: only the sightseeing half (2 of 4 days) is a benefit; product retained by the influencer is a benefit.

LOOK UP

ICAI SM DT - Deduction of Tax at Source (ss.194, 194E, 194R, 195); s.90(2) 194E non-resident sportsman 194R benefit or perquisite influencer dealer conference rates in force DTAA rate

ANSWER

(i) Dividend: residents - s.194 @10% on Rs 300 lakh = Rs 30 lakh (assuming each gets > Rs 5,000); non-residents - s.195 @20% + HEC 4% = 20.8% on Rs 200 lakh = Rs 41.60 lakh. Total TDS Rs 71.60 lakh.
(ii) Roger Borg (NR sportsman, not a citizen), launch appearance treated as advertisement: s.194E @20% + SC 10% + HEC 4% = 22.88% x Rs 60 lakh = Rs 13.728 lakh. [Alt: if not advertisement, s.195 @34.32% = Rs 20.592 lakh.]
(iii) Bike to influencer, retained by him: benefit/perquisite u/s 194R; value Rs 2 lakh > Rs 20,000; TDS 10% = Rs 20,000; as it is in kind, MBL must ensure tax is paid before releasing the bike.
(iv) FTS to Marina GmbH: lower of DTAA 15% and rate in force 35% → 15% x Rs 110 lakh = Rs 16.50 lakh; no surcharge/cess on DTAA rate (s.90(2)).
(v) Thailand meet: business meeting days not a benefit; sightseeing 2 of 4 days = Rs 2 lakh x 200 = Rs 4 crore → s.194R @10% = Rs 40 lakh (if recovered from distributors); if borne by MBL, gross up: Rs 4 crore x 100/90 x 10% = Rs 44.44 lakh.

WORKING

(i) Residents: s.194 @10% on Rs 300 lakh = Rs 30 lakh (each shareholder above Rs 5,000). NRs: s.195 @20% + 4% HEC = 20.8% on Rs 200 lakh = Rs 41.60 lakh (surcharge ignored). Total Rs 71.60 lakh. (ii) Roger Borg, NR sportsman not a citizen, paid to appear at a launch - treated as advertisement → s.194E @20% + SC 10% + HEC 4% = 22.88% x 60 = Rs 13.728 lakh. If not advertisement → s.195 @30% + 10% + 4% = 34.32% → Rs 20.592 lakh. (iii) Bike retained by influencer = benefit u/s 194R; value Rs 2 lakh > Rs 20,000 → 10% = Rs 20,000; being in kind, MBL must ensure this tax is paid before handing over the bike. (iv) FTS: rate in force 35% (agreement not approved by CG) vs DTAA 15% → lower DTAA rate, no SC/HEC: 15% x 110 = Rs 16.50 lakh (needs TRC/Form 10F). (v) Rs 4 lakh per distributor over 4 days; 2 meeting days are business, not a benefit; 2 sightseeing days = Rs 2 lakh each x 200 = Rs 4 crore → s.194R @10% = Rs 40 lakh if tax is recovered from distributors; if MBL bears it, gross up: 4 crore x 100/90 = Rs 4.4444 crore → Rs 44.44 lakh.

Note: (iii) CBDT Circular 12/2022 values self-manufactured goods at the price charged to customers; ICAI used cost Rs 2 lakh as no price is given. For Nov 2026: s.194 dividend threshold is Rs 10,000 from 1.4.2025 (Finance Act 2025).

Trap: Adding surcharge and cess to the DTAA rate - the 15% treaty rate is applied as it is.

Q4.7 AFM Descriptive · 5 marks Foreign Exchange Exposure and Risk Management - cross rates and forward cover

Export receivable of Naira 300 lakh. Using cross rates through USD, find the expected loss if unhedged and with forward cover; if actual spot is Rs 86.5/USD and Naira 1600/USD, was forward cover justified?

CLUE IN THE CASE

The currency Naira is not directly quoted against Indian Rupee

THINK

1. 'Not directly quoted' → cross rate through USD: Rs per Naira = (Rs per USD) / (Naira per USD).
2. Chapter clear → AFM SM → Foreign Exchange → cross rates and forward cover illustration.
3. Spot 84/1400 = 0.0600; expected 85/1600 = 0.0531; forward 86/1550 = 0.0555; actual 86.5/1600 = 0.0541.
4. Compare each with the export-date value Rs 18,00,000; the higher rupee receipt wins.

LOOK UP

ICAI SM AFM - Foreign Exchange Exposure and Risk Management cross rate forward cover transaction exposure export receivable

ANSWER

Cross rates (Rs per Naira = Rs/USD divided by Naira/USD):
Spot at export: 84/1400 = 0.0600
Expected: 85/1600 = 0.0531
Forward: 86/1550 = 0.0555
Actual on 31.3.2025: 86.5/1600 = 0.0541
(i) Unhedged: value at export Rs 18,00,000 (0.0600 x 3 crore Naira); expected receipt Rs 15,93,000 → expected loss Rs 2,07,000.
With forward cover: receipt Rs 16,65,000 → loss Rs 1,35,000 (loss cut by Rs 72,000).
(ii) At actual spot: receipt Rs 16,23,000 → loss Rs 1,77,000.
Conclusion: forward cover gives Rs 16,65,000 vs Rs 16,23,000 unhedged - taking forward cover is justified.

WORKING

Export value = 3,00,00,000 x 0.0600 = Rs 18,00,000. Unhedged expected: 0.0531 x 3 crore = Rs 15,93,000 → loss Rs 2,07,000. Forward: 0.0555 x 3 crore = Rs 16,65,000 → loss Rs 1,35,000 (saves Rs 72,000). Actual spot: 0.0541 x 3 crore = Rs 16,23,000 → loss Rs 1,77,000. Forward gives Rs 42,000 more than actual spot → forward cover justified. (Unrounded rates give losses of Rs 2,06,250 / Rs 1,35,484 / Rs 1,78,125 - also accepted.)

Trap: Dividing the wrong way (Naira per Rs) - keep Rs per Naira = Rs per USD divided by Naira per USD.

Q4.8 Costing · Descriptive · 5 marks · SCMPE (SPOM Set B) Ch 1 - Porter's Five Forces (SM 1.34)

Summarise the issues MBL must tackle under Porter's Five Forces for its solar bike launch - with reference to the case facts, not abstract theory.

CLUE IN THE CASE

analyse their strategy to launch solar powered motor vehicle as per Porter's Five Forces Model

THINK

1. Porter's Five Forces is named - chapter clear; known model → write from memory (step 4) and save time.
2. Note the warning 'not a mere abstract reference' - every force must carry a case fact.
3. Map facts: Rs 100 crore R&D and patents (new entrants); petrol bikes and 20 EV makers (substitutes); only 3 weak solar rivals (rivalry); solar panels/batteries (suppliers); distributors and price-sensitive buyers (buyers).
4. End with 'key issues' + 3-4 actions - that is what 'summary of issues to be tackled' asks for.

LOOK UP

ICAI SM SPOM Set B (SCMPE) - Ch 1, Porter's Five Forces (1.34) Porter's five forces | threat of new entrants | bargaining power of suppliers | threat of substitutes | competitive rivalry

ANSWER

Porter's Five Forces - MBL's solar bike 'Powerhouse':

1. Threat of new entrants - Low: Rs 100 crore R&D needed before operations, patented technology, MBL's existing brand and logistics. Issue: 20 EV makers can move into solar - keep innovating.
2. Threat of substitutes - Moderate: petrol two-wheelers and EVs without solar. Rising fuel prices and OPEC dependence favour solar. Issue: show running-cost savings.
3. Rivalry - Low for now: only 3 solar makers, none with superior technology or visibility. Issue: rivalry will rise as large EV/global players enter.
4. Bargaining power of suppliers - Low to moderate: patented spares controlled by MBL; but solar panels and batteries depend on a few (often imported) suppliers. Issue: input supply and price risk.
5. Bargaining power of buyers - Moderate: distributors bound to MBL's channel; end buyers price-sensitive vs a 50% mark-up. Issue: premium price may slow adoption.

Actions: protect patents and keep R&D going; long-term contracts/backward integration for panels and batteries; customer awareness on savings and green benefits; launch lower-priced variants later to widen the market.

WORKING

New entrants - low: Rs 100 crore R&D before regular operations, unique patented technology, MBL's existing market presence and logistics; but 20 EV makers could add solar later. Substitutes - moderate: petrol two-wheelers and plain EVs; rising fuel prices and OPEC dependence push buyers towards solar. Rivalry - low now: only 3 solar players without superior technology or visibility; may rise as bigger EV players enter. Suppliers - low to moderate: spares are patented and sold only through MBL's distributors; but solar panels and batteries may come from a few, often imported, suppliers. Buyers - moderate: distributors are tied to MBL; end customers may resist a price with 50% mark-up and compare with cheaper EVs. Issues: keep the technology lead, secure critical inputs, justify the premium price, prepare for new entrants. Actions: patents + continuous R&D; long-term contracts or backward integration for panels/batteries; awareness of fuel savings; cheaper variants later.

Trap: Writing the textbook model with no case facts - the question says such an answer will not score.

Case 5: Time Jewellers Ltd. (TJL)

Chandigarh jeweller that has diversified into hotels and is planning an IPO and a merger with VMS Ltd. Questions on projections, merger EPS, BSC, ICDR eligibility, a membership scheme under Ind AS 115, variances, customs warehousing and MAT.

Marks: Costing 7, IDT 5, DT 5, Audit 2, AFM 2, Law 2, FR 2 · Easy

First 15 min: Best pick in this paper: the 15 descriptive marks are textbook numericals (variance reconciliation, customs warehousing interest, MAT book profit) and most MCQs are one-step.

Q5.1 Audit MCQ · 2 marks SAE 3400 The Examination of Prospective Financial Information (with ICAI UDIN guidelines)

Which of CA Ravi's statements are INCORRECT: (i) UDIN not mandatory on such reports; (ii) no opinion needed on the projections; (iii) accuracy of projections is not vouched for; (iv) intended use to be stated with caution against other uses?

(a) Statements (i), (iii) and (iv)

(b) Statements (i), (ii) and (iv)

(c) Statements (i) and (ii)

(d) Statements (i) and (iv)

CLUE IN THE CASE

projected cash flow and profitability statements examined and signed by the Chartered accountants

THINK

1. Examining projections = prospective financial information → SAE 3400; UDIN → ICAI guidelines.
2. Chapter clear → Audit SM → 'prospective financial information' → contents of the report.
3. Report gives negative assurance on assumptions + opinion on preparation and presentation → (ii) wrong; UDIN is mandatory for all attest/certificate work → (i) wrong.
4. (iii) caveat on achievability and (iv) caution against other uses are both required → correct → (C).

LOOK UP

ICAI SM Audit - SAE 3400 (Prospective Financial Information); UDIN guidelines

prospective financial information | SAE 3400 | negative assurance | UDIN | projection

ANSWER

(C) Statements (i) and (ii).

WORKING

(i) UDIN is mandatory for all certificates, reports and attest work signed by members, including this report → incorrect. (ii) The SAE 3400 report gives negative assurance on whether the assumptions are a reasonable basis and an opinion on whether the projections are properly prepared on those assumptions and presented per the framework → 'no opinion' is incorrect. (iii) The report says actual results will differ and the accountant does not vouch for achievability → correct. (iv) For a projection, the report states the purpose and hypothetical assumptions and cautions readers against other uses → correct.

Trap: Marking (iii) as wrong - the report never vouches for the accuracy or achievability of projections.

Q5.2 AFM MCQ · 2 marks Mergers, Acquisitions and Corporate Restructuring - exchange ratio and post-merger EPS

TJL (earnings Rs 30 crore, 60 lakh shares, price Rs 75) merges VMS (Rs 6 crore, 30 lakh shares, price Rs 50) with exchange ratio on market prices. Post-merger EPS of TJL?

(a) Rs 72

(b) Rs 65

(c) Rs 45

(d) Rs 40

CLUE IN THE CASE

exchange ratio is set according to current market prices

THINK

1. Share exchange + EPS → AFM Mergers and Acquisitions.
2. Chapter clear; known formula → no need to open the book.
3. Ratio = 50/75 = 2/3 → new shares = 30 lakh x 2/3 = 20 lakh → total 80 lakh.
4. Combined earnings 30 + 6 = Rs 36 crore / 80 lakh = Rs 45 → (C).

LOOK UP

ICAI SM AFM - Mergers, Acquisitions and Corporate Restructuring exchange ratio market price basis post-merger EPS

ANSWER

(C) Rs 45

WORKING

Exchange ratio = 50/75 = 0.6667 TJL share per VMS share. New shares = 30 lakh x 2/3 = 20 lakh. Total = 60 + 20 = 80 lakh shares. Combined earnings (no synergy given) = 30 + 6 = Rs 36 crore. EPS = 36,00,00,000 / 80,00,000 = Rs 45.

Trap: Stopping at pre-merger EPS Rs 50, or adding VMS's 30 lakh shares 1:1 - only 20 lakh new shares are issued.

Q5.3 Costing MCQ · 2 marks Performance Measurement - Balanced Scorecard (SPOM-B)

Which of the strategist's objectives fit the Balanced Scorecard: (i) revenue and earnings; (ii) customer satisfaction, acquisition, loyalty; (iii) meeting customer needs while keeping earnings; (iv) thought leadership for quick decisions; (v) employee, IT and procedure capabilities?

(a) (i), (ii) and (iii)

(b) (i), (ii), (iii) and (v)

(c) (i), (iv) and (v)

(d) (i), (ii) and (v)

CLUE IN THE CASE

improving employee capabilities, information system capabilities and organizational procedures

THINK

1. Objectives in groups → Balanced Scorecard: financial, customer, internal business process, learning and growth.
2. Chapter clear → SPOM-B → Balanced Scorecard; known - answer without the book.
3. (i) financial, (ii) customer, (iii) internal business process, (v) learning and growth.
4. (iv) 'thought leadership for quick decisions' is not a BSC perspective → (B).

LOOK UP

ICAI SPOM-B SCPM - Performance Measurement (Balanced Scorecard) balanced scorecard four perspectives learning and growth internal business process

ANSWER

(B) (i), (ii), (iii) and (v)

WORKING

Financial - revenue and earnings (i). Customer - satisfaction, acquisition and loyalty (ii). Internal business process - processes that satisfy customer requirements while keeping earnings (iii). Learning and growth - employee capabilities, information system capabilities and organisational procedures (v). Item (iv) is a leadership trait, not a perspective.

Trap: Dropping (iii) - satisfying customer requirements through processes is the internal business process perspective.

Q5.4 Law MCQ · 2 marks SEBI (ICDR) Regulations, 2018 - Eligibility for IPO (Regulation 6(1))

TJL: NTA Rs 3.25/3.10/3.50 crore (60% monetary, 70% of it firmly committed), operating profit Rs 18/16/17 crore, net worth Rs 1.5 crore each year, name changed 10 months ago with 52% revenue from the new line. Is it eligible for an IPO?

(a) Yes - all thresholds met and excess monetary assets committed to business use

(b) No - more than 50% of net tangible assets are monetary assets

(c) No - operating profit test is not met in all three years

(d) No - name changed within a year and less than 60% revenue came from the new activity

CLUE IN THE CASE

TJL planning to go public has provided the following financial details

THINK

1. IPO eligibility → ICDR Regulation 6(1) (profitability route) - four tests.
2. Chapter clear → SPOM-A → SEBI ICDR → 'eligibility requirements for initial public offer'.
3. NTA >= Rs 3 crore each year; monetary assets 60% > 50% but the excess is firmly committed → pass; average operating profit 17 >= 15 with profit every year → pass.
4. Net worth 1.5 >= 1 each year → pass; name change test needs >= 50% revenue from the new activity: 52% → pass → (A).

LOOK UP

SPOM-A - SEBI (ICDR) Regulations 2018, Regulation 6 | eligibility for initial public offer | net tangible assets | monetary assets | average operating profit | change of name

ANSWER

(A) Yes - all key thresholds are met and the excess monetary assets are committed to business use.

WORKING

Reg 6(1): (a) NTA of at least Rs 3 crore in each of the preceding 3 full years, with not more than 50% in monetary assets - if more, the issuer must have firmly committed to use the excess in its business: 3.25, 3.10, 3.50 crore; 60% monetary but 70% of it committed → met. (b) Average operating profit at least Rs 15 crore over 3 years, with operating profit in each year: (18 + 16 + 17)/3 = 17 → met. (c) Net worth at least Rs 1 crore in each year: 1.5 → met. (d) Name changed within the last year: at least 50% of the last full year's revenue from the activity shown by the new name: 52% → met.

Trap: Picking (D) by remembering 60% - the name-change test is 50% of revenue.

Q5.5 FR MCQ · 2 marks

Ind AS 115 Revenue from Contracts with Customers - customer options for additional services (renewal options)

500 members pay Rs 12,000 for year 1 with renewal options at Rs 10,000 (year 2) and Rs 8,000 (year 3); attrition 40% a year. Revenue and contract liability in year 1?

(a) Rs 60,00,000; Nil

(b) Rs 53,26,530; Rs 6,73,470

(c) Rs 52,36,350; Rs 7,63,650

(d) Rs 54,13,045; Rs 5,86,955

CLUE IN THE CASE

the option to renew is given to the customers for Rs 10,000 and Rs 8,000

THINK

1. Discounted renewal option = material right → Ind AS 115 customer options (practical alternative for renewals).
2. Chapter clear → FR SM → Ind AS 115 → 'customer options' / renewal illustration; replace the figures.
3. Expected members 500, 300, 180 = 980 member-years; expected cash 60,00,000 + 30,00,000 + 14,40,000 = 1,04,40,000.
4. Per member-year 10,653.06 → year 1 revenue 53,26,530; liability 60,00,000 - 53,26,530 = 6,73,470 → (B).

LOOK UP

ICAI SM FR - Ind AS 115 (customer options, renewal options) material right renewal option customer options for additional goods or services practical alternative

ANSWER

(B) Revenue Rs 53,26,530; contract liability Rs 6,73,470.

WORKING

Renewals at lower prices are a material right. Practical alternative: allocate total expected consideration over total expected services. Members: Y1 500; Y2 500 x 60% = 300; Y3 300 x 60% = 180; total 980. Consideration: 500 x 12,000 = 60,00,000; 300 x 10,000 = 30,00,000; 180 x 8,000 = 14,40,000; total 1,04,40,000. Per member-year = 1,04,40,000/980 = Rs 10,653.06. Year 1 revenue = 500 x 10,653.06 = Rs 53,26,530. Cash 60,00,000 - revenue = contract liability Rs 6,73,470.

Trap: Recognising the full Rs 60 lakh (A) - the discount on renewals is a material right that defers part of year-1 cash.

Q5.6 Costing Descriptive · 5 marks

Standard Costing - planning and operational variances (market size and market share), marginal costing reconciliation

Reconcile budgeted profit Rs 34 lakh to actual profit Rs 17 lakh for the stone unit under marginal costing, splitting volume into market size and market share effects.

CLUE IN THE CASE

total market size would be 40 lakh units

THINK

1. 'Market size' + marginal costing reconciliation → sales volume contribution variance split into market size (planning) and market share (operational).
2. Chapter clear → SPOM-B → Standard Costing → 'market size variance', 'market share variance' illustration; swap figures.
3. Per unit: budget price 10.50, VC 6.30, contribution 4.20; actual price 11.00, VC 7.00; budget share 50%, actual share 46%.
4. Variances: size -5.25, share -6.30, price +8.625, VC -12.075, fixed -2.00 (Rs lakh) → 34 to 17.

LOOK UP

ICAI SPOM-B SCPM - Standard Costing (planning and operational variances) market size variance market share variance sales volume contribution variance reconciliation of profit

ANSWER

Statement of reconciliation - budgeted vs actual profit (Rs):
Budgeted profit 34,00,000
Less: Sales volume contribution - planning (market size) variance (A) 5,25,000
Less: Sales volume contribution - operational (market share) variance (A) 6,30,000
Add: Sales price variance (F) 8,62,500
Less: Variable cost variance (A) 12,07,500
Less: Fixed cost expenditure variance (A) 2,00,000
Actual profit 17,00,000

Workings

Budget share 20,00,000/40,00,000 = 50%; actual share 17,25,000/37,50,000 = 46%.
Budgeted contribution per unit = (210 - 126) lakh / 20 lakh = Rs 4.20; std price Rs 10.50; actual price Rs 11.00; std VC Rs 6.30; actual VC Rs 7.00.
Market size = 50% x (37,50,000 - 40,00,000) x 4.20 = 5,25,000 (A).
Market share = (46% - 50%) x 37,50,000 x 4.20 = 6,30,000 (A).
Price = 17,25,000 x (11.00 - 10.50) = 8,62,500 (F).
Variable cost = 17,25,000 x (6.30 - 7.00) = 12,07,500 (A).
Fixed cost = 50,00,000 - 52,00,000 = 2,00,000 (A).

WORKING

Budget share = 20/40 = 50%; actual share = 17.25/37.50 = 46%. Budget per unit: price 210/20 = 10.50; VC 126/20 = 6.30; contribution 4.20. Actual per unit: price 189.75/17.25 = 11.00; VC 120.75/17.25 = 7.00. Market size (planning) = 50% x (37.5 - 40) lakh x 4.20 = Rs 5,25,000 A. Market share (operational) = (46% - 50%) x 37.5 lakh x 4.20 = Rs 6,30,000 A. Sales price = 17.25 lakh x (11.00 - 10.50) = Rs 8,62,500 F. Variable cost = 17.25 lakh x (6.30 - 7.00) = Rs 12,07,500 A. Fixed cost expenditure = 50 - 52 = Rs 2,00,000 A. 34,00,000 - 5,25,000 - 6,30,000 + 8,62,500 - 12,07,500 - 2,00,000 = 17,00,000.

Trap: Valuing volume variances at standard selling price or profit - under marginal costing use budgeted contribution per unit (Rs 4.20).

Q5.7 IDT **Descriptive · 5 marks** Customs - Warehousing (ss.59-61, 72) with rate of exchange (s.14) and rate of duty (s.15)

Diamonds (AV USD 5,00,000) warehoused on 27.09.2024 were not removed in time; a s.72 notice was issued; cleared 30.03.2025. Compute duty and interest (ignore AIDC; IGST exempt).

CLUE IN THE CASE

notice was issued under section 72 of the Customs Act, 1962

THINK

1. 'Warehouse' + 'section 72' → Customs warehousing: rate of exchange, rate of duty on deemed improper removal, interest after 90 days.
2. Chapter clear → IDT SM → Customs → Warehousing → 'goods not removed within permissible period' + 'interest beyond 90 days'.
3. Exchange rate: date of into-bond bill of entry (20 Sep) = Rs 81; BCD: rate on the date goods should have been removed - ICAI takes the 10 Dec rate, 10%.
4. Interest 15% p.a. from end of 90 days (26 Dec) to payment (30 Mar) = 94 days.

LOOK UP

ICAI SM IDT - Customs: Warehousing; Valuation warehoused goods | section 72 | improper removal | interest after 90 days | into-bond bill of entry

ANSWER

Computation (Rs):
Assessable value USD 5,00,000 x Rs 81 (rate on date of into-bond bill of entry, 20.9.2024) = 4,05,00,000
BCD @10% (rate on the date goods should have been removed - deemed improper removal u/s 72; 10 Dec rate) = 40,50,000
SWS @10% of BCD = 4,05,000
Total customs duty = 44,55,000
Interest: 90 days from order dated 27.9.2024 expire on 26.12.2024; interest @15% p.a. from 27.12.2024 to 30.3.2025 = 5 + 31 + 28 + 30 = 94 days.
Interest = 44,55,000 x 15% x 94/365 = 1,72,097
Total duty + interest = 46,27,097
Note: assumed the BCD rate notified on 10 December continued on the last date for removal.

WORKING

AV = USD 5,00,000 x Rs 81 (rate on date of presentation of the into-bond bill of entry, s.14) = Rs 4,05,00,000. Goods not removed in time are deemed improperly removed on the day they should have been removed (s.72) → duty at the rate in force on that day: BCD 10% (10 Dec rate, assumed still in force) = Rs 40,50,000; SWS 10% of BCD = Rs 4,05,000; total duty Rs 44,55,000. Interest u/s 61(2): 90 days from 27.09.2024 end on 26.12.2024; 27.12.2024 to 30.03.2025 = 5 + 31 + 28 + 30 = 94 days; interest = 44,55,000 x 15% x 94/365 = Rs 1,72,097. Total payable Rs 46,27,097.

Note: Facts are muddled (order 'for 4 months', yet ICAI treats 26 Dec as the last removal date); BCD 10% holds on either reading as the next change is only on 30 March - state your assumption.

Trap: Using Rs 85 (clearance date) as the exchange rate - for warehoused goods it is the rate on the into-bond bill of entry date.

Q5.8 DT **Descriptive · 5 marks** Minimum Alternate Tax - Book profit u/s 115JB (Explanation 1)

Compute book profit u/s 115JB for AY 2025-26 from profit Rs 1,425 lakh, given debits (bank interest, tax provision, MSME dues, depreciation incl. revaluation, gratuity, arrear wages) and credits (LTCG, agricultural income).

CLUE IN THE CASE

want to know book profit under section 115JB for the assessment year 2025-26

THINK

1. Book profit → s.115JB Explanation 1: only the listed add-backs and deductions; s.43B, s.50C and tax depreciation do not matter.
2. Chapter clear → DT SM → MAT → Explanation 1 items → tick each case item against the list.
3. Add: income-tax provision 105, depreciation 360; gratuity provision is actuarial = ascertained → no add-back.
4. Less: book depreciation excluding revaluation 210, agricultural income 20 (s.10) → book profit 1,660.

LOOK UP

ICAI SM DT - Minimum Alternate Tax (s.115JB) book profit Explanation 1 to section 115JB revaluation depreciation unascertained liability section 10 income

ANSWER

Computation of book profit u/s 115JB, AY 2025-26 (Rs lakh):
Profit as per Statement of P&L 1,425
Add (Explanation 1):
Provision for income-tax 105
Depreciation debited 360
Bank term loan interest - not a listed item (s.43B irrelevant) - Nil
MSME dues - not a listed item - Nil
Gratuity provision (actuarial, ascertained liability) - Nil
Arrear wages of FY 2022-23 - not a listed item - Nil
Total additions 465 → 1,890
Less:
Depreciation excluding revaluation (360 - 150) 210
Agricultural income (exempt u/s 10(1)) 20
LTCG on commercial apartments - not a listed item - Nil
Depreciation as per IT Rules - not relevant - Nil
Total deductions 230
Book profit 1,660

WORKING

Net profit 1,425. Add: provision for income-tax 105; depreciation 360. No adjustment: bank interest unpaid (s.43B not relevant for MAT); MSME dues (s.43B(h) not relevant); gratuity provision on actuarial basis (ascertained liability - Echjay Forgings); arrear wages of FY 2022-23 (not a listed item). Subtotal 1,890. Less: depreciation excluding revaluation (360 - 150) 210; agricultural income 20 (exempt u/s 10(1)). Not deducted: LTCG 720 (stays in book profit; s.50C value irrelevant); tax depreciation 280. Book profit = 1,890 - 230 = Rs 1,660 lakh.

Trap: Adding back the actuarial gratuity provision or deducting tax depreciation (Rs 280 lakh) - neither is an Explanation 1 item.

May 2025

ICAI question paper · ICAI answers

What this paper teaches

- Read dates as hard as numbers: s.164(2) bar starts 31.10.2023, customs exchange rate follows the warehousing BoE but duty rate the ex-bond BoE, and 23.07.2024 / 01.10.2024 change capital gains and buyback tax.
- Marks were lost on case-based numbers, not theory: EVA, make-or-buy sensitivity (Rs 618.45) and the s.92CE tax figure (Rs 25,15,968) were where most students scored poorly.
- Expect bait data: CII in a s.47(vib) demerger, fixed cost per unit in a throughput ranking, 'reasons other than supply' for an e-way bill - ask whether a figure matters before using it.
- Two MCQs had two accepted keys (2.4, 3.4) and one had none (4.1): if no option fits fully, tick the closest within 3 minutes and move on.
- Theory scores only with case headings and facts: write 2.6 as inbound vs outbound with figures, and name Christensen & Kagermann's components in 5.6(ii).

Case 1: Life Education Ltd.

Mumbai start-up (May 2019) selling online exam coaching and making tabs for its students. The case mixes an ESOP to a director, a CGU impairment, a GST special audit, a director's disqualification, a JV asset transfer and an incentive approved after the audit report.

Marks: FR 7, AFM 5, Law 5, Audit 2, IDT 2, DT 2, Costing 2 · Moderate

First 15 min: Attempt if FR and Law are strong: 1.8 impairment and 1.6 disqualification are 10 near-standard marks; 1.7 EVA is the time sink because the case P&L does not add up.

Q1.1 Costing MCQ · 2 marks SCMPE (SPOM Set B) Ch 5 - business models: Freemium Model (SM 5.31)

Name the business model where the basic online service is free and higher service levels need an upgrade fee.

(a) Promotion

(b) Premium

(c) Freemium

(d) Subscription

CLUE IN THE CASE

'basic information without involvement of money... a separate upgradation fee would be charged'

THINK

1. Free basic tier + paid upgrade = freemium (free + premium)
2. Business-model words → Costing (SPOM Set B), not obvious which chapter → A-Z index → "freemium" → SCMPE SM 5.31
3. Subscription charges a recurring fee from day one; here the basic tier is free → reject (d)
4. Known without the book → answer in a minute and bank the time

LOOK UP

ICAI SM SPOM Set B (SCMPE) - Ch 5, Freemium Model (5.31) freemium model business model subscription model

ANSWER

(c) Freemium

WORKING

Freemium = basic product or service given free to build a large user base; revenue comes from users who upgrade to paid premium features. LEL gives basic services against just user information and charges an upgrade fee by level of service → freemium.

Trap: Picking (d) Subscription because the fee rises with service level; a subscription model has no free tier.

Q1.2 Audit MCQ · 2 marks Completion and Review - SA 560 Subsequent Events

After the audit report (04.05.2025) the Board amends the FS to book a Rs 58 crore incentive and asks for a fresh report. Can the auditor issue one, and with what disclosure?

(a) Yes - new report dated not earlier than 01.06.2025; disclose it in the 'other reporting responsibilities' paragraph

(b) No - report already issued and money received next year; only an amendment of the original report is allowed

(c) Yes - new report dated the same as the original report, with an Emphasis of Matter / Other Matter paragraph

(d) Yes - new report dated not earlier than 01.06.2025, with an Emphasis of Matter / Other Matter paragraph

CLUE IN THE CASE

'the Board amended the accounts... requested the Auditor... issue a fresh audit report'

THINK

1. Event after the report date + management amends the FS = SA 560 'facts that become known after the FS have been issued'
2. Chapter clear → Audit SM → SA 560 → 'management amends the financial statements'
3. SA 560: audit the amendment, extend subsequent-event procedures to the new date, issue a NEW report dated not earlier than approval of the amended FS
4. The new report must carry an EOM/OM paragraph pointing to the note on the amendment and to the earlier report → (d)

LOOK UP

ICAI SM Audit - SA 560 Subsequent Events SA 560

facts which become known after the financial statements have been issued | new auditor's report | amendment of financial statements

ANSWER

(d) Yes - new audit report dated not earlier than 01.06.2025, with an Emphasis of Matter / Other Matter paragraph.

WORKING

SA 560: if management amends issued FS, the auditor (i) performs the procedures needed on the amendment, (ii) extends subsequent-event procedures up to the new report date, (iii) issues a new report dated not earlier than the date of approval of the amended FS, and (iv) adds an Emphasis of Matter or Other Matter paragraph referring to the note that explains the amendment and to the earlier report. Amended FS approved on 01.06.2025 → new report dated 01.06.2025 or later, with EOM/OM.

Trap: Picking (c): a new report can never carry the old date because it covers procedures up to approval of the amended FS.

Q1.3 IDT MCQ · 2 marks GST - Assessment and Audit (special audit u/s 66)

The department alleges a wrong GST rate and orders a special audit of FY 2021-22 by ABC LLP. Is the special audit valid, and what is the time limit?

(a) Valid; maximum 180 days from commencement of audit

(b) Valid; to be completed on or before 31.03.2025

(c) Valid; 90 days, extendable by another 90 days

(d) Special audit cannot be carried out in these circumstances

CLUE IN THE CASE

'GST paid by the company is incorrect due to wrong GST rate selection'

THINK

1. 'Special audit' + 'Commissioner nominated' = s.66 CGST - but test the GROUNDS before the time limit
2. IDT SM → Assessment and Audit → special audit u/s 66(1)
3. s.66 allows it only if (i) value is not correctly declared or (ii) ITC availed is not within normal limits; a wrong-rate (classification) dispute is neither
4. Ground fails → special audit cannot be ordered → (d); the 90 + 90 days in (c) is a distractor

LOOK UP

ICAI SM IDT - Assessment and Audit (s.66 special audit) special audit section 66 value not correctly declared credit availed not within normal limits

ANSWER

(d) Special audit cannot be carried out under the given circumstances.

WORKING

s.66(1): during scrutiny, inquiry, investigation or other proceedings, an officer not below Assistant Commissioner may, with the Commissioner's prior approval, direct a special audit by a CA/CMA nominated by the Commissioner - only if, considering the nature and complexity of the case and the interest of revenue, he believes (a) the value has not been correctly declared, or (b) the credit availed is not within normal limits. Report is due in 90 days, extendable by 90 days. Here the only allegation is a wrong GST rate - a rate/classification issue, not value or ITC. The pre-condition for special audit is not met.

Note: ICAI gives no reasoning; (d) holds on a strict reading that a rate dispute is not 'value not correctly declared' - read wrong rate as wrong value and (c) looks right.

Trap: Jumping to the 90 + 90 day rule (c) without checking whether a s.66 ground exists.

Q1.4 DT MCQ · 2 marks Deduction, Collection and Recovery of Tax - TDS on salary (s.192(1C))

LEL, an eligible start-up, allotted 50,000 ESOP shares to Dr Bhalla at Rs 10 when FMV was Rs 50. How is TDS handled for AY 2025-26?

(a) TDS @30% on Rs 20 lakh ESOP benefit plus normal TDS u/s 192 on Rs 60 lakh salary

(b) TDS on Rs 80 lakh (ESOP benefit + salary) at normal rates u/s 192

(c) LEL may defer TDS on the ESOP; it is deducted after expiry of certain timelines / happening of certain events

(d) No TDS at all - ESOP allotment by an eligible start-up is exempt from withholding

CLUE IN THE CASE

'eligible start-up incorporated in May 2019... ESOP... issued at face value of Rs 10'

THINK

1. 'Eligible start-up' + 'ESOP' together = s.192(1C) deferred TDS
2. Perquisite = (50 - 10) x 50,000 = Rs 20 lakh, taxable as salary u/s 17(2)(vi) in AY 2025-26
3. DT SM → TDS on salary → s.192(1C): TDS on the ESOP perquisite within 14 days of the earliest of 48 months from end of the AY / sale of the shares / leaving the employer
4. So a deferral, not an exemption → (c)

LOOK UP

ICAI SM DT - TDS on salary, s.192(1C) section 192(1C) eligible start-up ESOP perquisite specified security

ANSWER

(c) LEL can defer TDS on the Rs 20 lakh ESOP perquisite; it is deducted only after the specified timelines/events u/s 192(1C).

WORKING

Perquisite = 50,000 x (50 - 10) = Rs 20,00,000, taxable in AY 2025-26 (exercised and allotted in October 2024). For an eligible start-up u/s 80-IAC, s.192(1C) lets the employer deduct TDS on this perquisite within 14 days of the earliest of: (i) expiry of 48 months from the end of AY 2025-26, (ii) sale of the shares by Dr Bhalla, (iii) his ceasing to be in employment. TDS on the Rs 60 lakh salary continues normally. He still holds the shares and still serves → TDS on the ESOP part is deferred.

Trap: Picking (d): the start-up relief only defers TDS and tax payment; it never exempts the perquisite.

Q1.5 FR MCQ · 2 marks Ind AS 28 Investments in Associates and Joint Ventures (with Ind AS 111)

LEL transfers equipment (carrying amount Rs 9 crore) to its 50% JV OEL at market value Rs 8 crore. How is the Rs 1 crore loss treated?

(a) Recognise the Rs 1 crore loss in two instalments of Rs 50 lakh over two years

(b) Recognise impairment loss of Rs 1 crore immediately

(c) Recognise it in five instalments of Rs 20 lakh as the project is reviewed after 5 years

(d) No loss - the transfer is an investment in the JV

CLUE IN THE CASE

'equipment to OEL for Rs 8 crores being its Market value... carrying value... 9 crores'

THINK

1. Asset passed by the investor to its JV = downstream transaction; OEL is a jointly controlled company → JV (Ind AS 111), equity method (Ind AS 28)
2. FR index → Ind AS 28 → 'downstream transactions' / 'reduction in net realisable value'
3. Gains are eliminated to the investor's share, but a loss that evidences impairment is recognised IN FULL
4. Market value 8 < carrying 9 → Rs 1 crore impairment, recognised now → (b)

LOOK UP

ICAI SM FR - Ind AS 28 (downstream transactions) downstream transaction joint venture reduction in net realisable value impairment loss

ANSWER

(b) Recognise impairment loss of Rs 1 crore immediately.

WORKING

OEL is jointly controlled through a separate entity → joint venture, equity method. In a downstream sale or contribution, unrealised gains are eliminated to the extent of the investor's interest; but where the transaction shows a reduction in NRV or an impairment of the asset, the investor recognises that loss in full. Carrying Rs 9 crore vs market value Rs 8 crore → Rs 1 crore loss to P&L immediately; no spreading over the project life or review period.

Trap: Eliminating 50% of the loss like an unrealised gain; a loss that evidences impairment is not eliminated.

Q1.6 Law Descriptive · 5 marks

Companies Act, 2013 - Appointment and Qualifications of Directors (s.164, s.167; Rule 11 DIN)

From when is Radhika disqualified, is her September 2024 re-appointment valid, and will her DIN be deactivated?

CLUE IN THE CASE

'PQR Ltd. did not file its financial statements for... 31.03.2021, 31.03.2022 and 31.03.2023'

THINK

1. 3 continuous years of non-filing by another company = s.164(2)(a); the marks are in the EXACT date (examiners said most missed it)
2. Corporate Laws SM → Appointment and Qualifications of Directors → s.164(2), s.167(1)(a) proviso; DIN → Rule 11
3. Date: FY 2022-23 AGM by 30.09.2023 (s.96) + FS filing within 30 days (s.137) = 30.10.2023 → disqualified from 31.10.2023 to 30.10.2028
4. Apply each date: 25.09.2023 re-appointment valid (not yet disqualified) → vacates on 31.10.2023 → 15.09.2024 appointment void (later filing does not cure) → DIN stays (not a Rule 11 ground)

LOOK UP

ICAI SM Corporate Laws (SPOM Set A) - Appointment and Qualifications of Directors section 164(2) disqualification of director section 167 vacation of office Rule 11 DIN deactivation

ANSWER

Provision: s.164(2)(a) - a director of a company that has not filed FS/annual returns for 3 continuous FYs cannot be re-appointed there or appointed in any other company for 5 years from the date of default. s.167(1)(a) proviso - she vacates office in every company except the defaulting one.

Date of disqualification: PQR's third default (FY 2022-23) = FS not filed by 30.10.2023 (AGM by 30.09.2023 u/s 96 + 30 days u/s 137). Radhika is disqualified from 31.10.2023 till 30.10.2028.

Analysis

- 25.09.2023 re-appointment at LEL: valid on that date, but she vacates office u/s 167(1)(a) on 31.10.2023.
- 15.09.2024 re-appointment: not valid - she is within the 5-year bar; PQR filing its FS on 08.05.2024 does not remove the disqualification.

DIN: Not deactivated. Rule 11 of the Companies (Appointment and Qualifications of Directors) Rules, 2014 does not make s.164(2) disqualification a ground to cancel or deactivate DIN; the disqualification is only temporary.

Conclusion: Disqualified from 31.10.2023; the September 2024 appointment is void; DIN continues.

WORKING

s.164(2)(a): a person who is or has been a director of a company that has not filed FS or annual returns for any continuous 3 FYs cannot be re-appointed in that company or appointed in any other company for 5 years from the date the company fails to file. s.167(1)(a) proviso: such a director vacates office in all companies other than the defaulting one. FY 2022-23: AGM due by 30.09.2023, FS due with ROC within 30 days of AGM = 30.10.2023. Third continuous default occurs on 31.10.2023 → disqualified 31.10.2023 to 30.10.2028. 25.09.2023 re-appointment at LEL was valid when made, but she vacates office on 31.10.2023; the 10.04.2024 resignation is academic. 15.09.2024 appointment falls inside the 5-year bar; PQR's filing on 08.05.2024 does not lift it → invalid. Rule 11 of the Companies (Appointment and Qualifications of Directors) Rules, 2014 lists the grounds for cancelling/deactivating DIN (death, unsound mind, insolvency, duplicate DIN, DIN obtained wrongfully, etc.); s.164(2) disqualification is not one and is temporary → DIN not deactivated.

Trap: Counting the 5 years from March 2024 (when the Board learnt of it), or treating PQR's late filing as curing the bar.

Q1.7 AFM | Costing | Descriptive · 5 marks

AFM - Business/Corporate Valuation: Economic Value Added (also SCMPE - Performance Measurement)

As management, show from the summary financial statements that management is efficient.

CLUE IN THE CASE

'how will you indicate the efficiency of the management... summary of financial statements'

THINK

1. 'Efficiency of management' + Ke 9%, Kd 15%, a tax rate and a provision to add back = value-creation test → EVA (examiners: most wrote theory and scored poorly)
2. Unsure where → A-Z index → 'Economic Value Added' → AFM valuation / SCMPE performance measurement
3. NOPAT = EBIT x (1 - 17.16%) + bad-debt provision 50; invested capital = total assets - non-interest-bearing liabilities + 50; WACC on book weights
4. EVA Rs 445.96 lakh, positive → management is creating value; say so in 2-3 lines with the ROIC vs WACC spread

LOOK UP

ICAI SM AFM - Business Valuation (EVA); SCMPE - Performance Measurement | Economic Value Added | NOPAT | capital charge | WACC

ANSWER

Measure: Economic Value Added - profit left after charging the cost of ALL capital (debt and equity).

Working (Rs lakh)

Tax rate u/s 115BAB = 15% + SC 10% + HEC 4% = 17.16%
EBIT 724.29 less tax @17.16% (124.29) = 600.00
Add: bad-debt provision (non-cash) = 50.00
NOPAT = 650.00

Total assets 2,500 less non-interest-bearing liabilities 400 = capital employed 2,100
Add: provision 50 → invested capital 2,150

WACC = 1,800/2,100 x 9% + 300/2,100 x 15% x (1 - 0.1716) = 7.71% + 1.78% = 9.49%
Capital charge = 2,150 x 9.49% = 204.04
EVA = 650.00 - 204.04 = 445.96

Interpretation:
- EVA is large and positive: return on invested capital about 30% against a 9.49% cost of capital.
- Costs are under control (EBIT margin about 29%), debt is a small, cheap part of capital (post-tax 12.4%), and the concessional 115BAB rate lifts post-tax returns.
- Conclusion: management's decisions have created shareholder value; management is efficient.

(If NOPAT is built from the given EBT of 600: NOPAT 629.88, EVA 425.84 - ICAI accepts this too.)

WORKING

Tax u/s 115BAB = 15% x 1.10 x 1.04 = 17.16%.
NOPAT = 724.29 x (1 - 0.1716) = 600.00; add back non-cash bad-debt provision 50 → 650.00 lakh.
Capital employed = 2,500 - 400 = 2,100 (= equity 1,500 + reserves 300 + debt 300); add provision 50 → invested capital 2,150.
Kd after tax = 15% x 0.8284 = 12.426%.
WACC = 1,800/2,100 x 9% + 300/2,100 x 12.426% = 7.714% + 1.775% = 9.49%.
Capital charge = 2,150 x 9.49% = 204.04.
EVA = 650.00 - 204.04 = 445.96 lakh. ROIC = 650/2,150 = 30.2% vs WACC 9.49%.

Note: Case P&L doesn't add up (EBIT 724.29 - interest 100 = 624.29, not 600), hence two accepted EVAs; 115BAB normally needs incorporation on/after 01.10.2019, but use the case fact.

Trap: Deducting interest again inside NOPAT, or adding the Rs 50 lakh provision to NOPAT but not to capital (stay consistent).

Q1.8 FR Descriptive · 5 marks Ind AS 36 Impairment of Assets

LEL carries CGU 'Wing W' at Rs 1,200 lakh on 31.03.2025. Is that right?

CLUE IN THE CASE

'recoverable amount of Rs 1,100 lakhs... goodwill of Rs 400 lakhs was allocated to it'

THINK

1. Recoverable amount + CGU + allocated goodwill = Ind AS 36 impairment of a CGU
2. FR index → Ind AS 36 → 'allocating an impairment loss to a CGU'; use the SM illustration and replace figures
3. Goodwill is never amortised under Ind AS - keep it at 400; depreciate only the identifiable assets: 2,000/20 x 8 years = 800
4. Carrying 1,600 vs recoverable 1,100 → loss 500 → goodwill 400 first, then 100 to other assets → correct carrying amount 1,100

LOOK UP

ICAI SM FR - Ind AS 36 (CGU and goodwill) cash-generating unit | allocation of impairment loss | goodwill | recoverable amount

ANSWER

Ind AS 36: when a CGU's carrying amount (including allocated goodwill) exceeds its recoverable amount, the impairment loss is charged to P&L and allocated first to goodwill, then to the other assets pro rata.

(Rs lakh)	Goodwill	Other assets	Total
Cost on 01.04.2017	400	2,000	2,400
Depreciation for 8 years (2,000/20 x 8)	-	(800)	(800)
Carrying amount 31.03.2025	400	1,200	1,600
Impairment loss	(400)	(100)	(500)
Carrying amount after impairment	Nil	1,100	1,100

Conclusion: Do not agree. Recoverable amount is Rs 1,100 lakh, so an impairment loss of Rs 500 lakh goes to P&L (Rs 400 lakh goodwill written off, Rs 100 lakh against Wing W's assets). Wing W should be carried at Rs 1,100 lakh, not Rs 1,200 lakh.

WORKING

Identifiable assets: cost 2,000, life 20 years → 100 a year x 8 years (2017-18 to 2024-25) = 800 → carrying 1,200. Goodwill 400 (not amortised under Ind AS 103/36). CGU carrying amount = 1,200 + 400 = 1,600. Recoverable 1,100 → impairment 500. Allocate: goodwill 400 (to nil), balance 100 to other assets → 1,100. Books at 1,200 ignore both goodwill and impairment - wrong.

Trap: Amortising goodwill, or comparing only 1,200 with 1,100 and calling the loss Rs 100 lakh.

Case 2: Emm Vee Motors Limited (EVML)

A large truck maker hit by a freight recession (sales down 14.29%, inventories piling up) rebuilds its supply chain with JIT, tiered suppliers and 3S dealerships. The case adds warranties, an MD appointment, guarantees, a Euro payable and a transfer-pricing addition.

Marks: Costing 8, AFM 5, DT 4, IDT 4, FR 2, Law 2 · Moderate

First 15 min: Pick if AFM/DT are strong: the forex borrowing choice (5) and s.92CE (4) are formula marks; 2.6 is a 6-mark essay written straight from the case paragraphs.

Q2.1 Costing MCQ · 2 marks SCMPE - Lean System and Innovation (Just-in-Time)

Which statements explain the success of EVML's supply chain change? (i) pull/JIT gave net saving Rs 25.80 crore; (ii) pull/JIT gave net saving Rs 18.30 crore; (iii) flexible, responsive chain - tiering improved supplier relations and quality; (iv) tiering centralised all supplier functions and removed local suppliers.

(a) (i) and (iv)

(b) (i) and (iii)

(c) (ii) and (iii)

(d) (i), (iii) and (iv)

CLUE IN THE CASE

'JIT system reduced the annual average inventory of materials by 75%'

THINK

1. Two statements differ only in the figure → compute the JIT net saving first
2. SCMPE → Lean System and Innovation → JIT cost-benefit (replace figures in the SM illustration)
3. Carrying cost 10% x 180 = 18; insurance/warehousing 60% x 5 = 3; payroll reduced TO 60% → saving 40% x 12 = 4.8; total 25.8 - JIT cost 7.5 = 18.3
4. (iv) false - local suppliers were kept with warehouses 35-40 minutes away → (ii) + (iii)

LOOK UP

ICAI SCMPE - Lean System and Innovation (JIT) | just-in-time | inventory carrying cost | pull system

ANSWER

(c) (ii) and (iii)

WORKING

Inventory cut = 75% x 240 = 180 crore → return saved at 10% = 18.00
Insurance & warehousing saved = 60% x 5 = 3.00
Payroll now 60% of 12 = 7.20 → saving 4.80
Gross saving 25.80 - additional JIT cost 7.50 = net saving 18.30 crore.
(i) quotes the gross figure - wrong. (ii) right. (iii) right - tier-1 suppliers backed by tier-2/3 improved coordination and quality. (iv) wrong - local suppliers were retained near the plants.

Trap: Reading payroll 'reduced to 60%' as 'reduced by 60%', or forgetting the Rs 7.5 crore JIT running cost.

Q2.2 FR MCQ · 2 marks Ind AS 37 Provisions, Contingent Liabilities and Contingent Assets; Ind AS 115 (warranties)

Which are correct? (i) the 01.11.2024 board resolution creates a constructive obligation; (ii) not announced, so no constructive obligation and no provision; (iii) Rs 15,000 extended warranty is a contract liability recognised over the 2-year extended period, costs as incurred; (iv) the resolution must still be disclosed.

(a) (i), (iii)

(b) (ii), (iii)

(c) (i), (iii), (iv)

(d) (ii), (iii) and (iv)

CLUE IN THE CASE

'this matter was neither announced to the public nor intimated to affected parties'

THINK

1. Board decision + 'not announced' = Ind AS 37 constructive obligation test
2. FR index → Ind AS 37 → 'constructive obligation' (valid expectation in others); extended warranty → Ind AS 115 'warranties'
3. An uncommunicated board decision creates no valid expectation → no provision, nothing to disclose → (i) and (iv) out
4. Extended warranty bought separately = service-type → separate PO → deferred and recognised over the 2 years → (iii) in → (b)

LOOK UP

ICAI SM FR - Ind AS 37; Ind AS 115 (warranties) constructive obligation board decision service-type warranty assurance-type warranty

ANSWER

(b) (ii), (iii)

WORKING

A constructive obligation arises only when past practice, published policy or a specific current statement has created a valid expectation in others. A board decision not communicated before the reporting date creates none → no provision ((ii) true, (i) false) and no disclosure ((iv) false). The optional, separately priced extended warranty is a service-type warranty → separate performance obligation; Rs 15,000 is a contract liability recognised as revenue over the 2-year extended cover, with repair costs expensed as incurred ((iii) true). The 1-year assurance warranty stays under Ind AS 37 (provision for the expected Rs 7,500).

Trap: Treating the board resolution as an obligation because it was 'decided' - Ind AS 37 needs communication that creates a valid expectation.

Q2.3 Law MCQ · 2 marks

Companies Act, 2013 - Appointment of Directors (s.161) and Appointment and Remuneration of Managerial Personnel (s.203(3) proviso)

Which are INCORRECT? (i) additional director only by members at AGM; (ii) only at a Board meeting, not by circulation; (iii) additional-director appointment valid and he can be made MD; (iv) MD appointment needs unanimous consent of all ten directors in India plus specific notice.

(a) (i), (ii)

(b) (ii), (iii), (iv)

(c) (i), (ii), (iv)

(d) (i), (iii), (iv)

CLUE IN THE CASE

'Mr. Nilesh is also a managing Director of PQR Limited... consent of eight directors present'

THINK

1. The question asks for INCORRECT statements - mark each T/F before reading the options
2. Corporate Laws SM → s.161(1) additional director (Board, if articles allow); s.175 circulation; s.179(3) meeting-only matters
3. MD already MD of one other company → s.203(3) proviso: Board meeting, consent of all directors PRESENT, specific notice to all directors in India
4. (i) F, (ii) F (not a meeting-only matter), (iii) T, (iv) F (all present, not all ten) → incorrect = (i), (ii), (iv)

LOOK UP

ICAI SM Corporate Laws - Appointment of Directors; Appointment and Remuneration of Managerial Personnel additional director | section 161 | resolution by circulation | managing director of more than one company

ANSWER

(c) (i), (ii), (iv)

WORKING

(i) Incorrect - s.161(1): articles may empower the Board to appoint an additional director, who holds office till the next AGM. (ii) Incorrect - appointing an additional director is not among the matters that must be passed only at a Board meeting (s.179(3) / Rule 8), so a circular resolution u/s 175 is valid. (iii) Correct. (iv) Incorrect - s.203(3) proviso needs a resolution at a Board meeting with the consent of all directors present, after specific notice of the meeting and the resolution to all directors then in India. All eight present consented and all ten in India got notice → valid; Mr Vinod's objection fails.

Trap: Reading 'incorrect' as 'correct', or thinking all directors in India must consent.

Q2.4 IDT MCQ · 2 marks GST - Value of Supply (rule 28(2) CGST Rules)

Value and GST on EVML's Rs 12 crore, 4-year corporate guarantee for associate DEF Ltd (fee Rs 10 lakh), and on directors' personal guarantee for EVML's own loan.

(a) Corporate guarantee value Rs 10,00,000, GST Rs 1,80,000; personal guarantee value nil, no GST

(b) Corporate guarantee value Rs 12,00,000, GST Rs 2,16,000; personal guarantee value nil, no GST

(c) Corporate guarantee value Rs 48,00,000, GST Rs 8,64,000; personal guarantee value nil, no GST

(d) Corporate guarantee value Rs 48,00,000, GST Rs 8,64,000; personal guarantee at open market value, GST payable

CLUE IN THE CASE

'corporate guarantee of Rs 12 crores for four years... associate Indian company DEF Ltd.'

THINK

1. Guarantee for a related company = rule 28(2) deemed value; directors' guarantee = Circular 204/16/2023-GST
2. IDT SM → Value of Supply → rule 28(2)
3. Higher of 1% a year (12 crore x 1% x 4 = 48 lakh) and actual fee 10 lakh → 48 lakh, GST 8.64 lakh; but if DEF is eligible for full ITC, the invoice value of 10 lakh stands
4. Directors take no consideration → value nil → (c), or (a) under the full-ITC proviso

LOOK UP

ICAI SM IDT - Value of Supply (rule 28(2)) corporate guarantee rule 28(2) related person personal guarantee by director

ANSWER

(c) Rs 48,00,000, GST Rs 8,64,000; personal guarantee value nil (or (a) if DEF Ltd is eligible for full ITC) - ICAI accepts both.

WORKING

Rule 28(2): value of a corporate guarantee to a bank/FI on behalf of a related person = 1% of the guarantee amount for each year (or part) or the actual consideration, whichever is higher. 1% x 12 crore x 4 years = Rs 48,00,000 > fee Rs 10,00,000 → value Rs 48 lakh, GST @18% = Rs 8,64,000. Proviso: if the recipient is eligible for full ITC, the invoice value (Rs 10 lakh; GST Rs 1,80,000) is the value. Directors' personal guarantee for EVML's loan without consideration: Circular 204/16/2023-GST - value treated as zero, no GST.

Note: Two keys because the case doesn't say whether DEF Ltd gets full ITC (rule 28(2) proviso); state the assumption whenever you use either value.

Trap: (b): taking 1% only once - the 1% applies for each year of the guarantee.

Q2.5 IDT MCQ · 2 marks GST - Supply / Input Tax Credit (Circular 195/07/2023-GST on warranty replacements)

Which are INCORRECT? (i) an extended warranty of goods + services sold separately is a mixed supply; (ii) an extended warranty bought with the vehicle forms a mixed supply with the vehicle as principal supply; (iii) GST applies on a warranty sold and charged separately; (iv) no GST on free replacement but ITC on those parts must be reversed.

(a) (i), (ii), (iii)

(b) (i), (iii), (iv)

(c) (ii), (iii), (iv)

(d) (i), (ii), (iv)

CLUE IN THE CASE

'liability to reverse Input Tax Credit (ITC) for supplies related to the replacement of parts'

THINK

1. Warranty + ITC reversal = Circular 195/07/2023-GST - one circular answers all four
2. IDT SM → A-Z index 'warranty' (the circular sits under supply/ITC)
3. Free warranty replacement: no GST and NO ITC reversal (cost is in the original price) → (iv) incorrect
4. Extended warranty with the original sale = COMPOSITE supply, vehicle principal → (ii) wrong ('mixed' and 'principal' cannot go together); bought later = separate supply taxed by its nature, not always mixed → (i) wrong; (iii) right

LOOK UP

ICAI SM IDT - Supply / ITC (Circular 195/07/2023-GST) warranty | replacement of parts | extended warranty | reversal of ITC

ANSWER

(d) (i), (ii), (iv)

WORKING

Circular 195/07/2023-GST: (1) Replacement of parts or repair under warranty by the manufacturer without consideration - no GST; ITC on those parts need not be reversed, since the warranty cost is built into the original price. (2) Extended warranty taken at the time of the original supply - consideration is part of a composite supply, principal supply being the goods. (3) Extended warranty taken later - a separate contract, taxed as a supply of services or goods/composite/mixed supply depending on its nature. So (i), (ii), (iv) are incorrect; (iii) is correct.

Trap: Accepting (ii) because it sounds right - only a composite supply has a principal supply; a mixed supply does not.

Q2.6 Costing · Descriptive · 6 marks · SCMPE - Supply Chain Management (upstream and downstream)

Discuss how EVML improved its inbound and outbound supply chain to cut costs, cut inventory and raise customer satisfaction.

CLUE IN THE CASE

'It was decided to revamp its inbound and outbound supply chain'

THINK

1. 'Inbound and outbound supply chain' = upstream and downstream SCM - the SM headings ARE the answer structure
2. SCMPE → supply chain management → upstream: supplier relationship, number of suppliers, cost-quality-speed, make or buy, IT; downstream: relationship marketing, CRM, customer selection-acquisition-retention-extension, IT, brand
3. Under each heading put 1-2 case facts with figures (examiners marked down generic text and missing headings)
4. Close with the result: inventory down 75%, net saving Rs 18.30 crore, profit up in 2023-24

LOOK UP

ICAI SCMPE - Supply Chain Management | supply chain management | upstream supply chain | downstream supply chain | six markets model

ANSWER

Problem: a 14.29% revenue fall left inventories piling up; EVML re-geared ordering, handling, procurement and inventory control.

A. Inbound (upstream) supply chain

1. Supplier relationship - suppliers treated as partners in progress: technical help to meet quality and delivery; value-engineering savings shared with them.
2. Number of suppliers - 18,000+ parts mapped to supplier part numbers; Pareto showed 25% of 1,500 suppliers gave 80% of business and 60% gave 5%; base cut to 800 through tiering and system buying (deal only with tier-1, backed by tier-2 and tier-3).
3. Cost, quality and speed - value engineering to substitute costly materials and methods; JIT for high-value/low-volume items and low logistics cost for low-value/high-volume items; push replaced by pull; local suppliers' warehouses 35-40 minutes from the plants; ABC classification of parts and suppliers with separate delivery norms; JIT cards by email so parts go straight to the assembly line.
4. Make or buy - maximise bought-out parts, indigenous and imported; global sourcing on quality, price and delivery.
5. Information technology - single-window vendor management system (drawings, prices, quality issues); RFID, GPS tracking, EDI and bar coding.

B. Outbound (downstream) supply chain

1. Distribution - regional distribution centres at strategic points; separate delivery schedules for each product.
2. Relationship marketing - new 3S (Sales, Services, Spares) dealerships, 24x7 outlets and mobile service vans; dealer training twice a year (customer and dealer markets of the six markets model).
3. CRM - customer inputs used to track trends and forecast demand; automated post-delivery feedback set three service targets: order-to-delivery time, reliability of deliveries, order-status information.
4. Customer selection, acquisition, retention and extension - 1-year assurance warranty in the price, optional extended warranty (Rs 15,000), and the Board's resolve to fix technical errors even after warranty.
5. IT and brand - tracking, EDI and automated feedback in the dealer network; a reliable, service-led brand.

C. Result

Average inventory down 75% (Rs 240 crore to Rs 60 crore); net annual saving Rs 18.30 crore after JIT costs; faster delivery to customers and a significant rise in 2023-24 profit.

WORKING

Map each case paragraph to an SM heading. Inbound: JIT + pull; value engineering; supplier partnership with cost-sharing and technical help; Pareto (25% of suppliers = 80% of business) and cut from 1,500 to 800 via tiering/system buying; supplier warehouses 35-40 minutes away; ABC classification with delivery norms; JIT cards by email; single-window vendor system; maximum bought-out parts with global sourcing; RFID, GPS, EDI, bar codes. Outbound: regional distribution centres, product-wise delivery schedules, 3S dealerships, 24x7 outlets and mobile vans, dealer training twice a year, CRM forecasting, automated feedback on three service targets. Result: inventory 240 → 60 crore, net saving 18.30 crore.

Trap: Writing generic supply-chain theory without inbound/outbound headings and case figures - examiners marked this below average for exactly that.

Q2.7 AFM Descriptive · 5 marks AFM - Foreign Exchange Exposure and Risk Management

EVML needs EUR 5,00,000 for 90 days and takes no currency risk. Should it borrow in Euro or in US dollar? (1 year = 360 days)

CLUE IN THE CASE

'Policy of the company is not to take any currency risk... 90 days swap: 20/25'

THINK

1. 'No currency risk' = cover the repayment forward; compare the final rupee outflow of each loan
2. AFM → forex exposure → forward rate from swap points (ascending = add, descending = subtract) and cross rates
3. EUR loan: borrow at 4.25% (offer), repay in EUR, buy EUR forward at 90.35 + 0.25 = 90.60
4. USD loan: buy EUR at USD 1.0240 → borrow USD 5,12,000 at 5%; buy USD forward with rupees at 90.60 / 1.0205 = 88.78; compare

LOOK UP

ICAI SM AFM - Foreign Exchange Exposure and Risk Management | swap points | forward rate | cross rate | borrowing in foreign currency

ANSWER

1. Euro loan
Principal EUR 5,00,000 + interest @4.25% x 90/360 = EUR 5,312.50 → repay EUR 5,05,312.50
90-day forward Rs/EUR (ask) = 90.35 + 0.25 = 90.60
Rupee outflow = 5,05,312.50 x 90.60 = Rs 4,57,81,312.50

2. US dollar loan
USD needed to buy EUR 5,00,000 = 5,00,000 x 1.0240 = USD 5,12,000
Interest @5% x 90/360 = USD 6,400 → repay USD 5,18,400
90-day forward USD/EUR = 1.0205 / 1.0230 (swap 15/10 is descending, so deducted)
Rs/USD for buying USD = 90.60 / 1.0205 = Rs 88.78
Rupee outflow = 5,18,400 x 88.78 = Rs 4,60,23,552

Decision: the Euro loan costs Rs 2,42,239.50 less. Borrow in Euro and reject the banker's dollar-loan suggestion.

WORKING

EUR loan: interest = 5,00,000 x 4.25% x 90/360 = 5,312.50 → repay EUR 5,05,312.50. Forward Rs/EUR ask = 90.35 + 0.25 = 90.60. Outflow = 5,05,312.50 x 90.60 = Rs 4,57,81,312.50.
USD loan: EUR 5,00,000 x 1.0240 = USD 5,12,000; interest 5% x 90/360 = USD 6,400; repay USD 5,18,400.
Forward USD/EUR = (1.0220 - 0.0015) / (1.0240 - 0.0010) = 1.0205 / 1.0230. To buy USD with rupees: buy EUR at 90.60 and sell EUR for USD at 1.0205 → Rs/USD = 90.60 / 1.0205 = 88.78. Outflow = 5,18,400 x 88.78 = Rs 4,60,23,552.
Difference = Rs 2,42,239.50 in favour of the Euro loan.

Trap: Adding the 15/10 swap points (descending, so subtract) or using bid rates when buying currency.

Q2.8 DT **Descriptive · 4 marks** DT - Transfer Pricing (s.92CE secondary adjustment, Rule 10CB)

What follows from the Rs 1.20 crore transfer-pricing addition that EVML accepted?

CLUE IN THE CASE

'TPO determined that the interest rate was excessive by 3%... accepted by EVML'

THINK

1. TPO addition accepted by the assessee = primary adjustment → s.92CE secondary adjustment
2. DT SM → Transfer Pricing → s.92CE and Rule 10CB
3. Three conditions: accepted, AY 2017-18 or later (2023-24), above Rs 1 crore (1.20 crore) → applies; the other Rs 1.5 crore addition is not TP - ignore it
4. Give the numbers examiners wanted: 90 days from the 30.01.2025 order; else interest at 6-month LIBOR + 3% (USD loan) from 30.01.2025; or tax 20.9664% = Rs 25,15,968

LOOK UP

ICAI SM DT - Transfer Pricing (s.92CE) secondary adjustment | section 92CE | excess money | Rule 10CB

ANSWER

Primary adjustment: Rs 1.20 crore excess interest (3% on USD 45 lakh) added for AY 2023-24 and accepted by EVML.

Secondary adjustment u/s 92CE applies because:
(i) EVML has accepted the AO's primary adjustment;
(ii) it relates to AY 2023-24 (AY 2017-18 onwards); and
(iii) it exceeds Rs 1 crore.

Consequences:
1. EVML must repatriate the excess money of Rs 1.20 crore from its AE to India within 90 days of the AO's order (received 30.01.2025).
2. If not repatriated: it is treated as an advance by EVML to the AE; interest at 6-month LIBOR as on 30.09.2024 + 3% (transaction in foreign currency) is added to income - from 30.01.2025 to 31.03.2025 in AY 2025-26, and every later year till repatriation.
3. Alternatively, EVML may pay one-time additional income-tax u/s 92CE(2A) @18% + SC 12% + cess 4% = 20.9664% on Rs 1.20 crore = Rs 25,15,968; no interest is then imputed, and no deduction or credit is allowed for this tax.

The other additions of Rs 1.5 crore are not transfer-pricing adjustments and do not attract s.92CE.

WORKING

s.92CE(1): secondary adjustment is needed where the primary adjustment is made by the AO and accepted by the assessee (among other cases), relates to AY 2017-18 onwards and exceeds Rs 1 crore. All met. Excess money of Rs 1.20 crore with the overseas AE must come back within 90 days of the AO's order. Otherwise it is a deemed advance; interest at 6-month LIBOR as on 30.09.2024 + 3% (foreign-currency transaction) is taxed - 30.01.2025 to 31.03.2025 in AY 2025-26 and yearly thereafter till repatriated. Option u/s 92CE(2A): additional tax @18% + SC 12% + cess 4% = 20.9664% x 1,20,00,000 = Rs 25,15,968; then no further interest is imputed and no deduction/credit is allowed for this tax.

Trap: Stopping at theory - examiners wanted the interest period (from 30.01.2025) and the Rs 25,15,968 additional tax.

Case 3: ABC Electronics Limited

A fan maker weighs making blades in-house against buying them, expands capacity, imports a machine through a customs warehouse and digitises its accounts; its finance director asks about gifts and land sale plans of his UK-settled brother.

Marks: IDT 7, Audit 5, Costing 5, Law 4, DT 2, FR 2 · Moderate

First 15 min: Pick if customs valuation is your strength: 3.7 is 7 marks of standard working; budget 20 minutes for 3.6 make-or-buy, where most students scored poorly.

Q3.1 DT MCQ · 2 marks DT - Profits and Gains of Business or Profession (s.32 depreciation; s.115BAA)

Depreciation (including additional depreciation) on plant and machinery for AY 2025-26 when the company has opted for s.115BAA/115BAB.

(a) Rs 2,09,25,000

(b) Rs 2,44,95,000

(c) Rs 2,42,25,000

(d) Rs 2,51,25,000

CLUE IN THE CASE

'The company has opted for section 115BAA/115BAB'

THINK

1. Opted 115BAA/115BAB = no additional depreciation u/s 32(1)(iia)
2. DT SM → PGBP → depreciation; the 180-day test runs from the PUT-TO-USE date, not purchase
3. Rs 1.50 crore used from 30.09.2024 (183 days) → 15%; Rs 1.20 crore used from 05.10.2024 (< 180 days) → 7.5%
4. (12.60 + 1.50 - 0.75) crore x 15% + 1.20 crore x 7.5% = 2,00,25,000 + 9,00,000 = 2,09,25,000

LOOK UP

ICAI SM DT - PGBP (s.32; s.115BAA conditions) depreciation | put to use for less than 180 days | additional depreciation | section 115BAA

ANSWER

(a) Rs 2,09,25,000

WORKING

No additional depreciation under 115BAA/115BAB. IGST is excluded from cost (ITC available).
WDV 12,60,00,000 + 1,50,00,000 (used 183 days) - 75,00,000 sale = 13,35,00,000 x 15% = 2,00,25,000
1,20,00,000 (used from 05.10.2024, < 180 days) x 7.5% = 9,00,000
Total = 2,09,25,000

Trap: Testing 180 days from the purchase date, or adding additional depreciation despite the 115BAA option.

Q3.2 FR MCQ · 2 marks Ind AS 19 Employee Benefits

The company's private PF trust guarantees principal plus a specified return; the accountant treats it as defined contribution. Which statement is right?

(a) Correctly a DC plan; expense only the contributions for the period

(b) Should be DB; guaranteed return accounted as periodic service cost, not as part of the DBO

(c) Should be DB; measure net defined benefit liability/asset considering the guaranteed return and the varying investment return

(d) Classified DC but accounted as DB; net liability = future value of obligation less fair value of plan assets

CLUE IN THE CASE

'responsible for providing principal amount along with a specified rate of return'

THINK

1. Employer guarantees a return = employer bears investment risk → Ind AS 19 defined benefit
2. FR index → Ind AS 19 → 'defined contribution vs defined benefit' → 'guarantees a specified return'
3. DB accounting: net defined benefit liability/asset = PV of obligation - FV of plan assets; trust returns vary
4. (d) uses FUTURE value - wrong; (b) keeps the guarantee out of the DBO - wrong → (c)

LOOK UP

ICAI SM FR - Ind AS 19 Employee Benefits defined benefit plan guaranteed return provident fund trust net defined benefit liability

ANSWER

(c) Should be a Defined Benefit Plan; compute net defined benefit liability/asset considering both the guaranteed return and the variable investment return.

WORKING

In a DC plan the employer's duty ends with the contribution and employees bear investment risk. Here the company must make good principal plus a specified return through its own trust, so the risk stays with the employer → defined benefit plan. Measure net defined benefit liability (asset) = present value of DBO (including the guaranteed interest) less fair value of trust assets, whose returns vary; any shortfall of trust earnings against the guaranteed rate is a liability.

Trap: (d): the obligation is measured at PRESENT value, not future value.

Q3.3 Audit MCQ · 2 marks

Audit - SA 315 risk assessment in an IT environment (IT general controls; Digital Auditing & Assurance)

Which controls should the auditor most likely test to assess technology risk in the new digital system? (i) encryption during transmission; (ii) physical access not specifically linked to system operation; (iii) employee training programmes; (iv) backup and recovery.

(a) (i), (ii)

(b) (i), (iii)

(c) (i), (iv)

(d) (i), (iii), (iv)

CLUE IN THE CASE

'full digitization of both the Accounting and Production processes'

THINK

1. Relying on a new system = test IT controls that protect integrity and availability of its data
2. Audit SM → SA 315 IT environment / IT general controls
3. Keep controls tied to the system's data: encryption (integrity in transit) and backup/recovery (no data loss)
4. (ii) says itself 'not specifically linked'; (iii) training is an HR practice, not a control you rely on → (c)

LOOK UP

ICAI SM Audit - SA 315 (IT general controls) IT general controls | backup and recovery | data integrity | risks arising from IT

ANSWER

(c) (i), (iv)

WORKING

Before relying on an automated system the auditor tests controls over data integrity and availability: (i) encryption protects confidentiality and integrity of data in transmission; (iv) backup and recovery prevents loss of data on failure. (ii) is general security not tied to system operation (the option says so). (iii) reduces user error but is not a system control the auditor tests for reliance.

Trap: Picking (d) because training sounds sensible - test controls, not HR practices.

Q3.4 Law MCQ · 2 marks Economic Laws - Foreign Contribution (Regulation) Act, 2010

Kushal got an iPhone (Rs 1.2 lakh) on 31.12.2024 and Rs 9 lakh on 31.01.2025 from his brother, a British national. Which statement is correct under FCRA?

(a) No intimation - the iPhone is a personal gift from a relative and cash is within the threshold

(b) FC-1 within three months from 31.12.2024 for the iPhone, as its market value exceeds the threshold

(c) FC-1 within three months from 31.01.2025 for total foreign contribution from the brother, as it exceeds the threshold

(d) FC-1 within three months from 31.01.2025 for the cash only, not the iPhone

CLUE IN THE CASE

'brother Suresh, who is a British national... i-Phone worth Rs 1,20,000'

THINK

1. Gift from a foreign citizen = 'foreign source' → FCRA, not FEMA
2. Law SM → FCRA → 'foreign contribution' (personal-gift article exception) + Rule 6 (receipts from relatives)
3. iPhone Rs 1.2 lakh is above the Rs 1 lakh personal-gift limit → counts as FC; total from relative in FY 2024-25 = 1.2 + 9 = 10.2 lakh > Rs 10 lakh
4. Limit crossed with the 31.01.2025 receipt → FC-1 within 3 months of that date → (c); ICAI also accepts (b)

LOOK UP

ICAI SM Economic Laws - FCRA, 2010 foreign contribution relative Form FC-1 gift for personal use

ANSWER

(c) FC-1 within three months from 31.01.2025 for the total foreign contribution from his brother (Rs 10.2 lakh exceeds Rs 10 lakh).

WORKING

Suresh, a citizen of a foreign country, is a foreign source. An article gifted for personal use is outside 'foreign contribution' only up to the notified market value (Rs 1 lakh); the Rs 1.2 lakh iPhone therefore counts. A person receiving FC above Rs 10 lakh in a FY from relatives must inform the Central Government in Form FC-1 within 3 months of receipt. FY 2024-25 total = 1,20,000 + 9,00,000 = 10,20,000 > 10 lakh, crossed on 31.01.2025 → FC-1 within 3 months from 31.01.2025 for the total.

Note: ICAI accepts (b) too; (c) is cleaner because FC-1 for relatives is triggered only when the year's total crosses Rs 10 lakh, which happens on 31.01.2025.

Trap: (a): forgetting that a gift article above Rs 1 lakh counts towards the Rs 10 lakh limit.

Q3.5 Law MCQ · 2 marks

Economic Laws - FEMA, 1999 (NDI Rules 2019: immovable property of NRI/OCI; remittance of assets)

Which are correct for Suresh (UK-settled, inherited agricultural land)? (i) sell and buy another agricultural land; (ii) sell and buy a flat in Jaipur; (iii) sell and remit proceeds abroad within limits; (iv) sell but cannot remit.

(a) (i), (iii)

(b) (ii), (iii)

(c) (i), (iv)

(d) (ii), (iv)

CLUE IN THE CASE

'agricultural land inherited from his parents... repatriate the entire proceeds out of India'

THINK

1. Person resident outside India + immovable property in India = FEMA NDI Rules (NRI/OCI) + remittance-of-assets rules
2. Law SM → FEMA → acquisition and transfer of immovable property by NRI/OCI
3. NRI/OCI may transfer agricultural land only to a resident Indian citizen and may NOT acquire agricultural land/plantation/farm house → (i) out; a flat is allowed → (ii) in
4. Proceeds of inherited property can be remitted up to USD 1 million per FY with documents → (iii) in, (iv) out → (b)

LOOK UP

ICAI SM Economic Laws - FEMA (NDI Rules; remittance of assets) NRI OCI immovable property agricultural land inherited property USD 1 million remittance

ANSWER

(b) (ii), (iii)

WORKING

Suresh is a person resident outside India of Indian origin (NRI/OCI). Under the FEMA (Non-debt Instruments) Rules, 2019 he may acquire immovable property other than agricultural land/farm house/plantation, and may transfer agricultural land only to a person resident in India who is an Indian citizen. So he can sell the inherited land; he cannot buy another agricultural land ((i) false) but can buy a residential flat ((ii) true). Sale proceeds of inherited assets can be remitted abroad up to USD 1 million per FY on proof of inheritance ((iii) true, (iv) false).

Trap: (i): an NRI/OCI cannot acquire agricultural land even by reinvesting the proceeds of agricultural land.

Q3.6 Costing · Descriptive · 5 marks · SCMPE - Decision Making (make or buy; sensitivity analysis)

Is making blades in-house (and selling 1.5 lakh more fans) more profitable than buying? How sensitive is the decision to the supplier's price?

CLUE IN THE CASE

'purchasing 12,00,000 sets of blades from an outside supplier at Rs 615 per set'

THINK

1. 'Make or buy' + 'sensitivity to purchase price' = relevant-cost comparison + indifference price (examiners: most skipped both)
2. SCMPE → Decision Making → make or buy; use only VARIABLE overhead (65% of 180 = 117) → make cost Rs 557
3. Blade sets per fan = 12/15 = 0.8; other VC per fan = 3,200 - 0.8 x 615 = 2,708; buy contribution 45.00 crore vs make 44.5860 crore
4. Indifference: 1,18,80,00,000 - 12,00,000X = 44,58,60,000 → X = 618.45, only Rs 3.45 above 615 → highly sensitive

LOOK UP

ICAI SCMPE - Decision Making (make or buy) | make or buy | relevant cost | sensitivity analysis | indifference point

ANSWER

Relevant make cost per blade set = DM 380 + DL 60 + variable OH 117 (65% of 180) = Rs 557 (fixed OH is not incremental).
Blade sets per fan = 12,00,000 / 15,00,000 = 0.8; other VC per fan = 3,200 - (0.8 x 615) = Rs 2,708.

A. Buy (present) | Rs
Sales 15,00,000 x 3,500 | 5,25,00,00,000
Blades bought 12,00,000 x 615 | (73,80,00,000)
Other VC 15,00,000 x 2,708 | (4,06,20,00,000)
Contribution | 45,00,00,000

B. Make (proposed) | Rs
Sales 16,50,000 x 3,430 (2% lower) | 5,65,95,00,000
Blades made 13,20,000 x 557 | (73,52,40,000)
Other VC 16,50,000 x 2,708 | (4,46,82,00,000)
Extra marketing 16,50,000 x 4 | (66,00,000)
Advertisement | (36,00,000)
Net benefit | 44,58,60,000

Making is worse by Rs 41,40,000 → continue buying blades.

Sensitivity: let supplier price = X. Buy benefit = 1,18,80,00,000 - 12,00,000X. Equate with 44,58,60,000 → X = Rs 618.45.
The decision flips if the supplier charges more than Rs 618.45 - just Rs 3.45 (0.56%) above Rs 615. It is highly sensitive: lock a long-term price with the supplier and keep the make option (better quality, flexibility) ready if prices rise.

WORKING

Make cost/set = 380 + 60 + 65% x 180 = 557 (fixed Rs 63 not incremental). Blade sets per fan = 0.8. Other VC per fan = 3,200 - 492 = 2,708.
Buy: 15,00,000 x (3,500 - 3,200) = 45,00,00,000.
Make: SP 3,500 x 98% = 3,430; VC per fan = 2,708 + 0.8 x 557 + 4 = 3,157.60; contribution 272.40 x 16,50,000 = 44,94,60,000 - advertisement 36,00,000 = 44,58,60,000. Make is lower by 41,40,000.
Incremental check: blade saving 12,00,000 x 58 = +6,96,00,000; price cut 15,00,000 x 70 = -10,50,00,000; extra marketing 15,00,000 x 4 = -60,00,000; extra 1,50,000 fans x 272.40 = +4,08,60,000; advertisement

-36,00,000 → net -41,40,000.
Indifference: 15,00,000 x 3,500 - 12,00,000X - 15,00,000 x 2,708 = 44,58,60,000 → X = 74,21,40,000 / 12,00,000 = 618.45.

Trap: Including fixed overhead (Rs 63) in the make cost, or applying the 2% price cut only to the 1.5 lakh extra fans.

Q3.7 IDT **Descriptive · 7 marks** Customs - Valuation (Customs Valuation Rules, 2007); Levy (s.14, s.15 dates); Warehousing

Find the assessable value of the imported machine and the total customs duty and IGST payable.

CLUE IN THE CASE

'Bill of entry filed for warehousing of goods... Bill of entry presented for home consumption'

THINK

1. Import through a warehouse with four dates = two date rules: exchange rate on the into-bond BoE (s.14), duty rate on the ex-bond BoE (s.15(1)(b))
2. IDT SM → Customs Valuation → rule 10 additions; follow the SM illustration and replace figures
3. Add: transport to export port, licence fee as condition of sale, non-buying commission, freight, lighterage, insurance 1.125% of FOB; exclude unloading at the Indian port and warehouse charges
4. Rate Rs 82 (22.01.2025); BCD 15% (30.03.2025); SWS 10% of BCD; IGST 18% on AV + BCD + SWS

LOOK UP

ICAI SM IDT (Customs) - Valuation; Levy of customs duty; Warehousing assessable value | rule 10 additions | rate of exchange | section 15 warehoused goods | lighterage

ANSWER

Assessable value | Amount
Cost of machine | USD 40,000
Add: transport to export port + loading on ship (part of FOB) | USD 1,000
Add: licence fee payable as a condition of sale (10% of 40,000) | USD 4,000
Total | USD 45,000
In Rs @ 82 (rate on date of presenting BoE for warehousing u/s 46 - 22.01.2025) | Rs 36,90,000
Add: commission to exporter's local agent (not buying commission) | Rs 1,50,000
FOB value | Rs 38,40,000
Add: insurance @1.125% of FOB (actual not ascertainable) | Rs 43,200
Add: freight USD 4,000 x 82 | Rs 3,28,000
Add: lighterage at Indian port (part of cost of transport) | Rs 28,800
Unloading and handling at Indian port (after arrival) | Nil
Warehouse charges in India | Nil
Assessable value | Rs 42,40,000

Duty and tax | Amount
BCD @15% (rate on date of ex-bond BoE for home consumption, 30.03.2025 - s.15(1)(b)) | Rs 6,36,000
SWS @10% of BCD | Rs 63,600
IGST @18% on Rs 49,39,600 (AV + BCD + SWS) | Rs 8,89,128
Total customs duty + IGST payable | Rs 15,88,728

WORKING

USD 40,000 + 1,000 + 4,000 = 45,000 x 82 = 36,90,000; + commission 1,50,000 = FOB 38,40,000; insurance 1.125% = 43,200; freight 4,000 x 82 = 3,28,000; lighterage 28,800; unloading at Indian port and warehouse charges nil. AV = 42,40,000. BCD 15% = 6,36,000; SWS 10% = 63,600; IGST 18% x 49,39,600 = 8,89,128. Total = 15,88,728.

Trap: Using Rs 84/85 as the exchange rate or 25% BCD - exchange rate follows the warehousing BoE, duty rate follows the ex-bond BoE.

Q3.8 Audit · Descriptive · 3 marks · Audit - SA 315 risks arising from IT (Digital Auditing & Assurance)

List the technological risks Mr Amit would have considered while digitising the accounting process.

CLUE IN THE CASE

'After carefully assessing the technological risks associated with the implementation of the new system'

THINK

1. 'Technological risks' of digitised accounts = SA 315 list of risks from IT (examiners penalised virus types, job losses, the auditor's role)
2. Audit SM → SA 315 / digital auditing → 'risks arising from the use of IT'
3. 3 marks = 8-10 crisp one-line risks, no essays
4. Tie one point to the case: accounting and production on one shared system

LOOK UP

ICAI SM Audit - SA 315 (risks from IT) risks arising from IT | unauthorised access | changes to master files | cybersecurity risk

ANSWER

Technology risks Mr Amit would have assessed:

1. The system processing data wrongly, or processing wrong data, or both.
2. Unauthorised access that destroys or wrongly changes data, or records fake or unauthorised transactions - higher when accounts and production share one database.
3. IT staff getting access beyond their duties - weak segregation of duties.
4. Unauthorised or wrong changes to master-file data (rates, prices, vendor details).
5. Unauthorised changes to systems or programs.
6. Failure to make necessary changes to systems or programs.
7. Inappropriate manual intervention or overrides.
8. Loss of data or inability to access data when needed.
9. Risks from third-party service providers.
10. Cybersecurity risks such as hacking, ransomware and data leakage.

WORKING

Write the SA 315 IT-risk list in your own words, linked to the integrated accounting-production system.

Trap: Writing about virus types, job losses or the auditor's role - out of scope, no marks.

Case 4: Latest Fashions Limited

A Chennai listed textile group with 6 subsidiaries (2 abroad) demerges its loss-making men's garments segment. The case adds segment reporting, share valuation, GST ITC, a ransomware attack and a director's personal tax and FEMA queries.

Marks: DT 7, Audit 7, IDT 5, FR 2, AFM 2, Law 2 · Moderate

First 15 min: Strong pick for DT/IDT students: 4.6 ITC (5), 4.2 and 4.3 are quick, and 4.8 rewards knowing the 23.07.2024 and 01.10.2024 changes; 4.1 has no correct option, so don't burn time on it.

Q4.1 FR MCQ · 2 marks Ind AS 108 Operating Segments

Is Latest Fashions' segment reporting as per Ind AS 108?

(a) Yes, but revenue from a single customer of Rs 1,200 crore or more is not disclosed

(b) Yes, but revenue from a single customer of Rs 800 crore or more is not disclosed

(c) No - revenue of Rs 6,400 crore or more not reported separately; single-customer Rs 800 crore disclosure missing

(d) No - revenue of Rs 6,000 crore or more not reported separately; single-customer Rs 800 crore disclosure missing

CLUE IN THE CASE

'Others 2,300... Besides this, no other information related to customers has been reported'

THINK

1. Segment table with a big 'Others' line = Ind AS 108 thresholds: the 10% tests and the 75% external-revenue test
2. FR index → Ind AS 108 → 'quantitative thresholds' / '75 per cent' / 'information about major customers'
3. Reported segments: 2,500 + 2,300 + 900 = 5,700 < 75% x 8,000 = 6,000 → more segments needed (first half of (d) is right)
4. Major-customer disclosure (10% = Rs 800 crore) is needed only if such a customer exists - the case never says so → no option fully right; in the hall tick (d) as closest and move on

LOOK UP

ICAI SM FR - Ind AS 108 Operating Segments | 75% of entity's revenue | quantitative thresholds | reportable segment | major customers 10%

ANSWER

No option is fully correct. Segment reporting is NOT as per Ind AS 108: reported segments cover only Rs 5,700 crore, below 75% (Rs 6,000 crore) of external revenue. A major-customer disclosure would be needed only if one customer gives Rs 800 crore (10%) or more, which the case does not state. Closest option: (d).

WORKING

Total external revenue 8,000; 75% = 6,000. Segments reported cover 5,700 (71.25%) → more operating segments from 'Others' (e.g., female garments, customer-specific products) must be reported until 6,000 is reached. Male garments (revenue 900 >= 10% of 8,000; assets 200 >= 170) is rightly reportable despite its loss. Ind AS 108 requires disclosing revenue from any single external customer that is 10% or more of revenue (Rs 800 crore) - only if such a customer exists; the case gives no customer data. So the customer half of (d) is an assumption; no option is fully correct.

Note: ICAI declared no correct option: (d)'s 75% part is right, but its customer part assumes a 10% customer the case never mentions.

Trap: Using 80% (Rs 6,400 crore) instead of 75%, or saying 'Yes' because each reported segment passes the 10% test.

Q4.2 AFM MCQ · 2 marks AFM - Security Valuation (dividend growth model)

Price per equity share using the constant dividend growth model.

(a) Rs 60

(b) Rs 120

(c) Rs 100

(d) Rs 154.50

CLUE IN THE CASE

'book value was Rs 150... return on equity is 15%... retained 60%'

THINK

1. BV, ROE, retention and Ke given = Gordon growth with g = b x r
2. Known without the book - no lookup
3. EPS = 150 x 15% = 22.50; DPS = 40% x 22.50 = 9; g = 0.60 x 15% = 9%
4. P = 9 / (0.18 - 0.09) = Rs 100 → (c)

LOOK UP

ICAI SM AFM - Security Valuation (equity shares) Gordon growth model dividend growth retention ratio g = b x r

ANSWER

(c) Rs 100

WORKING

EPS = BV 150 x ROE 15% = 22.50 (earnings on the current book value). Dividend = 22.50 x (1 - 0.60) = 9.00. g = b x r = 0.60 x 15% = 9%. P0 = D1 / (Ke - g) = 9 / (0.18 - 0.09) = Rs 100.

Trap: Growing the Rs 9 by another 9% (Rs 109, not an option) - Rs 9 is already the next dividend from current book value.

Q4.3 DT MCQ · 2 marks DT - Capital Gains (s.47(vib) demerger; definition u/s 2(19AA))

Taxable capital gain for Latest Fashions on demerging the men's garments segment (net book value Rs 20 crore; Rs 50 crore paid in shares to its shareholders)?

(a) Short-term capital gain Rs 25 crore

(b) Long-term capital gain Rs 19 crore

(c) Long-term capital gain Rs 24 crore

(d) NIL

CLUE IN THE CASE

'Necessary legal formalities were carried out... under the Income-tax Act, 1961'

THINK

1. Demerger to an Indian resulting company with shares issued to shareholders = s.47(vib); the CII is bait
2. DT SM → Capital Gains → transactions not regarded as transfer → s.47(vib); s.2(19AA)
3. Shares issued by the resulting company to the demerged company's shareholders proportionately, formalities done → valid demerger
4. Not a transfer for the demerged company → capital gain NIL → (d)

LOOK UP

ICAI SM DT - Capital Gains (s.47 exemptions) demerger section 47(vib) demerged company resulting company

ANSWER

(d) NIL

WORKING

s.47(vib): transfer of a capital asset by the demerged company to the resulting company in a demerger is not a 'transfer' if the resulting company is Indian. Men's Fashion Ltd is an Indian company; it allotted shares to Latest Fashions' shareholders in proportion to their holdings; formalities under both laws are complete → demerger u/s 2(19AA). Capital gain in Latest Fashions' hands = NIL. CII 280/363 and the Rs 5 crore goodwill are distractors.

Trap: Computing LTCG with CII 280/363 (50 - 20 x 363/280 = about 24, option c) - the CII is bait.

Q4.4 Law MCQ · 2 marks Economic Laws - FEMA, 1999 (s.3 dealings in foreign exchange; LRS)

Can Rohit (resident) pay insurance premiums in India on behalf of his NRI brother Mohit?

(a) Not permitted

(b) Permitted since Mohit is his real brother

(c) Permitted as it is within the USD 2,50,000 a year limit

(d) Not permitted unless he gets Central Government permission

CLUE IN THE CASE

'Mohit requested his brother Rohit, a resident Indian, to make payment... on his behalf'

THINK

1. Resident paying for the credit of a non-resident = FEMA s.3(b) prohibition unless RBI permits
2. Law SM → FEMA → s.3 'dealing in foreign exchange'; LRS permitted purposes
3. No general permission lets a resident pay an NRI's premium on his behalf; the LRS limit (c) and 'relative' (b) do not override s.3
4. (d) names the wrong authority - permission under s.3 is the RBI's → (a)

LOOK UP

ICAI SM Economic Laws - FEMA (s.3, LRS) section 3 FEMA

payment for the credit of person resident outside India | Liberalised Remittance Scheme | close relative

ANSWER

(a) Rohit is not permitted to make premium payment on behalf of his brother.

WORKING

s.3(b) FEMA: save as provided, or with RBI's general or special permission, no person shall make any payment to or for the credit of a person resident outside India in any manner. Paying Mohit's premium is a payment for his credit and no rule permits it, whatever the amount or relationship. Lawful route: Rohit may make a rupee gift to Mohit's NRO account (allowed to an NRI close relative under LRS) and Mohit pays the premium himself.

Trap: (c): the LRS limit covers a resident's own permitted remittances; it does not allow payments on behalf of a non-resident.

Q4.5 Audit MCQ · 2 marks Audit - Digital Auditing & Assurance (cybersecurity risks)

Which cyber attack happened and which control should be implemented to identify such risks?

(a) Trojan; formal training to make teams aware of cybersecurity risks

(b) Ransomware; monitoring of firewall logs

(c) Ransomware; prioritise protection of information assets by sensitivity and business value, and periodically review systems connected to the network

(d) Ransomware; align cybersecurity and IT transformation with strategic objectives

CLUE IN THE CASE

'files were encrypted... demanded booty for decryption... paid in bitcoins'

THINK

1. Files encrypted + ransom in bitcoin = ransomware → (a) out
2. Audit SM → digital auditing → cybersecurity risks and controls
3. The control must IDENTIFY (detect) the attack → monitoring firewall logs flags malicious links and traffic
4. (c) and (d) are governance/protection practices, not detection → (b)

LOOK UP

ICAI SM Audit - Digital Auditing & Assurance (cybersecurity) ransomware cybersecurity risk firewall logs penetration testing

ANSWER

(b) Ransomware and monitoring of firewall logs.

WORKING

Malicious email link → files encrypted → systems locked → ransom demanded in bitcoin = ransomware. To identify such attacks the entity needs detective monitoring: firewall log reviews flag suspicious inbound links and outbound traffic to attacker servers. (c) and (d) are broader governance and asset-prioritisation steps, not procedures that identify the attack.

Note: (c) mirrors the 'Identify' function of cybersecurity frameworks, so it is arguable; ICAI's key reads 'identify' as detect.

Trap: Calling it a Trojan because it came through an email link - the ransom demand decides it.

Q4.6 IDT **Descriptive · 5 marks** GST - Input Tax Credit (s.16, s.17(5))

ITC available for January 2025, with the reason for each item.

CLUE IN THE CASE

'out of 6 items, invoice for 1 item was missing'

THINK

1. Five-line ITC list = s.16 conditions + s.17(5) blocked credits - standard SM table
2. IDT SM → Input Tax Credit → eligibility (s.16(2), 16(3)) and blocked credits (s.17(5))
3. Line by line: missing invoice, lots, statutory travel benefit, depreciation on GST, repairs expensed
4. Total 80,000 + 1,10,000 + 70,000 = 2,60,000

LOOK UP

ICAI SM IDT - Input Tax Credit | section 16(2) | goods received in lots | section 17(5) blocked credit | depreciation on tax component | to the extent of capitalisation

ANSWER

Item | ITC (Rs) | Reason

(i) Capital goods | 80,000 | ITC needs a tax invoice (s.16(2)(a)); Rs 10,000 on the item without invoice is not allowed.

(ii) Inputs in 5 lots, 3 received | Nil | Where goods under one invoice arrive in lots, ITC is taken on receipt of the last lot.

(iii) Travel benefit to employees on vacation | 1,10,000 | Blocked u/s 17(5)(b), but allowed as the employer must provide it under law.

(iv) Machinery - depreciation claimed on the GST | Nil | s.16(3): no ITC on the tax component on which depreciation is claimed.

(v) Repairs to factory building charged to P&L | 70,000 | Repairs are blocked only to the extent capitalised (s.17(5)(c)/(d)); expensed here, so allowed.

Total ITC for January 2025 | 2,60,000 |

WORKING

(i) 90,000 - 10,000 (no invoice) = 80,000. (ii) Lots: ITC only on receipt of the last lot → nil in January. (iii) Travel benefits to employees on vacation are blocked u/s 17(5)(b) but allowed where obligatory under law → 1,10,000. (iv) Depreciation claimed on the GST component → no ITC (s.16(3)) → nil. (v) Factory repairs charged to P&L - repairs are blocked only to the extent capitalised → 70,000. Total 2,60,000.

Trap: Blocking the repairs as 'construction of immovable property' - the block applies only to capitalised repairs.

Q4.7 Audit Descriptive · 5 marks

Audit - Group Audits (audit of consolidated financial statements); SA 706 Other Matter paragraph

Where and what should the statutory auditor write about subsidiaries audited by other auditors (2 abroad under local GAAP)?

CLUE IN THE CASE

'financial information of 6 subsidiaries audited by other auditors'

THINK

1. Components audited by others in a CFS = Other Matter paragraph (SA 706) stating the magnitude
2. Audit SM → Group audits / CFS → 'reference to other auditors'; copy the illustrative OM format and replace figures
3. Cover: assets Rs 2,500 crore, revenue Rs 1,500 crore, net cash outflow Rs 15 crore; reliance on others' reports; foreign GAAP conversion audited by us; opinion not modified
4. Draft the paragraph - examiners cut marks for missing the conversion and GAAP points

LOOK UP

ICAI SM Audit - Group Audits / Audit of Consolidated Financial Statements; SA 706 other matter paragraph consolidated financial statements other auditors conversion adjustments

ANSWER

Where: a separate 'Other Matter' paragraph (SA 706) in the independent auditor's report on the consolidated financial statements.

What: magnitude of components audited by others (total assets, total revenues, net cash flows), reliance on their reports, GAAP conversion of the foreign subsidiaries, and that the opinion is not modified.

Draft - Other Matter:
(a) We did not audit the financial statements and other financial information of six subsidiaries, whose financial statements reflect total assets of Rs 2,500 crore as at 31 March 2025, total revenues of Rs 1,500 crore and net cash outflows of Rs 15 crore for the year then ended. These have been audited by other auditors, whose reports have been furnished to us by the Management. Our opinion on the consolidated financial statements, so far as it relates to the amounts and disclosures of these subsidiaries, and our report u/s 143(3) so far as it relates to them, is based solely on the reports of the other auditors.
(b) Two of these subsidiaries are located outside India; their financial statements were prepared under accounting principles generally accepted in their countries and audited under auditing standards applicable there. The Holding Company's management has converted them to accounting principles generally accepted in India. We have audited these conversion adjustments. Our opinion, so far as it relates to these subsidiaries, is based on the other auditors' reports and the conversion adjustments audited by us.
(c) Our opinion on the consolidated financial statements, and our report on Other Legal and Regulatory Requirements, is not modified in respect of these matters.

WORKING

When the parent's auditor does not audit all components and refers to other auditors, the CFS report states the magnitude of the portion audited by others (amounts or % of total assets, revenues and cash flows) in an Other Matter paragraph (SA 706), and says the opinion is not modified for this reliance. For foreign subsidiaries under local GAAP, state that management converted them to Indian GAAP and that the conversion adjustments were audited by the parent's auditor.

Trap: Using an Emphasis of Matter paragraph, or leaving out the GAAP conversion and 'opinion not modified' lines.

Q4.8 DT Descriptive · 5 marks

DT - Capital Gains (s.2(14), s.54B, s.112, s.46A) and Income from Other Sources (buyback as dividend u/s 2(22)(f))

Compute Rohit's capital gain on the two agricultural land sales and the tax effect of the Rs 9 lakh received on buyback.

CLUE IN THE CASE

'within the city limits of Chandigarh... remote village having population of 9,000 people'

THINK

1. Two dates decide everything: transfer on/after 23.07.2024 (no indexation, 12.5%) and buyback on/after 01.10.2024 (dividend + capital loss)
2. DT SM → Capital Gains (s.2(14) rural land, s.54B, s.112, s.46A) and IFOS (s.2(22)(f))
3. Urban land: 1,90,00,000 - 36,60,000 = 1,53,40,000; s.54B for rural land bought 31.08.2024 = 80 lakh → LTCG 73,40,000; rural land later sold is not a capital asset → no gain, nothing to claw back
4. 'Received' Rs 9 lakh = net of 10% TDS → dividend Rs 10 lakh, no deduction; consideration nil → LTCL Rs 1,50,000 set off against LTCG

LOOK UP

ICAI SM DT - Capital Gains; Income from Other Sources | section 54B | rural agricultural land | buy-back of shares | section 2(22)(f) | section 46A

ANSWER

A. Urban agricultural land (capital asset; held over 24 months → long-term) | Rs
Sale consideration (20.08.2024) | 1,90,00,000
Less: cost - no indexation (transfer on/after 23.07.2024) | (36,60,000)
LTCG before exemption | 1,53,40,000
Less: s.54B - rural agricultural land bought 31.08.2024, within 2 years (assuming agricultural use for 2 years before sale) | (80,00,000)
LTCG | 73,40,000
(Alternative view: new land sold in the same year, so no s.54B → LTCG Rs 1,53,40,000.)

B. Rural agricultural land sold 28.02.2025 for Rs 90,00,000
Village population 9,000 and nearest town 30 km away → not a capital asset u/s 2(14). No capital gain; the s.54B withdrawal (cost reduced by the exempted gain on sale within 3 years) has no effect since no capital gain arises.

C. Buyback by X Ltd (01.12.2024)
- Buyback on/after 01.10.2024: the amount paid is deemed dividend u/s 2(22)(f), taxed under Income from Other Sources; no deduction for any expense.
- Rs 9,00,000 is the amount received after 10% TDS → dividend = 9,00,000 / 90% = Rs 10,00,000; TDS Rs 1,00,000 is creditable.
- s.46A: consideration deemed nil → long-term capital loss = cost 6,000 x Rs 25 = Rs 1,50,000.
- This LTCL is set off against the LTCG on land (73,40,000 - 1,50,000 = Rs 71,90,000), taxable @12.5% u/s 112.

Note: Rohit is a resident individual and bought the land before 23.07.2024, so his tax on it cannot exceed the old-law tax (20% with indexation): indexed cost 36,60,000 x 363/109 = Rs 1,21,88,807; indexed LTCG Rs 68,11,193 is fully covered by the Rs 80 lakh s.54B investment, so the old-law limb gives nil tax on this gain.

WORKING

Urban agricultural land is a capital asset; held over 24 months → LTCG. Transferred 20.08.2024 (on/after 23.07.2024) → no indexation: 1,90,00,000 - 36,60,000 = 1,53,40,000. s.54B (assuming agricultural use by Rohit/parents for 2 years before transfer): new agricultural land bought within 2 years for 80,00,000 → LTCG 73,40,000. New land: population 9,000 and 30 km from the nearest town → rural, not a capital asset; its sale for Rs 90 lakh gives no capital gain, so the s.54B withdrawal has nothing to reduce. Alternative view (accepted): new land not held when the return is filed → no s.54B → LTCG 1,53,40,000. Buyback 01.12.2024: deemed dividend u/s 2(22)(f) = 9,00,000 / 90% = 10,00,000 under IFOS, no deduction; s.46A consideration

nil → LTCL = 6,000 x 25 = 1,50,000, set off against the LTCG. Grandfathering: indexed cost 36,60,000 x 363/109 = 1,21,88,807; indexed LTCG 68,11,193 is fully covered by the Rs 80 lakh s.54B investment.

Note: ICAI skips the s.112 grandfathering limb (resident individual, land bought before 23.07.2024: 20% with indexation) that the given CII enables - it makes the tax on the land gain nil here.

Trap: Indexing the cost in the main capital-gain working, or not grossing up the Rs 9 lakh 'received' for TDS (examiners flagged this).

Case 5: Surgical Equipments Limited

A Delhi maker of surgical instruments buys Medicines Ltd with a bank loan, ranks products on a machine bottleneck, plans an ODI in UK financial services and faces a hostile bid from HVB; the MD's wife trades shares.

Marks: AFM 7, IDT 5, FR 4, Costing 4, Law 3, DT 2 · Easy

First 15 min: Pick it first: 5.8 takeover defences (5) is writable without the book, 5.1-5.3 are 2-minute numericals, and 5.7 is two direct provisions.

Q5.1 Costing MCQ · 2 marks SCMPE - Theory of Constraints / Throughput Accounting

Rank products X, Y, Z by the rate at which they make money on the shared machines.

(a) 1 Y, 2 Z, 3 X

(b) 1 Z, 2 X, 3 Y

(c) 1 X, 2 Y, 3 Z

(d) 1 X, 2 Z, 3 Y

CLUE IN THE CASE

'rank the products based on the rate at which company is making money'

THINK

1. 'Rate of making money' + 'bottleneck' = throughput per minute of the constraint (TOC)
2. SCMPE → throughput accounting ratio → rank by return per bottleneck minute
3. Throughput = SP - material & variable cost: X 20, Y 20, Z 30; per minute: X 1.00, Y 0.67, Z 0.75
4. Fixed cost per unit and factory cost do not change the order → X, Z, Y → (d)

LOOK UP

ICAI SCMPE - Theory of Constraints / Throughput Accounting | throughput accounting ratio | return per bottleneck minute | bottleneck | theory of constraints

ANSWER

(d) Rank 1 - Product X, Rank 2 - Product Z, Rank 3 - Product Y

WORKING

Throughput per unit: X 50 - 30 = 20; Y 60 - 40 = 20; Z 80 - 50 = 30. Per bottleneck minute: X 20/20 = 1.00; Y 20/30 = 0.67; Z 30/40 = 0.75. TA ratio (/ factory cost 0.50 a minute): X 2.00, Z 1.50, Y 1.33. Rank X > Z > Y.

Trap: Ranking by throughput per unit (Z first) instead of per bottleneck minute.

Q5.2 AFM MCQ · 2 marks AFM - Mergers, Acquisitions and Corporate Restructuring

Total market capitalisation of Surgical Equipments after merging Medicines Ltd, assuming its PE of 14 continues.

(a) Rs 601.44 lakh

(b) Rs 316.96 lakh

(c) Rs 420.54 lakh

(d) Rs 456.96 lakh

CLUE IN THE CASE

'shares will be issued on one-to-one basis... Assume its PE ratio would be the same'

THINK

1. Merger + PE given = combined PAT x PE (or post-merger EPS x PE x shares)
2. Known without the book; take tax at 25% first
3. PAT: 25,00,000 x 0.75 = 18,75,000; 18,50,000 x 0.75 = 13,87,500; total 32,62,500; shares 8 + 4 = 12 lakh
4. EPS 2.72 x 14 = 38.08 x 12 lakh = 456.96 lakh (unrounded 456.75) → (d)

LOOK UP

ICAI SM AFM - Mergers, Acquisitions and Corporate Restructuring post-merger EPS market value after merger PE ratio exchange ratio

ANSWER

(d) Rs 456.96 lakh

WORKING

Combined PAT = (25,00,000 + 18,50,000) x 75% = 32,62,500. Shares after merger = 8,00,000 + 4,00,000 (1:1) = 12,00,000. EPS = 2.71875 (about 2.72). MPS = 2.72 x 14 = 38.08. Market capitalisation = 38.08 x 12,00,000 = Rs 4,56,96,000 = Rs 456.96 lakh (unrounded: 32,62,500 x 14 = Rs 456.75 lakh).

Note: Exact value is Rs 456.75 lakh; the key's 456.96 comes from rounding EPS to Rs 2.72 - pick the nearest option.

Trap: Using EBT instead of PAT, or applying Medicines' PE of 10.

Q5.3 DT MCQ · 2 marks DT - Profits and Gains of Business or Profession (s.44AD; s.44AB tax audit)

Which is correct for Kavita (share trader, sales Rs 8.90 crore, all receipts online, staff and consultants paid in cash) for AY 2025-26?

(a) Admit income at 8% u/s 44AD

(b) Admit loss as per books; no audit u/s 44AB is required

(c) Admit income as per books; audit u/s 44AB is mandatory

(d) Admit income at 6% u/s 44AD

CLUE IN THE CASE

'total purchase of shares was Rs 8.80 crores and total sales was Rs 8.90 crores'

THINK

1. Turnover Rs 8.90 crore = above the 44AD limit (Rs 2 crore / Rs 3 crore) → no presumptive income; (a), (d) out
2. DT SM → PGBP → s.44AB(a) proviso: audit limit Rs 10 crore if cash receipts and cash payments are each within 5%
3. Books: 8.90 - (0.20 + 8.80 - 0.10) = nil gross profit; less salary 4.50 lakh and consultants 0.80 lakh → loss Rs 5.30 lakh
4. Cash payments 5.30 lakh of 8.85 crore = 0.6%, receipts all online → limit Rs 10 crore → no audit → (b)

LOOK UP

ICAI SM DT - PGBP (s.44AD, s.44AB) section 44AB Rs 10 crore cash receipts 5% section 44AD turnover limit

ANSWER

(b) Admit loss as per books of account; no audit u/s 44AB is required.

WORKING

Trading result: Sales 8,90,00,000 - (Opening 20,00,000 + Purchases 8,80,00,000 - Closing 10,00,000) = nil gross profit; less salary 4,50,000 and consultancy 80,000 → loss Rs 5,30,000. s.44AD not available - turnover above Rs 3 crore. s.44AB(a): limit is Rs 10 crore where cash receipts <= 5% of total receipts and cash payments <= 5% of total payments; receipts all online, cash payments 5,30,000 of 8,85,30,000 = 0.6%. Turnover 8.90 crore < 10 crore → no audit; s.44AB(e) not triggered since 44AD does not apply.

Trap: Applying the Rs 1 crore audit limit and missing the Rs 10 crore limit for near-cashless businesses.

Q5.4 FR MCQ · 2 marks Ind AS 1 Presentation of Financial Statements

Can the company present an extra FY 2022-23 P&L, and is the non-current classification of the term loan right?

(a) Cannot present FY 2022-23 information; loan should be current

(b) Can present FY 2022-23 information only in notes; classification of loan is correct

(c) Can present FY 2022-23 information if Ind AS-compliant, without related notes; loan should be current

(d) Can present FY 2022-23 information if Ind AS-compliant, along with related notes; loan should be current

CLUE IN THE CASE

'condition... was not fulfilled... no waiver has been given by the banker'

THINK

1. Two issues, both in Ind AS 1: extra comparative period + breach of a loan condition
2. FR index → Ind AS 1 → 'additional comparative information' and 'breach of a material provision of a long-term loan arrangement'
3. Extra comparatives allowed if Ind AS-compliant, WITH related notes → (d) over (c)
4. Breach at year end, no waiver even before approval → payable on demand → current → (d)

LOOK UP

ICAI SM FR - Ind AS 1 Presentation of Financial Statements additional comparative information breach of loan covenant current liability payable on demand

ANSWER

(d) Can present FY 2022-23 information if prepared under Ind AS along with related notes; the term loan should be classified as current.

WORKING

Ind AS 1: an entity may present comparative information beyond the minimum, if prepared under Ind AS; it may be one or more statements, but related note information must be given for them. A breach of a loan condition on or before the reporting date makes the loan payable on demand → current. Under Ind AS 1 it can stay non-current only if the lender agrees, after the reporting date but before approval of the FS, not to demand payment - no waiver here, so current.

Trap: (c): extra comparative statements must carry their related notes.

Q5.5 FR Audit MCQ · 2 marks Ind AS 16 Property, Plant and Equipment (derecognition); IFCoFR

Which are true for machine 'Treble', whose disposal gain was put in OCI? (i) gain correctly recorded; (ii) apply cost or revaluation model to calculate the gain; (iii) gain should be in P&L; (iv) no IFCoFR needed for assets under disposal.

(a) (i), (ii) and (iv)

(b) (i) and (iv)

(c) Only (iii)

(d) (ii), (iii) and (iv)

CLUE IN THE CASE

'Gain arising on disposal has been included in Other Comprehensive Income'

THINK

1. Disposal gain in OCI = Ind AS 16 derecognition error
2. FR index → Ind AS 16 → 'derecognition' → gain/loss in profit or loss (not revenue)
3. Gain = net proceeds - carrying amount; the cost/revaluation choice is about subsequent measurement, not this calculation → (ii) false
4. IFCoFR covers disposals too → (iv) false → only (iii)

LOOK UP

ICAI SM FR - Ind AS 16 (derecognition); Audit - IFCoFR derecognition of PPE gain on disposal profit or loss internal financial controls over financial reporting

ANSWER

(c) Only (iii)

WORKING

Ind AS 16: gain or loss on derecognition = net disposal proceeds - carrying amount, recognised in profit or loss (not as revenue). OCI is wrong → (i) false, (iii) true. The gain is computed on the carrying amount whatever the model → (ii) false. IFCoFR must cover asset disposals too (authorisation, recording) → (iv) false.

Trap: Thinking a revalued asset's disposal gain goes through OCI - only the revaluation surplus moves directly to retained earnings; the gain still hits P&L.

Q5.6(i) Law Descriptive · 3 marks

Economic Laws - FEMA: Overseas Investment Rules, 2022 (Schedule I - ODI by an Indian entity)

Explain the FEMA rules for the proposed ODI in a UK financial-services activity: how it can invest and the limits linked to its profits.

CLUE IN THE CASE

'Overseas Direct Investment (ODI) in financial services activity in UK'

THINK

1. ODI + 'financial services' = OI Rules 2022, Schedule I - special condition for an Indian entity NOT in financial services
2. Law SM → FEMA → Overseas Investment → Schedule I (modes, financial-services condition, financial commitment limit)
3. Surgical is not in financial services in India → needs net profits in the preceding 3 FYs; no banking/insurance
4. Limit: total financial commitment <= 400% of net worth per last audited balance sheet (paid-up alone is Rs 40 crore → at least Rs 160 crore)

LOOK UP

ICAI SM Economic Laws - FEMA (Overseas Investment) overseas direct investment | Schedule I | financial services activity | 400 per cent of net worth

ANSWER

Law: FEMA - Overseas Investment Rules, 2022, Schedule I (ODI by an Indian entity).
1. Mode: ODI in equity capital for bona fide business - subscription as part of the MoA or purchase of equity (listed/unlisted), acquisition through bidding/tender, or rights/bonus shares.
2. Financial-services condition: Surgical Equipments is not engaged in financial services in India; it may invest in a UK entity engaged in financial services (other than banking or insurance) only if it has posted net profits in each of the preceding three financial years.
3. Limit: total financial commitment in all foreign entities together must not exceed 400% of its net worth as per the last audited balance sheet (with paid-up capital of Rs 40 crore, at least Rs 160 crore), or as directed by RBI.
Conclusion: The UK ODI is permitted if the 3-year profit test and the 400% limit are met.

WORKING

OI Rules 2022, Schedule I: an Indian entity may make ODI in equity capital for bona fide business by subscription as part of the MoA or purchase of equity (listed/unlisted), acquisition through bidding/tender, or rights/bonus shares. An Indian entity not engaged in financial services in India may invest in a foreign entity engaged (directly or indirectly) in financial services, except banking or insurance, only if it has posted net profits in the preceding three FYs. Total financial commitment in all foreign entities <= 400% of net worth as per the last audited balance sheet, or as RBI directs.

Trap: Writing the conditions for Indian entities that ARE in financial services (regulator approvals etc.) - examiners marked that wrong here.

Q5.6(ii) Costing Descriptive · 2 marks

SCMPE (SPOM Set B) Ch 1 - Business Model (SM 1.24) and Business Model Canvas (1.25)

Define a business model and state the components of the Christensen & Kagermann model for the UK venture.

CLUE IN THE CASE

'implement a business model as suggested by Christensen & Kaggerman'

THINK

1. Named authors on business models → Costing (SPOM Set B) Ch 1, not AFM
2. Unsure of the chapter → A-Z index → 'business model' → Margretta (make + sell) and Johnson, Christensen & Kagermann (2008)
3. Components: customer value proposition, profit formula, key resources, key processes
4. Apply each to a UK financial-services venture (examiners marked down generic lists)

LOOK UP

ICAI SM SPOM Set B (SCMPE) - Ch 1, Business Model (1.24) business model customer value proposition profit formula key resources and processes

ANSWER

Business model: how an organisation works and makes money - how it creates value for customers and captures value for itself.

Johnson, Christensen & Kagermann (2008) components, applied to the UK financial-services ODI:
1. Customer value proposition - e.g., affordable, quick finance for healthcare SMEs and clinics buying medical equipment.
2. Profit formula - interest income and service fees, against a lean cost structure and controlled credit losses.
3. Key resources - capital, a digital lending platform, skilled credit and compliance staff, and the parent's knowledge of the medical market.
4. Key processes - credit appraisal and risk profiling, collections, and UK regulatory compliance.

WORKING

Business model = how a business creates and delivers value to customers and makes money from it. Margretta: making something + selling something. Johnson, Christensen & Kagermann (2008) add the value proposition: customer value proposition, profit formula, key resources and processes. Apply to the UK venture.

Trap: Giving only Margretta's two components - the case names Christensen & Kagermann.

Q5.7 IDT **Descriptive · 5 marks** GST - E-way Bill (rule 138); Accounts and Records (s.36)

Is an e-way bill needed for Rs 3 lakh of warranty replacement parts sent from Delhi to Mumbai? Till when must FY 2018-19 records be kept, with an appeal pending?

CLUE IN THE CASE

'since the movement of goods is caused due to reasons other than supply'

THINK

1. Management's own words 'reasons other than supply' are the trap - rule 138(1) covers that too
2. IDT SM → E-way Bill (rule 138) and Accounts and Records (s.36 retention)
3. Consignment Rs 3 lakh > Rs 50,000, inter-State → e-way bill required (goods move on a delivery challan, no invoice)
4. Retention: 72 months from the due date of the FY 2018-19 annual return (31.12.2019 → 31.12.2025; extended 31.12.2020 → 31.12.2026) or 1 year after the appeal is disposed of, whichever is later

LOOK UP

ICAI SM IDT - E-way Bill; Accounts and Records | rule 138 | reasons other than supply | consignment value Rs 50,000 | section 36 retention | party to an appeal

ANSWER

E-way bill:
- Replacement of parts under warranty without consideration is not a supply.
- But rule 138(1) of the CGST Rules requires an e-way bill for movement of goods of consignment value above Rs 50,000 even for reasons other than supply.
- Value Rs 3,00,000 > Rs 50,000 (inter-State, Delhi to Mumbai) → e-way bill must be generated; goods move with a delivery challan. Management's view is wrong.

Retention of FY 2018-19 records (s.36, CGST Act):
- General rule: till the expiry of 72 months from the due date of the annual return for the year. Due date for FY 2018-19 = 31.12.2019 (extended to 31.12.2020) → keep till 31.12.2025 (or 31.12.2026 on the extended date).
- Party to an appeal: records relating to the subject matter of the appeal must be kept for 1 year after its final disposal or the above period, whichever is later.
- The appeal is pending, so the records must be kept till 31.12.2025 / 31.12.2026 or 1 year after the appeal is finally decided, whichever is later.

WORKING

Rule 138(1): an e-way bill must be generated before moving goods of consignment value above Rs 50,000 (i) in relation to a supply, (ii) for reasons other than supply, or (iii) due to inward supply from an unregistered person. Free warranty replacement is not a supply, but the movement is for reasons other than supply and the value is Rs 3 lakh → e-way bill mandatory; goods move under a delivery challan. s.36: keep books till 72 months from the due date of the annual return for the year; a party to an appeal keeps records on its subject matter till 1 year after final disposal, or the 72 months, whichever is later. FY 2018-19 annual return due 31.12.2019 (extended to 31.12.2020) → 31.12.2025 (or 31.12.2026).

Trap: Accepting management's 'not a supply, so no e-way bill' - rule 138 expressly covers movement for reasons other than supply.

Q5.8 AFM Descriptive · 5 marks

AFM - Mergers, Acquisitions and Corporate Restructuring (defence against hostile takeover)

As strategic consultant, suggest measures to defend against HVB's hostile takeover.

CLUE IN THE CASE

'HVB... approached the shareholders of Surgical Equipments Limited through a public announcement'

THINK

1. Board rejected, bidder went straight to shareholders = hostile takeover → defence tactics
2. Known without the book (if needed: AFM M&A chapter → 'defending a company in a takeover bid')
3. Each tactic = name + one line on how it stops HVB (examiners marked down bare headings)
4. Add a case line: HVB built stakes through many non-individual holders - check takeover-regulation disclosures/open-offer triggers

LOOK UP

ICAI SM AFM - Mergers, Acquisitions and Corporate Restructuring | hostile takeover | takeover defence | poison pill | white knight | pac-man defence

ANSWER

Measures to defend against HVB's hostile bid:
1. Divestiture - spin off some businesses into a separate subsidiary so the company becomes less attractive to HVB.
2. Crown jewels - sell or hive off the most valuable assets or divisions HVB is really after (not allowed in some countries once a bid is known).
3. Poison pill - make the company unattractive, e.g., issue convertible debentures to existing shareholders that convert when a takeover threat arises, diluting HVB's voting power.
4. Poison put - issue bonds that holders can encash at a premium on a takeover; the cash drain deters the bidder.
5. Greenmail - buy back HVB's shares at a premium in return for dropping the bid.
6. White knight - invite a friendly acquirer to buy the company on better terms and keep management.
7. White squire - sell a significant block to a friendly party with no intention to take over, blocking HVB's control.
8. Golden parachutes - large compensation to managers ousted after a takeover, raising HVB's cost.
9. Pac-man defence - make a counter-bid for HVB itself, forcing it to defend and withdraw.

Case-specific: HVB has built stakes through many non-individual shareholders - if the company is listed, check whether HVB crossed SEBI takeover-code disclosure or open-offer thresholds without complying; any breach is a legal defence.

WORKING

List the defence tactics with a line of explanation each and fit them to the HVB bid; add the regulatory check on HVB's creeping stake.

Trap: Listing tactic names without a one-line explanation each - examiners marked these down.

November 2024

ICAI question paper · ICAI answers

What this paper teaches

- No case was single-subject: each mixed 5-6 papers, so pick cases by the descriptives you can write fully - Cases 4 and 3 were the safest; 1.7 (NR capital gains) and 2.5/2.8 (thin data) were the time sinks.
- Most MCQs turned on one threshold or definition in the facts: brother's wife is not a relative (2% test), the 10% stamp-duty tolerance, the 3-year job-work clock, 'aggregate' not 'lower of' for IBC companies under MAT.
- Wrong options were built from one wrong step (6% vs 7% discount, bid vs ask, 194C vs 194Q) - write a one-line working beside every MCQ.
- Where facts were thin (3.4 renegotiation date, 3.8 issued vs paid-up capital, 2.8 productivity, 1.7 Chapter XII-A) ICAI accepted alternatives - state your assumption in one line and move on.
- Law has moved since: capital gains rates for transfers from 23.07.2024 and s.74A for GST demands from FY 2024-25 - answer with your attempt's law.

Case 1: CVV & Co., Chartered Accountants (HCP Ltd, VCM Ltd, WECARE Trust, Moon Ltd, Prime Ltd, Mr. Karanveer)

A Chandigarh CA firm where four articles each handle a different client: GST on machines and exhibition exports for HCP Ltd, a lawsuit provision and concessional loan for VCM Ltd, an FCRA suspension notice, two audit-report problems and a non-resident's capital gains.

Marks: IDT 8, DT 7, FR 4, Audit 4, Law 2 · Hard

First 15 min: Pick only if DT and GST are your strengths: 15 of 25 marks are DT/IDT, but 1.7 is a 5-mark non-resident computation (Rule 115A, 112A, 115AC, GDRs) that can eat 20 minutes.

Q1.1 FR MCQ · 2 marks Ind AS 37 Provisions, Contingent Liabilities and Contingent Assets

Provision at 31.03.2024 for a customer lawsuit: 35% chance of paying ₹16 lakh, 65% chance of ₹5 lakh, ruling by 31.03.2026; risk-free 6%, risk-specific 7%.

(a) ₹ 8,85,000

(b) ₹ 8,27,475

(c) ₹ 7,72,605

(d) ₹ 7,87,650

CLUE IN THE CASE

35% chance of being ordered to pay the customer compensation

THINK

1. Lawsuit + probabilities + 'appropriate discount rate' = measuring a provision under Ind AS 37 (outflow is probable, so not a contingent liability).
2. Chapter clear → FR index → Ind AS 37 → 'best estimate', 'present value', 'discount rate' (paras 36-47).
3. Best estimate = 0.35 × 16L + 0.65 × 5L = 8.85L. Discount 2 years at 7% - the pre-tax rate that reflects risks specific to the liability, not the 6% risk-free rate.
4. Options decode the traps: 8,85,000 = no discounting, 7,87,650 = 6%, 8,27,475 = only one year. Pick 7% for 2 years.

LOOK UP

ICAI SM FR - Ind AS 37 | best estimate | expected value | present value | discount rate | risks specific to the liability

ANSWER

(C) ₹ 7,72,605

WORKING

Expected outflow = 0.35 × 16,00,000 + 0.65 × 5,00,000 = 5,60,000 + 3,25,000 = ₹8,85,000. Settlement expected 31.03.2026 = 2 years after the reporting date. Discount rate = 7% (risk-specific pre-tax rate). PV factor = $1 \div 1.07^2 = 0.873$. Provision = 8,85,000 × 0.873 = ₹7,72,605.

Note: Para 40 of Ind AS 37 says a single obligation is usually measured at its most likely outcome (adjusted for other outcomes); ICAI used the expected value, and only that approach matches an option.

Trap: Discounting at the 6% risk-free rate (₹7,87,650) or for one year only (₹8,27,475).

Q1.2 FR MCQ · 2 marks

Ind AS 20 Accounting for Government Grants and Disclosure of Government Assistance (with Ind AS 109)

Grant to recognise on 01.04.2023 for a ₹75 lakh local-government loan at 6% (market rate 10%), repayable after 5 years, interest paid yearly.

(a) NIL as the facility offered by Local Government is in the nature of Loan

(b) ₹ 11,37,000

(c) ₹ 28,42,500

(d) ₹ 17,05,500

CLUE IN THE CASE

concessional rate of interest of 6% ... market rate of interest is 10%

THINK

1. Government loan cheaper than market = Ind AS 20 para 10A: the interest benefit is a government grant.
2. Chapter clear → FR index → Ind AS 20 → 'below-market rate of interest'; the loan itself is measured at fair value under Ind AS 109.
3. Fair value = PV at 10% of ₹4.5 lakh interest for 5 years + ₹75 lakh at year 5. Grant = cash received − fair value.

LOOK UP

ICAI SM FR - Ind AS 20 (with Ind AS 109 initial measurement) below-market rate of interest government loan para 10A fair value of loan

ANSWER

(B) ₹ 11,37,000

WORKING

Interest per year = 75,00,000 × 6% = 4,50,000. PV of interest = 4,50,000 × 3.79 (annuity factor, 10%, 5 years) = 17,05,500. PV of principal = 75,00,000 × 0.621 = 46,57,500. Fair value of loan = 63,63,000. Grant = 75,00,000 − 63,63,000 = ₹11,37,000 - shown as deferred income and released to P&L as the related interest cost is recognised.

Trap: Stopping at PV of interest (₹17,05,500) or at 75 lakh minus PV of principal (₹28,42,500), or saying NIL because it is 'only a loan'.

Q1.3 IDT MCQ · 2 marks Tax Invoice, Credit and Debit Notes - Section 31(7) CGST Act

Goods sent on 01.03.2024 on approval (sale or return) with a 60-day return option; buyer approved on 15.05.2024. When must the invoice be issued?

(a) 15.05.2024

(b) 14.07.2024

(c) 30.04.2024

(d) 28.08.2024

CLUE IN THE CASE

on approval for sale or return basis ... option of returning within 60 days

THINK

1. 'Sale or return' on delivery challan = s.31(7): invoice when supply takes place or 6 months from removal, whichever is earlier.
2. Chapter clear → IDT index → 'sale or return' / 'goods sent on approval' under Tax Invoice.
3. When does supply take place? When the buyer accepts - and a buyer who keeps goods beyond a fixed return period is treated as having accepted them (Sale of Goods Act s.24 idea).
4. 60 days from 01.03.2024 end on 30.04.2024 - earlier than the 15.05.2024 approval and the 6-month limit. Answer 30.04.2024.

LOOK UP

ICAI SM IDT - Tax Invoice, Credit and Debit Notes | sale or return | goods sent on approval | section 31(7) | six months from the date of removal

ANSWER

(C) 30.04.2024

WORKING

s.31(7): for goods sent on approval for sale or return, invoice is issued before or at the time of supply, or 6 months from removal, whichever is earlier. DEF had 60 days to return; it did not return the goods within that time, so acceptance (and supply) is on expiry of 60 days = 30.04.2024. The later approval of 15.05.2024 does not matter. 6 months from removal = 31.08.2024, later. Invoice date = 30.04.2024.

Trap: Taking the actual approval date 15.05.2024 - the 60-day return window had already lapsed.

Q1.4 Law MCQ · 2 marks The Foreign Contribution (Regulation) Act, 2010

WCEMT's FCRA certificate is suspended; ₹66 lakh FC unspent. Which are INCORRECT? I: no FC during suspension except on Govt-approved terms. II: up to $25,000 with RBI permission. III: may spend ₹16.5 lakh WITHOUT Central Govt approval. IV: may spend ₹16.5 lakh WITH prior Central Govt approval.

(a) I and II

(b) I, II and III

(c) II and III

(d) III and IV

CLUE IN THE CASE

enquiry before cancellation of registration and suspension of certificate

THINK

1. 'Suspension of certificate' + 'foreign contribution' = FCRA s.13 (Law, SPOM Set A economic laws).
2. Chapter clear → Law index → FCRA → 'suspension of certificate', 'section 13'.
3. Rule: no fresh FC unless the Central Government allows on its terms; unspent FC only with prior Central Govt approval, up to 25% (25% × 66L = 16.5L).
4. So II (RBI, $25,000 - not in FCRA) and III ('without' approval) are the wrong ones.

LOOK UP

ICAI SPOM Set A Law - FCRA 2010 suspension of certificate section 13 unutilised foreign contribution twenty-five per cent

ANSWER

(C) II and III

WORKING

s.13(2) FCRA: during suspension (a) the person cannot receive FC, but the Central Government may allow receipt on application, on its terms - I is correct; (b) unutilised FC can be used only with prior Central Government approval, for declared aims, up to 25% of the unutilised amount = 25% × ₹66 lakh = ₹16.5 lakh; the rest after the suspension is revoked - IV is correct. II invents an RBI/$25,000 route - incorrect. III says 'without' approval - incorrect.

Trap: Reading III and IV too fast - they differ only in 'without' vs 'with' prior approval.

Q1.5 DT MCQ · 2 marks Income from Other Sources (s.56(2)(x)); Exempt income of non-residents (s.10(4)(ii))

Mr. Karanveer's income from other sources for AY 2024-25: plot gifted by wife's cousin (SDV ₹2.48 lakh), shop bought ₹60 lakh (SDV ₹65 lakh), 1,000 Bright Ltd shares at ₹125 (BSE low ₹210, NSE low ₹218), NRE interest ₹1.25 lakh, debenture interest ₹1.75 lakh.

(a) ₹ 12,41,000

(b) ₹ 5,08,000

(c) ₹ 8,85,000

(d) ₹ 3,85,000

CLUE IN THE CASE

gift from his wife's cousin (Stamp duty value was ₹ 2,48,000)

THINK

1. Gift + property below stamp value + shares bought cheap = s.56(2)(x); NRE interest = s.10(4)(ii).
2. Chapter clear → DT index → Income from Other Sources → 56(2)(x), 'relative' definition, Rule 11UA for quoted shares.
3. Test each item: is the giver a relative? Is the difference above ₹50,000? For immovable property, is it above the 10% tolerance? Then add debenture interest.

LOOK UP

ICAI SM DT - Income from Other Sources; Exempt Incomes section 56(2)(x) relative stamp duty value 10% quoted shares lowest price NRE account interest 10(4)(ii)

ANSWER

(B) ₹ 5,08,000

WORKING

Plot: wife's cousin is not a 'relative' (spouse's brother/sister and lineal relatives are); SDV ₹2,48,000 > ₹50,000 → taxable ₹2,48,000.
Shop: SDV − price = 65L − 60L = 5L; tolerance = higher of ₹50,000 and 10% of 60L = ₹6L; 5L is within it → not taxable.
Bright Ltd shares (quoted, bought off-market): FMV = lowest price on a recognised stock exchange = ₹210; (210 − 125) × 1,000 = ₹85,000 > ₹50,000 → taxable ₹85,000.
NRE interest ₹1,25,000 → exempt u/s 10(4)(ii).
Debenture interest → taxable ₹1,75,000.
Total = 2,48,000 + 85,000 + 1,75,000 = ₹5,08,000.

Trap: Taxing the ₹5 lakh shop difference (within the 10% tolerance) or the NRE interest, or using ₹218 instead of the lowest quote ₹210.

Q1.6 Audit Descriptive · 4 marks

Reporting - SA 705 Modifications to the Opinion in the Independent Auditor's Report; CARO 2020

How should CA. Sandeep Jain report (i) Moon Ltd's ₹120 lakh irrecoverable receivable not written off (profit ₹250 lakh) and (ii) Prime Ltd's unverifiable inventory (30% of total assets)?

CLUE IN THE CASE

party has gone bankrupt ... could not undertake the physical verification of inventory

THINK

1. Two facts, two different SA 705 boxes: Moon = misstatement with evidence in hand and management refusing to correct; Prime = no evidence at all (scope limitation).
2. Chapter clear → Audit index → SA 705 → the 2×2 table: nature (misstatement / inability to obtain evidence) × effect (material / material and pervasive).
3. Size it: ₹120L vs profit ₹250L = 48% of profit → material and pervasive → adverse. Inventory 30% of assets, no records, no count → disclaimer.
4. Prime is a company → add the CARO 2020 clause 3(ii)(a) remark on physical verification of inventory.

LOOK UP

ICAI SM Audit - SA 705 (Modified opinions); CARO 2020 adverse opinion | disclaimer of opinion | pervasive | inability to obtain sufficient appropriate audit evidence | CARO clause 3(ii)(a) inventory

ANSWER

(i) Moon Ltd - Adverse opinion
- Provision: Under SA 705, when the auditor has sufficient appropriate evidence and concludes that misstatements are both material and pervasive, he expresses an adverse opinion.
- Facts: Trade receivable of ₹120 lakh is irrecoverable (party bankrupt and absconding) but not written off despite being communicated. Profit of ₹250 lakh is overstated by 48%; assets are overstated too.
- Conclusion: The misstatement is material and pervasive. CA. Sandeep Jain should express an adverse opinion, with a 'Basis for Adverse Opinion' paragraph stating the ₹120 lakh effect.

(ii) Prime Ltd - Disclaimer of opinion
- Provision: Under SA 705, when the auditor cannot obtain sufficient appropriate evidence and the possible effects of undetected misstatements could be material and pervasive, he disclaims an opinion.
- Facts: No physical verification by management, no adequate inventory records, the audit team could not count; inventory is 30% of total assets, so closing inventory (and profit) cannot be verified.
- Conclusion: Give a Disclaimer of Opinion with a 'Basis for Disclaimer of Opinion' paragraph.
- CARO 2020, clause 3(ii)(a): state that management has not physically verified inventory at reasonable intervals, so coverage and procedure are not appropriate - report this adversely in the CARO annexure.

WORKING

SA 705: misstatement that is material and pervasive → adverse opinion; inability to obtain sufficient appropriate evidence where possible effects could be material and pervasive → disclaimer. Moon: debtor bankrupt and absconding, so ₹120 lakh is irrecoverable; not writing it off overstates profit by 48% (120/250) and overstates assets; management refused after being told. Prime: no management count, no proper records, auditor could not count; inventory is 30% of total assets and also drives cost of sales and profit. CARO 2020 clause 3(ii)(a): report whether management verified inventory at reasonable intervals and whether coverage and procedure are appropriate - here it did not.

Note: A single quantified receivable is often argued as material but not pervasive (qualified 'except for' opinion); ICAI treats 48% of profit as pervasive and goes adverse.

Trap: Giving a qualified opinion for Prime Ltd, or forgetting the CARO 3(ii)(a) remark.

Q1.7 DT **Descriptive · 5 marks**

Capital Gains; Taxation of Non-Residents (first proviso to s.48 / Rule 115A, s.111A, s.112A, s.115AC, s.47(viib), Chapter XII-A)

Compute total income and tax of non-resident Mr. Karanveer for AY 2024-25 under the default regime (s.115BAC): sale of X Ltd and Y Ltd listed shares, Z Ltd and A Ltd GDRs, plus the other-sources items.

CLUE IN THE CASE

He acquired shares in both the companies by remitting US dollars

THINK

1. Non-resident + shares bought with remitted dollars + GDRs + TTBR/TTSR table = NR capital gains: first proviso to s.48 (Rule 115A), 112A, 111A, 115AC, 47(viib).
2. Chapter clear → DT index → 'Non-resident' → 'first proviso to section 48', '115AC', '47(viib)'. Other sources already done in 1.5 (₹5,08,000) - reuse it.
3. Classify each asset: X Ltd > 12 months = LTCG 112A (no FX conversion, no indexation); Y Ltd < 12 months = STCG 111A with Rule 115A conversion; Z GDRs sold NR-to-NR outside India = not a transfer; A GDRs = LTCG at 10% u/s 115AC.
4. Special-rate income at its own rate; a non-resident cannot use the basic exemption against 111A/112A, so slab tax only on ₹3,33,000; surcharge 10% (income 50L-1Cr); cess 4%.

LOOK UP

ICAI SM DT - Capital Gains; Non-Resident Taxation | first proviso to section 48 | Rule 115A | section 112A | section 111A | section 115AC | section 47(viib) GDR | section 115E | section 115F

ANSWER

Computation of total income - Mr. Karanveer (non-resident), AY 2024-25, default regime

Capital gains

(a) LTCG on X Ltd shares [s.112A - no FX conversion, no indexation]: 1,30,00,000 − 26,000 − 90,00,000 = 39,74,000

(b) STCG on Y Ltd shares [s.111A; Rule 115A]: net consideration $78,015.64 (65,00,000/83.15 − 13,000/83.15) − cost $61,766.52 (50,00,000/80.95) = $16,249.12 × ₹82.80 (TTBR on 28.02.2024) = 13,45,427

(c) Z Ltd GDRs - transfer by a non-resident to a non-resident outside India is not a transfer [s.47(viib)]: Nil

(d) LTCG on A Ltd GDRs [s.115AC - no indexation]: 15,00,000 − 3,000 − 12,00,000 = 2,97,000

Income from other sources: plot 2,48,000 + Bright Ltd shares 85,000 + debenture interest 1,75,000 = 5,08,000 (NRE interest exempt u/s 10(4)(ii); shop within 10% tolerance)

Total income = 61,24,427, rounded ₹61,24,430

Tax liability

- s.112A: 10% on 38,74,000 (above ₹1 lakh) = 3,87,400
- s.111A: 15% on 13,45,427 = 2,01,814
- s.115AC: 10% on 2,97,000 = 29,700
- s.115A: 20% on debenture interest 1,75,000 = 35,000
- Slab rates on 3,33,000 (no basic-exemption adjustment against special-rate income for a non-resident; no s.87A) = 1,650
- Total 6,55,564; add surcharge 10% (income above ₹50 lakh) 65,556 = 7,21,120; add cess 4% 28,845
- Tax liability = ₹7,49,965, rounded ₹7,49,970

Note: If Chapter XII-A (s.115E/115F) is applied, total income is ₹52,15,345 and tax ₹6,57,410.

WORKING

1. X Ltd (listed, STT paid, 01.07.2020-28.02.2024) - LTCG u/s 112A; first proviso to s.48 and indexation not allowed: 1,30,00,000 − 26,000 − 90,00,000 = 39,74,000.
2. Y Ltd (01.08.2023-28.02.2024) - STCG u/s 111A, Rule 115A: average rate 28.02.2024 = (82.80 + 83.50)/2 = 83.15; on 01.08.2023 = (80.60 + 81.30)/2 = 80.95. Consideration 65,00,000/83.15 = $78,171.98; expense 13,000/83.15 = $156.34; cost 50,00,000/80.95 = $61,766.52; gain = $16,249.12 × TTBR 82.80 = 13,45,427.
3. Z Ltd GDRs sold by a non-resident to a non-resident outside India - not a transfer u/s 47(viib): Nil.
4. A Ltd GDRs (held > 36 months) - LTCG u/s 115AC, no indexation: 15,00,000 − 3,000 − 12,00,000 = 2,97,000.
5. Other sources (from 1.5): 5,08,000.

Total income = 61,24,427, rounded 61,24,430.
Tax: 10% × (39,74,000 − 1,00,000) = 3,87,400; 15% × 13,45,427 = 2,01,814; 10% × 2,97,000 = 29,700; 20% × 1,75,000 (s.115A) = 35,000; slab on 3,33,000 = 5% × 33,000 = 1,650. Total 6,55,564 + surcharge 10% 65,556 = 7,21,120 + cess 4% 28,845 = 7,49,965 → ₹7,49,970.
Alternative (Chapter XII-A, as he is an NRI who bought shares in foreign exchange): X Ltd gain with Rule 115A = $37,376.03 × 82.80 = 30,94,735, less s.115F exemption for ₹1,25,000 reinvested in Bright Ltd shares (30,94,735 × 1,25,000/1,29,74,000 = 29,817) = 30,64,918 at 10% u/s 115E; debenture interest at 20% u/s 115E. Total income 52,15,345; tax ₹6,57,410.

Note: Law change for Nov 2026: for transfers on/after 23.07.2024, s.112A is 12.5% above ₹1.25 lakh, s.111A is 20%, and LTCG u/s 115AC/115E is 12.5%; new-regime slabs also changed - use your attempt's rates.

Trap: Applying Rule 115A conversion or indexation to the 112A shares, or taxing the Z Ltd GDRs (NR-to-NR outside India is not a transfer).

Q1.8(a) IDT Descriptive · 3 marks

Input Tax Credit - Rule 43 CGST Rules (capital goods used for taxable and exempt supplies)

Correct GSTR-3B treatment for March 2024 of IGST on Machine X (taxable only, ₹9 lakh), Y (both, ₹10.8 lakh) and Z (exempt only, ₹13.5 lakh); taxable supplies ₹1,500 lakh, exempt ₹300 lakh.

CLUE IN THE CASE
Exclusively for taxable supply ... For exempt as well as taxable supply

THINK
1. Capital goods + 'exclusively taxable / exempt / both' = Rule 43 CGST Rules.
2. Chapter clear → IDT index → Input Tax Credit → 'Rule 43', 'capital goods', 'common credit'.
3. Exclusive taxable: full credit. Exclusive exempt: not credited at all. Common: full credit to ledger, then reverse (E/F) × (Tc/60) through output tax every month for 60 months.

LOOK UP
ICAI SM IDT - Input Tax Credit (Rule 43) Rule 43 | capital goods common credit | Tc/60 | exempt supplies E/F | useful life five years

ANSWER
Provision: Rule 43 CGST Rules - ITC on capital goods used only for exempt supplies is not credited to the electronic credit ledger; ITC on capital goods used only for taxable supplies is credited in full; ITC on capital goods used for both is credited in full as common credit, and a monthly share for exempt supplies is added to output tax over a useful life of 5 years (60 months).
Working (March 2024)
- Machine X (exclusively taxable): ITC credited ₹9,00,000
- Machine Z (exclusively exempt): Nil - ₹13,50,000 not taken
- Machine Y (common): ITC credited ₹10,80,000
- Total ITC credited to electronic credit ledger: ₹19,80,000
- Common credit for the month, Tm = 10,80,000 ÷ 60 = ₹18,000
- Exempt share, Te = (E ÷ F) × Tm = (300 lakh ÷ 1,800 lakh) × 18,000 = ₹3,000

Conclusion: In GSTR-3B for March 2024, take ITC of ₹19,80,000 and add ₹3,000 to output tax liability. Repeat the Te addition each month of the 60-month life using that month's turnover.

WORKING
Machine X: ₹9,00,000 credited in full. Machine Z: ₹13,50,000 not credited. Machine Y: ₹10,80,000 credited as common credit (Tc). ITC credited in March 2024 = 9,00,000 + 10,80,000 = ₹19,80,000. Tm = 10,80,000 ÷ 60 = 18,000. Te = 18,000 × 300/1,800 = ₹3,000, added to output tax for March 2024.

Trap: Reversing the exempt share on the whole ₹10,80,000 at once, or taking credit on Machine Z.

Q1.8(b) IDT **Descriptive · 3 marks** Tax Invoice (s.31(7)) and Refunds (s.54(3), Rule 89(4)) - Circular 108/27/2019-GST

600 units sent abroad for exhibition on 01.09.2023 on delivery challan; 400 returned on 20.02.2024; 200 never returned, no invoice by 31.03.2024. (i) When is supply deemed and is an invoice needed? (ii) Can HCP claim refund?

CLUE IN THE CASE

sent 600 units of goods outside India for exhibition

THINK

1. Goods sent abroad for exhibition on delivery challan = Circular 108/27/2019-GST: not a supply when sent; treated like goods on approval.
2. Chapter clear → IDT index → 'goods sent out of India for exhibition' → s.31(7) 6-month rule; refund → s.54(3), Rule 89(4).
3. Dates: removal 01.09.2023; 400 back on 20.02.2024 (within 6 months, no supply); 200 not back by 01.03.2024 → deemed supply (export) that day, invoice that day; refund of ITC as zero-rated supply.

LOOK UP

ICAI SM IDT - Tax Invoice; Refunds; Exports (Circular 108/27/2019-GST) goods sent out of India for exhibition | sale on approval basis | six months from removal | zero-rated supply | Rule 89(4)

ANSWER

(i) Time of supply and invoice
- Provision: Goods sent out of India for exhibition under a delivery challan are not a supply when sent; like goods sent on approval (s.31(7)), they must be sold or brought back within 6 months of removal. If not, supply is deemed to take place on expiry of 6 months (Circular 108/27/2019-GST).
- Facts: 600 units sent on 01.09.2023; 400 brought back on 20.02.2024 (within 6 months) - no supply. 200 units not brought back.
- Conclusion: Supply of the 200 units is deemed on 01.03.2024. HCP must issue a tax invoice for them on 01.03.2024; not raising any invoice is wrong.

(ii) Refund
- The 200 units are an export of goods, i.e. a zero-rated supply (s.16 IGST Act).
- HCP can claim refund of accumulated ITC under s.54(3) of the CGST Act read with Rule 89(4) of the CGST Rules, after issuing the tax invoice dated 01.03.2024.

WORKING

Sending goods abroad for exhibition is not a supply when sent; they must be sold abroad or brought back within 6 months of removal. 400 units back on 20.02.2024 - within 6 months, no supply. 200 units neither sold nor brought back - supply deemed on expiry of 6 months from 01.09.2023, i.e. 01.03.2024; invoice due on that date. These 200 units are an export (zero-rated) → refund of unutilised ITC u/s 54(3) read with Rule 89(4).

Trap: Treating all 600 units as supplied on 01.09.2023, or taking 31.03.2024 as the supply date.

Case 2: Green Energy Ltd (GEL)

A Chennai solar-equipment maker with a 16-month operating cycle, a defaulted loan the lender agreed not to recall, a 7-year INR ECB, technical services imported from the UK, a ₹20 crore KSEB order and a promoter who day-trades shares and commodities.

Marks: FR 7, IDT 6, Costing 5, DT 3, Law 2, AFM 2 · Moderate

First 15 min: Middle pick: 2.6 and 2.7 (10 marks) are textbook Ind AS 1 and import-of-service RCM, but 2.5 has no correct option and 2.8's hours need an assumption.

Q2.1 DT MCQ · 2 marks Profits and Gains of Business or Profession (s.43(5) speculative transaction)

How is Vijay taxed on day trades (BSE profit ₹7 lakh, NSE loss ₹6 lakh) and commodity derivatives on a recognised exchange (profit ₹2 lakh)?

(a) Regular business income (non-speculation income) ₹ 3,00,000

(b) Business income (non-speculation) from commodities derivative ₹ 2,00,000 and speculation business income from day trade in share ₹ 1,00,000

(c) ₹ 3,00,000 being speculation income consisting of both day trade in shares and commodities derivative trade

(d) Non-speculation business income from day trade in shares ₹ 1,00,000 and business income being speculation income from commodities derivative ₹ 2,00,000

CLUE IN THE CASE

Day trade transactions in BSE ... Commodity derivative trade in recognized stock exchange

THINK

1. Day trade = settled without delivery = speculative transaction u/s 43(5).
2. Chapter clear → DT index → 'speculative transaction', s.43(5) and its proviso.
3. Commodity derivatives on a recognised exchange are 'eligible transactions' excluded from speculation (proviso (e)). Speculation net = 7L − 6L = 1L; non-speculation = 2L.

LOOK UP

ICAI SM DT - PGBP (s.43(5)); Set-off of losses (s.73) speculative transaction section 43(5) commodity derivative eligible transaction section 73 speculation loss

ANSWER

(B) Business income (non-speculation) from commodities derivative ₹ 2,00,000 and speculation business income from day trade in share ₹ 1,00,000

WORKING

Day trades in shares have no delivery → speculative u/s 43(5). BSE profit ₹7,00,000 and NSE loss ₹6,00,000 are both speculation, so they net off: speculation income ₹1,00,000. Commodity derivatives on a recognised stock exchange fall under clause (e) of the proviso to s.43(5) → not speculative → normal business income ₹2,00,000.

Trap: Calling commodity derivatives speculation (option C) - the recognised-exchange exclusion makes them normal business income.

Q2.2 Law AFM MCQ · 2 marks FEMA 1999 - External Commercial Borrowings (RBI ECB framework)

GEL raises a 7-year INR-denominated ECB: ₹2.5 crore to repay ABC Ltd's capex loan, ₹1.5 crore for working capital; no hedge; conversion at settlement-date rate. Which is correct? I: repaying ABC loan not permitted. II: working capital not permitted. III: not hedging breaks the rules. IV: agreement-date rate (20.05.2024) should be used.

(a) Only Statement I

(b) Statement I and III

(c) Only Statement II

(d) Statement I, II and IV

CLUE IN THE CASE

External Commercial borrowing (INR denominated) by issuing Non-Convertible Debentures

THINK

1. 'ECB (INR denominated)' + uses of proceeds + hedging = ECB framework under FEMA - end-use negative list.
2. Unsure where it sits → A-Z index → 'External Commercial Borrowings' / 'end-use' (Law - FEMA; AFM IFM has the basics).
3. Negative list relaxations: repayment of rupee loans taken for capex allowed with 7-year maturity; working capital needs 10 years → I false, II true.
4. INR ECB: the lender carries the currency risk, so no hedging mandate (III false); the agreement-date rate rule is for converting an FCY ECB into INR, not this case (IV false).

LOOK UP

ICAI SPOM Set A Law - FEMA 1999 (ECB); AFM - International Financial Management

external commercial borrowings | end-use restrictions | negative list | minimum average maturity | INR denominated ECB | hedging

ANSWER

(C) Only Statement II

WORKING

ABC loan = domestic rupee loan for capital expenditure; ECB with a minimum average maturity of 7 years may repay such loans - permitted, so I is false. Working capital and general corporate purposes need a minimum average maturity of 10 years; 7 years is short - not permitted, so II is true. INR-denominated ECB: GEL owes rupees, the currency risk is the lender's; hedging rules are for FCY ECBs - III false. The agreement-date exchange rate applies when an FCY ECB is converted into INR; nothing is converted here - IV false. Only II.

Trap: Assuming all loan repayment from ECB is banned - repaying a capex rupee loan is allowed with a 7-year maturity.

Q2.3 FR MCQ · 2 marks Ind AS 34 Interim Financial Reporting

Which of Robin's four objections to GEL's interim report are valid? I: extraordinary item not shown. II: goodwill impairment from an earlier interim period reversed. III: only basic EPS given. IV: insignificant changes in contingent liabilities not disclosed.

(a) Only Issue I and IV have been validly raised and required changes in interim financial report

(b) All the issues raised were valid and the effect of all four issues required changes in interim financial report

(c) Only Issue II and Issue III have been validly raised and required changes in interim financial report

(d) Only Issue I have been validly raised and required changes in interim financial report

CLUE IN THE CASE

reversal of impairment loss recognized in a previous interim period in respect of goodwill

THINK

1. 'Interim financial report' = Ind AS 34 (plus Ind AS 1 for extraordinary items, Appendix A of Ind AS 34 for goodwill impairment).
2. Chapter clear → FR index → Ind AS 34 → 'EPS', 'impairment of goodwill', 'significant events and transactions'.
3. I: extraordinary items are banned by Ind AS 1 - not showing one is right (invalid). II: goodwill impairment can't be reversed (valid). III: both EPS needed (valid). IV: only significant changes (invalid).

LOOK UP

ICAI SM FR - Ind AS 34 Interim Financial Reporting | interim financial report | basic and diluted earnings per share | impairment of goodwill interim period | contingent liabilities significant changes | extraordinary items

ANSWER

(C) Only Issue II and Issue III have been validly raised and required changes in interim financial report

WORKING

I: Ind AS 1 prohibits presenting any item as extraordinary - not showing it is correct; objection invalid. II: Appendix A to Ind AS 34 - impairment of goodwill recognised in an earlier interim period must not be reversed; objection valid. III: Ind AS 34 para 11 - basic and diluted EPS both presented; objection valid. IV: Ind AS 34 para 15B - only significant changes in contingent liabilities need explanation; objection invalid. Valid = II and III.

Trap: Accepting Issue I because an 'omitted extraordinary item' sounds like a defect - extraordinary items do not exist under Ind AS.

Q2.4 AFM MCQ · 2 marks Portfolio Management - Alternative Investments (hedge fund fee structure)

Portfolio = GEL's ₹2 crore KSEB profit. Fee = 0.20% of portfolio + 1% of gross return above the maximum value since inception (₹2.20 crore). If return is 20%, total fee?

(a) ₹ 60,000

(b) ₹ 2,04,000

(c) ₹ 68,000

(d) ₹ 86,000

CLUE IN THE CASE

linked to gross return in excess of the portfolio maximum value

THINK

1. 'In excess of the portfolio maximum value since inception' = high-water mark (hedge fund fee structure).
2. Unsure of chapter → A-Z index → 'high water mark' → AFM Portfolio Management / alternative investments.
3. Base fee 0.20% × ₹2 crore = 40,000. Value after 20% = ₹2.40 crore; above high-water mark by ₹20 lakh × 1% = 20,000. Total 60,000.

LOOK UP

ICAI SM AFM - Portfolio Management (alternative investments - hedge funds) high-water mark incentive fee management fee hedge fund

ANSWER

(A) ₹ 60,000

WORKING

Portfolio = net profit from KSEB supply = ₹2,00,00,000. Management fee = 0.20% × 2,00,00,000 = 40,000. Value after 20% return = 2,40,00,000. High-water mark = 2,20,00,000; excess = 20,00,000. Incentive = 1% × 20,00,000 = 20,000. Total fee = ₹60,000.

Trap: Charging the 0.20% on the closing ₹2.40 crore gives ₹68,000 (option C); the incentive is only on value above ₹2.20 crore.

Q2.5 IDT DT MCQ · 2 marks GST: TDS u/s 51 CGST Act (s.20 IGST Act); Income-tax: TDS u/s 194Q vs 194C

KSEB (Kerala) buys 'SAT' worth ₹20 crore from GEL (Chennai), withholds ₹2 crore for 12 months and pays the rest after TDS. How much TDS under the Income-tax Act and under GST?

(a) ₹ 36 lakhs each under the Income tax Act, 1961 and under the IGST Act.

(b) ₹ 40 lakhs under the Income-tax Act, 1961 and, 36 lakhs under the IGST Act.

(c) ₹ 40 lakhs each under the Income tax Act, 1961 and under the IGST Act.

(d) ₹ 36 lakhs under the Income-tax Act, 1961 and, 40 lakhs under the IGST Act.

CLUE IN THE CASE

KSEB withheld ₹ 2 Crores ... paid the balance after deducting TDS

THINK

1. Government board paying a supplier + 'TDS under GST' = s.51 CGST; Chennai supplier to a Kerala buyer = inter-State, so 2% under IGST.
2. Chapter clear → IDT index → 'Tax deduction at source' (s.51). Income-tax side: buying goods, not getting 'work' done → DT index → '194Q' and 194C's 'work' exclusion.
3. GST: 2% on ₹18 crore actually paid = ₹36 lakh (TDS on the withheld ₹2 crore when paid). Income-tax: 0.1% on value above ₹50 lakh = ₹1,95,000.
4. No option has both figures → write the working and the 194Q point in one line under the MCQ.

LOOK UP

ICAI SM IDT - TDS and TCS under GST (s.51); ICAI SM DT - Deduction of tax at source (s.194Q, s.194C)

section 51 TDS | 2% IGST | section 194Q purchase of goods | section 194C meaning of work | contract for sale

ANSWER

No option fits fully. GST TDS = ₹36 lakh under the IGST Act; income-tax TDS = ₹1,95,000 u/s 194Q (not 194C). The options assume 194C at 2% (₹36 lakh), i.e. (A) - in the exam, write the 194Q working beside your answer.

WORKING

GST: KSEB is a notified Government authority/board; supplier in Tamil Nadu, place of supply Kerala → inter-State → TDS 2% under IGST on the payment made: 2% × (20 − 2) crore = ₹36 lakh. Income-tax: 194C covers 'work'; making a product with material not bought from the customer is excluded from 'work', so this is a contract for sale → s.194Q: buyer (turnover above ₹10 crore) deducts 0.1% on purchases above ₹50 lakh = 0.1% × 19,50,00,000 = ₹1,95,000.

Note: Broken MCQ: every option assumes 2% income-tax TDS (194C), but ICAI's own answer applies 194Q (₹1,95,000), so no option matches.

Trap: Taking 2% of the full ₹20 crore (₹40 lakh) under GST, or applying 194C to a plain supply of goods.

Q2.6 FR **Descriptive · 5 marks** Ind AS 1 Presentation of Financial Statements (current / non-current classification)

(i) Are inventory and receivables current when production takes 10 months and credit is 6 months? (ii) Same if 13 and 15 months? (iii) How to classify the ABC Ltd loan in default at 31.03.2024 when the lender agreed in June 2024 not to recall it?

CLUE IN THE CASE

10 months ... credit period of 6 months ... loan became repayable on demand

THINK

1. Current vs non-current + operating cycle + loan default = Ind AS 1 paras 66-76.
2. Chapter clear → FR index → Ind AS 1 → 'operating cycle' (paras 66, 68) and 'breach of loan arrangement' (para 74).
3. Assets realised within the normal operating cycle are current even if the cycle is longer than 12 months - 16 or 28 months, both current.
4. Loan: para 74 is an Indian carve-out from IAS 1 - lender's waiver after year-end but before approval keeps it non-current.

LOOK UP

ICAI SM FR - Ind AS 1 Presentation of Financial Statements | operating cycle | current assets | para 74 breach of loan | payable on demand | carve-out from IAS 1

ANSWER

(i) Inventory and trade receivables - current

- Ind AS 1 para 66: an asset is current if the entity expects to realise it, or intends to sell or consume it, in its normal operating cycle. Para 68: the operating cycle can be longer than 12 months.
- GEL's cycle = 10 months production + 6 months credit = 16 months.
- Both are realised within the normal operating cycle, so classify them as current (disclose amounts expected to be realised after 12 months).

(ii) 13 months + 15 months = 28 months

- No change. The test is the normal operating cycle, not 12 months. Inventory and receivables remain current.

(iii) Loan from ABC Ltd - non-current

- Ind AS 1 para 74 (Indian carve-out from IAS 1): where a breach of a long-term loan on or before the reporting date makes it payable on demand, the liability is not classified as current if the lender agrees, after the reporting period and before the financial statements are approved for issue, not to demand payment because of the breach.
- Facts: ABC Ltd agreed in June 2024, before approval of the 2023-24 financial statements.
- Conclusion: Show the ABC Ltd loan as non-current at 31.03.2024.

WORKING

Operating cycle = buying raw material to collecting cash. (i) 10 + 6 = 16 months; para 66: an asset realised, sold or consumed in the normal operating cycle is current; para 68: the cycle may exceed 12 months → current. (ii) 13 + 15 = 28 months - still the normal cycle → still current. (iii) Default made the loan payable on demand at 31.03.2024; ABC agreed in June 2024 (after reporting date, before approval) not to demand payment; para 74 (carve-out) → not classified as current → non-current.

Trap: Applying IAS 1 (current) - Ind AS 1 para 74 is a carve-out and gives non-current.

Q2.7 IDT Descriptive · 5 marks

Place of Supply (s.13 IGST Act); Time of Supply (s.13(3) CGST Act); Reverse charge on import of services

Does GST apply on GBP 1,00,000 paid to Mark Ltd, UK for technical services (availed 20.12.2023, invoice 28.12.2023, paid 22.01.2024)? Who pays and in which month?

CLUE IN THE CASE

availed the technical services of Mark Ltd., UK ... GEL made payment on 22nd January

THINK

1. Foreign supplier + Indian recipient + services = import of services; POS under s.13 IGST (supplier outside India).
2. Chapter clear → IDT index → 'import of services', 'place of supply s.13(2)', 'time of supply reverse charge s.13(3)'.
3. No special rule fits → POS = recipient's location (Chennai) → import → IGST under reverse charge (Notification 10/2017-IT(R)) payable by GEL.
4. Time of supply = earlier of payment (22.01.2024) and the day after 60 days from invoice (27.02.2024) → January 2024 → pay in cash with GSTR-3B by 20 February 2024.

LOOK UP

ICAI SM IDT - Place of Supply; Time of Supply; Charge of GST (reverse charge) import of services section 13(2) IGST Notification 10/2017-Integrated Tax (Rate) time of supply reverse charge 60 days from date of invoice

ANSWER

- Yes, GST applies.
- Place of supply: The supplier (Mark Ltd) is outside India; technical services are not covered by any specific clause of s.13 of the IGST Act, so POS = location of the recipient = Chennai, India [s.13(2)].
- Nature: Supplier outside India, recipient in India, POS in India = import of services [s.2(11) IGST]. Import of services for consideration is a supply [s.7(1)(b) CGST] and attracts IGST.
- Who pays: Under Notification 10/2017-Integrated Tax (Rate), services supplied by a person in a non-taxable territory to a person in the taxable territory (other than a non-taxable online recipient) are taxed under reverse charge. GEL must pay IGST on GBP 1,00,000.
- When: Time of supply under reverse charge [s.13(3) CGST] = earlier of (a) date of payment, 22.01.2024, and (b) date immediately after 60 days from the invoice dated 28.12.2023, i.e. 27.02.2024. Time of supply = 22.01.2024.
- Conclusion: The liability arises in January 2024. GEL pays IGST in cash through GSTR-3B for January 2024, i.e. by 20 February 2024 (deposited in February 2024), and can then take ITC of it.

WORKING

Supplier in UK, recipient in Chennai. Technical services fit no special clause of s.13 → s.13(2): POS = location of recipient = Chennai. Supplier outside India + recipient in India + POS in India = import of services (s.2(11) IGST). Import of services for consideration is a supply (s.7(1)(b) CGST) → IGST under reverse charge (s.5(3) IGST with Notification 10/2017-IT(R)) - GEL pays. Time of supply (s.13(3) CGST) = earlier of payment 22.01.2024 and the date after 60 days from invoice 28.12.2023 (27.02.2024) = 22.01.2024. Liability falls in January 2024; paid in cash through GSTR-3B for January, due 20.02.2024.

Trap: Taking the invoice month (December 2023) as time of supply - under reverse charge it is the earlier of payment and the day after 60 days from invoice.

Q2.8 Costing Descriptive · 5 marks

Standard Costing - Planning and Operational Variances (SPOM Set B: Strategic Cost & Performance Management)

For 3,600 units of SAT in January 2024 (actual rate ₹25/hr, standard ₹30/hr; revised standard 0.75 hr/unit; now 10 units in 10 hours after a 25% productivity gain), compute (i) traditional variances and (ii) operational and planning variances.

CLUE IN THE CASE

productivity increased by 25% ... revised standard labour requirement is 0.75 hours per unit

THINK

1. 'Original standard' vs 'revised standard' columns = planning and operational variances (ex-ante vs ex-post).
2. Chapter clear → SPOM-B index → Standard Costing → 'planning variance', 'operational variance'.
3. Fix the hours first: actual = 1 hr/unit (10 units in 10 hours); revised = 0.75 hr; original = 1 ÷ 0.75 = 1.333 hr (ICAI's reading). For 3,600 units: 4,800 / 2,700 / 3,600 hours.
4. Traditional = original vs actual; operational = revised vs actual; planning = original vs revised. Check: planning + operational = traditional.

LOOK UP

ICAI SPOM Set B (Strategic Cost & Performance Management) - Standard Costing planning variance operational variance ex-ante standard ex-post standard labour efficiency variance

ANSWER

Working: Actual time = 10 hours for 10 units = 1 hour per unit. A 25% productivity gain means time is now 75% of the original, so original standard = 1 ÷ 0.75 = 1.333 hours per unit. Revised standard = 0.75 hour per unit.

Hours for 3,600 units: Original 4,800 | Revised 2,700 | Actual 3,600

Cost: Original 4,800 × ₹30 = ₹1,44,000 | Revised 2,700 × ₹30 = ₹81,000 | Actual 3,600 × ₹25 = ₹90,000

(i) Traditional variances (original standard vs actual)

- Efficiency = (4,800 − 3,600) × ₹30 = ₹36,000 (F)
- Rate = (₹30 − ₹25) × 3,600 = ₹18,000 (F)
- Total = ₹54,000 (F)

(ii) Operational variances (revised standard vs actual)

- Efficiency = (2,700 − 3,600) × ₹30 = ₹27,000 (A)
- Rate = (₹30 − ₹25) × 3,600 = ₹18,000 (F)
- Total = ₹9,000 (A)

Planning variances (original vs revised standard)

- Efficiency = (4,800 − 2,700) × ₹30 = ₹63,000 (F)
- Rate = (₹30 − ₹30) × 2,700 = Nil
- Total = ₹63,000 (F)

Reconciliation: Planning ₹63,000 (F) + Operational ₹9,000 (A) = Traditional ₹54,000 (F).

Note: Write your assumption on hours in one line - ICAI accepts other reasonable assumptions.

WORKING

Hours for 3,600 units: original 3,600 × 1.333 = 4,800; revised 3,600 × 0.75 = 2,700; actual 3,600 × 1 = 3,600.

Cost: original 4,800 × 30 = 1,44,000; revised 2,700 × 30 = 81,000; actual 3,600 × 25 = 90,000.

Traditional: efficiency (4,800 − 3,600) × 30 = 36,000 F; rate (30 − 25) × 3,600 = 18,000 F; total 54,000 F.

Operational: efficiency (2,700 − 3,600) × 30 = 27,000 A; rate 18,000 F; total 9,000 A.

Planning: efficiency (4,800 − 2,700) × 30 = 63,000 F; rate nil; total 63,000 F.

Check: 63,000 F + 9,000 A = 54,000 F.

Note: ICAI reads a '25% productivity increase' as 25% less time (original 1.333 hr); strictly 25% more output per hour gives 1.25 hr (original 4,500 hrs: traditional efficiency ₹27,000 F, planning ₹54,000 F).

Trap: Using 0.75 hr as the actual time - actual is 1 hr per unit (10 units in 10 hours).

Case 3: Maximo Ltd

A Kolkata listed dairy company importing machinery by air, raising GDRs for an Australian plant, running a TPM packaging subsidiary, facing a minority petition at NCLT, prior-period errors and a GST show cause notice; a group company is in insolvency.

Marks: FR 5, Costing 5, Law 5, DT 4, IDT 4, AFM 2 · Easy

First 15 min: Strong pick: five short numerical MCQs plus three standard descriptives (Ind AS 8, OEE, s.244) - few hidden traps and ICAI accepted alternatives where facts were thin.

Q3.1 AFM MCQ · 2 marks International Financial Management - Global Depository Receipts

Maximo needs a net AUD 20 million after issue costs of 5% of gross. Share price ₹300, issued at 10% discount, 2 shares per GDR, AUD 1 = ₹60. How many GDRs?

(a) 27,21,000

(b) 22,22,222

(c) 23,39,181

(d) 46,78,362

CLUE IN THE CASE

net fund (after fund raising expenses) of 20 million Australian Dollars

THINK

1. GDR issue + shares per GDR + flotation cost = AFM International Financial Management (GDR pricing).
2. Chapter clear → AFM index → 'GDR' → number-of-GDRs illustration; replace the figures.
3. Gross up for the 5% cost (÷ 0.95), convert to ₹, divide by GDR price (2 × ₹270). The dividend data is a distractor here.

LOOK UP

ICAI SM AFM - International Financial Management | global depository receipts | number of GDRs | flotation cost | GDR issue price

ANSWER

(C) 23,39,181

WORKING

Gross proceeds = 20 million ÷ 0.95 = AUD 21.0526 million × ₹60 = ₹126,31,57,895. Issue price per share = 300 × 90% = ₹270; per GDR = 2 × 270 = ₹540. GDRs = 126,31,57,895 ÷ 540 = 23,39,181.

Trap: Ignoring the 5% cost (22,22,222) or forgetting 2 shares per GDR (46,78,362).

Q3.2 DT MCQ · 2 marks Deduction of Tax at Source - s.196C (with s.115AC, non-resident taxation)

Rate at which Maximo deducts tax on 'interest' on GDRs issued under the Central Government scheme to non-residents (ignore surcharge).

(a) 5.20%

(b) 10.40%

(c) 4.16%

(d) 20.80%

CLUE IN THE CASE

issued GDRs in accordance with the scheme notified by the Central Government

THINK

1. GDRs under the notified scheme held by non-residents = s.115AC; TDS on that income = s.196C.
2. Chapter clear → DT index → '196C' / 'GDR'.
3. Rate 10%; payee is a non-resident, so add 4% cess on TDS (surcharge ignored): 10% × 1.04 = 10.40%.

LOOK UP

ICAI SM DT - Deduction of tax at source (s.196C); Non-resident taxation (s.115AC) section 196C section 115AC GDR foreign currency bonds

ANSWER

(B) 10.40%

WORKING

s.196C: tax on interest or dividend on bonds/GDRs referred to in s.115AC is deducted at 10%. For payments to non-residents, TDS rates are increased by 4% health and education cess. 10% + 4% of 10% = 10.40%.

Trap: Leaving out cess (it applies on TDS for non-residents) or using the 20% s.115A rate (20.80%).

Q3.3 DT MCQ · 2 marks Minimum Alternate Tax - s.115JB (Explanation 1, clause (iih))

Shortspan (P) Ltd's CIRP application was admitted in June 2023. B/f business loss ₹15 lakh and unabsorbed depreciation ₹29 lakh. How much reduces book profit for AY 2024-25?

(a) ₹ 14,00,000

(b) ₹ 29,00,000

(c) ₹ 15,00,000

(d) ₹ 44,00,000

CLUE IN THE CASE

application for corporate insolvency process has been admitted by the adjudicating authority

THINK

1. Book profit + b/f loss + unabsorbed depreciation = s.115JB Explanation 1 adjustments.
2. Chapter clear → DT index → '115JB' → 'lower of brought forward loss or unabsorbed depreciation' and the IBC exception.
3. Normal company: the lower of the two. Company whose CIRP application is admitted under IBC: the aggregate. 15L + 29L = 44L.

LOOK UP

ICAI SM DT - MAT (s.115JB) section 115JB book profit unabsorbed depreciation Insolvency and Bankruptcy Code aggregate of loss and depreciation

ANSWER

(D) ₹ 44,00,000

WORKING

Business loss b/f = 11 + 0 + 4 = ₹15 lakh. Unabsorbed depreciation = 16 + 10 + 3 = ₹29 lakh. Clause (iih) of Explanation 1 to s.115JB: for a company whose CIRP application is admitted under s.7/9/10 of the IBC, book profit is reduced by the aggregate of b/f loss and unabsorbed depreciation = ₹44 lakh.

Trap: Using the normal 'lower of' rule (₹15 lakh, or ₹14 lakh year-wise) - admission under IBC switches it to the aggregate.

Q3.4 IDT MCQ · 2 marks

Customs - Valuation (Customs Valuation Rules, 2007) and Levy (s.14 exchange rate, s.15 rate of duty)

Machinery imported by air: CIF USD 1,00,000 (air freight 12,000, insurance 8,000), price later renegotiated to USD 95,000. BoE 25.06.2023 (₹84, BCD 8%); aircraft arrived 07.07.2023 (₹82, BCD 10%). Customs duty payable?

(a) ₹ 8,77,800

(b) ₹ 9,24,000

(c) ₹ 9,02,000

(d) ₹ 6,93,000

CLUE IN THE CASE

imported new machineries from USA by air on CIF basis ... re-negotiated price

THINK

1. Import by air + freight + two dates with two exchange rates and two duty rates = customs valuation plus s.14/s.15.
2. Chapter clear → IDT index → Customs Valuation → 'air freight 20% of FOB'; Levy → 'rate of duty s.15', 'rate of exchange s.14'.
3. Exchange rate = BoE filing date (₹84); duty rate = later of BoE and arrival (07.07.2023, 10%); SWS 10% of BCD.
4. Freight 12,000 is within 20% of FOB, so no cap. Renegotiated before import → USD 95,000 (A); if after import → USD 1,00,000 (B).

LOOK UP

ICAI SM IDT - Customs: Valuation; Levy of and Exemptions from Customs Duties | air freight 20% of FOB | transaction value | rate of exchange section 14 | rate of duty section 15 | social welfare surcharge

ANSWER

(A) ₹ 8,77,800 - taking the renegotiated price as agreed before importation. If the renegotiation is taken as after importation, (B) ₹ 9,24,000. Write the assumption in one line.

WORKING

Renegotiated before importation: CIF USD 95,000 (FOB 75,000; freight 12,000 < 20% of 75,000 = 15,000; insurance 8,000). Assessable value = 95,000 × ₹84 = ₹79,80,000. BCD 10% = 7,98,000; SWS 10% of BCD = 79,800. Duty = ₹8,77,800.

If renegotiated after importation: CIF USD 1,00,000 (FOB 80,000; freight within 16,000 cap) × 84 = ₹84,00,000; BCD 8,40,000 + SWS 84,000 = ₹9,24,000.

Trap: Using ₹82 (arrival-date rate) or 8% (BoE-date rate) - the exchange rate follows the BoE date, the duty rate follows the later date.

Q3.5 IDT MCQ · 2 marks GST - Demands and Recovery (s.73 CGST Act)

SCN u/s 73(1) for tax ₹6,00,000 and interest ₹1,08,000; Maximo neither paid nor replied within 30 days. Penalty leviable?

(a) ₹ 10,000

(b) ₹ 50,000

(c) ₹ 60,000

(d) ₹ 70,800

CLUE IN THE CASE

show cause notice (SCN) was issued under section 73(1)

THINK

1. SCN u/s 73(1) = non-fraud demand; the penalty is fixed in s.73 itself.
2. Chapter clear → IDT index → Demands and Recovery → s.73(8)/(9).
3. Paid within 30 days of SCN → no penalty. Not paid → higher of 10% of tax and ₹10,000 = 10% × 6L = ₹60,000.

LOOK UP

ICAI SM IDT - Demands and Recovery | section 73 | penalty 10% of tax or ten thousand rupees | within thirty days of show cause notice | non-fraud cases

ANSWER

(C) ₹ 60,000

WORKING

s.73(8): no penalty if tax and interest are paid within 30 days of the SCN - not done. s.73(9): penalty = higher of 10% of tax (10% × 6,00,000 = 60,000) and ₹10,000 = ₹60,000. Interest is not part of the base.

Note: Law change for Nov 2026: demands for FY 2024-25 onwards fall under s.74A - same 10%/₹10,000 penalty in non-fraud cases, but no penalty if tax and interest are paid within 60 days of the SCN.

Trap: Adding interest to the base, or adding 18% to the penalty (₹70,800).

Q3.6 FR Descriptive · 5 marks

Ind AS 8 Accounting Policies, Changes in Accounting Estimates and Errors (with Ind AS 1 para 40A)

Auditors say the 2023-24 statements (not yet approved) are not Ind AS compliant and 2022-23 also had errors. How should Maximo correct them, and what if it is a retrospective policy change that was not applied or disclosed properly?

CLUE IN THE CASE

errors in the financial statements of preceding account year i.e. 2022-23 also

THINK

1. 'Errors in preceding year' + 'retrospective change in accounting policy not followed' = Ind AS 8 prior period errors.
2. Chapter clear → FR index → Ind AS 8 → 'prior period errors', 'retrospective restatement' (paras 41-49); Ind AS 1 para 40A for the third balance sheet.
3. 2023-24 errors: fix before the Board approves. 2022-23 errors: restate comparatives. A mis-applied policy change is itself an error → same route, plus a 01.04.2022 balance sheet if material.

LOOK UP

ICAI SM FR - Ind AS 8; Ind AS 1 (third balance sheet) prior period errors | retrospective restatement | para 42 | third balance sheet | para 40A | impracticable

ANSWER

1. Provision - Ind AS 8

- Prior period errors are omissions from, or misstatements in, earlier financial statements arising from failure to use, or misuse of, reliable information that was available when those statements were approved and could reasonably have been obtained. They include mathematical mistakes, mistakes in applying accounting policies, oversights, misinterpretation of facts and fraud.
- Errors can be in recognition, measurement, presentation or disclosure (para 41). Statements with material errors (or immaterial errors made intentionally) do not comply with Ind AS.

2. Correction

- 2023-24 (current period): the statements are not yet approved by the Board, so correct these errors before approval.
- 2022-23 (prior period): correct retrospectively in the 2023-24 statements, the first set approved after discovery, by (a) restating the 2022-23 comparatives, or (b) if the error relates to an earlier period, restating opening balances of assets, liabilities and equity of the earliest period presented - unless impracticable (paras 42-45).
- Disclose the nature of the error, the correction for each line item and EPS for each prior period, the correction at the start of the earliest period, and reasons if impracticable (para 49).

3. Finance Manager's claim - retrospective policy change not applied or disclosed properly

- This is not a fresh change in policy; failing to apply or disclose a retrospective policy change properly is itself a prior period error.
- Treat it under para 42: restate the 31.03.2023 comparatives as if the policy had been applied correctly from the start, with full disclosure.
- Present a third balance sheet as at 01.04.2022 if the restatement has a material effect on it (Ind AS 1 para 40A); notes to that opening balance sheet are not needed. Later years need not repeat these disclosures.

Conclusion: Maximo must restate the comparatives (not just pass a correction through 2023-24 profit) before the Board approves the 2023-24 statements.

WORKING

Prior period errors = omissions or misstatements arising from failure to use, or misuse of, reliable information that was available when those statements were approved and could reasonably have been used; they include mistakes in applying accounting policies. 2023-24 statements are not yet approved → correct current-period errors now. 2022-23 errors → para 42: correct retrospectively in the first statements approved after discovery (2023-24) by restating comparatives, or opening balances of the earliest period presented if the error is older; unless impracticable. A policy change that should have been applied

retrospectively but was not applied or disclosed properly is also a prior period error → restate 31.03.2023 comparatives; present a balance sheet at 01.04.2022 if the effect is material (Ind AS 1 para 40A).

Trap: Passing the correction through 2023-24 profit or loss instead of restating the 2022-23 comparatives.

Q3.7 Costing Descriptive · 5 marks

Lean System and Innovation - Total Productive Maintenance (SPOM Set B: Strategic Cost & Performance Management)

Per 8-hour shift: 30-min meal and 15-min tea break, 20 min unplanned downtime, 2 min standard cycle per bottle, 200 bottles made, 10% rejected. Has Hi-Quality reached world-class TPM performance?

CLUE IN THE CASE

world class performance standard under TPM approach

THINK

1. 'TPM' + downtime + cycle time + rejects = Overall Equipment Effectiveness (OEE).
2. Chapter clear → SPOM-B index → 'Total Productive Maintenance' → 'OEE', 'world class'.
3. Planned production time = 480 − 45 = 435 min; run time = 415. A = 415/435, P = 400/415, Q = 180/200.
4. Quick check: OEE = good units × cycle time ÷ planned time = 180 × 2 ÷ 435 = 82.76% < 85%.

LOOK UP

ICAI SPOM Set B (Strategic Cost & Performance Management) - Lean System and Innovation (TPM)

overall equipment effectiveness | availability ratio | performance ratio | quality ratio | world class OEE 85%

ANSWER

Working (per shift)

- Total time 480 min − planned breaks (30 + 15) 45 min = planned production time 435 min
- Run time = 435 − 20 (unplanned downtime) = 415 min
- Availability = 415 ÷ 435 = 95.40%
- Performance = (200 bottles × 2 min) ÷ 415 = 96.39%
- Quality = (200 − 20) ÷ 200 = 90.00%
- OEE = 95.40% × 96.39% × 90.00% = 82.76%

Evaluation against world class (availability 90%, performance 95%, quality 99.9%, OEE 85%)

- Availability 95.40% beats 90%: little downtime, maintenance is working.
- Performance 96.39% beats 95%: the machine runs close to its ideal speed.
- Quality 90% is far below 99.9%: one in ten bottles is scrap, and this alone pulls OEE under 85%.

Conclusion: OEE of 82.76% is below the 85% world-class benchmark, so Hi-Quality has not achieved world-class TPM performance. It should attack quality losses - root-cause analysis of rejects, checks on input material, operator training and in-line quality checks. At 99.9% quality, OEE would be about 91.9%.

WORKING

Shift = 480 min; planned breaks 45; planned production time = 435. Run time = 435 − 20 = 415. Availability = 415/435 = 95.40%. Performance = (200 × 2)/415 = 400/415 = 96.39%. Quality = (200 − 20)/200 = 90%. OEE = 0.9540 × 0.9639 × 0.90 = 82.76%. World class (Nakajima): availability 90%, performance 95%, quality 99.9%, OEE 85%.

Trap: Using 480 min (ignoring planned breaks) as the base for availability.

Q3.8 Law · Descriptive · 5 marks · Companies Act, 2013 - Prevention of Oppression and Mismanagement (Sections 241-246)

90 of 1,000 members holding 10 lakh of 100 lakh shares petition NCLT u/s 241 over ground-water violations. Is it maintainable? Does withdrawal of consent by 40 members (4 lakh shares) after proceedings began affect it?

CLUE IN THE CASE

90 shareholders holding 10 Lakhs equity shares ... withdrawn their consent

THINK

1. Shareholders petitioning NCLT against how the company is run = oppression and mismanagement, s.241; who can apply = s.244.
2. Chapter clear → Law index → 'Section 244' → 100 members / one-tenth of members / one-tenth of issued share capital.
3. Number test: lower of 100 and 1/10 of 1,000 = 100 → 90 fails. Capital test: 10 lakh of 100 lakh shares = 1/10 → passes. Either test is enough.
4. Consent is tested on the filing date; later withdrawal does not end the petition (Rajamundhry Electric Supply case).

LOOK UP

ICAI SPOM Set A Law - Companies Act: Prevention of Oppression and Mismanagement | section 241 | section 244 right to apply | one-tenth of issued share capital | withdrawal of consent | Rajamundhry Electric Supply

ANSWER

Provision - s.241 read with s.244(1)(a)

- In a company with share capital, an application for oppression and mismanagement can be made by (a) at least 100 members or one-tenth of the total members, whichever is less, or (b) any member or members holding at least one-tenth of the issued share capital (with all calls paid).

Facts and analysis

- Total members 1,000 → one-tenth = 100; lower of 100 and 100 = 100. Petitioners = 90, so the number test is not met.
- Share capital: petitioners hold 10 lakh of 100 lakh shares (₹10 crore of ₹100 crore) = one-tenth, so the capital test is met.

Conclusion 1: The petition is maintainable, since meeting either test is enough. Flouting ground-water norms despite repeated representations is conduct prejudicial to members and public interest - a valid ground u/s 241.

Withdrawal of consent

- Eligibility is judged when the petition is filed. Withdrawal of consent by some members after NCLT has started proceedings does not affect maintainability [Rajamundhry Electric Supply Corporation v. A. Nageshwara Rao, SC].

Conclusion 2: Withdrawal by 40 members (4 lakh shares) in March 2024 does not make the petition non-maintainable.

(Alternative accepted by ICAI: if 'issued' capital is treated as not given, only the 100-member test applies and 90 members fail - petition not maintainable. The withdrawal point stays the same.)

WORKING

s.244(1)(a): in a company with share capital, an application can be made by not less than 100 members or one-tenth of total members, whichever is less, or by member(s) holding not less than one-tenth of the issued share capital (calls paid). Members 1,000 → one-tenth = 100 → lower of 100 and 100 = 100; petitioners 90 → number test fails. Capital: 10 lakh of 100 lakh shares = 1/10 → capital test met → maintainable. Consent of members is reckoned when the petition is filed; withdrawal by 40 members in March 2024, after NCLT started proceedings in February 2024, does not affect maintainability.

Trap: Testing only the 100-member limit and missing the one-tenth capital route.

Case 4: Welcome Melody Private Limited (WMPL)

A US-controlled retail chain buys POS software on deferred terms, pays interest to its foreign parent, opens a Pune store with a separate GST registration, faces a judgemental inventory-shrinkage audit area, and eyes the securities of near-bankrupt XYZ Ltd.

Marks: FR 8, IDT 7, AFM 6, DT 2, Audit 2 · Easy

First 15 min: Pick first: 15 of 25 marks are list-type theory (Rule 86B + ITC documents, Ind AS 38 disclosures, distressed securities) and every MCQ is a one-step calculation or definition.

Q4.1 FR MCQ · 2 marks Ind AS 38 Intangible Assets

POS software costs ₹15 lakh: ₹10 lakh now, ₹5 lakh after one year; legal fees ₹72,000; implementation consultancy ₹1,50,000; cost of capital 10%. Initial cost to capitalise?

(a) Total Cost to be capitalised is ₹ 15,26,545

(b) Total Cost to be capitalised is ₹ 16,04,545

(c) Total Cost to be capitalised is ₹ 16,76,545

(d) Total Cost to be capitalised is ₹ 17,22,000

CLUE IN THE CASE

₹ 10,00,000 to be paid immediately and balance ₹ 5,00,000 in one-year time

THINK

1. Software bought + deferred payment + legal/consultancy fees = Ind AS 38 cost of a separately acquired intangible.
2. Chapter clear → FR index → Ind AS 38 → 'deferred payment', 'directly attributable cost' (paras 27-32).
3. Payment deferred beyond normal credit → cost = cash price equivalent (PV of ₹5 lakh at 10%); add legal and implementation fees.

LOOK UP

ICAI SM FR - Ind AS 38 Intangible Assets separately acquired intangible asset deferred payment cash price equivalent directly attributable cost

ANSWER

(C) Total Cost to be capitalised is ₹ 16,76,545

WORKING

Cash price equivalent = 10,00,000 + 5,00,000 ÷ 1.10 = 10,00,000 + 4,54,545 = 14,54,545. Add legal fees 72,000 and implementation consultancy 1,50,000 (directly attributable to getting the software ready for use). Cost = ₹16,76,545. The balance ₹45,455 is interest expense over the credit period.

Trap: Capitalising the full ₹15 lakh (₹17,22,000) or dropping one of the two fees (₹15,26,545 / ₹16,04,545).

Q4.2 DT MCQ · 2 marks Transfer Pricing and Other Anti-avoidance Measures - s.94B (limitation of interest deduction)

WMPL paid ₹2.80 crore interest to its 75% parent Melody Inc. (USA); EBITDA ₹9 crore. Is the full interest deductible? If not, how much is disallowed?

(a) No, amount of ₹ 0.40 Cr. will be disallowed as deduction on account of excess interest

(b) No, amount of ₹ 1.80 Cr. will be disallowed as deduction on account of excess interest

(c) No, amount of ₹ 0.16 Cr. will be disallowed as deduction on account of excess interest

(d) No, amount of ₹ 0.10 Cr. will be disallowed as deduction on account of excess interest

CLUE IN THE CASE

borrowed funds from its holding company Melody Inc.

THINK

1. Interest above ₹1 crore paid to a foreign parent = s.94B thin capitalisation.
2. Chapter clear → DT index → '94B' / 'limitation on interest deduction'.
3. Excess interest = total interest − 30% of EBITDA = 2.80 − 2.70 = 0.10 crore; disallow the lower of excess and interest paid to the AE.

LOOK UP

ICAI SM DT - Transfer Pricing and Other Anti-avoidance Measures (s.94B) section 94B thin capitalisation 30% of EBITDA associated enterprise excess interest

ANSWER

(D) No, amount of ₹ 0.10 Cr. will be disallowed as deduction on account of excess interest

WORKING

Melody Inc. holds 75% and is a non-resident → associated enterprise. Interest ₹2.80 crore > ₹1 crore → s.94B applies. 30% × EBITDA ₹9 crore = ₹2.70 crore. Excess interest = 2.80 − 2.70 = ₹0.10 crore. Disallowed = lower of excess (0.10) and interest to AE (2.80) = ₹0.10 crore; it can be carried forward for 8 assessment years.

Trap: Using PBT or PAT instead of EBITDA, or disallowing everything above ₹1 crore (₹1.80 crore).

Q4.3 AFM MCQ · 2 marks Portfolio Management - Alternative Investments (distressed securities)

Which strategy makes WMPL's investment in securities of near-bankrupt XYZ Ltd profitable?

(a) Taking Long Position in Debt and Short Position in Equity

(b) Taking Long Position in Equity and Short Position in Debt

(c) Taking Long Position in Debt and Long Position in Equity

(d) Taking short Position in Debt and short Position in Equity

CLUE IN THE CASE

XYZ Limited which is near bankruptcy ... between debt and equity securities

THINK

1. 'Near bankruptcy' + 'debt and equity securities' = distressed securities (alternative investments) in AFM.
2. Chapter clear → AFM index → 'distressed securities'.
3. Debt ranks ahead of equity in a collapse → go long debt, short equity.

LOOK UP

ICAI SM AFM - Portfolio Management (alternative investments: distressed securities) distressed securities long position in debt short position in equity arbitrage

ANSWER

(A) Taking Long Position in Debt and Short Position in Equity

WORKING

Distressed-securities arbitrage: buy (long) the debt, which has priority and earns interest, and sell short the equity, which falls the most if the company fails. If things improve, interest on debt exceeds dividend payable on the short equity; if they worsen, the gain on the short equity outweighs the fall in debt.

Trap: Reversing it (long equity, short debt) - debt is repaid before equity.

Q4.4 IDT MCQ · 2 marks Input Tax Credit - Rule 41A CGST Rules (transfer of credit on separate registration within a State)

WMPL takes a separate Pune registration (Pune fixed assets ₹22 crore + current ₹50 crore; whole business ₹400 + ₹500 crore; unutilised ITC ₹25 crore). Accounts says ₹2.50 crore can move (current-asset ratio). Comment.

(a) The amount calculated is incorrect as the amount which can be transferred to Pune registration is ₹ 1.375 Crores

(b) The amount calculated is incorrect as the amount which can be transferred to Pune registration is ₹ 2 Crores

(c) The amount calculated is incorrect as the amount which can be transferred to Pune registration is ₹ 6.25 Crores

(d) The amount calculated is correct as output liability will arise on sales and stock is a part of current assets

CLUE IN THE CASE

transfer some part of GST credit ... to electronic credit ledger of separate Pune registration

THINK

1. New registration in the same State + moving credit to it = Rule 41A (FORM GST ITC-02A).
2. Chapter clear → IDT index → Input Tax Credit → 'Rule 41A', 'separate registration'.
3. Ratio = value of all assets of the new place ÷ all assets of the business, whether or not ITC was taken: (22 + 50) ÷ (400 + 500) = 8% × ₹25 crore = ₹2 crore.

LOOK UP

ICAI SM IDT - Input Tax Credit (Rule 41A) Rule 41A ITC-02A separate registration ratio of value of assets

ANSWER

(B) The amount calculated is incorrect as the amount which can be transferred to Pune registration is ₹ 2 Crores

WORKING

Rule 41A: unutilised ITC may be transferred to the newly registered place in the ratio of the value of assets held by it at the time of registration; 'value of assets' means the value of the entire assets of the business, whether or not ITC was availed on them. Pune = 22 + 50 = ₹72 crore; business = 400 + 500 = ₹900 crore; 72/900 = 8%. 8% × 25 = ₹2 crore. File ITC-02A within 30 days of the new registration.

Trap: Using only current assets (₹2.50 crore), only fixed assets (₹1.375 crore) or only ITC-availed assets (₹6.25 crore).

Q4.5 Audit MCQ · 2 marks SA 701 Communicating Key Audit Matters in the Independent Auditor's Report

If WMPL were listed, how should the inventory-shrinkage allowance (audit focus area, judgemental, controls tested) appear in the audit report?

(a) The auditor should report the issue of shrinkages in inventories in 'Emphasis of matter paragraph' and also state how the matter has been dealt with by audit team

(b) The auditor should report the issue of shrinkages in inventories in 'Other matter paragraph' and also state how the matter has been dealt with by audit team

(c) The auditor should report the issue of shrinkages in inventories in 'Other matter paragraph'

(d) The auditor should report the issue of shrinkages in inventories in 'Key Audit matter paragraph' and also state how the matter has been dealt with by audit team

CLUE IN THE CASE

Allowance for inventory shrinkage was an audit focus area ... judgmental factors

THINK

1. 'Audit focus area' + 'judgmental' + 'listed company' + 'how the matter was addressed' = Key Audit Matter.
2. Chapter clear → Audit index → SA 701 → 'key audit matters', 'listed entity'.
3. SA 701 applies to listed entities; a KAM paragraph explains why the matter mattered and how the audit dealt with it. EOM and OM paragraphs do not describe audit work.

LOOK UP

ICAI SM Audit - SA 701 Key Audit Matters | key audit matters | listed entity | significant auditor attention | how the matter was addressed in the audit

ANSWER

(D) The auditor should report the issue of shrinkages in inventories in 'Key Audit matter paragraph' and also state how the matter has been dealt with by audit team

WORKING

SA 701: for audits of listed entities, the auditor communicates matters of most significance - areas of higher risk and significant judgement - as KAMs, explaining why each is a KAM and how it was addressed. The shrinkage allowance involves judgement, counts are only periodic, and the team tested controls → KAM.

Trap: Choosing Emphasis of Matter - EOM only points to a matter already disclosed; it does not describe audit procedures.

Q4.6 AFM **Descriptive · 4 marks** Portfolio Management - Alternative Investments (distressed securities)

Explain how WMPL can earn profit by taking positions in the debt and equity of XYZ Ltd.

CLUE IN THE CASE

proper allocation of amount to be invested between debt and equity securities

THINK

1. Follows from 4.3 - distressed securities arbitrage.
2. Chapter clear → AFM index → 'distressed securities'; write the two scenarios.
3. Recovery: interest on debt > dividend on the short shares. Collapse: equity falls far more than debt, which ranks first - short gain > debt loss.

LOOK UP

ICAI SM AFM - Portfolio Management (alternative investments: distressed securities) distressed securities long position in debt short position in equity arbitrage

ANSWER

Strategy: Take a long position in XYZ Ltd's debt and a short position in XYZ Ltd's equity (distressed-securities arbitrage).
Why it earns profit:
- Priority: debt is repaid before equity, so in every outcome debt loses less value than equity.
- If XYZ's condition improves: WMPL earns interest on the debt, which is more than the dividend it must pay on the shorted shares; the rise in debt value offsets the loss on the short equity.
- If XYZ's condition worsens or it goes bankrupt: both fall, but equity falls much more and may become worthless. The gain on the short equity exceeds the loss on the debt, which still recovers part of its value in liquidation.
Conclusion: With the right split between debt and equity, WMPL makes an arbitrage profit whichever way XYZ moves - which is why the consultant stressed allocation.

WORKING

Position: long XYZ debt + short XYZ equity. If XYZ improves: debt pays interest and gains value; interest received exceeds dividend payable on the short position, so any loss on the short equity is covered. If XYZ worsens: equity can go close to zero, giving a large gain on the short; debt also falls but recovers part in liquidation because it ranks first. Right allocation → profit either way.

Trap: Writing only 'buy cheap, sell high' - the marks are in explaining both outcomes and debt's priority.

Q4.7 IDT **Descriptive · 5 marks** GST - Payment of Tax (Rule 86B); Input Tax Credit (s.16(2)(a), Rule 36 documents)

September 2024: taxable supplies ₹50 crore, output tax ₹6.25 crore, ITC ₹7.50 crore, cash ledger ₹75 lakh. Must WMPL use the cash ledger? On what documents would ITC have been taken?

CLUE IN THE CASE

Whether WMPL is mandatorily required to utilize the balance in the electronic cash ledger

THINK

1. Big monthly taxable turnover + enough ITC + 'mandatorily cash ledger' = Rule 86B (at least 1% in cash).
2. Chapter clear → IDT index → Payment of Tax → 'Rule 86B'; ITC → 'documents for availing ITC', Rule 36.
3. ₹50 crore > ₹50 lakh in the month and no exception given → credit ledger can pay only 99%; 1% = ₹6.25 lakh from the cash ledger.

LOOK UP

ICAI SM IDT - Payment of Tax (Rule 86B); Input Tax Credit (Rule 36) Rule 86B 99% of output tax liability electronic cash ledger Rule 36 documents bill of entry

ANSWER

Part 1 - Use of the cash ledger

- Provision: Rule 86B of the CGST Rules - where the value of taxable supply (other than exempt and zero-rated) in a month exceeds ₹50 lakh, the electronic credit ledger cannot be used for more than 99% of the output tax liability. Exceptions (income tax above ₹1 lakh in each of the last two FYs, refund of unutilised ITC above ₹1 lakh, cumulative cash payment above 1%, Government departments/PSUs, etc.) are not indicated here.
- Facts: Taxable supply ₹50 crore > ₹50 lakh; output tax ₹6.25 crore.
- Working: Maximum from credit ledger = 99% × ₹6.25 crore = ₹6.1875 crore; minimum from cash ledger = 1% × ₹6.25 crore = ₹6,25,000.
- Conclusion: Yes. WMPL must pay at least ₹6,25,000 from the electronic cash ledger (₹75 lakh available), even though ₹7.50 crore ITC is available.

Part 2 - Documents for ITC [s.16(2)(a) read with Rule 36]

(i) Invoice issued by the supplier under s.31
(ii) Invoice issued by the recipient for reverse-charge supplies (s.31(3)(f)), subject to payment of tax
(iii) Debit note issued by the supplier under s.34
(iv) Bill of entry or similar import document under the Customs Act
(v) Invoice or credit note issued by an Input Service Distributor

WORKING

Rule 86B applies where taxable supply (other than exempt and zero-rated) in a month exceeds ₹50 lakh: ₹50 crore > ₹50 lakh. No exception is indicated (income tax above ₹1 lakh in each of the last two years, refund of unutilised ITC above ₹1 lakh, cumulative cash payment above 1%, Government/PSU). Credit ledger can pay 99% × 6.25 crore = ₹6.1875 crore; at least 1% = ₹6,25,000 must come from the cash ledger (₹75 lakh available). Documents u/s 16(2)(a) and Rule 36: supplier's invoice; recipient's own invoice under reverse charge with tax paid; debit note; bill of entry; ISD invoice.

Trap: Saying no cash is needed because ITC exceeds the liability - Rule 86B still forces 1% in cash.

Q4.8 FR Descriptive · 6 marks

Ind AS 38 Intangible Assets - Disclosure (para 118) and Retirements and Disposals (paras 112-117)

Guide WMPL's accounts team on general disclosures for intangible assets (including POS software) and the conditions for derecognising them.

CLUE IN THE CASE

general disclosures to be made in financial statements relating to such intangible assets

THINK

1. Intangibles + disclosures + derecognition = Ind AS 38 - a pure look-up question.
2. Chapter clear → FR index → Ind AS 38 → 'Disclosure' (para 118) and 'Retirements and disposals' (para 112).
3. Write the 5 headline disclosures (with the reconciliation items) and the 2 derecognition triggers; 6 marks = 18 minutes, don't over-write.

LOOK UP

ICAI SM FR - Ind AS 38 Intangible Assets | disclosure intangible assets | each class of intangible assets | reconciliation of carrying amount | derecognition | retirements and disposals

ANSWER

(i) General disclosures - for each class of intangible assets, separating internally generated assets from others:
(a) whether useful lives are indefinite or finite and, if finite, the useful lives or amortisation rates used;
(b) the amortisation methods used for assets with finite lives;
(c) the gross carrying amount and accumulated amortisation (together with accumulated impairment losses) at the beginning and end of the period;
(d) the line item(s) of the statement of profit and loss in which amortisation is included;
(e) a reconciliation of the carrying amount at the beginning and end of the period showing:
- additions, separately from internal development, separate acquisition (e.g. the POS software) and business combinations;
- assets classified as held for sale under Ind AS 105, and other disposals;
- increases or decreases from revaluations and from impairment losses recognised or reversed in OCI;
- impairment losses recognised in profit or loss;
- impairment losses reversed in profit or loss;
- amortisation recognised during the period;
- net exchange differences on translation into the presentation currency and on translation of foreign operations;
- other changes in the carrying amount.
(ii) Derecognition - an intangible asset is derecognised:
(a) on disposal (for example by sale, by entering into a finance lease, or by donation); or
(b) when no future economic benefits are expected from its use or disposal.
The gain or loss (net disposal proceeds − carrying amount) is recognised in profit or loss when the asset is derecognised; it is not classified as revenue.

WORKING

Para 118 (for each class, separating internally generated from others): finite or indefinite lives and useful lives/rates; amortisation methods; gross carrying amount and accumulated amortisation (with impairment) at start and end; P&L line item that includes amortisation; reconciliation of opening and closing carrying amount. Para 112: derecognise on disposal, or when no future economic benefits are expected from use or disposal; gain or loss = net disposal proceeds − carrying amount, in P&L, not as revenue (para 113).

Trap: Copying Ind AS 16 (PPE) disclosures - stick to Ind AS 38 para 118.

Case 5: Royal Enterprises Ltd (REL)

A Mumbai listed manufacturer's CFO sets a recruitment case study with six issues: a customs refund, job work, a contract with Prism Motors, a s.270A penalty, a euro import hedge, director remuneration, and an assurance report on a project report.

Marks: Law 7, AFM 6, Audit 6, IDT 4, DT 2 · Moderate

First 15 min: Good pick if Law and Audit theory are strong: 5.6 + 5.8 = 11 marks of known provisions, 5.2/5.7 forex is quick for AFM-ready students; MCQs are fact traps (relative, job-work dates, 270A exclusions).

Q5.1 IDT MCQ · 2 marks Customs - Refund (s.27) and unjust enrichment (s.28C/28D), Customs Act, 1962

REL paid 15% duty (should be 12.5%) on machinery imported in June 2023 and used to make goods for sale; product prices unchanged. Refund claimed March 2024 and rejected. Is the rejection correct?

(a) Rejection is not justified and authorities should grant the refund of excess import duty paid on machinery, as the machinery was not sold, hence the principle of unjust enrichment will not apply

(b) Rejection is justified as machinery is used for the manufacture of goods and the duty paid on the import of machinery has gone into the costing of the goods manufactured and sold, and thus passed on to the buyers. The principle of unjust enrichment will apply

(c) Rejection is not justified as no changes in the prices of products were made. The principle of unjust enrichment will not apply

(d) Rejection is justified as period for claim of refund has expired and the customs authorities can retain the excess payment of duty

CLUE IN THE CASE

Machinery was used in the factory to produce rail coach components for sale

THINK

1. Refund of excess customs duty = s.27; every refund faces the unjust-enrichment test (s.28C/28D).
2. Chapter clear → IDT index → Customs Refund → 'unjust enrichment', 'presumption that incidence has been passed on'.
3. Time limit: within 1 year of payment (June 2023 → March 2024) - in time, so (D) is out.
4. Duty on machinery goes into the cost of goods sold; the law presumes it was passed on unless REL proves otherwise - unchanged prices alone don't prove it → (B).

LOOK UP

ICAI SM IDT - Customs: Refund | refund section 27 | unjust enrichment | section 28D presumption | duty passed on to buyer | Consumer Welfare Fund

ANSWER

(B) Rejection is justified as machinery is used for the manufacture of goods and the duty paid on the import of machinery has gone into the costing of the goods manufactured and sold, and thus passed on to the buyers. The principle of unjust enrichment will apply

WORKING

s.28D: every person who has paid duty is presumed to have passed on its full incidence to the buyer unless he proves otherwise. Duty on machinery becomes part of the cost (through depreciation) of components sold, so the incidence is treated as passed on; unchanged prices do not prove that REL bore it. Even if refund is sanctioned, it goes to the Consumer Welfare Fund. The 1-year time limit is met, so rejection rests on unjust enrichment.

Trap: Picking (C) - 'no price change' is not proof that the duty was not passed on.

Q5.2 AFM MCQ · 2 marks Foreign Exchange Exposure and Risk Management

REL must pay €85,000 in 3 months; the rupee is expected to fall 4%. Spot ₹/€ 90.15/90.50; 3-month forward 92.20/92.60. Expected loss avoided by taking forward cover?

(a) ₹ 3,06,510

(b) ₹ 1,29,200

(c) ₹ 1,32,260

(d) ₹ 1,63,200

CLUE IN THE CASE

anticipated that the exchange rate will decline by 4% over the three months

THINK

1. Import payment in € + forward rates = forex exposure hedging (AFM).
2. Chapter clear → AFM index → Foreign Exchange Exposure → 'forward cover' illustration.
3. Importer buys € → use ask rates. Expected spot = 90.50 × 1.04 = 94.12. Unhedged cost − forward cost = loss avoided.

LOOK UP

ICAI SM AFM - Foreign Exchange Exposure and Risk Management forward cover expected spot rate ask rate importer payable

ANSWER

(B) ₹ 1,29,200

WORKING

Rupee falls 4% → € costs 4% more: expected spot ask = 90.50 × 1.04 = ₹94.12. Unhedged outflow = 85,000 × 94.12 = ₹80,00,200. Forward outflow = 85,000 × 92.60 = ₹78,71,000. Loss avoided = ₹1,29,200.

Trap: Using bid rates (₹1,32,260) or comparing expected spot with the forward bid (₹1,63,200) - an importer buys € at the ask rate.

Q5.3 IDT MCQ · 2 marks GST - Job Work (s.143 CGST Act; Rule 45 and FORM GST ITC-04)

Machine sent directly from port to job worker (received 06.03.2021), back on 04.03.2024; moulds and dies received by job worker 05.03.2021, not back. Which are NOT correct? I: machine back in time, no deemed supply. II: machine not back in time, deemed supply with interest. III: moulds/dies deemed supplied on receipt by job worker. IV: report in ITC-03 by 25.04.2024.

(a) I only

(b) I and III

(c) I and II

(d) II, III and IV

CLUE IN THE CASE

sent the machinery directly from the port to JB enterprises for job work

THINK

1. Goods with a job worker + 'received back' + dates = s.143 job work.
2. Chapter clear → IDT index → Job Work → '3 years for capital goods', 'moulds and dies', 'ITC-04'.
3. Capital goods sent directly: 3 years from the job worker's receipt (06.03.2021) → 05.03.2024; back on 04.03.2024 → in time (I right, II wrong).
4. Moulds and dies have no time limit (III wrong). Job-work challans go in ITC-04, not ITC-03 (IV wrong).

LOOK UP

ICAI SM IDT - Job Work | section 143 | three years capital goods | moulds and dies | sent directly to job worker | ITC-04

ANSWER

(D) II, III and IV

WORKING

s.143: capital goods must come back within 3 years; for goods sent directly from the supplier or port, the period runs from the date the job worker receives them (06.03.2021 → 05.03.2024). Back on 04.03.2024 → in time; I is correct, II is not. The 1-year/3-year limits do not apply to moulds and dies, jigs and fixtures, or tools → III not correct. Job-work details are filed in FORM GST ITC-04 (half-yearly by 25 April for AATO above ₹5 crore); ITC-03 is a different form → IV not correct. Not correct: II, III, IV.

Trap: Counting 3 years from the import date instead of the job worker's receipt, or applying the time limit to moulds and dies.

Q5.4 Law MCQ · 2 marks Companies Act, 2013 - Related Party Transactions (s.188) with definitions s.2(76) and s.2(77)

REL sold spare parts worth ₹82 crore at arm's length to Prism Motors Ltd (public; 40 lakh shares). REL's director Raman (also Prism's director) holds 65,000, his wife 12,000, his brother's wife 4,000 shares; no Board/shareholder approval. Which statement is correct?

(a) Contract for sale of goods with Prism Motors Limited is not valid as it is a related party transaction and transaction value exceeds 10% of the turnover of 2022-23 and requires the prior approval of the company by passing an ordinary resolution

(b) Contract for sale of goods with Prism Motors Limited is valid, though it is a related party transaction but transaction value does not exceed 10% of the turnover of 2023-24, hence does not require the prior approval of the company by passing an ordinary resolution

(c) Contract for sale of goods with Prism Motors Limited is not valid as it is a related party transaction and requires consent of Board of Directors given by resolution at a meeting of the Board even if entered at arm length's basis

(d) Contract for sale of goods with Prism Motors Limited is valid as it is not a related party transaction

CLUE IN THE CASE

his wife holds 12,000 and his brother's wife holds 4,000 shares

THINK

1. Director interested in another company + no approvals = s.188, but first test whether Prism is a 'related party' u/s 2(76).
2. Chapter clear → Law index → 's.2(76) related party', 's.2(77) relative'.
3. A public company is a related party only if REL's director is its director AND holds, with relatives, more than 2% of its paid-up capital. Brother's wife is not a relative.
4. 65,000 + 12,000 = 77,000 ÷ 40,00,000 = 1.925% → not above 2% → not a related party → s.188 doesn't apply.

LOOK UP

ICAI SPOM Set A Law - Companies Act: definitions s.2(76), s.2(77); s.188 related party public company two per cent paid-up share capital relative section 188

ANSWER

(D) Contract for sale of goods with Prism Motors Limited is valid as it is not a related party transaction

WORKING

s.2(76)(v): a public company in which a director is a director and holds, along with relatives, more than 2% of its paid-up share capital. Relatives (s.2(77)): HUF members, spouse, father, mother, son, son's wife, daughter, daughter's husband, brother, sister - brother's wife is not included. Raman + wife = 77,000 shares = 1.925% of 40,00,000. Not above 2% → Prism is not a related party; no s.188 approval needed. Raman's interest was disclosed at the Board meeting (s.184).

Trap: Counting the brother's wife's 4,000 shares (81,000 = 2.025%), which wrongly makes Prism a related party.

Q5.5 DT MCQ · 2 marks Penalties - s.270A (under-reporting and misreporting of income)

REL's AY 2022-23 return: ₹3.60 crore; 143(1) income ₹3.625 crore. Scrutiny additions: ₹3 lakh estimate (not under-reported), ₹12 lakh under-reported, ₹9 lakh unsupported expenditure. Tax 30%, surcharge 7%, cess 4%. Penalty?

(a) ₹ 9,51,444

(b) ₹ 7,01,064

(c) ₹ 8,51,292

(d) ₹ 8,01,216

CLUE IN THE CASE

claim of expenditure not supported by any documentary evidence

THINK

1. Scrutiny additions + 'under reported' + 'not supported by evidence' = s.270A penalty.
2. Chapter clear → DT index → Penalties → 270A: under-reporting 50%, misreporting 200%, exclusions in 270A(6).
3. Base = assessed income − income determined u/s 143(1)(a), so the ₹2.5 lakh 143(1) adjustment is already out. Estimate addition excluded; ₹12 lakh under-reporting; ₹9 lakh misreporting (270A(9)(c)).
4. Effective rate = 30% × 1.07 × 1.04 = 33.384%.

LOOK UP

ICAI SM DT - Penalties (s.270A) section 270A under-reported income misreporting of income claim of expenditure not substantiated estimate excluded 270A(6)

ANSWER

(D) ₹ 8,01,216

WORKING

Effective tax rate = 30% + 7% surcharge + 4% cess = 33.384%. Under-reported income ₹12,00,000: tax 4,00,608 × 50% = 2,00,304. Misreported income ₹9,00,000 (expenditure claim not substantiated by evidence): tax 3,00,456 × 200% = 6,00,912. Estimated addition ₹3,00,000 (accounts accepted) is excluded u/s 270A(6). The ₹2,50,000 arithmetical adjustment u/s 143(1) is already in the base income. Total penalty = ₹8,01,216.

Trap: Penalising the ₹3 lakh estimated addition (₹8,51,292) or the ₹2.5 lakh 143(1) adjustment.

Q5.6 Law Descriptive · 5 marks

Companies Act, 2013 - Appointment and Remuneration of Managerial Personnel (s.197; Rule 4 of the 2014 Rules)

Examine: (i) 6% commission on net profits to MD Mr. Srivastav; (ii) extra remuneration to director Mr. Charan for industrial-engineering services; (iii) raising sitting fee from ₹50,000 (Articles cap) to ₹75,000 per meeting for all directors including independent directors.

CLUE IN THE CASE

commission at the rate of six percent of the net profits to Mr. Srivastav

THINK

1. Commission as % of profits + professional fee to a director + sitting fee = s.197 managerial remuneration.
2. Chapter clear → Law index → 'Managerial remuneration, s.197' → 5%/10%/11% limits, s.197(4) professional capacity, s.197(5) + Rule 4 sitting fee ₹1 lakh.
3. 6% > 5% for a single MD → needs a special resolution. Professional fee sits outside the limit if services are professional and the NRC certifies qualification. ₹75,000 is within ₹1 lakh, but the Articles cap ₹50,000 → alter Articles; IDs can't get less than others.

LOOK UP

ICAI SPOM Set A Law - Companies Act: Appointment and Remuneration of Managerial Personnel

section 197 | 5% of net profits | remuneration in professional capacity | sitting fees one lakh | independent directors sitting fee

ANSWER

(i) 6% commission to MD Mr. Srivastav

- Provision: s.197(1), second proviso - except with the approval of the company in general meeting by special resolution, remuneration to any one managing director, whole-time director or manager cannot exceed 5% of net profits (10% for all of them together, within the overall 11% limit).
- Facts: REL has one MD; proposed commission is 6% of net profits (computed u/s 198).
- Conclusion: Not valid as proposed; valid only if approved by a special resolution in general meeting.

(ii) Additional remuneration to Mr. Charan for professional services

- Provision: s.197(4) - remuneration to a director includes payment for services in any other capacity, except where (a) the services are of a professional nature, and (b) in the opinion of the Nomination and Remuneration Committee (where s.178(1) applies, as for listed REL) or otherwise the Board, he has the requisite qualification to practise the profession.
- Conclusion: Valid and outside the managerial remuneration limit, provided the NRC gives that opinion on his qualification as an industrial engineer.

(iii) Sitting fee raised to ₹75,000 per meeting

- Provision: s.197(5) read with Rule 4 - the Board decides the sitting fee, up to ₹1,00,000 per meeting of the Board or a committee; independent directors' fee cannot be less than that of other directors.
- Facts: ₹75,000 is within ₹1 lakh, but the Articles cap it at ₹50,000.
- Conclusion: Valid after (a) altering the Articles by special resolution (s.14) and (b) a Board resolution fixing ₹75,000. Independent directors must also get at least ₹75,000.

WORKING

s.197(1) second proviso: without a special resolution in general meeting, one MD/WTD/manager cannot get more than 5% of net profits (10% for all together). 6% > 5% → special resolution needed. s.197(4): director's remuneration includes payment in any other capacity, except professional services where the NRC (REL is listed, so s.178(1) applies) or the Board opines he holds the requisite qualification → Charan's fee allowed outside the limit with NRC's opinion. s.197(5) + Rule 4: Board fixes sitting fee up to ₹1 lakh per meeting; independent directors' fee not less than others'. Articles cap ₹50,000 → alter Articles by special resolution (s.14), then Board resolution for ₹75,000; independent directors get the same.

Trap: Calling the 6% commission invalid outright - it is valid with a special resolution.

Q5.7 AFM · Descriptive · 4 marks · Foreign Exchange Exposure and Risk Management - money market hedge

For €85,000 payable in 3 months (spot ask ₹90.50, forward ask ₹92.60; India borrow 8%/deposit 6.5%, Germany borrow 5.5%/deposit 4%), should REL take forward cover or money market cover? When is a money market hedge better?

CLUE IN THE CASE

either Forward cover or Money market cover ... borrowing rates ... deposit rates

THINK

1. Payable in € + borrowing/deposit rates in both countries = money market hedge vs forward (AFM forex).
2. Chapter clear → AFM index → Foreign Exchange → 'money market hedge' illustration; replace the figures.
3. Payable: deposit € now at 4% p.a. (1% for 3 months), buy € at spot ask 90.50 with ₹ borrowed at 8% p.a. (2%). Compare ₹ repaid with forward cost.

LOOK UP

ICAI SM AFM - Foreign Exchange Exposure and Risk Management | money market hedge | forward cover | foreign currency payable | borrow domestic deposit foreign

ANSWER

Forward cover
- €85,000 × ₹92.60 (forward ask) = ₹78,71,000
Money market hedge
- € to deposit now at 4% p.a. for 3 months (1%): 85,000 ÷ 1.01 = €84,158.42
- ₹ needed at spot ask ₹90.50: 84,158.42 × 90.50 = ₹76,16,337
- Borrow ₹ at 8% p.a. for 3 months (2%); repay 76,16,337 × 1.02 = ₹77,68,664
Decision: Money market hedge costs ₹77,68,664 against ₹78,71,000 under the forward - a saving of ₹1,02,336. REL should adopt the money market hedge.
When a money market hedge is better than a forward:
(i) Forward contracts are not available for that currency or period, or forward rates are unattractive (as here, the forward premium is more than the interest differential).
(ii) The future rate is fixed the moment the borrow-convert-deposit is done, so downside risk from adverse rate moves is removed.
(iii) It is more flexible on the amount (and timing) to be covered.

WORKING

Forward: 85,000 × 92.60 = ₹78,71,000. MMH: € to deposit = 85,000 ÷ 1.01 = €84,158.42; ₹ needed at spot ask 90.50 = ₹76,16,337; borrowed at 8% p.a. for 3 months → repay 76,16,337 × 1.02 = ₹77,68,664. Saving with MMH = 78,71,000 − 77,68,664 = ₹1,02,336 → choose MMH.

Trap: Using the German borrowing rate (5.5%) or Indian deposit rate (6.5%) - a payable needs ₹ borrowing (8%) and € deposit (4%).

Q5.8 Audit Ethics Descriptive · 6 marks

SAE 3400 The Examination of Prospective Financial Information; Professional Ethics - UDIN Guidelines and Clause (1), Part II, Second Schedule, CA Act 1949

AKM is reporting on REL's 7-year project report where depreciation is per the Income-tax Act and finished goods are at selling price, with no disclosure. How should AKM deal with this? Is signing without UDIN justified, and what are the consequences?

CLUE IN THE CASE

depreciation ... in accordance with provisions of Income Tax Act ... without generating the UDIN

THINK

1. Project report + 'assurance report' on future figures = prospective financial information → SAE 3400. UDIN = Council guidelines → Ethics.
2. Chapter clear → Audit index → SAE 3400 → 'presentation and disclosure', 'consistent with historical financial statements'; Ethics index → 'UDIN', 'Clause (1) Part II Second Schedule'.
3. PFI must use policies consistent with historical statements and disclose them: tax depreciation and stock at selling price, undisclosed → qualified or adverse opinion, or withdraw.
4. UDIN covers all certificates and assurance/attestation reports, not just past figures → breach of Council guidelines = professional misconduct.

LOOK UP

ICAI SM Audit - SAE 3400 (Prospective Financial Information); Professional Ethics - UDIN Guidelines

SAE 3400 | prospective financial information | presentation and disclosure | UDIN | Clause (1) Part II Second Schedule

ANSWER

(I) Inconsistent accounting policies - SAE 3400

- Provision: The accountant must check that prospective financial information is prepared on a basis consistent with the historical financial statements, using appropriate accounting principles, and must consider whether:

(a) presentation is informative and not misleading;

(b) accounting policies are clearly disclosed in the notes;

(c) assumptions are adequately disclosed, stating whether they are best estimates or hypothetical, with the uncertainty and sensitivity disclosed where material;

(d) the date of preparation is disclosed;

(e) any range is not chosen in a biased or misleading way;

(f) any change in policy from the latest historical financial statements is disclosed with reasons and effect.

- Facts: Depreciation as per the Income-tax Act and finished goods at selling price are not consistent with REL's historical financial statements (and stock at selling price breaks the cost-or-NRV rule); nothing is disclosed.

- Conclusion: AKM should ask REL to correct and disclose. If presentation and disclosure remain inadequate, AKM should give a qualified or adverse opinion, or withdraw from the engagement, as appropriate.

(II) Not generating UDIN - not justified

- The view that UDIN is needed only for past figures is wrong. Under ICAI's UDIN Guidelines, a practising member must generate UDIN for all certificates, GST and tax audit reports and all other audit, assurance and attestation functions he signs. An assurance report on a project report is an assurance engagement.

(III) Consequences

- Not generating UDIN violates guidelines issued by the Council of ICAI. Under Clause (1) of Part II of the Second Schedule to the Chartered Accountants Act, 1949, a member who contravenes any guidelines issued by the Council is guilty of professional misconduct. The AKM partner who signed the report is liable.

WORKING

SAE 3400: the accountant checks that PFI is prepared on a basis consistent with the historical financial statements, using appropriate accounting principles, and that presentation and disclosure are adequate. Depreciation under the Income-tax Act and finished goods at selling price (instead of lower of cost and

NRV) are inconsistent with historical statements and undisclosed → if not corrected, qualified or adverse opinion, or withdrawal. UDIN Guidelines: a practising member must generate UDIN for all certificates, GST and tax audit reports and other audit, assurance and attestation work he signs - an assurance report on a project report is included. Breach of Council guidelines → professional misconduct under Clause (1) of Part II of the Second Schedule.

Trap: Treating UDIN as needed only for audits of historical statements, or citing the First Schedule instead of Part II of the Second Schedule.

May 2024

ICAI question paper · ICAI answers

What this paper teaches

- Every case mixed 5-6 subjects; none was pure FR or pure tax. Choose cases by where the 15 descriptive marks sit, not by the story.
- Most descriptives were Study Material illustrations with new figures: throughput TA ratio, swap ratio, EAC of machines, EMA, Ind AS 115 catch-up, PGBP computation. Find the illustration and swap the numbers.
- MCQs turned on one word in the facts: 'inter-state' (IGST penalty = CGST + SGST), 'seating capacity 16' (ITC allowed), 'donated' (ITC blocked), 'related parties' (no CoC vote), 'associate' (s.185 exemption lost).
- Cases 2 and 4 were the easiest marks; Case 3's 5-year Ind AS 115 table was the time trap. Picking the right 4 cases in the first 15 minutes decided the score.
- Some rules here have changed since May 2024 (GST Tribunal pre-deposit, s.17(5)(i), updated-return window). Use the Nov 2026 Study Material figures, not this paper's.

Case 1: KLM Private Ltd., Jaipur (KLM)

KLM, a wholly owned subsidiary of MNO Ltd., makes textiles and beverages: it buys two vans and a forklift, finds false figures in an old GST return, plans a Rs 500 lakh project and uses throughput accounting. Parent MNO has Rs 200 crore cost-overrun claims in arbitration and has leased out its old Mumbai office.

Marks: FR 7, Audit 5, Costing 5, IDT 4, AFM 2, DT 2 · Easy

First 15 min: Attempt it: all three descriptives are standard (Ind AS 40 vs PPE, SA 706 Emphasis of Matter, throughput TA ratio) and the NPV MCQ is pure arithmetic; only 1.3 and 1.4 need care with the vans.

Q1.1 IDT MCQ · 2 marks Offences and Penalties (CGST Act) read with s.20 IGST Act

Maximum penalty on the GST consultant firm that abetted filing of a return with false ITC figures on inter-state inward supplies.

(a) No penalty is leviable on CA firm

(b) Rs 50,000 under IGST

(c) Rs 25,000 under CGST and Rs 25,000 under SGST/UTGST

(d) Rs 50,000 under CGST and Rs 50,000 under SGST/UTGST

CLUE IN THE CASE

'charge of abetment and aiding for filing false return' + 'inter-state transactions'

THINK

1. Abetting = penalty on a third person, not the taxpayer's own penalty → CGST s.122(3), up to Rs 25,000.
2. Twist word 'inter-state' → the tax is IGST. IGST has no penalty table of its own; s.20 IGST borrows the CGST provisions and adds up the CGST and SGST penalties.
3. Chapter clear → IDT index → Offences and Penalties → 'aids or abets'; then IGST s.20 proviso.
4. Rs 25,000 + Rs 25,000 = Rs 50,000, levied under IGST → (b).

LOOK UP

ICAI SM IDT - Offences and Penalties (s.122(3)); IGST Act s.20 aids or abets penalty section 122 IGST penalty

ANSWER

(b) Rs 50,000 under IGST

WORKING

S.122(3)(a) CGST: any person who aids or abets an offence listed in s.122(1) is liable to a penalty up to Rs 25,000; the SGST Act has the same Rs 25,000. The false ITC relates to inter-state supplies, so the tax involved is IGST. S.20 IGST applies the CGST provisions, and its proviso says the IGST penalty is the total of the CGST and SGST penalties: Rs 25,000 + Rs 25,000 = Rs 50,000 under IGST.

Trap: Picking (c): splitting into CGST + SGST is right only for intra-state supplies; for inter-state it is one IGST penalty of Rs 50,000.

Q1.2 AFM MCQ · 2 marks Advanced Capital Budgeting Decisions

NPV of the Rs 500 lakh, 5-year project using a risk-adjusted discount rate.

(a) Rs 637.95 lakhs

(b) Rs 121.70 lakhs

(c) Rs 137.95 lakhs

(d) Rs 440.00 lakhs

CLUE IN THE CASE

'risk free rate of return is 7%' + 'risk premium expected by the management is 7%'

THINK

1. RADR = risk-free + risk premium = 7% + 7% = 14%; the paper gives PV factors @14%, which confirms it.
2. Know it without the book (step 4): NPV = PV of inflows - outlay. No index needed.
3. Multiply, add, deduct 500. Option (a) is the gross PV - a planted trap.

LOOK UP

ICAI SM AFM - Advanced Capital Budgeting Decisions (Risk Adjusted Discount Rate)

risk adjusted discount rate | RADR | net present value

ANSWER

(c) Rs 137.95 lakhs

WORKING

RADR = 7% + 7% = 14%.

PV of inflows (Rs lakh): 120 x 0.877 = 105.24; 180 x 0.769 = 138.42; 300 x 0.675 = 202.50; 210 x 0.592 = 124.32; 130 x 0.519 = 67.47. Total = 637.95.

NPV = 637.95 - 500 = Rs 137.95 lakh.

Trap: Stopping at total PV (Rs 637.95 lakh, option a) and forgetting to deduct the Rs 500 lakh outlay.

Q1.3 DT MCQ · 2 marks Profits and Gains of Business or Profession - Depreciation (s.32)

Total normal + additional depreciation for FY 2023-24 on the two vans and the forklift.

(a) Rs 4,87,500

(b) Rs 6,75,000

(c) Rs 8,87,500

(d) Rs 10,75,000

CLUE IN THE CASE

'used one passenger vehicle (van) from 1st December 2023' + 'donated another passenger vehicle'

THINK

1. Depreciation + additional depreciation → PGBP, s.32(1)(ii) and s.32(1)(iia). Chapter clear.
2. Filter the assets: donated van is not used for business → no depreciation. Van used from 1 Dec 2023 → used under 180 days → half rate. Forklift from 5 July 2023 → full rate.
3. Additional depreciation 20% is for new plant of a manufacturer but not for road transport vehicles → forklift (works inside the factory) yes, van no.
4. Cost excludes GST because ITC is available on both (link it with 1.4).

LOOK UP

ICAI SM DT - PGBP (Depreciation u/s 32) additional depreciation | less than 180 days | road transport vehicles | actual cost

ANSWER

(c) Rs 8,87,500

WORKING

Van in use: cost Rs 25,00,000 (GST not added - ITC available). Rate 15%; put to use 1.12.2023, i.e. under 180 days → 7.5% = Rs 1,87,500. No additional depreciation (road transport vehicle is excluded from s.32(1)(iia)).
Donated van: not used for business → nil.
Forklift: cost Rs 20,00,000 (GST not added - ITC available); used over 180 days. Normal 15% = Rs 3,00,000; additional 20% = Rs 4,00,000 (new machinery of a manufacturer, used inside the factory).
Total = 1,87,500 + 3,00,000 + 4,00,000 = Rs 8,87,500.

Trap: Charging depreciation on the donated van too (gives d, Rs 10,75,000) or denying additional depreciation on the forklift (gives a, Rs 4,87,500).

Q1.4 IDT MCQ · 2 marks Input Tax Credit (s.16, s.17(5) blocked credits)

ITC available on the two vans and the forklift bought in FY 2023-24.

(a) Rs 17,60,000

(b) Rs 10,60,000

(c) Rs 7,00,000

(d) Rs 3,60,000

CLUE IN THE CASE

'seating capacity of each vehicle being 16 persons (excluding driver)' + 'donated'

THINK

1. Two hooks in the facts: seating capacity (s.17(5)(a)) and 'donated' (s.17(5)(h) - goods disposed of by way of gift).
2. 16 seats + driver = 17, above 13 → ITC on the van in use is not blocked.
3. Donated van → blocked. Forklift works only inside the factory → not a motor vehicle for transport of persons; normal capital goods ITC.
4. Index → ITC → blocked credits; add 7,00,000 + 3,60,000.

LOOK UP

ICAI SM IDT - Input Tax Credit (blocked credits s.17(5)) blocked credit motor vehicles seating capacity gift

ANSWER

(b) Rs 10,60,000

WORKING

Van used for staff: 25,00,000 x 28% = Rs 7,00,000 - allowed (approved seating 17 including driver, above 13, so s.17(5)(a) does not apply).
Donated van: Rs 7,00,000 - blocked under s.17(5)(h) (goods disposed of by way of gift).
Forklift: 20,00,000 x 18% = Rs 3,60,000 - allowed (plant used in the factory, not a vehicle for transport of persons).
Total ITC = Rs 10,60,000.

Trap: Treating every passenger vehicle as blocked (gives d, Rs 3,60,000) or missing the gift block on the donated van (gives a, Rs 17,60,000).

Q1.5 FR MCQ · 2 marks

Ind AS 8 Accounting Policies, Changes in Accounting Estimates and Errors (with Ind AS 2 Inventories)

How to classify KLM's change in its inventory cost formula.

(a) Change in accounting estimate

(b) Change in accounting policy

(c) Neither a change in accounting estimate nor a change in accounting policy

(d) Change in method of accounting

CLUE IN THE CASE

'changed its inventory cost formula'

THINK

1. 'Cost formula' = FIFO or weighted average under Ind AS 2 → a basis of measurement → accounting policy.
2. Know it without the book: estimates are judgements of amounts (obsolescence, NRV, useful life); a formula or basis is a policy.
3. The Rs 50 lakh understatement is a distractor - it is the effect of the change, not an error.

LOOK UP

ICAI SM FR - Ind AS 8 accounting policies | change in accounting policy | cost formula

ANSWER

(b) Change in accounting policy

WORKING

Ind AS 8 treats the principles, bases and rules used to prepare financial statements as accounting policies. Ind AS 2 lets an entity choose FIFO or weighted average as its cost formula, so that choice is a policy. Moving from one formula to another is a change in accounting policy, applied retrospectively, and allowed only if it gives reliable and more relevant information.

Trap: Calling it a change in estimate because an amount (Rs 50 lakh) moved; 'change in method of accounting' (d) is not an Ind AS 8 category.

Q1.6 FR Descriptive · 5 marks Ind AS 40 Investment Property (with Ind AS 16 and Ind AS 8)

Should MNO reclassify the Mumbai building, leased out from April 2023, from PPE to investment property, and is that a change in accounting policy?

CLUE IN THE CASE

'leased out the building located at Mumbai to a third party'

THINK

1. Building moved from own office to earning rent → PPE (Ind AS 16) vs investment property (Ind AS 40); 'change in accounting policy?' → Ind AS 8.
2. Chapter clear → FR index → Ind AS 40 → 'transfers' / 'change in use'; Ind AS 8 → para 16(a) 'differ in substance'.
3. Apply: end of owner-occupation = evidence of change in use → transfer to investment property at carrying amount (cost model in India).
4. Then Ind AS 8: new facts, not a new policy → prospective, no restatement.

LOOK UP

ICAI SM FR - Ind AS 40 Investment Property; Ind AS 8 change in use transfers to investment property owner-occupied property not a change in accounting policy

ANSWER

Provisions

1. Ind AS 16: PPE is held for own use - production, supply of goods/services or administration.
2. Ind AS 40: investment property is held to earn rentals or capital appreciation, not for own use or sale.
3. Ind AS 40 para 57: a transfer is made only on a change in use, e.g. end of owner-occupation.
4. Ind AS 8 para 16(a): applying a policy to events that differ in substance from earlier events is not a change in accounting policy.

Analysis

Classification depends on why the entity holds the building. Up to 31.3.2023 MNO used it as its own office → PPE. In April 2023 MNO shifted to its own building at Thane and let the Mumbai building to a third party. Owner-occupation has ended and the building is now held to earn rent - a real change in use.

Conclusion

(a) Yes. MNO should reclassify the Mumbai building from PPE to investment property from April 2023, at its carrying amount on that date (cost model under Ind AS 40), and disclose its fair value.

(b) No. This is not a change in accounting policy; it follows from a change in use (new facts). No retrospective restatement - the 31.3.2023 comparative stays as PPE.

WORKING

Ind AS 16: PPE = tangible items held for use in production or supply, for rental to others or for administration, and used over more than one period.

Ind AS 40: investment property = land or building held to earn rentals or for capital appreciation, not for own use or for sale in the ordinary course.

Ind AS 40 para 57: transfer to or from investment property only when there is a change in use, e.g. end of owner-occupation. Transfer is at carrying amount (cost model) - no gain or loss.

Ind AS 8 para 16(a): applying a policy to transactions or events that differ in substance from earlier ones is not a change in accounting policy.

Facts: up to 31.3.2023 the building was MNO's office → PPE. From April 2023 MNO moved to Thane and let the Mumbai building to a third party → owner-occupation ended → it now meets the investment property definition.

Trap: Treating the reclassification as a voluntary change in accounting policy and restating 2022-23.

Q1.7 Audit Descriptive · 5 marks

Audit Reports - SA 706 Emphasis of Matter, SA 705 Modified Opinion (with SA 580 Written Representations)

Is Mittal & Co. right to put the Rs 200 crore arbitration receivables in an Emphasis of Matter paragraph, based only on management's representation?

CLUE IN THE CASE

'The audit firm Mittal & Co. has relied on management representation'

THINK

1. 'Emphasis of Matter' in the question → SA 706; 'relied on management representation' → SA 580 red flag.
2. Chapter clear → Audit index → SA 706 conditions: matter properly disclosed + fundamental to users + no modification needed under SA 705.
3. Ask: has the auditor earned the right to say 'no modification needed'? Only written representations → no evidence → he cannot.
4. Write: provision, procedures he skipped (contracts, arbitration status, legal counsel - SA 501), conclusion: EOM not proper now.

LOOK UP

ICAI SM Audit - SA 706 / SA 705 (Audit Reports); SA 580 Emphasis of Matter SA 706 written representations modified opinion

ANSWER

Provisions

- SA 706: an EOM paragraph draws attention to a matter that is appropriately presented or disclosed in the FS and is fundamental to users' understanding. It can be used only if the auditor is not required to modify the opinion on that matter under SA 705.
- SA 580: written representations do not by themselves provide sufficient appropriate audit evidence.
- SA 500/501: the auditor must obtain evidence, including on litigation and claims.

Analysis

- Rs 200 crore non-current receivables are cost-overrun claims that clients have not accepted; recovery depends on arbitration.
- Mittal & Co. relied only on management's representation. It did not examine the contracts and change orders, the arbitration status, legal counsel's view or past outcomes of similar claims.
- Without this evidence it cannot say whether the receivables are fairly stated. If they are materially overstated → qualified/adverse opinion; if evidence cannot be obtained → qualified opinion or disclaimer.
- An EOM paragraph is not a substitute for a modified opinion.

Conclusion

The EOM disclosure is not proper. Mittal & Co. should first perform these procedures. Only if it concludes that no modification is needed under SA 705, and the uncertainty is adequately disclosed in the FS, may it add an EOM paragraph on the arbitration.

WORKING

SA 706: an EOM paragraph points users to a matter already properly presented or disclosed in the FS that is fundamental to their understanding; it is used only when the auditor is not required to modify the opinion on that matter under SA 705. SA 580: written representations do not, on their own, give sufficient appropriate evidence. Facts: Rs 200 crore claims are disputed by clients and under arbitration; the auditor did no procedures beyond taking management's word.

Trap: Writing 'EOM is fine because the matter is material and uncertain' - EOM never cures missing audit evidence.

Q1.8 Costing · Descriptive · 5 marks · Theory of Constraints and Throughput Accounting

Rank the three beverages on return per bottleneck minute, compute the TA ratio and conclude.

CLUE IN THE CASE

'Bottleneck resource time (minutes)' + 'Applying Throughput Accounting'

THINK

1. 'Bottleneck' + 'throughput' → Theory of Constraints / Throughput Accounting (SPOM Set B).
2. Know it without the book: throughput = selling price - material (totally variable) cost; return per minute = throughput / bottleneck minutes.
3. TA ratio = return per minute / factory cost per minute; above 1 = product earns more than it costs to run the bottleneck.
4. Put both in one table - 5 marks in about 10 minutes.

LOOK UP

SPOM Set B (Strategic Cost & Performance Management) - Throughput Accounting | throughput accounting | TA ratio | return per factory hour | bottleneck

ANSWER

Ranking on return per minute and TA ratio

Particulars	A	B	C
Selling price (Rs)	90	60	75
Material and variable cost (Rs)	40	20	30
Throughput per unit (Rs)	50	40	45
Bottleneck minutes per unit	20	15	15
Return per minute (Rs)	2.50	2.67	3.00
Rank	III	II	I
Factory cost per minute (2,70,000 / 1,20,000) (Rs)	2.25	2.25	2.25
TA ratio (return per minute / cost per minute)	1.11	1.19	1.33
Rank on TA ratio	III	II	I

Conclusion: Product C ranks first (Rs 3.00 per bottleneck minute, TA ratio 1.33), then B, then A. All three have TA ratio above 1, so each earns more than the factory cost of the bottleneck time it uses; give the bottleneck to C first.

WORKING

Throughput: A 90 - 40 = 50; B 60 - 20 = 40; C 75 - 30 = 45.
Return per minute: A 50/20 = 2.50; B 40/15 = 2.67; C 45/15 = 3.00.
Factory cost per minute = 2,70,000 / 1,20,000 = Rs 2.25.
TA ratio: A 2.50/2.25 = 1.11; B 2.67/2.25 = 1.19; C 3.00/2.25 = 1.33.

Trap: Ranking on contribution per unit (A has the highest Rs 50) instead of per bottleneck minute.

Case 2: Manju Agri Products Limited (MAPL)

MAPL, an agri company run by Manju, has thin margins and a Rs 75 crore bank facility; it buys grant-aided machinery, reviews internal controls, sponsors a farmers' sports event, plans a merger in a subsidiary and must hedge a JPY loan and export receipts.

Marks: AFM 10, Law 7, FR 4, IDT 4 · Easy

First 15 min: Attempt it first: every MCQ is a one-rule check or a 3-line sum, 2.6 is a standard swap-ratio illustration and 2.8 is s.138 from memory - about 20 safe marks.

Q2.1 Law MCQ · 2 marks Foreign Contribution (Regulation) Act, 2010

When is a foreign citizen's gift in kind to a resident Indian, for personal use, excluded from 'foreign contribution'?

(a) Excluded if market value in India on date of gift is more than Rs 1,00,000 but less than Rs 5,00,000

(b) Excluded if market value is more than Rs 5,00,000 but less than Rs 10,00,000

(c) Any donation in kind by a foreign citizen to a resident Indian for personal use is always excluded

(d) Excluded if the market value in India of the article on the date of gift is not more than Rs 1,00,000

CLUE IN THE CASE

'gifted her a smart watch having a value of Rs 75,000'

THINK

1. 'Foreign citizen' + 'gift' + 'FCRA' → definition of foreign contribution, s.2(1)(h).
2. Chapter clear → SPOM Set A / Law index → FCRA → 'foreign contribution' → article given as gift for personal use.
3. Limit: market value in India on the date of gift not more than Rs 1 lakh. Rs 75,000 is within → excluded; Manju can accept.
4. Joey is a friend, not a relative, so the relatives route does not apply - the Rs 1 lakh value test decides it.

LOOK UP

SPOM Set A (Corporate & Economic Laws) - FCRA 2010, s.2(1)(h) and FCRA Rules foreign contribution gift for personal use article market value

ANSWER

(d) Excluded if the market value in India on the date of gift is not more than Rs 1,00,000

WORKING

S.2(1)(h)(i) FCRA excludes an article given to a person as a gift for personal use if its market value in India on the date of gift is not more than the limit fixed by the Central Government in the FCRA Rules - Rs 1,00,000. The watch is worth Rs 75,000, so it is not foreign contribution. Manju is not a person barred u/s 3, so she may accept it.

Trap: Picking (c) 'always excluded' - the personal-use exclusion has a value cap.

Q2.2 IDT MCQ · 2 marks Charge of GST - Reverse Charge (s.9(3), Notification 13/2017-CT(R))

Who pays GST on the Rs 25 lakh MAPL paid to the Club to sponsor a sports event?

(a) MAPL, a body corporate, as recipient under reverse charge

(b) The Club, as supplier of sponsorship service

(c) GST is not leviable on sponsorship of the sports event

(d) Recipient pays only if it is not a body corporate, so here the Club pays

CLUE IN THE CASE

'MAPL sponsored a sports event' + 'paid an amount of Rs 25 lakhs for such sponsorship'

THINK

1. 'Sponsorship' paid by a company → it is on the RCM list: sponsorship by any person to a body corporate or partnership firm.
2. Know it without the book: RCM list - GTA, legal services, sponsorship, director's services, insurance agent, recovery agent, etc.
3. Check exemptions: the Club is not shown as a 12AB charity and sponsorship is not an exempt sports service → taxable.
4. MAPL is a body corporate → MAPL pays under RCM → (a).

LOOK UP

ICAI SM IDT - Charge of GST (reverse charge list) reverse charge | sponsorship services | body corporate

ANSWER

(a) GST is payable by MAPL, a body corporate, as recipient under reverse charge

WORKING

Under s.9(3) CGST read with Notification 13/2017-CT(R), GST on sponsorship services supplied by any person to a body corporate or partnership firm in the taxable territory is payable by the recipient. MAPL is a body corporate and receives the sponsorship service from the Club, so MAPL pays GST on Rs 25 lakh under reverse charge.

Trap: Option (d) reverses the rule - RCM applies precisely because the recipient is a body corporate.

Q2.3 IDT MCQ · 2 marks Value of Supply (s.15 CGST)

Value of supply of the machinery by KPL to MAPL.

(a) Rs 51,00,000

(b) Rs 40,00,000

(c) Rs 50,00,000

(d) Rs 49,00,000

CLUE IN THE CASE

'Corrugated Boxes used for packing' + 'Discount ... recorded in the invoice'

THINK

1. 'Value of supply for KPL' = the supplier's s.15 value: price + includible items - permitted discounts.
2. Index → Value of supply → s.15(2)(c) packing charged; s.15(3)(a) discount given at the time of supply and shown in the invoice.
3. The Rs 10 lakh grant is received by the buyer from the Government - not a subsidy to KPL; ignore it.
4. 50,00,000 + 1,00,000 - 1,00,000 = 50,00,000.

LOOK UP

ICAI SM IDT - Value of Supply value of supply packing discount subsidy

ANSWER

(c) Rs 50,00,000

WORKING

List price: Rs 50,00,000
Add: corrugated boxes (packing) charged by supplier - s.15(2)(c): Rs 1,00,000
Less: 2% discount on list price, shown in invoice - s.15(3)(a): (Rs 1,00,000)
Government grant to MAPL - not linked to KPL's price: Nil
Value of supply: Rs 50,00,000

Trap: Deducting the Rs 10 lakh grant (b), or forgetting the packing (d) or the discount (a).

Q2.4 FR MCQ · 2 marks Ind AS 116 Leases

Initial cost of MAPL's right-of-use asset.

(a) Rs 9,52,000

(b) Rs 9,50,000

(c) Rs 10,27,000

(d) Rs 10,25,000

CLUE IN THE CASE

'first monthly rental payment ... upon execution' + 'cash incentive' + 'initial direct costs'

THINK

1. 'Right of use asset' → Ind AS 116 lessee, initial measurement of ROU (para 24).
2. Know it without the book: ROU = lease liability + payments on or before commencement - incentives received + initial direct costs + restoration cost.
3. Rental paid on execution (1 Jan) is before commencement (1 Feb) → not inside the liability → add it.
4. 10,00,000 + 25,000 - 75,000 + 2,000.

LOOK UP

ICAI SM FR - Ind AS 116 Leases (lessee - initial measurement) right-of-use asset initial measurement lease incentives initial direct costs

ANSWER

(a) Rs 9,52,000

WORKING

Initial lease liability: 10,00,000
Add: lease payment made before commencement: 25,000
Less: lease incentive received: (75,000)
Add: initial direct costs: 2,000
Right-of-use asset: Rs 9,52,000

Trap: Ignoring the Rs 75,000 incentive (gives c, Rs 10,27,000) or the Rs 2,000 initial direct costs (gives b, Rs 9,50,000).

Q2.5 FR MCQ · 2 marks Ind AS 19 Employee Benefits

Amount to be recognised in OCI for FY 2023-24 on plan assets (before deferred tax).

(a) Actuarial gain - Rs 60,000

(b) Actuarial loss - Rs 5,000

(c) Actuarial gain - Rs 95,000

(d) Nil, as all employee benefit items go to P&L

CLUE IN THE CASE

'Return expected on Plan Assets' + 'Other Comprehensive Income'

THINK

1. 'Plan assets' + 'OCI' → Ind AS 19 defined benefit plan, remeasurements.
2. Know it: expected closing FV = opening + contributions - benefits paid + interest/expected return; actual closing - expected closing = remeasurement to OCI.
3. 2,75,000 + 95,000 - 65,000 + 35,000 = 3,40,000 vs 4,00,000 → gain 60,000.

LOOK UP

ICAI SM FR - Ind AS 19 Employee Benefits (remeasurements) plan assets remeasurement actuarial gain other comprehensive income

ANSWER

(a) Actuarial gain - Rs 60,000

WORKING

Opening FV of plan assets: 2,75,000
Add: employer contributions: 95,000
Less: benefits paid: (65,000)
Add: expected return / interest income (to P&L): 35,000
Expected closing FV: 3,40,000
Actual closing FV: 4,00,000
Remeasurement (actuarial) gain to OCI: 60,000
(Actual return = 4,00,000 - 2,75,000 - 95,000 + 65,000 = 95,000; 35,000 goes to P&L, 60,000 to OCI.)

Trap: Taking the whole actual return of Rs 95,000 to OCI (c) - the interest part goes to P&L.

Q2.6 AFM **Descriptive · 5 marks** Mergers, Acquisitions and Corporate Restructuring

For ABC's acquisition of XYZ at 0.5 share for 1: (i) shares to issue, (ii) post-merger EPS, (iii) equivalent EPS of XYZ, (iv) expected price at unchanged P/E, (v) market value of merged firm.

CLUE IN THE CASE

'offered a swap ratio of 1 : 2 (0.5 shares for every one share'

THINK

1. 'Swap ratio', 'EPS after acquisition', 'equivalent EPS' → AFM Mergers and Acquisitions - a standard SM illustration.
2. Know it without the book (step 4): new shares = target shares x ratio; combined EPS = combined PAT / total shares; equivalent EPS = new EPS x ratio.
3. Keep EPS unrounded (3.1304) so (iv) and (v) do not drift; show both values for (v).

LOOK UP

ICAI SM AFM - Mergers, Acquisitions and Corporate Restructuring swap ratio equivalent EPS post-merger EPS P/E ratio

ANSWER

(i) Shares to be issued by ABC = 1,80,000 x 0.5 = 90,000 shares.
(ii) EPS of ABC after acquisition = Total PAT (18,00,000 + 3,60,000 = Rs 21,60,000) / Total shares (6,00,000 + 90,000 = 6,90,000) = Rs 3.13 (up from Rs 3).
(iii) Equivalent EPS of XYZ = 3.13 x 0.5 = Rs 1.57 (Rs 1.56 if 3.13 is used) - against Rs 2 before the merger.
(iv) Expected market price of ABC = EPS 3.13 x P/E 10 = Rs 31.30.
(v) Market value of merged firm = 6,90,000 x Rs 31.30 = Rs 2,15,97,000 (or PAT 21,60,000 x P/E 10 = Rs 2,16,00,000; the gap is rounding).

WORKING

(i) 1,80,000 x 0.5 = 90,000 shares.
(ii) (18,00,000 + 3,60,000) / (6,00,000 + 90,000) = 21,60,000 / 6,90,000 = Rs 3.1304.
(iii) 3.1304 x 0.5 = Rs 1.565.
(iv) 3.1304 x 10 = Rs 31.30.
(v) 6,90,000 x 31.30 = Rs 2,15,97,000; or 21,60,000 x 10 = Rs 2,16,00,000.

Trap: Using 2 shares for 1 (reading '1 : 2' the wrong way) - the bracket says 0.5 ABC share per XYZ share.

Q2.7 AFM **Descriptive · 5 marks** Foreign Exchange Exposure and Risk Management

Broad procedure to decide whether to hedge MAPL's forex risk and how to choose hedge instruments.

CLUE IN THE CASE

'both interest risks and currency risk is taken care of' + 'zero cost hedge'

THINK

1. 'Whether to hedge' + 'which instruments' → AFM Forex Risk Management - hedging policy and instruments.
2. Chapter clear → AFM index → 'hedging', 'currency swap', 'currency options', 'collar'.
3. Two parts score marks: the generic steps + mapping each exposure in the case to an instrument (JPY loan → currency + interest swap; 40% of exports with upside → options; zero-cost part → collar).
4. Theory answer - write as steps; 15 minutes.

LOOK UP

ICAI SM AFM - Foreign Exchange Exposure and Risk Management | hedging | currency swap | currency options | zero cost collar | CIRCUS swap

ANSWER

Broad procedure

Step 1 - Identify and measure exposures: JPY loan principal and interest, and export receivables; note the covenant breach last year.

Step 2 - Forecast exchange-rate (and interest-rate) movements and the chance of adverse moves, in-house or through forex forecasters.

Step 3 - Assess the impact on profit, cash flow, balance sheet and loan covenants under different scenarios.

Step 4 - Fix the hedging approach (conservative, dynamic/selective, or mixed) and decide how much to hedge within risk limits and covenant headroom - here 40% of exports.

Step 5 - Select instruments to fit each exposure: forwards for date-certain flows, futures where timing may not match, options where upside must be kept, swaps for long-term loans, zero-cost collars where no premium is wanted. Monitor and review the hedges.

Applied to MAPL

- JPY loan (currency + interest risk, 10 years): cross-currency interest rate swap (CIRCUS / currency coupon swap) converting JPY principal and interest into INR.
- 40% of exports with upside retained: buy currency options (put on the foreign currency).
- Zero-cost portion within that 40%: zero-cost collar - buy a put on the foreign currency (floor) and sell a call (cap) so the premiums offset; upside is kept up to the cap.

WORKING

Exposures in the case: (1) JPY 50 billion loan, 10 years, unhedged - both currency and interest risk; loan covenants were breached last year. (2) Export receivables - 40% to be hedged keeping the upside, part of it at zero cost. Build the answer as steps, then map instruments to these exposures.

Note: ICAI's alternative describes the collar as short put + long call; for an exporter receiving foreign currency it is long put + short call on that currency (ICAI's wording fits only if the options are on the rupee).

Trap: Writing only a list of instrument definitions without tying each one to MAPL's three exposures.

Q2.8 Law Audit Descriptive · 5 marks

Companies Act 2013 - s.138 Internal Audit, Rule 13 Companies (Accounts) Rules 2014

When must a company appoint an internal auditor, who can be appointed, and from which year must MAPL have one?

CLUE IN THE CASE

'company was having turnover of Rs 250 Crores in financial year 2022-23'

THINK

1. 'Required to have an internal auditor' → Companies Act s.138 + Rule 13 thresholds (also covered under internal audit in Audit).
2. Chapter clear → A-Z index 'internal audit' / 's.138' → Rule 13 table.
3. Test the preceding year: FY 2022-23 turnover Rs 250 crore >= Rs 200 crore → required for FY 2023-24 (the Rs 75 crore borrowing alone would not trigger it).
4. Extra marks: a special review of controls is not a substitute; the statutory auditor cannot be internal auditor (s.144).

LOOK UP

Companies Act s.138 + Rule 13 (Inter Corporate Laws - Accounts of Companies; Audit SM - internal audit)

internal audit | section 138 | Rule 13 | internal auditor

ANSWER

When required [s.138 read with Rule 13, Companies (Accounts) Rules 2014]
(a) Every listed company.
(b) Every unlisted public company having, in the preceding FY: paid-up capital of Rs 50 crore or more; or turnover of Rs 200 crore or more; or outstanding loans/borrowings from banks or PFIs of Rs 100 crore or more at any time; or outstanding deposits of Rs 25 crore or more at any time.
(c) Every private company having, in the preceding FY: turnover of Rs 200 crore or more; or outstanding loans/borrowings from banks or PFIs of Rs 100 crore or more at any time.
Who can be appointed
- A chartered accountant or a cost accountant (in practice or not), or any other professional decided by the Board; may be an individual, a firm or a body corporate; may or may not be an employee.
- Appointed by Board resolution at a meeting [s.179(3)]; the Audit Committee/Board fixes scope, periodicity and methodology in consultation with the internal auditor.
- The statutory auditor cannot act as internal auditor [s.144].
MAPL
- Turnover in FY 2022-23 = Rs 250 crore, above Rs 200 crore → MAPL must have an internal auditor from FY 2023-24. (Borrowing of Rs 75 crore is below Rs 100 crore and alone would not trigger it.)
- A special review of internal controls by AB & Co. does not replace internal audit under s.138.
- MAPL is already late for FY 2023-24 and should appoint one at once; AB & Co. can itself be appointed if it is not the statutory auditor.

WORKING

Rule 13 test for an unlisted public company (preceding FY): paid-up capital >= Rs 50 crore, or turnover >= Rs 200 crore, or bank/PFI borrowings >= Rs 100 crore at any time, or deposits >= Rs 25 crore at any time.
MAPL: turnover FY 2022-23 Rs 250 crore → condition met → internal audit from FY 2023-24.

Trap: Testing the current year's figures - Rule 13 looks at the preceding financial year.

Case 3: CA Study Group - P, Q, R and S (Kandivali, Mumbai)

Four practising CAs meet every Saturday to discuss client issues: an Ind AS 115 incentive contract, car inventory after a price fall, a firm website, internal-control lapses on receivables, ITAT rectification, ITC on fraud-paid tax, GST appeal pre-deposit and a liquidator who holds shares.

Marks: FR 7, Audit 5, DT 5, IDT 4, Ethics 2, Law 2 · Moderate

First 15 min: Pick it only if Ind AS 115 is strong: the MCQs are quick, but 3.6 is a 5-year cost-to-cost table with a Year 4 catch-up that can eat 20+ minutes; 3.7 and 3.8 are steady theory.

Q3.1 FR MCQ · 2 marks Ind AS 2 Inventories (with Ind AS 10 Events after the Reporting Period)

Value per car of 200 finished cars at 31.3.2024 after the selling price fell in April 2024.

(a) Rs 6,00,000

(b) Rs 4,50,000

(c) Rs 4,25,000

(d) Rs 5,75,000

CLUE IN THE CASE

'(which has been expected to come)' + 'estimated costs necessary to make the sale'

THINK

1. 'Value at which stock should be valued' → Ind AS 2: lower of cost and NRV.
2. Price fell after 31 March, but the rule change 'had been expected' → the condition existed at year-end → adjusting event; use the new price for NRV.
3. NRV = 4,50,000 - 25,000 = 4,25,000, below cost 6,00,000.

LOOK UP

ICAI SM FR - Ind AS 2 Inventories; Ind AS 10 net realisable value events after the reporting period adjusting events

ANSWER

(c) Rs 4,25,000

WORKING

Cost per car Rs 6,00,000. NRV = selling price Rs 4,50,000 - costs to sell Rs 25,000 = Rs 4,25,000. The price fall on 30.4.2024 (before the FS are approved) comes from rules already expected at 31.3.2024, so it is evidence of a year-end condition - an adjusting event under Ind AS 10, and Ind AS 2 allows such evidence in estimating NRV. Value = lower of cost and NRV = Rs 4,25,000 per car (200 cars: Rs 8.5 crore; write-down Rs 3.5 crore).

Trap: Taking the selling price Rs 4,50,000 (b) without deducting the Rs 25,000 cost to sell.

Q3.2 Ethics MCQ · 2 marks

Professional Ethics - ICAI guidelines for websites of CAs/firms; Clauses (6) and (7), Part I, First Schedule

Does CDR's website comply with ICAI's guidelines?

(a) Yes, there is no restriction on developing a website

(b) Yes, it has complied with all the conditions

(c) No, but CDR would not be liable for misconduct as it is not soliciting by advertisement

(d) No, CDR would be liable for professional misconduct as it amounts to soliciting work by advertisement

CLUE IN THE CASE

'run on a Push technology' + 'major clients were to be displayed on the website'

THINK

1. 'Website' of a CA firm → ICAI website guidelines under the advertisement/solicitation clauses of the First Schedule.
2. Know it without the book: the site must work on 'pull' (the visitor seeks the information), never 'push'; client names only where a regulator requires disclosure.
3. Both are broken here ('without any disclosure obligation from any regulator') → solicitation by advertisement → misconduct → (d).

LOOK UP

ICAI SM Audit - Professional Ethics (Clause 7 - guidelines for website) website pull technology push technology soliciting clients

ANSWER

(d) No, CDR would be liable for professional misconduct since it amounts to soliciting work by advertisement

WORKING

ICAI allows CAs and firms to have websites, subject to its guidelines: information must be available only on a 'pull' basis, the site must not push information to users, and names of clients and fees cannot be shown unless a regulator requires disclosure. CDR's site pushes the names of partners and major clients with no regulatory requirement. This breaches the guidelines and amounts to soliciting work by advertisement - misconduct under Clauses (6)/(7) of Part I of the First Schedule.

Trap: Choosing (c): breaking the website guidelines is itself misconduct; there is no 'non-compliant but not guilty' middle path.

Q3.3 IDT MCQ · 2 marks Input Tax Credit - blocked credits s.17(5)(i)

Can FPL take ITC of the Rs 1,50,000 that ABC paid after a s.74 order for supplying without invoice?

(a) Yes, Rs 1,50,000

(b) Yes, Rs 1,50,000 and applicable interest

(c) Yes, Rs 1,50,000 and applicable interest and penalty

(d) No, FPL cannot avail ITC of such tax

CLUE IN THE CASE

'without the cover of an invoice with a fraudulent intent' + 'under section 74'

THINK

1. Recipient asks for ITC of tax the supplier paid under a fraud demand → blocked credit list.
2. Know it without the book: s.17(5)(i) blocks ITC of tax paid under s.74 (and, at that time, s.129/130).
3. Goods came without an invoice → FPL also fails the document condition of s.16(2)(a) → (d).

LOOK UP

ICAI SM IDT - Input Tax Credit (blocked credits) blocked credit | section 74 | fraud | tax paid

ANSWER

(d) No, FPL cannot avail ITC of such tax

WORKING

S.17(5)(i) CGST (law for May 2024): ITC is not available on any tax paid under s.74, 129 or 130. ABC paid Rs 1,50,000 with interest and penalty under a s.74 order (fraud). So FPL cannot take ITC of this tax. Also, the goods came without an invoice, so the s.16(2)(a) document condition fails anyway.

Note: Finance (No. 2) Act 2024 recast s.17(5)(i): it now blocks tax paid under s.74 for periods up to FY 2023-24 and drops s.129/130; demands from FY 2024-25 fall under new s.74A - check the Nov 2026 SM wording for later periods.

Trap: Picking (a) because the tax was finally paid - the block depends on how it was paid (fraud demand), not whether.

Q3.4 IDT MCQ · 2 marks Appeals and Revision (s.107(6), s.112(8) CGST; s.20 IGST)

Additional pre-deposit SNPL must make to appeal to the Tribunal against a confirmed IGST demand of Rs 320 crore.

(a) Rs 32 crores

(b) Rs 64 crores

(c) Rs 96 crores

(d) Rs 100 crores

CLUE IN THE CASE

'confirmed IGST demand of 320 crores' + 'disputing the entire demand of IGST'

THINK

1. 'Additional pre-deposit' for the second appeal → Appellate Tribunal, s.112(8).
2. Know it (May 2024 law): first appeal 10%; second appeal additional 20% of the remaining tax in dispute; IGST caps are double the CGST caps (Rs 50 crore / Rs 100 crore).
3. 20% x 320 = 64 crore, below the Rs 100 crore cap → Rs 64 crore.

LOOK UP

ICAI SM IDT - Appeals and Revision pre-deposit Appellate Tribunal section 112 IGST

ANSWER

(b) Rs 64 crores

WORKING

Tax in dispute = Rs 320 crore (whole IGST demand). First appeal pre-deposit (already paid): 10% = Rs 32 crore (IGST cap Rs 50 crore). Second appeal: additional 20% of remaining tax in dispute = 20% x 320 = Rs 64 crore; IGST cap Rs 100 crore (twice the CGST cap of Rs 50 crore) is not hit. Additional pre-deposit = Rs 64 crore.

Note: Finance (No. 2) Act 2024 cut the Tribunal pre-deposit to 10% with a cap of Rs 20 crore CGST (Rs 40 crore IGST) and the first-appeal cap to Rs 20 crore CGST (Rs 40 crore IGST); on current law this answer becomes Rs 32 crore.

Trap: Applying the CGST cap of Rs 50 crore to an IGST demand, or quoting the total 30% (Rs 96 crore, option c) instead of the additional amount.

Q3.5 Law MCQ · 2 marks Winding up (Companies Act 2013) - s.275 Company Liquidators and their appointment

Can Rajan, who holds shares in ST Ltd., be its provisional liquidator?

(a) No, because he has a shareholding in the company

(b) Yes, irrespective of his interest, because the shareholding is prior to appointment

(c) Yes, with prior intimation to the Tribunal

(d) Yes, by disclosing his shareholding in a declaration filed within 7 days of his appointment by the Tribunal

CLUE IN THE CASE

'appointed as Provisional Liquidator' + 'Rajan was having a shareholding in the same company'

THINK

1. 'Provisional liquidator' + 'Tribunal' + 'Companies Act' → winding up by Tribunal, s.275.
2. Chapter clear → SPOM Set A / Law index → Winding up → 'Company Liquidator' → declaration of conflict of interest.
3. A shareholding is a possible conflict of interest - not a bar. The law requires a declaration within 7 days, and the Tribunal can remove him if needed → (d).

LOOK UP

SPOM Set A (Corporate & Economic Laws) - Winding up, s.275 provisional liquidator Company Liquidator conflict of interest declaration

ANSWER

(d) Rajan can be appointed by disclosing his shareholding in a declaration filed within 7 days of his appointment by the Tribunal

WORKING

S.275: on appointment, the provisional liquidator or Company Liquidator must file a declaration with the Tribunal within 7 days, in the prescribed form, disclosing any conflict of interest or lack of independence; the duty continues through the appointment. The Tribunal may remove him for reasonable cause, including conflict of interest. So Rajan's shareholding does not stop his appointment; he must disclose it within 7 days.

Trap: Picking (a): an interest is a disclosure point, not an automatic disqualification.

Q3.6 FR Descriptive · 5 marks Ind AS 115 Revenue from Contracts with Customers

How should the incentive (variable consideration) be recognised over the 5-year contract under Ind AS 115?

CLUE IN THE CASE

'incentive award' + 'cost-to-cost input method' + 'revises its estimate of variable consideration'

THINK

1. 'Variable consideration' + 'incentive award' + 'cost-to-cost' → Ind AS 115: estimate (most likely amount), apply the constraint, recognise over time.
2. Chapter clear → FR index → Ind AS 115 → 'variable consideration', 'constraining estimates', 'changes in the transaction price' (cumulative catch-up).
3. Years 1-3: price = 12,00,000 + 20% award 2,40,000 = 14,40,000 (50% award only 25% likely → constrained out). Year 4: revise to 12,00,000 + 6,00,000 = 18,00,000 → catch up the earlier progress in Year 4.
4. Fast method: cumulative revenue = transaction price x cumulative cost / 11,20,000; year revenue = cumulative - recognised to date. Then split fixed / variable for the table.

LOOK UP

ICAI SM FR - Ind AS 115 (variable consideration; changes in transaction price) variable consideration | most likely amount | constraint | cumulative catch-up | input method

ANSWER

Recognition of fixed and variable consideration (Rs)

Year	1	2	3	4	5	Total
Cost incurred	60,000	2,00,000	5,00,000	3,00,000	60,000	11,20,000
Cumulative % complete	5.36%	23.21%	67.86%	94.64%	100%	
Variable consideration estimate	2,40,000	2,40,000	2,40,000	6,00,000	6,00,000	
Fixed revenue (12,00,000 x cost / 11,20,000)	64,286	2,14,286	5,35,714	3,21,429	64,286	12,00,000
Variable revenue - current year	12,857	42,857	1,07,143	1,60,714	32,143	3,55,714
Cumulative catch-up	-	-	-	2,44,286	-	2,44,286
Total revenue	77,143	2,57,143	6,42,857	7,26,429	96,429	18,00,000
Cost	60,000	2,00,000	5,00,000	3,00,000	60,000	11,20,000
Profit	17,143	57,143	1,42,857	4,26,429	36,429	6,80,000
Margin	22%	22%	22%	59%	38%	

Catch-up in Year 4 = 6,00,000 x 10,60,000/11,20,000 (5,67,857) - variable revenue to date including Year 4's current share (1,62,857 + 1,60,714 = 3,23,571) = 2,44,286.

Notes

1. Years 1-3 include only the 20% award - the most likely amount, and highly probable that no significant reversal will occur (95% confidence). The 50% award (25% confidence) is constrained.
2. In Year 4 the uncertainty is resolved; the change in transaction price is recognised by cumulative catch-up in that year, not by restating earlier years.
3. Estimated costs to complete are assumed unchanged.

WORKING

Total estimated cost = 60,000 + 2,00,000 + 5,00,000 + 3,00,000 + 60,000 = 11,20,000.

Initial transaction price = 12,00,000 + 2,40,000 (20% award: most likely, 95% confident, reversal not probable) = 14,40,000. 50% award (25% confident) is constrained.

Cumulative revenue = price x cumulative cost / 11,20,000:

Y1: 14,40,000 x 60,000/11,20,000 = 77,143

Y2: 14,40,000 x 2,60,000/11,20,000 = 3,34,286 → year 2,57,143

Y3: 14,40,000 x 7,60,000/11,20,000 = 9,77,143 → year 6,42,857

Y4 (price revised to 18,00,000): 18,00,000 x 10,60,000/11,20,000 = 17,03,571 → year 7,26,429

Y5: 18,00,000 → year 96,429

Year 4 variable revenue = 6,00,000 x 94.64% - 1,62,857 recognised to Year 3 = 4,05,000 = 1,60,714 (Year 4 progress at new estimate) + 2,44,286 catch-up (3,60,000 x 7,60,000/11,20,000).

Note: ICAI rounded % complete to 95%, so its revenue totals Rs 18,02,143; with the exact 94.64% the catch-up is Rs 2,44,286 and revenue ties to Rs 18,00,000 - either should score.

Trap: Restating Years 1-3 for the higher award, or including the 50% award from Year 1 although it was only 25% likely.

Q3.7 Audit · Descriptive · 5 marks SA 265 Communicating Deficiencies in Internal Control (with SA 610, SA 240, SA 330)

How should CA. R, the statutory auditor, respond to the internal auditor's findings on receivables controls that management has not fixed?

CLUE IN THE CASE

'receivables not reconciled at regular intervals' + 'not taken any action on the deficiencies'

THINK

1. 'Deficiencies in internal control' raised by the internal auditor → SA 610 (using internal audit findings) + SA 265 (communication).
2. 'Management has also not taken any action' → SA 240 fraud risk factor: failure to remedy known significant deficiencies.
3. Chapter clear → Audit index → SA 265 'significant deficiency'; SA 240 appendix 'fraud risk factors'.
4. Answer flow: assess → communicate in writing → extend substantive work on receivables → report (SA 705 / IFC).

LOOK UP

ICAI SM Audit - SA 265; SA 240; SA 610; SA 330 significant deficiency communicating deficiencies fraud risk factors internal auditor

ANSWER

1. Consider the findings (SA 610 / SA 315): read the internal audit report and use the findings to assess the risk of material misstatement in trade receivables.
2. Fraud risk (SA 240): management's failure to remedy known significant deficiencies in time is a fraud risk factor (attitude/rationalisation). Unreconciled receivables and unchecked credit limits leave room for intentional misstatement - fictitious or overstated debtors, teeming and lading.
3. Evaluate and communicate (SA 265): decide whether the two deficiencies, alone or together, are significant - here they likely are. Communicate significant deficiencies in writing to those charged with governance (audit committee) and to management in time, and follow up on corrective action.
4. Respond in the audit (SA 330): do not rely on these controls; extend substantive procedures - external confirmation of balances (SA 505), year-end reconciliation of debtors' ledger with the control account, ageing analysis, subsequent receipts, review of sales beyond credit limits, adequacy of loss allowance.
5. Report: a letter of weakness does not reduce his reporting duty. If receivables remain materially misstated or evidence is insufficient, modify the opinion under SA 705; where IFC reporting applies [s.143(3)(i)], report the material weakness in internal financial controls over receivables.

Conclusion: CA. R should treat the findings as a fraud-risk indicator, communicate them in writing to the audit committee and management, extend substantive testing, and modify his report if the deficiencies result in material misstatement.

WORKING

Two deficiencies: (1) no quarterly reconciliation of receivables; (2) credit limits never reviewed. Management ignored the internal auditor. Link: SA 610 (consider the findings) → SA 240 (unremedied known deficiency = fraud risk factor) → SA 265 (written communication of significant deficiencies) → SA 330/505 (more substantive work) → SA 705 / s.143(3)(i) (reporting).

Trap: Stopping at 'send a management letter' - the letter does not discharge the auditor's own reporting duty.

Q3.8 DT **Descriptive · 5 marks** Appeals and Revision - s.254(2) rectification by ITAT

Can ITAT pass a s.254(2) rectification order beyond 6 months when the department applied late, and when can ITAT rectify after 6 months?

CLUE IN THE CASE

'rectification order under section 254' + 'beyond 6 months from the end of the month'

THINK

1. 'Rectification order u/s 254' → ITAT powers in Appeals and Revision; 6-month limit since Finance Act 2021.
2. Chapter clear → DT index → Appeals and Revision → s.254(2); case-law list → Sree Ayyanar Spinning (SC).
3. Separate two dates: when the application is filed (must be within 6 months) vs when ITAT decides (can be later).
4. Here the department filed late → not maintainable → ITAT cannot rectify.

LOOK UP

ICAI SM DT - Appeals and Revision (s.254) section 254(2) rectification Appellate Tribunal mistake apparent from record

ANSWER

Provision

S.254(2): the ITAT may, within 6 months from the end of the month in which its order was passed, amend the order to rectify any mistake apparent from record. It must do so if the mistake is brought to its notice by the assessee or the Assessing Officer.

Judicial view

Sree Ayyanar Spinning & Weaving Mills Ltd. v. CIT (SC): the time limit governs the filing of the application. If the application is made within the limit, the Tribunal must decide it on merits even if its order comes after the limit; it cannot reject it on limitation.

Analysis

The department moved the application after 6 months from the end of the month of the ITAT order. A belated application is not maintainable, so the ITAT has no power to pass a rectification order on it.

When ITAT can rectify after 6 months

Only when the rectification application by the assessee or the AO is filed within 6 months from the end of the month of the original order. The ITAT is then bound to decide it on merits, even after the 6 months.

WORKING

S.254(2): ITAT may amend its order to rectify a mistake apparent from record within 6 months from the end of the month in which the order was passed, and must do so if the assessee or AO brings the mistake to its notice. SC in Sree Ayyanar Spinning & Weaving Mills: an application filed within the limit must be decided on merits even after the limit. Facts: department applied after 6 months → application time-barred.

Trap: Saying ITAT can never pass an order after 6 months - it can, if the application itself was filed in time.

Case 4: CA. Rajesh - An experienced Practising Chartered Accountant

Rajesh mentors newly qualified CA Rupesh on ethics while serving clients: a machine choice for GNT, a charitable institution's trade receipts, an IBC Committee of Creditors as RP of RMC, and the tax computation of Ujjawal Ltd. (steel tubes).

Marks: DT 13, Ethics 4, AFM 4, Law 2, Costing 2 · Easy

First 15 min: Pick it if DT is your strength: 13 of 25 marks are DT (an 8-mark computation of classic PGBP items + the 20% charitable-receipts test), and the MCQs are one-line rules.

Q4.1 Ethics MCQ · 2 marks Code of Ethics - threats to compliance with fundamental principles

Which threat would Rajesh have faced had he agreed to manipulate Delta Ltd.'s prospectus to obtain favourable financing?

(a) Familiarity Threats

(b) Self-Review Threats

(c) Self-Interest Threats

(d) Advocacy Threat

CLUE IN THE CASE

'manipulate information in a prospectus in order to obtain favorable financing'

THINK

1. The case itself lists the five threats → Code of Ethics, threats.
2. Know it without the book: advocacy = promoting a client's or employer's position so far that objectivity is compromised. Dressing up a prospectus to win financing for Delta = pushing Delta's case.
3. The Code gives this very example under advocacy threats → (d).

LOOK UP

ICAI SM Audit - Professional Ethics (Code of Ethics: threats) advocacy threat threats fundamental principles prospectus

ANSWER

(d) Advocacy Threat

WORKING

An advocacy threat arises when a professional accountant promotes a client's or employer's position to the point that his objectivity is compromised. Manipulating information in a prospectus to obtain favourable financing for Delta Ltd. is promoting Delta's position to lenders and investors. The Code of Ethics uses this exact example for advocacy threat.

Trap: Picking self-interest (c) - nothing in the facts gives Rajesh a personal financial gain; the act is pushing Delta's case.

Q4.2 Ethics MCQ · 2 marks Chartered Accountants Act 1949 - First Schedule, Part I, Clause (1)

Who is guilty: Rajesh for allowing Ramesh (not a CA), or anyone over Rupesh (a CA in practice and employee)?

(a) Rajesh will be held guilty of professional misconduct for allowing Ramesh

(b) Rajesh will be held guilty of professional misconduct for allowing Rupesh

(c) Rajesh will not be held guilty of professional misconduct for allowing Ramesh

(d) Rupesh will be held guilty for asking to practise in the name of Rajesh

CLUE IN THE CASE

'allowed Ramesh, his brother-in-law who is not a Chartered Accountant to practice'

THINK

1. 'Practise in his name' → Clause (1), Part I, First Schedule - the very first clause.
2. Know it without the book: allowed only if the other person is also a CA in practice AND is a partner or employee of the member.
3. Rupesh = CA with COP + employee → permitted case; Ramesh = not a CA → misconduct → (a).

LOOK UP

ICAI SM Audit - Professional Ethics (First Schedule, Part I, Clause 1) practise in his name Clause (1) First Schedule

ANSWER

(a) Rajesh will be held guilty of professional misconduct for allowing Ramesh

WORKING

Clause (1) of Part I of the First Schedule: a CA in practice is guilty of misconduct if he allows any person to practise in his name as a CA, unless that person is also a CA in practice and is his partner or employee. Ramesh is not a CA, so Rajesh is guilty. Rupesh holds a COP and is Rajesh's employee, so allowing him would not have been misconduct, and asking for it is not misconduct either.

Trap: Picking (b) - a practising CA who is an employee is exactly the case the clause permits.

Q4.3 Law MCQ · 2 marks Insolvency and Bankruptcy Code, 2016 - Committee of Creditors (s.21)

Voting share of unsecured financial creditors in RMC Ltd.'s Committee of Creditors.

(a) 13.33%

(b) 18.75%

(c) 20.00%

(d) 27.27%

CLUE IN THE CASE

'Includes Rs 50 lakhs from related parties' + 'decides not to relinquish'

THINK

1. 'Voting share in Committee of Creditors' → IBC s.21; vote = admitted financial debt / total admitted financial debt of members.
2. Know it without the book: a related-party financial creditor has no right of representation, participation or voting (s.21(2) proviso) → remove Rs 50 lakh.
3. Bank D 'not relinquishing' security is a liquidation idea (s.52) - irrelevant in CIRP; keep its Rs 250 lakh.
4. Unsecured eligible 100 / total eligible 750.

LOOK UP

SPOM Set A (Corporate & Economic Laws) - IBC 2016, Committee of Creditors committee of creditors related party voting share financial creditor

ANSWER

(a) 13.33%

WORKING

Eligible financial debt (Rs lakh): Bank A 100 + Bank B 200 + Bank C 100 + Unsecured (150 - 50 related party) 100 + Bank D 250 = 750.

Voting share of unsecured FCs = 100 / 750 = 13.33%.

Trap: Keeping the related-party Rs 50 lakh (18.75%) or dropping Bank D for 'not relinquishing' (27.27%).

Q4.4 DT MCQ · 2 marks Profits and Gains of Business or Profession - capital vs revenue expenditure (case law)

Nature of expenditure on glow-sign boards displayed outside ABC's premises.

(a) Capital Expenditure

(b) Revenue Expenditure

(c) Deferred Revenue Expenditure

(d) As per choice of ABC Limited

CLUE IN THE CASE

'Glow Sign Boards outside its premises'

THINK

1. Capital vs revenue on one specific item → PGBP case law. Not sure where it sits → A-Z index 'glow sign board'.
2. Test: does it bring an enduring benefit or a profit-earning asset? Boards are for publicity and wear out fast.
3. Delhi HC (CIT v. Orient Ceramics & Industries Ltd.) held glow-sign board expense to be revenue → (b).

LOOK UP

ICAI SM DT - PGBP (s.37 case laws) glow sign boards | revenue expenditure | advertisement | section 37

ANSWER

(b) Revenue Expenditure

WORKING

Glow-sign board expenditure is publicity/advertisement. The boards have a short life and do not give the business an asset of enduring benefit. The Delhi High Court in CIT v. Orient Ceramics & Industries Ltd. held such expenditure to be revenue, deductible u/s 37(1). Displaying the GST details on the board does not change its nature.

Trap: Treating it as capital because the board is a physical item that lasts more than a year.

Q4.5 Costing MCQ · 2 marks Standard Costing - material variances

Which factor does NOT affect material usage variance?

(a) Change in method of production/design

(b) Increased efficiency in production bringing down wastage

(c) Changes made in the material mix

(d) Purchase price of inferior quality material

CLUE IN THE CASE

'There has been material usage variance'

THINK

1. Cause-of-variance question → Standard Costing, material variances.
2. Know it: usage variance = (SQ - AQ) x standard price - valued at standard, so the price actually paid never enters it.
3. Method/design, efficiency/wastage and mix all change the quantity used → they affect usage; purchase price → price variance → (d).

LOOK UP

SPOM Set B (Strategic Cost & Performance Management) - Standard Costing / variance analysis

material usage variance | material price variance | causes of variances

ANSWER

(d) Purchase price of inferior quality material

WORKING

Material usage variance = (standard quantity for actual output - actual quantity) x standard price. Because it is valued at standard price, the price actually paid does not affect it; that goes to the material price variance. Changes in production method or design, efficiency/wastage and material mix all change the quantity used, so they do affect usage variance.

Trap: Reading (d) as 'inferior quality' - poor quality does push usage up; the option is about its purchase price, which hits only the price variance.

Q4.6 DT Descriptive · 8 marks

Profits and Gains of Business or Profession (s.28(iv), 41(1), 43B, 40(a)(i), 40A(3) with Rule 6DD) + Deductions (s.80GGB)

Compute Ujjawal Ltd.'s total income for AY 2024-25 from net profit of Rs 505 lakh, with a reason for each of the six items.

CLUE IN THE CASE

'credited to General Reserve Account' + 'converted the arrear of interest into a new loan'

THINK

1. Computation from net profit → PGBP adjustments; each item is a known section: free ticket (s.28(iv)), supplier waiver (s.41(1)), funded interest (s.43B), interest to non-resident (s.40(a)(i)), cash salary (s.40A(3) + Rule 6DD), electoral trust (s.80GGB).
2. Know most of it without the book (step 4); open the DT index only for Rule 6DD (employee temporarily posted) and the s.43B explanation on interest converted into loan.
3. Layout: net profit → add → less → GTI → Chapter VI-A. Give a one-line reason for every item, including 'no adjustment' items - the reasons carry the marks.

LOOK UP

ICAI SM DT - PGBP; Deductions from Gross Total Income | section 28(iv) | remission of trading liability | section 43B funded interest | Rule 6DD | section 80GGB

ANSWER

Computation of total income of Ujjawal Ltd. - AY 2024-25 (Rs lakh)

Net profit as per P&L | 505.00

Add:

(i) Group air ticket from supplier, encashed for Rs 15 lakh and credited to General Reserve - a benefit arising from business, taxable u/s 28(iv) (cash or kind) | 15.00

(ii) Remission by raw-material supplier (claim 10 - settled 7); purchase cost was allowed earlier - deemed income u/s 41(1) | 3.00

(vi) Contribution to electoral trust in general expenses - not a business expense | 0.75

Total | 523.75

Less:

(iii) Funded interest repaid to Joya Bank (scheduled bank): conversion of interest into a loan is not 'actual payment' u/s 43B; deduction is allowed as the converted loan is repaid - 2 instalments x Rs 1.6 lakh (adjusted in balance sheet, not P&L) | (3.20)

No adjustment:

(iv) Interest Rs 6 lakh to US company - tax deducted u/s 195 and deposited before the due date u/s 139(1), so no disallowance u/s 40(a)(i) | Nil

(v) Cash salary to Pradeep (Rs 55,000 and Rs 60,000) - above Rs 10,000, but Rule 6DD(i) applies: paid after TDS u/s 192 to an employee temporarily posted for 15 days or more away from his normal place of duty (31.5-18.7.2023: 49 days; 28.9-15.10.2023: 18 days) who has no bank account there; no disallowance u/s 40A(3) | Nil

Profits and gains of business = Gross total income | 520.55

Less: Deduction u/s 80GGB - contribution to electoral trust by account payee cheque (not cash) | (0.75)

Total income | 519.80

WORKING

505 + 15 (s.28(iv)) + 3 (s.41(1): 10 - 7) + 0.75 (electoral trust, not a business expense) = 523.75.

Less funded interest actually repaid: 2 x 1.6 = 3.20 → 520.55.

Interest to US company: TDS deposited before s.139(1) due date → no s.40(a)(i) disallowance.

Cash salary 55,000 and 60,000: Rule 6DD(i) - after TDS u/s 192, employee temporarily posted 15 days or more (49 days and 18 days) away from normal place of duty, no bank account there → no s.40A(3) disallowance.

Less s.80GGB 0.75 → total income 519.80.

Trap: Leaving the Rs 15 lakh untaxed because it went to General Reserve, or disallowing the cash salary without checking Rule 6DD.

Q4.7 AFM Descriptive · 4 marks

Advanced Capital Budgeting Decisions (base: Inter FM - Investment Decisions, equivalent annual cost)

Statement evaluating Machine A (3 years) and Machine B (2 years) to advise GNT Ltd.

CLUE IN THE CASE

'Machine A costs Rs 1,70,000 and will last for 3 years' + 'will last only for 2 years'

THINK

1. Two machines, same job, different lives → PV of costs is not comparable; use Equivalent Annual Cost (EAC).
2. Know it without the book: PV of all costs / annuity factor for its own life; choose the lower EAC.
3. Real cash flows at real rate 10%, tax ignored; assume each machine is replaced with an identical one.

LOOK UP

ICAI SM AFM - Advanced Capital Budgeting Decisions (or Inter FM - Investment Decisions)

equivalent annual cost | unequal lives | replacement decision

ANSWER

Statement of evaluation (Rs)

Particulars	Machine A	Machine B
Purchase cost (i)	1,70,000	1,15,000
Life	3 years	2 years
Annual running cost	50,000	70,000
Annuity factor @10% (ii)	2.487	1.736
PV of running cost	1,24,350	1,21,520
PV of total cost (iii)	2,94,350	2,36,520
Equivalent annual cost (iii) / (ii)	1,18,355	1,36,244

Decision: Buy Machine A. Its equivalent annual cost is lower by about Rs 17,889 a year (assuming each machine is replaced with an identical one at the end of its life).

WORKING

A: 1,70,000 + 50,000 x 2.487 = 1,70,000 + 1,24,350 = 2,94,350; EAC = 2,94,350 / 2.487 = 1,18,355.
B: 1,15,000 + 70,000 x 1.736 = 1,15,000 + 1,21,520 = 2,36,520; EAC = 2,36,520 / 1.736 = 1,36,244.

Trap: Comparing total PV of costs (B looks cheaper at Rs 2,36,520) without annualising for the different lives.

Q4.8 DT **Descriptive · 3 marks** Charitable or religious trusts and institutions (s.2(15), s.11-13)

Advise Swayam on the tax effect of Rs 32 lakh trade receipts (total receipts Rs 150 lakh, 85% applied to its object).

CLUE IN THE CASE

'advancement of general public utility' + 'activity in the nature of trade'

THINK

1. 'Advancement of general public utility' + 'activity in the nature of trade' → provisos to s.2(15): 20% of total receipts test.
2. Chapter clear → DT index → charitable trusts → 'general public utility', s.13(8).
3. 20% of Rs 150 lakh = Rs 30 lakh; trade receipts Rs 32 lakh exceed it → not 'charitable purpose' for the year; applying 85% does not cure it.

LOOK UP

ICAI SM DT - Charitable or religious trusts and institutions | general public utility | charitable purpose | 20% of total receipts | section 13(8)

ANSWER

Provision

Under the provisos to s.2(15), 'advancement of any other object of general public utility' remains a charitable purpose only if any trade, commerce or business activity is carried on in the course of actually carrying out that object and the aggregate receipts from it do not exceed 20% of the institution's total receipts for the year. If the limit is crossed, s.13(8) denies exemption u/s 11/12 for that year.

Analysis

Total receipts Rs 150 lakh; 20% = Rs 30 lakh. Receipts from the trade-like activity Rs 32 lakh > Rs 30 lakh.

Advice

- Swayam is not 'charitable' for PY 2023-24 and loses the exemption u/s 11 for that year; its income is taxable (s.13(10) allows revenue expenditure incurred in India on its objects while computing that income).
- Applying 85% of the receipts to its object does not save the exemption.
- Registration/approval is not automatically cancelled; the exemption can be claimed again in a later year if trade receipts stay within 20%.

WORKING

20% x Rs 150 lakh = Rs 30 lakh. Trade receipts Rs 32 lakh > Rs 30 lakh → s.2(15) proviso applies → s.13(8): no exemption u/s 11/12 for PY 2023-24.

Trap: Thinking that spending 85% of the receipts on the object saves the exemption - the 20% receipts test is separate from application.

Case 5: Magic Ltd. (with Moon & Co., Noida and Lion Private Ltd.)

Magic Ltd. exports services to a UK client with help from a UK sub-contractor, hires a foreign expert, tracks the Sensex and plans to move to Kaizen costing; its partnership firm Moon & Co. must fix GST and ITR errors, and associate Lion Pvt. Ltd. lends Rs 25 lakh to a director.

Marks: DT 7, IDT 7, AFM 5, Law 4, Costing 2 · Moderate

First 15 min: Pick it if taxes are your strength: 14 of 25 marks are DT/IDT and the 5-mark EMA is a mechanical table; but 5.7 (6 marks) is long and 5.5 turns on a CBIC circular.

Q5.1 DT MCQ · 2 marks Assessment Procedure - return of income (s.139(4), 139(5), 139(8A))

Remedy for Moon & Co. to correct turnover (Rs 173 lakh reported vs Rs 190 lakh) in its AY 2023-24 return, found in April 2024.

(a) Seek rectification

(b) File belated return

(c) File updated return

(d) File revised return

CLUE IN THE CASE

'This was detected only in April, 2024' + 'assessment year 2023-24'

THINK

1. Mistake in own ITR found late → which return route is still open? → s.139(4) / 139(5) / 139(8A).
2. Know it: revised or belated return for AY 2023-24 only up to 31.12.2023; updated return within 24 months from end of the AY (up to 31.3.2026).
3. Income goes up (turnover 190 > 173 under s.44AD) → updated return allowed → (c).

LOOK UP

ICAI SM DT - Assessment Procedure (return of income) updated return | section 139(8A) | revised return | belated return

ANSWER

(c) File updated return

WORKING

AY 2023-24: belated or revised return only up to 31.12.2023 (3 months before the end of the AY). Error found in April 2024 → both are closed. Rectification u/s 154 is for mistakes apparent from record, not for correcting turnover. Updated return u/s 139(8A) can be filed within 24 months from the end of the AY (up to 31.3.2026) where income goes up; filed within 12 months (by 31.3.2025) it costs additional tax of 25% of tax and interest. Rs 190 lakh is within the s.44AD limit, so file an updated return.

Note: Finance Act 2025 extended the updated-return window to 48 months from the end of the AY (additional tax 60%/70% in years 3/4); the answer does not change.

Trap: Choosing 'revised return' - its time limit for AY 2023-24 ended on 31.12.2023.

Q5.2 DT MCQ · 2 marks Income from Other Sources - deemed dividend s.2(22)(e); TDS s.194

TDS on, and deemed dividend from, Lion Pvt. Ltd.'s Rs 25 lakh loan to director Santosh (25% holder).

(a) TDS Rs 1,00,000; deemed dividend Rs 10,00,000

(b) TDS Rs 2,50,000; deemed dividend Rs 25,00,000

(c) TDS Rs 4,00,000; deemed dividend Rs 40,00,000

(d) No TDS; deemed dividend Rs 25,00,000

CLUE IN THE CASE

'who had 25% shareholding' + 'accumulated profit of Rs 40 lakhs'

THINK

1. Loan by a private company to a shareholder holding 10% or more → s.2(22)(e) deemed dividend, limited to accumulated profits.
2. Know it without the book: deemed dividend = lower of loan (25 lakh) and accumulated profits (40 lakh) = 25 lakh.
3. TDS u/s 194 covers s.2(22)(e) dividends at 10% → Rs 2,50,000 → (b).

LOOK UP

ICAI SM DT - Income from Other Sources (deemed dividend); TDS s.194 deemed dividend | section 2(22)(e) | accumulated profits | section 194

ANSWER

(b) TDS of Rs 2,50,000 and deemed dividend of Rs 25,00,000

WORKING

Lion Pvt. Ltd. is a company in which the public is not substantially interested. Santosh holds 25% (10% or more of voting power) and receives a Rs 25 lakh loan; lending is not the company's business. Deemed dividend = loan to the extent of accumulated profits = lower of Rs 25 lakh and Rs 40 lakh = Rs 25 lakh. TDS u/s 194 @10% = Rs 2,50,000. Funding the loan through a bank overdraft does not change this.

Trap: Taking accumulated profits Rs 40 lakh as the dividend (c), or thinking deemed dividend escapes TDS (d).

Q5.3 Costing MCQ · 2 marks Lean System and Innovation - Kaizen Costing

Which is NOT a feature of Kaizen costing?

(a) Cost reduction technique

(b) Achieve cost reduction target

(c) Assumes continuous improvement of conditions

(d) Meant for a longer period, usually year on year

CLUE IN THE CASE

'wants to follow Kaizen Costing instead of standard costing'

THINK

1. 'Kaizen' → small continuous improvements during production; SPOM Set B (Lean System and Innovation).
2. Know it without the book: Kaizen = cost reduction, targets, continuous improvement, short periods (monthly). Standard costing = cost control, stable conditions, standards for a year.
3. 'Longer period, year on year' is the standard-costing feature → (d).

LOOK UP

SPOM Set B (Strategic Cost & Performance Management) - Lean System and Innovation (Kaizen Costing)

Kaizen costing | standard costing vs Kaizen | continuous improvement

ANSWER

(d) Meant for a longer period, usually year on year

WORKING

Kaizen costing is a cost reduction tool: it sets cost reduction targets and assumes continuous improvement of processes, with targets set and reviewed over short periods (usually monthly). Standard costing is a cost control tool that assumes stable conditions and sets standards for a longer period, usually year on year. So (d) is not a Kaizen feature.

Trap: Mixing up 'cost reduction' (Kaizen) with 'cost control' (standard costing).

Q5.4 IDT MCQ · 2 marks Input Tax Credit - time limit s.16(4)

How and by when can Moon & Co. claim ITC omitted in the March 2023 GSTR-3B?

(a) Must have been claimed in April 2023 GSTR-3B; ITC lapses

(b) Must have been claimed by September 2023 GSTR-3B; ITC lapses

(c) Claim it in October 2023 GSTR-3B, filed before 30 November 2023 and before the annual return

(d) Claim it in the annual return to be filed before 31 December 2023

CLUE IN THE CASE

'omitting to claim ITC' + 'This was found only on 15.11.2023'

THINK

1. Omitted ITC of an earlier year → s.16(4) time limit.
2. Know it: ITC for invoices of a FY can be taken up to 30 November of the next FY or the date of filing the annual return, whichever is earlier (since Finance Act 2022).
3. Found 15.11.2023; September 3B filed; October 3B not yet filed; annual return pending → claim in October 3B filed by 30.11.2023 → (c).

LOOK UP

ICAI SM IDT - Input Tax Credit (time limit s.16(4)) time limit for ITC section 16(4) 30th November annual return

ANSWER

(c) Claim it in the October 2023 GSTR-3B, filed before 30 November 2023 and before filing the annual return

WORKING

S.16(4): ITC on invoices of FY 2022-23 can be taken up to 30 November 2023 or the date of furnishing the annual return for 2022-23, whichever is earlier. The annual return is not yet filed. So Moon & Co. can claim the omitted March 2023 ITC in its October 2023 GSTR-3B, provided that return is filed on or before 30.11.2023.

Trap: Using the old 'September return' cut-off (b) - since Finance Act 2022 the limit is 30 November.

Q5.5 IDT MCQ · 2 marks Import and Export under GST - export of services (s.2(6) IGST)

Value of export of services by Magic Ltd. on the Rs 10 lakh (pound) contract, 40% performed and paid to Mini Ltd. in the UK.

(a) Rs 1,050 lakhs

(b) Rs 630 lakhs

(c) Rs 420 lakhs

(d) NIL

CLUE IN THE CASE

'payment for 40% service was received by Mini Ltd. directly' + 'obtained all the required approvals'

THINK

1. 'Value of export of service u/s 2(6) IGST' → export conditions; the twist is the 40% done and paid abroad.
2. Unsure how to treat the 40% → A-Z index 'export of services' → CBIC Circular 78/52/2018-GST.
3. Circular: an Indian exporter who uses a foreign supplier for part of the service, with the client paying that supplier directly, still exports the full value if RBI permits the set-off - the case says 'all the required approvals' are in place.
4. Full contract: 10 lakh pounds x Rs 105 = Rs 1,050 lakh → (a).

LOOK UP

ICAI SM IDT - Import and Export under GST (export of services) export of services | section 2(6) | convertible foreign exchange | set off of export receivables

ANSWER

(a) Rs 1,050 lakhs

WORKING

S.2(6) IGST: export of service needs supplier in India, recipient outside India, place of supply outside India, payment in convertible foreign exchange (or INR where RBI permits), and the two must not be mere establishments of one person. Magic Ltd. contracted with Botham for the whole service; Mini Ltd. did 40% as Magic's sub-contractor and was paid directly by Botham. CBIC Circular 78/52/2018-GST: where RBI permits such set-off of export receivables against import payables, the full invoice value is export and the amount paid directly to the foreign supplier counts as received in convertible foreign exchange. Magic has the approvals, so export value = 10 lakh pounds x Rs 105 = Rs 1,050 lakh.

Trap: Picking Rs 630 lakh (only the 60% done from India) - the contract and the approvals make the whole Rs 1,050 lakh Magic's export.

Q5.6 AFM **Descriptive · 5 marks** Security Analysis - technical analysis (moving averages)

Compute the Sensex EMA for 12-22 March 2024 and say whether the market is bullish.

CLUE IN THE CASE

'Exponential Moving Average (EMA) of Sensex was 20,400 on the previous day'

THINK

1. 'EMA' + 'bullish' → AFM Security Analysis → technical analysis → moving averages.
2. Know the formula: EMA today = EMA yesterday + k x (today's close - EMA yesterday); k given = 0.081.
3. Skip Saturday and Sunday (no trading); run 9 rows in one table.
4. Signal: index above EMA and EMA rising → bullish.

LOOK UP

ICAI SM AFM - Security Analysis (technical analysis) exponential moving average | EMA | technical analysis | bullish

ANSWER

Date | Sensex | Previous EMA | Difference | x 0.081 | EMA
12.03.2024 | 20,100 | 20,400.00 | -300.00 | -24.30 | 20,375.70
13.03.2024 | 19,950 | 20,375.70 | -425.70 | -34.48 | 20,341.22
14.03.2024 | 19,900 | 20,341.22 | -441.22 | -35.74 | 20,305.48
15.03.2024 | 20,050 | 20,305.48 | -255.48 | -20.69 | 20,284.79
18.03.2024 | 20,600 | 20,284.79 | 315.21 | 25.53 | 20,310.32
19.03.2024 | 20,650 | 20,310.32 | 339.68 | 27.51 | 20,337.83
20.03.2024 | 20,700 | 20,337.83 | 362.17 | 29.34 | 20,367.17
21.03.2024 | 20,900 | 20,367.17 | 532.83 | 43.16 | 20,410.33
22.03.2024 | 21,100 | 20,410.33 | 689.67 | 55.86 | 20,466.19
(16th and 17th: no trading - skipped.)

Conclusion: From 18 March the Sensex has stayed above its EMA and the EMA has risen every day (20,284.79 to 20,466.19); on 22 March the index (21,100) is well above the EMA. The market is bullish and likely to stay so in the short to medium term, other factors remaining the same.

WORKING

EMA(12th) = 20,400 + 0.081 x (20,100 - 20,400) = 20,400 - 24.30 = 20,375.70. Repeat daily, skipping 16th and 17th. Final EMA on 22nd = 20,466.19 against Sensex 21,100.

Trap: Including the weekend days as rows, or using 2/(31+1) = 0.0625 instead of the given exponent 0.081.

Q5.7(i) IDT Descriptive · 3 marks Registration - non-resident taxable person (s.2(77), s.24, s.27; Rule 13)

Is Mano a non-resident taxable person under CGST, and if so what must he comply with? (Part of a 6-mark question; mark split assumed.)

CLUE IN THE CASE

'came to India on 2nd January 2024 to render his expert service'

THINK

1. 'Non-resident taxable person' is named in the question → GST Registration: s.2(77), s.24, s.27, Rule 13.
2. Chapter clear → IDT index → Registration → special provisions for casual and non-resident taxable persons.
3. Fit the facts: occasional supply of services, no fixed place of business or residence in India → NRTP.
4. List the procedure as points: compulsory registration, 5 days before, passport-based REG-09, advance deposit, 90-day validity + extension, no composition.

LOOK UP

ICAI SM IDT - Registration (casual and non-resident taxable persons) non-resident taxable person section 27 advance deposit GST REG-09

ANSWER

Definition: s.2(77) - a non-resident taxable person (NRTP) occasionally undertakes transactions involving supply of goods or services, as principal, agent or otherwise, but has no fixed place of business or residence in India.

Mano: he came for a short assignment, supplies expert services to Magic Ltd. and has no fixed place of business or residence in India → he is an NRTP.

Procedure

(a) Compulsory registration u/s 24, whatever the turnover; apply at least 5 days before starting business.

(b) Apply in Form GST REG-09 with a self-attested copy of his valid passport (no Indian PAN needed), signed or e-verified by his authorised signatory in India who has a valid PAN; his foreign tax identification number may be given.

(c) Pay an advance deposit of tax equal to the estimated tax liability for the period of registration; it is credited to his electronic cash ledger.

(d) Registration is valid for the period stated in the application or 90 days from the effective date, whichever is earlier; extendable by up to 90 days on request with a further advance deposit.

(e) He cannot opt for the composition levy.

WORKING

S.2(77): NRTP = person who occasionally undertakes transactions involving supply of goods/services but has no fixed place of business or residence in India. Mano: short visit, supplies expert services to Magic Ltd., no fixed place of business or residence in India → NRTP → s.24 compulsory registration + s.27 special rules.

Note: Arguable view: Mano has no establishment in India, so as supplier he is located outside India and his service to Magic Ltd. could be an import taxed under RCM in Magic's hands (Notification 10/2017-IT(R)); ICAI treats him as an NRTP who must register.

Trap: Applying the Rs 20 lakh threshold - an NRTP must register regardless of turnover.

Q5.7(ii) DT Descriptive · 3 marks

Non-Resident Taxation - residence (s.6), fees for technical services (s.9(1)(vii)), s.115A, TDS s.195/195A

Is Mano's Rs 50 lakh taxable in India, at what rate, and how much tax must Magic Ltd. deduct when it bears the tax? (Part of a 6-mark question; mark split assumed.)

CLUE IN THE CASE

'Magic Ltd. had agreed with Mano to bear the tax liability'

THINK

1. Four steps in order: residence (s.6) → taxability (s.9(1)(vii) FTS) → rate (s.115A) → TDS with grossing up (s.195A).
2. Days: 2 Jan - 25 Mar 2024 = 30 + 29 + 25 = 84 days (below 120 and 182) → non-resident for PY 2023-24.
3. Expert mechanical engineering service = technical/consultancy → FTS; agreement under Industrial Policy → 20% u/s 115A + surcharge 10% (income above Rs 50 lakh) + cess 4% = 22.88%.
4. Net Rs 50 lakh borne by payer → gross up: 50,00,000 x 100/77.12.

LOOK UP

ICAI SM DT - Non-Resident Taxation; TDS (s.195, s.195A) person of Indian origin | fees for technical services | section 115A | grossing up | section 195A

ANSWER

Residential status: Mano, a person of Indian origin coming on a visit, is resident only if in India for 182 days or more (or, if his Indian income exceeds Rs 15 lakh, 120 days in the PY plus 365 days in the preceding 4 years). He stayed 84 days (2.1.2024 to 25.3.2024) → non-resident for AY 2024-25. (Deemed residence u/s 6(1A) applies only to Indian citizens.)

Taxability: expert mechanical engineering services are technical/consultancy services → fees for technical services (FTS). FTS paid by a resident (Magic Ltd.) for services used in its business in India is deemed to accrue or arise in India u/s 9(1)(vii)(b) → taxable in India.

Rate: s.115A - FTS received by a non-resident from an Indian concern under an agreement in accordance with the Industrial Policy is taxed @20% + surcharge 10% (income above Rs 50 lakh) + HEC 4% = 22.88%.

TDS u/s 195 with grossing up u/s 195A (tax borne by Magic Ltd.):

Gross FTS = 50,00,000 x 100 / (100 - 22.88) = Rs 64,83,402

Tax to be deducted = 64,83,402 x 22.88% = Rs 14,83,402

(Check: 64,83,402 - 14,83,402 = Rs 50,00,000 paid to Mano.)

WORKING

Days in India = 84 → non-resident. FTS taxable u/s 9(1)(vii)(b). Rate 20% x 1.10 x 1.04 = 22.88%.

Gross = 50,00,000 x 100/77.12 = 64,83,402. TDS = 64,83,402 x 22.88% = 14,83,402. Check: 64,83,402 - 14,83,402 = 50,00,000.

Trap: Applying s.10(6)(vi) because he stayed under 90 days - that exemption is for employees of a foreign enterprise, not fees paid by an Indian company; and forgetting to gross up.

Q5.8 Law Descriptive · 4 marks

Meetings of Board and its Powers - s.185 Loans to directors (exemption notification for private companies)

Consequences under the Companies Act of Lion Pvt. Ltd.'s Rs 25 lakh loan to its director Santosh.

CLUE IN THE CASE

'Lion Private Limited- an associate of Magic Limited' + 'advanced Rs 25 lakhs to its director'

THINK

1. 'Loan to director' + 'Companies Act' → s.185 and the 2015/2017 exemption for private companies.
2. Chapter clear → SPOM Set A / Law index → s.185 → exemption to private companies: 3 conditions.
3. Key word 'associate of Magic Limited' → a body corporate holds its shares → condition (a) fails → no exemption.
4. Then s.185(4) penalties on the company, officers in default and the director who took the loan.

LOOK UP

SPOM Set A (Corporate & Economic Laws) - Meetings of Board and its Powers (s.185) loan to directors section 185 exemption to private company section 185(4) penalty

ANSWER

Provision: s.185(1) - a company shall not, directly or indirectly, give a loan (including book debt), or a guarantee or security for a loan, to any of its directors or a director of its holding company, any partner or relative of such director, or any firm in which such director or relative is a partner (subject to s.185(3) exceptions, e.g. loan to an MD/WTD as part of service conditions or an approved scheme).

Private company exemption (MCA notification of 5.6.2015, amended 13.6.2017): s.185 does not apply to a private company (a) in whose share capital no other body corporate has invested; (b) whose borrowings from banks, FIs or bodies corporate are less than twice its paid-up capital or Rs 50 crore, whichever is lower; and (c) which is not in default in repaying such borrowings at the time of the transaction.

Analysis: Lion Pvt. Ltd. is an associate of Magic Ltd., so Magic Ltd., a body corporate, has invested in its share capital → condition (a) fails and the exemption is lost. Conditions (b) and (c) appear met (no contrary facts), and Santosh's 25% holding does not affect the exemption. Santosh is a director, the loan is for his house, and no s.185(3) exception applies. The Rs 25 lakh loan therefore contravenes s.185(1).

Consequences [s.185(4)]:

(i) Company - fine of Rs 5 lakh to Rs 25 lakh.

(ii) Every officer in default - imprisonment up to 6 months or fine of Rs 5 lakh to Rs 25 lakh.

(iii) Santosh, the director who took the loan - imprisonment up to 6 months or fine of Rs 5 lakh to Rs 25 lakh, or both.

WORKING

S.185(1) bars loans to directors. Private-company exemption needs: (a) no body corporate invested in its share capital; (b) borrowings from banks/FIs/bodies corporate below 2x paid-up capital or Rs 50 crore, whichever is lower; (c) no default in repaying such borrowings. Lion is an associate of Magic Ltd. → Magic has invested → (a) fails → s.185 applies → loan contravenes s.185(1) → s.185(4) penalties.

Trap: Assuming every private company is exempt from s.185 - the word 'associate' means a body corporate has invested, which kills the exemption.

Hojayega ❤️